



Annual Report 2025

Focused execution.
Sustainable growth.

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Tawuniya was recognized as the Best Investor Relations Insurance Company

at the Global Business Outlook Awards 2025, reflecting the Company's commitment to transparency and investor engagement

This Report reflects Tawuniya's journey of nearly four decades, showcasing our commitment to innovation, customer-centricity, and resilience. Through a narrative-driven approach, we highlight key milestones, operational achievements, and the strategic vision that propels us toward a safer and more ambitious future for all.

Theme of the Year

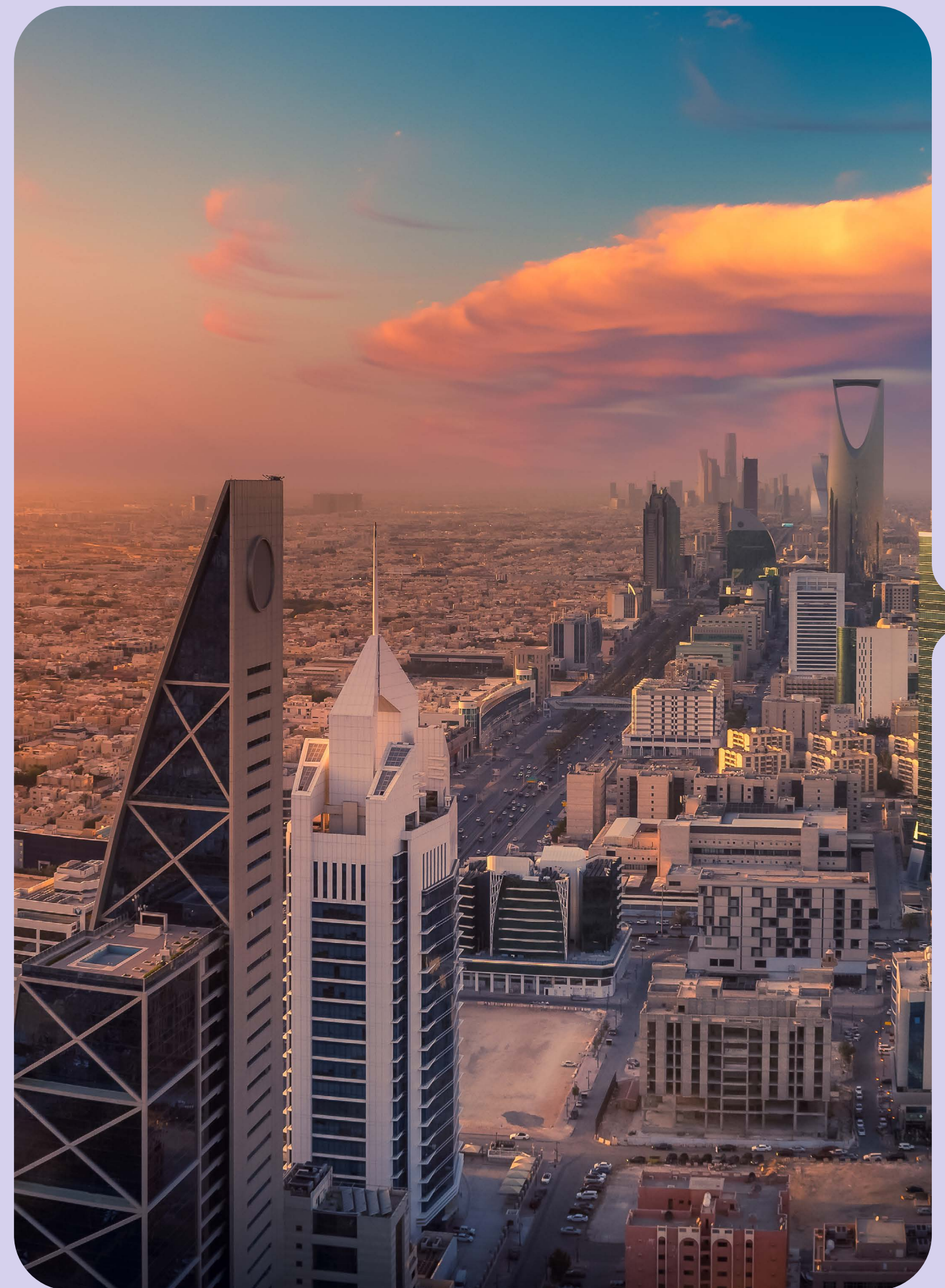
Focused execution. Sustainable growth.

Throughout 2025, Tawuniya demonstrated what it means to lead with intent and discipline in a demanding environment. In a market shaped by intense competition, pricing pressure and rising expectations, the Company remained anchored to its strategy and focused on delivery. Rather than being distracted by short-term volatility, the Company concentrated on executing what it committed to do, protecting the quality of its portfolio, strengthening trust and translating scale into tangible outcomes. This clarity of purpose allowed Tawuniya to perform with consistency and confidence when it mattered most.

Tawuniya's approach was deliberate. The Company did not trade discipline for expansion, nor momentum for compromise. The Company focused on doing the fundamentals well, applying rigor to underwriting, operations and decision-making, while continuing to invest in the capabilities that support long-term value creation. This balance between control and ambition enabled Tawuniya to exceed strategic objectives across its core businesses, reinforce market leadership and maintain resilience in a challenging operating context.

At the same time, Tawuniya continued to build for the future. The year marked an important step forward in expanding the Company's role beyond traditional insurance, strengthening ecosystem platforms that integrate more deeply into the lives of customers and the economy of the Kingdom. These initiatives were carefully designed growth levers, built on strong foundations established over recent years. By investing selectively and scaling with intention, Tawuniya ensured that today's performance also strengthens tomorrow's opportunity.

Above all, Tawuniya delivered with integrity and foresight in 2025. The Company converted leadership into results, ambition into action and strategy into execution. By staying focused on what creates lasting value, confidence was reinforced among stakeholders and Tawuniya positioned itself to continue growing with strength, relevance and sustainability in the years ahead.



At a Glance

Tawuniya translated scale, discipline and clarity of purpose into tangible progress across every dimension of the business this year. Amid intense competition and evolving market dynamics, the Company delivered with consistency, strengthened its leadership across core insurance lines, and advanced strategic platforms that extend its role across the insurance value chain. Tawuniya succeeded in protected portfolio quality while investing deliberately in people, technology and long-term capabilities, reinforcing resilience today and positioning the Company to create enduring value in the years ahead.

Financial Highlights

Gross Written Premiums (ﷲ)



Insurance revenue (ﷲ)



Net profit after zakat (ﷲ)



Insurance service margin



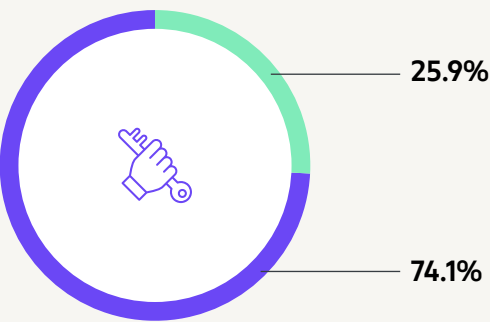
Combined ratio



Return on equity

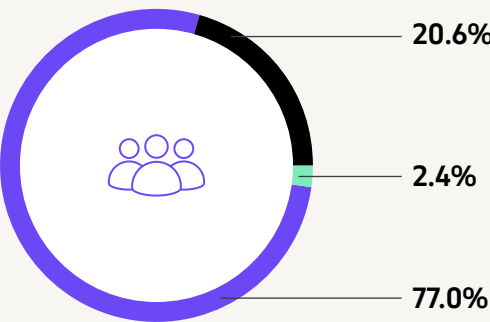


Major shareholders



- GOSI
- Public

Ownership of shares



- Saudi
- GCC
- Foreign

Operational Highlights

20%

growth in Gross Written Premiums, significantly outperforming market growth

+3.6 Mn.

Health Insurance portfolio expanded to over 3.6 Mn. covered lives

Mobility Ecosystem

established as a standalone subsidiary

Riyadh Re

Launch of Riyadh Re, establishing a national reinsurance platform

+100

digital solutions deployed, and +120 RPAs implemented in 2025, contributing to a Digital Maturity Index (DMI) of 3.6

+2,500

employees

Sustainability Highlights



Principles for Responsible Investments (PRI) signatory in 2025, formally embedding ESG considerations into Tawuniya's investment decision-making



87% Saudization rate



36% female workforce representation



63,350 training hours delivered



3,450 community beneficiaries reached through CSR initiatives



Double materiality assessment completed, identifying 16 priority ESG topics



التعاونية
tawuniya

01

Overview

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Offering an extensive portfolio of over 126 comprehensive insurance products and an array of value-added services, Tawuniya addresses a wide spectrum of needs, including health, mobility, property, casualty, travel, asset coverage, protection and savings.

About Tawuniya

Leadership through excellence.

The Company for Cooperative Insurance (Tawuniya) is a Saudi Joint Stock Company that stands as a cornerstone of the Kingdom of Saudi Arabia’s insurance industry. Established in Riyadh by Royal Decree No. M/5 on 18 January 1986, under Commercial Registration No. 1010061695, Tawuniya has the distinction of being the first national insurance company licensed in the Kingdom to practice all types of insurance in alignment with the cooperative insurance principle, a model endorsed by Islamic Shari’ah.

This milestone was further solidified when the Saudi Central Bank (SAMA) granted Tawuniya its official license on 1 December 2004, under the Cooperative Insurance Companies Control Law. Today, Tawuniya operates in full compliance with the regulations set forth by the Insurance Authority (IA) for the insurance sector and, with the launch of its 2021-2025 Strategy, Tawuniya has launched a new era of insurance in the Kingdom.

With nearly four decades of operational excellence, Tawuniya has evolved into a trusted partner for individuals and businesses across the Kingdom.

Offering an extensive portfolio of over 126 comprehensive insurance products and an array of value-added services, Tawuniya addresses a wide spectrum of needs, including health, mobility, property, casualty, travel, asset coverage, protection and savings. Additionally, Tawuniya provides liability insurance for damage and accidents spanning critical sectors, such as marine, aviation and energy. Innovation, technology and unparalleled expertise have enabled Tawuniya to remain the preferred choice for diverse customer segments.

By continuously enhancing its service offerings, Tawuniya has established its position as a leader in shaping the future of cooperative insurance. Headquartered in Riyadh, Tawuniya’s unwavering commitment to excellence underpins its vision for the future, as it continues to contribute to the growth and stability of the Kingdom’s economy.

This report reflects Tawuniya’s journey over the past year, highlighting its achievements and setting the stage for sustained success.

Our Purpose

Together for a safer life and bigger dreams.

Our Vision

Largest insurer in the MENA region.

Our Mission

Exceed expectations through superior customer experience and service excellence.

Our Promises

Extraordinary Results

Tawuniya is committed to achieving extraordinary financial results by driving above market growth, ensuring superior returns and sustaining long-term profits. Tawuniya’s focus extends to leadership in Environmental, Social and Governance (ESG), contributing to a responsible and sustainable future while creating value for all stakeholders.

Customer-Centric

Tawuniya places its customers at the heart of everything it does, proactively engaging with them and delivering tailored solutions that meet their unique needs. Tawuniya’s commitment is to provide affordable, accessible and high-quality services that not only meet but exceed customer expectations.

Operational Excellence “Digital First”

Tawuniya strives for operational excellence by embracing innovative digital solutions that streamline processes and ensure convenient digital access for its customers. Through ongoing digital and AI transformation, Tawuniya enhances efficiency, improves accessibility and elevates overall customer experiences.

Passionate About Our People

Tawuniya is dedicated to nurturing and supporting its team, fostering a culture of collaboration and performance. Tawuniya empowers its employees by promoting personal growth, innovation, entrepreneurship and leadership, enabling them to reach their full potential and drive success across the organization.

Our Journey

A journey of growth, leadership and transformation.

Since its establishment, Tawuniya’s evolution has been shaped by a clear ambition to strengthen the insurance sector and support the Kingdom’s economic and social development. The Company’s journey reflects a pattern of disciplined growth, strategic renewal and continuous adaptation to changing market needs. Each milestone marks a deliberate step in building scale, resilience and capability, positioning Tawuniya as a national champion and a trusted partner in Saudi Arabia’s long-term transformation.

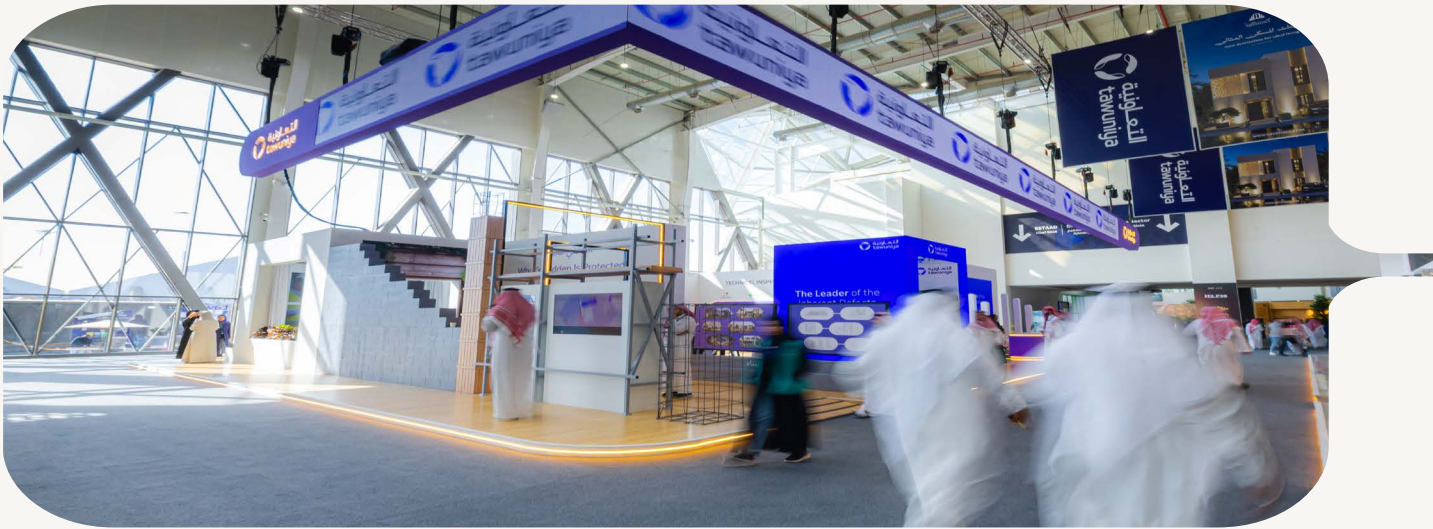
1986	2004	2005	2007	2011	2013
Establishment of Tawuniya as a general cooperative insurer	Obtained insurance license following the introduction of formal insurance regulation in the Kingdom	Listed on the Saudi Stock Exchange (Tadawul) with initial share capital of ﷲ 500 Mn.	Launched new brand identity	Increased share capital to ﷲ 750 Mn.	Increased share capital to ﷲ 1.0 Bn.
2017	2021	2023	2024	2025	
Increased share capital to ﷲ 1.250 Bn.	Launched Strategy 2025, marking the start of a new era in insurance in the KSA	Increased share capital to ﷲ 1.50 Bn. Established Life as a standalone line of business	Became the largest insurer in the MENA region by Gross Written Premium (GWP) Accelerated digital transformation with the launch and expansion of digital platforms and ecosystems	Launched Riyadh Re, strengthening Tawuniya's presence in the reinsurance business Expanded meena with the opening of five new medical facilities, advancing Health sector vertical integration	



Year in Review

Delivering with purpose. Building with focus.

Throughout 2025, Tawuniya advanced its strategic priorities through disciplined execution, purposeful partnerships and initiatives that strengthened its role as a trusted national insurer. The year was defined by consistent delivery across growth, innovation, talent and social impact, while laying firm foundations for future expansion across insurance, reinsurance, health, mobility and ecosystem partnerships. Each milestone reflected a clear focus on collaboration, capability building and long-term value creation for the Kingdom’s economy and communities.



January

Enriching the visitor experience

Tawuniya signed a memorandum of understanding (MoU) with the Saudi Tourism Authority during the Saudi Tourism Forum to deliver tailored insurance solutions that enhance the experience of local and international visitors and encourage longer stays across the Kingdom.

February

Advancing community wellbeing through sport

A two-year strategic partnership agreement was signed with the Saudi Sports for All Federation, reinforcing Tawuniya’s commitment to promoting healthier lifestyles through insurance solutions and community-focused programs.

Supporting secure, digital mobility

At LEAP25, Tawuniya entered into a strategic partnership with Ejaro to introduce insurance solutions that enhance trust and security within the car-sharing ecosystem, supporting mobility sector digitalization.

Reinforcing regional leadership

Tawuniya participated as a mega-sponsor at CMF25, underscoring its position as the largest insurer in the MENA region.

March

Extending care through community action

As part of Tawuniya Khair, the annual Ramadan Baskets initiative was launched, mobilizing volunteers to prepare and distribute more than 900 food baskets to families in need across the Kingdom.

April

Expanding public sector coverage

Tawuniya awarded a health insurance services contract with the Ministry of Foreign Affairs, to cover its employees.

Strengthening research and innovation collaboration

An MoU was signed with King Abdullah University of Science and Technology (KAUST) to enhance cooperation across research, technical consulting, training, internships and employment support.

May

Enhancing financial protection solutions

A new partnership was established with SAB to provide protection insurance for financing portfolios, supporting effective financial risk management.



Advancing regional health innovation

Tawuniya signed a strategic MoU with the WHO Foundation, marking the foundation’s first corporate partnership in the GCC and supporting health innovation across the Eastern Mediterranean region.

June

Linking research to insurance applications

A cooperation agreement was signed with the Saudi National Institute for Health Research to strengthen public health research and translate insights into insurance market applications.



Accelerating applied innovation

Tawuniya also signed an MoU with the Innovation and Research Development Authority to advance applied research and develop innovative solutions for the Health Insurance sector.

Year in Review continued

July

Localizing research and development

An MoU was signed with Northern Educational Company to support localized research and development initiatives aligned with Vision 2030 objectives.

August

Strengthening logistics risk protection

A strategic reinsurance partnership was established with TT Club to enhance logistics insurance capabilities within the Kingdom.

Building healthcare solutions

Tawuniya commenced a partnership with King Faisal Specialist Hospital and Research Center to develop healthcare and innovation solutions for employees and their families.

September

Investing in future talent

Tawuniya continued its Talent Advancement Program through a partnership with Aon, supporting the development of young national talent and future insurance leaders.

October

Expanding bancassurance access

A bancassurance agreement was signed with Alinma Bank, enabling customers to access a wide range of insurance products across digital and branch channels.

Enabling secure payment innovation

A strategic partnership agreement with barq was announced, to deliver secure and innovative payment solutions for protection and savings insurance products.

Supporting sector collaboration

Tawuniya signed an MoU with EMKAN to enhance collaboration, innovation and growth within the Saudi insurance market.

November

Advancing population health management

A strategic partnership with Innovaccer was announced, to support value-based care and population health management across Saudi Arabia.



Entering reinsurance

Tawuniya obtained the Insurance Authority's license to establish Riyadh Reinsurance Company, marking a major milestone in expanding Tawuniya's value chain.

December

Global recognition for future potential

Tawuniya was featured in Bloomberg Businessweek's list of 50 global companies to watch for in 2026. Tawuniya was the only company from the MENA region included.

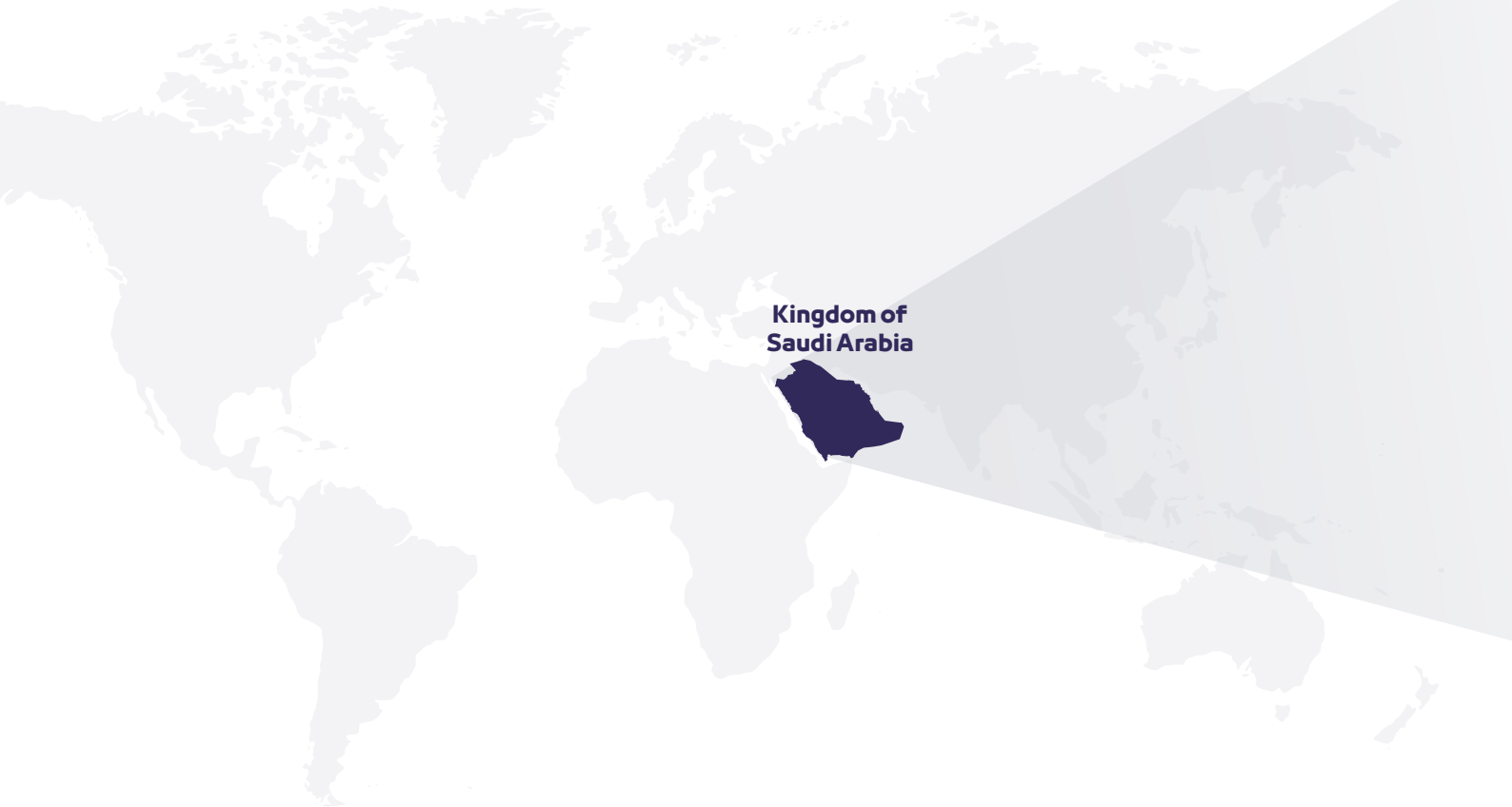


Winning Best Investor Relations Award

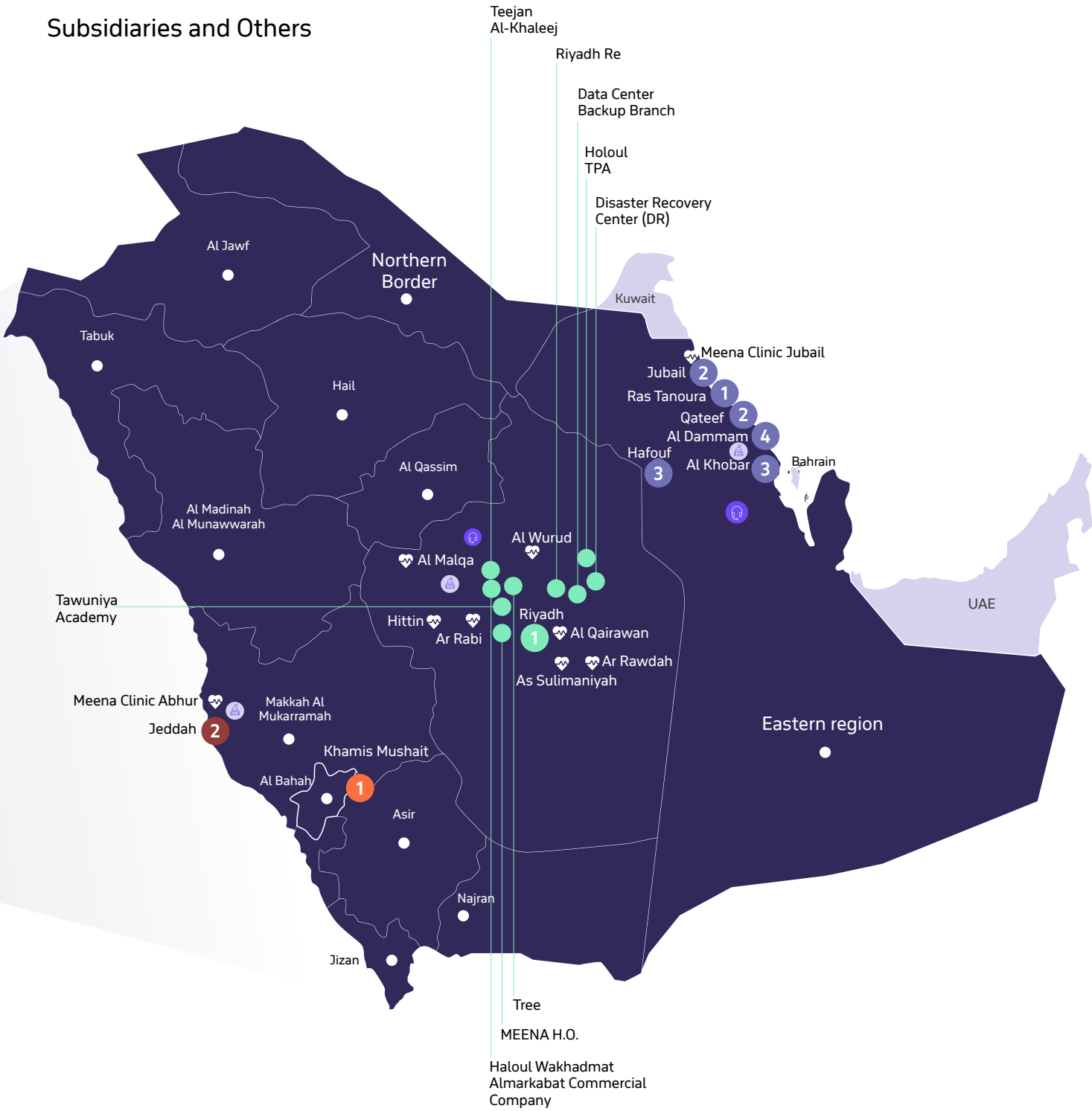
Tawuniya was recognized as the Best Investor Relations Insurance Company at the Global Business Outlook Awards 2025, reflecting the Company's commitment to transparency and investor engagement.

Where We Operate

Tawuniya's geographic footprint reflects the scale and reach of a national champion with expanding capabilities across the insurance value chain. Anchored in Saudi Arabia, Tawuniya operates through an integrated network that spans insurance, healthcare services, digital platforms, mobility solutions and reinsurance, supported by a broad physical presence and growing ecosystem of subsidiaries. This footprint enables Tawuniya to serve individuals, small to medium-sized enterprises (SMEs), corporates and government entities across the Kingdom with consistency and depth, while extending its influence through specialized platforms and capabilities that strengthen risk management, service delivery and long-term resilience.



Subsidiaries and Others



19 Sales offices

9 Subsidiaries and Others

9 Meena Presence (Clinics) 

+2,500 Employees in the region



Stakeholder Engagement

Tawuniya's approach to stakeholder engagement is grounded in trust, transparency and long-term partnership. The Company engages openly and consistently with the stakeholders who shape and are impacted by Tawuniya's business, recognizing their role in sustaining performance, resilience and shared value creation. By listening carefully, responding with purpose and aligning its actions with stakeholder expectations, Tawuniya strengthens relationships that support sustainable growth and reinforces its role as a trusted insurer for the Kingdom.

Building trust through meaningful engagement.

Stakeholder Group	Our Shareholders and Investors	Our Customers	Our Business Partners	Our Employees	Government Authorities and Regulators	Our Community
How We Engage 	- General Assembly Meeting - Extraordinary General Meetings - Annual Report - Interim financial statements - Earnings calls - Press conferences and releases - Announcements made on the Saudi Stock Exchange - Corporate website (Dedicated Investor Relations content)	- Tawuniya physical office network - Tawuniya online platforms - Mobile apps - Social media - Print and electronic media - Corporate website - Customer satisfaction surveys - Queries and complaints - Call center assistance	- Review meetings - Supplier relationship management - Quality assurance inspections - On-site visits and meetings	- Induction and training programs - Key Performance Indicators (KPIs) - e-Learning and classroom training - Internal communication - Employee health and wellbeing programs - Performance reviews - Multiple channels for employee grievances - Management and staff meetings	- One-on-one consultations - Briefings and communication - General Assembly Meeting - Extraordinary General Meetings - Annual Report - Interim financial statements	- Localized recruitment - Assistance through Corporate Social Responsibility (CSR) events and philanthropic initiatives
Key Topics Discussed 	- Company performance - Shareholder returns - Strategy - Governance - Business expansion plans - Sustainable growth	- Accessibility - Data privacy and security - Service quality - Inclusion through financial services - Affordability - Grievance handling mechanism - Knowledge and literacy in insurance - Customer support	- Contractual performance - Future business opportunities - Maintaining healthy relationships	- Career progression - Training and development - Female empowerment - Corporate values - Remuneration and benefits - Employee loyalty and recognition - Grievance handling mechanisms	- Corporate governance - Company performance - Business expansion and sustainable growth - Saudization - Risk management - Contribution to economic development and diversification (Vision 2030)	- Employment opportunities - Development initiatives - Philanthropic contributions
Key Actions 	- Provided regular financial and strategic updates through annual and quarterly disclosures - Engaged investors through earnings calls, general assemblies and conferences - Maintained transparent communication channels via dedicated Investor Relations platforms - Shared governance updates and sustainability performance progress	- Offered multiple channels for customer interaction including branches, online platforms, mobile apps and call centers - Conducted customer satisfaction surveys and collected feedback to identify areas for improvement - Addressed customer queries and complaints through dedicated support teams	- Conducted engagement and performance review meetings - Coordinated regularly to identify new business opportunities and mutual improvements	- Delivered ongoing training, induction and capability-building programs - Conducted performance reviews and shared progress through KPIs - Provided multiple internal communication channels and grievance mechanisms - Facilitated regular meetings between management and staff - Supported employee wellbeing programs across the organization	- Provided required reports and disclosures, in line with regulatory timelines - Engaged through meetings, briefings and submissions on key governance and compliance matters - Supported government initiatives related to Saudization, risk management and sector development	- Implemented various CSR initiatives - Engaged in social development initiatives and philanthropic activities - Supported local recruitment
Value Created 	- Strengthened investor confidence through timely and transparent reporting - Enhanced understanding of business performance and long-term strategy - Reinforced trust with robust corporate governance and risk management	- Improved accessibility and responsiveness across customer touchpoints - Further aligned services with customer expectations and needs - Enhanced trust through better issue resolution and transparency	- Stronger collaboration and improved service quality - Better alignment between partners - Enhanced long-term business continuity	- A more engaged and informed workforce - Improved development opportunities and career progression pathways - Strengthened organizational culture and alignment with corporate values - Higher employee satisfaction	- Strengthened compliance and regulatory trust - Reinforced governance maturity and organizational resilience - Improved alignment with national goals, including Vision 2030 priorities	- Positive community impact - Increased awareness - Enhanced social contribution and community trust

Investment Case

Tawuniya offers a compelling long-term investment opportunity as the Kingdom's largest multi-line insurer, combining market leadership, diversified exposure and disciplined execution. Operating in an underpenetrated insurance market with structural tailwinds for long-term growth, Tawuniya has consistently increased in size, scale and market share, establishing a robust foundation for the next phase of sustainable growth.



Underpenetrated Market with Long-Term Structural Tailwinds

Saudi Arabia is undergoing significant structural market growth supported by economic transformation initiatives under Vision 2030 alongside continued policy enforcement.

- Insurance penetration in Saudi Arabia remains low (1.87% vs. 2.3% for emerging EMEA) relative to global benchmarks, indicating substantial headroom for long-term growth
- Economic transformation, including workforce expansion, rising SME activity, and increasing asset ownership, is structurally increasing demand for insurance across Health, Mobility and Property & Casualty (P&C)
- Ongoing regulatory development and improved enforcement are progressively expanding mandatory coverage and strengthening insurance adoption



Market-Leading Scale with Exposure to Multiple Growth Verticals

Tawuniya operates across all major insurance lines, providing diversified exposure to the sector's key growth drivers.

- Largest insurer in the MENA region by GWP, with leadership positions in Motor and P&C, and an expanding, strong position in Health with continued market share growth momentum
- Diversified exposure across Health, Motor, P&C and Life Insurance enhances resilience across cycles
- Over 126 insurance products and a broad customer base across retail, SME and corporate segments support balanced and sustainable growth

A market leader on the rise.



Digitally Enabled Operating Platform Driving Value

Tawuniya has made substantial investments in technology, driving meaningful progress in enhancing operating efficiency, supporting growth and underwriting discipline.

- Over 100 digital solutions already deployed across the business, automating key processes and improving turnaround times and customer experience
- Advanced data capture and analytics support more accurate pricing, improved risk selection and underwriting discipline
- Digital platforms such as Tree, Vitality, Drive and ecosystem/vertical integration initiatives enhance distribution reach and support market share gains



Experienced Management and Talented Workforce

Tawuniya's professional management team has strong execution experience, supported by a diverse and dedicated workforce.

- Total number of employees +2,500
- Overall % of female employees 36%
- Overall Saudization rate 87%

Investment Case continued

Disciplined strategy execution
delivering financial results.

Tawuniya successfully achieved its Strategy 2025 targets well ahead of schedule, expanding market share, enhancing profitability and delivering strong returns to shareholders.

GWP in 2025

ﷲ 23.8 Bn.

Revenue in 2025

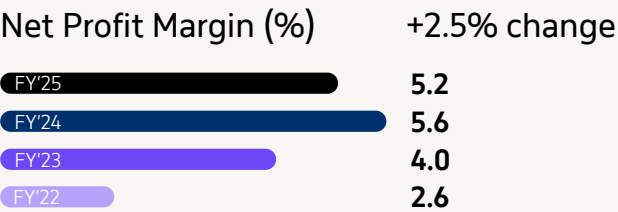
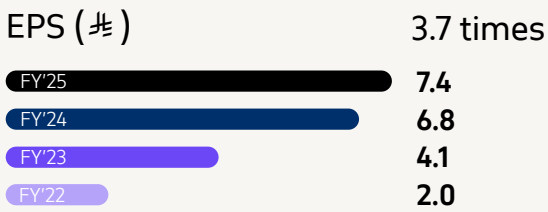
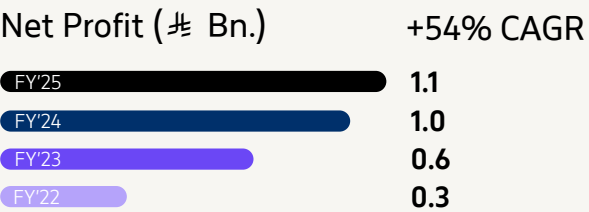
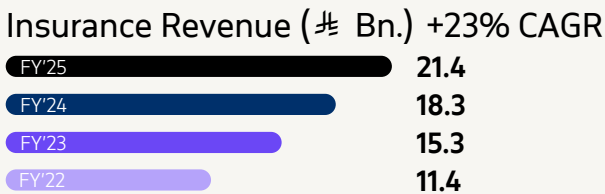
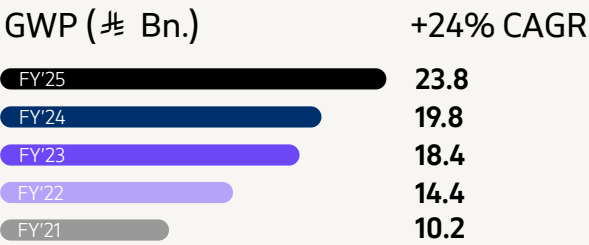
ﷲ 21.4 Bn.

Net profit in 2025

ﷲ 1.1 Bn.

Earnings per share in 2025

ﷲ 7.4



Shareholders' Information

Share Information

Listing date:

12 March 2005

Exchange:

Tadawul
(Saudi Exchange)

ISIN:

SA000A0DPSH3

Symbol:

8010

Industry:

Insurance

Number of shares issued:

150 Mn.

Market cap as of
31 December 2025:

ﷲ 17.6 Bn.

Closing price as of
31 December 2025:

ﷲ 117.0

Foreign ownership:

20.6%

Free float:

74.1%

Shareholding by Geography

31 December 2025



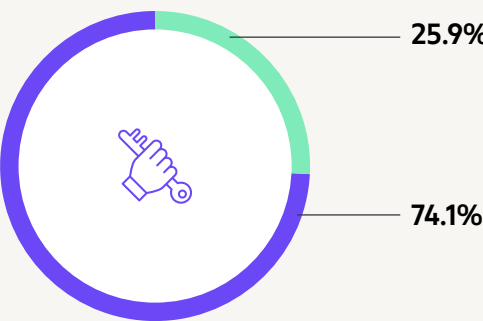
Shareholding by Type

31 December 2025



Major Shareholders

Ownership of shares in %



Ownership of shares



GOSI Public

Investor Relations Activities

12

Global and local
conferences and
earnings call

778

Participants from
the investment
community

20

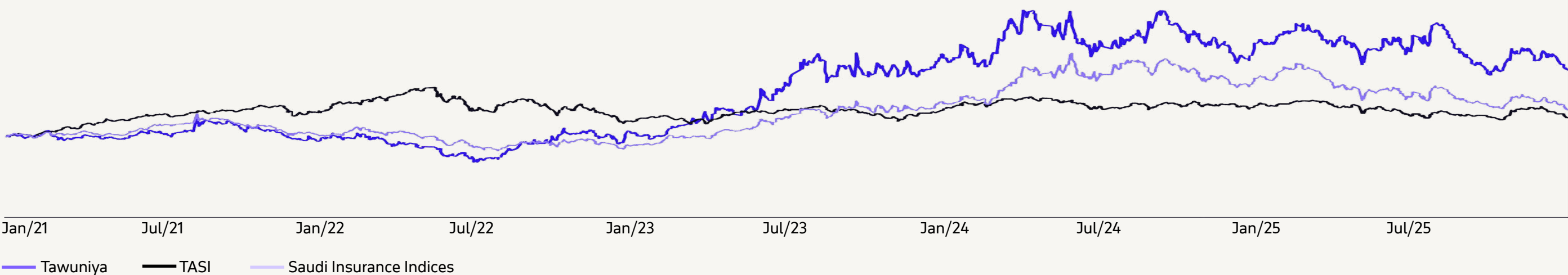
Research reports
issued

11

Covering
analysts

Share Price Performance vs. Benchmark Equity Indices

Share Price (rebased to 100%)



02

Strategic Overview

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Tawuniya's 2025 Strategy was designed as a bold blueprint to transform the Company into the largest and most respected insurer in the MENA region.



Chairman's Statement

Focused execution. Sustainable growth.

As we reflect on 2025, we do so with confidence in Tawuniya's direction, resilience and performance, shaped by disciplined execution in a year of intensified competition, evolving regulation, and heightened customer expectations. In this environment, we remained firmly focused on disciplined execution, delivering against our strategic commitments while strengthening the foundations for sustainable, long-term growth.

Guided by a robust strategy and aligned with the Kingdom's Vision 2030, we continued to reinforce Tawuniya's position as a trusted national champion and a leading insurance player in the region. Our ability to navigate complexity with clarity, prudence and consistency enabled us to protect value, capture opportunity, and advance our transformation with purpose.

Delivering Performance Through Discipline

Across the Company, we maintained a strong focus on underwriting quality, capital discipline and operational effectiveness. This disciplined approach allowed us to deliver a resilient performance in a demanding market, while safeguarding balance sheet strength and preserving flexibility. Our results reflect not only growth, but the quality and sustainability of that growth, underpinned by prudent risk management and consistent execution.

Beyond core insurance performance, we continued to strengthen and diversify our earnings base. Investment activities contributed meaningfully to overall profitability, reinforcing our commitment to disciplined asset allocation, robust governance and long-term

value creation. These outcomes demonstrate our ability to generate sustainable returns across cycles while maintaining a long-term perspective.

Reinforcing Leadership Across the Insurance Ecosystem

In 2025, we continued to build on our leadership across health, mobility, general and life insurance, while extending our role across the broader insurance value chain. The launch of Riyadh Re marked a significant milestone, strengthening domestic reinsurance capacity and reinforcing our contribution to the resilience and stability of the Kingdom's insurance sector.

At the same time, we advanced ecosystem-led models that extend protection beyond traditional insurance boundaries. The expansion of healthcare services through meena, the launch of the Mobility Ecosystem and the continued scaling of tree reflect a deliberate strategy to build scalable growth platforms. These initiatives enhance customer relevance, support national economic development and position Tawuniya to capture long-term opportunity.

Investing in Our People and Capabilities

Our people remain the cornerstone of Tawuniya's long-term success and a critical enabler of disciplined execution. Throughout 2025, we continued to invest meaningfully in talent development, leadership capability and employee wellbeing, ensuring that growth is supported by a skilled, engaged and future-ready workforce. We strengthened our talent pipeline through structured learning programs, leadership development initiatives and early-career pathways that support capability building across all levels of the organization. These efforts are closely aligned with national priorities, particularly the development of Saudi talent and the advancement of inclusive employment opportunities.

Beyond capability building, we focused on fostering a culture grounded in accountability, belonging and performance. Enhancements to employee wellbeing, flexible working practices and engagement platforms reinforced trust and alignment across the organization. Effective performance management frameworks and succession planning processes ensured continuity in critical roles while supporting internal mobility and long-term retention. By embedding execution excellence into our people strategy, we are building an organization that can adapt with confidence, lead with integrity and deliver sustainable value over the long term.

Achieved the Gartner Innovation Award for the Second Consecutive Year

Recorded insurance revenue of

ﷲ 21,403 Mn.
in 2025

Mr. Abdulaziz Al-Nowaiser
Chairman of the Board



// Together, we shape
a future defined by
excellence, innovation
and commitment.

Chairman's Statement continued

Strengthening Sustainability, Governance and Risk

Sustainability, governance and risk management are deeply embedded in how we operate and make decisions. In 2025, we continued to strengthen our governance framework, reinforce transparency and enhance enterprise-wide risk oversight, ensuring alignment with evolving regulatory expectations and international best practices. Our Board and executive leadership maintain a clear focus on sustainability and ESG matters, supported by structured governance mechanisms that integrate environmental, social and governance considerations into strategy, investment decisions and day-to-day operations.

During the year, we further advanced our sustainability agenda through a disciplined, data-driven approach. A comprehensive double materiality assessment helped sharpen our focus on the issues most relevant to our business, stakeholders, and the Kingdom's long-term development priorities. We continued to embed ESG considerations into risk management, investment decision making, and operations, reinforcing resilience across our operating model. Our commitments as a signatory to the Principles for Sustainable Insurance and the Principles for Responsible Investment reflect our determination to align growth with responsibility, manage risk proactively and contribute positively to economic and social outcomes.

Risk management remains a core strength and a critical foundation for sustainable growth. We maintained a prudent approach to capital, underwriting discipline and exposure management, while enhancing our ability to identify emerging risks, including those linked to technology and market complexity. By strengthening governance, embedding sustainability into decision-making and maintaining a strong risk culture, we continue to protect stakeholder interests and position Tawuniya for resilient performance across cycles.

Looking Ahead with Confidence

As we look to 2026, we expect market conditions to remain dynamic, shaped by regulatory evolution, competitive intensity, and accelerating digital adoption. Tawuniya enters the year from a position of strength, supported by scale, a strong balance sheet, disciplined risk management and an ecosystem-led strategy.

The foundations we have built position us well to capture emerging opportunities across healthcare, mobility, infrastructure, and digital insurance, in line with Vision 2030. We will continue to pursue growth with discipline, invest selectively, and strengthen the platforms that support sustainable value creation for all stakeholders.

Acknowledgements

On behalf of the Board, I would like to express our sincere appreciation to the Custodian of the Two Holy Mosques, King Salman bin Abdulaziz Al Saud, and His Royal Highness Crown Prince Mohammed bin Salman bin Abdulaziz Al Saud, for their leadership and vision in advancing the prosperity of our nation.

We also extend our thanks to the Insurance Authority, the Capital Market Authority and all government entities for their guidance and engagement, our shareholders for their continued trust and confidence, our partners for their collaboration, and our employees and subsidiaries for their dedication, professionalism and commitment throughout the year. I would also like to thank my fellow Board members for their support and stewardship. Together, we remain focused on execution, committed to sustainable growth and confident in the path ahead.



CEO's Message

Strategic progress. Delivering results.

2025 was a year defined by execution. In a market characterized by pricing pressure, regulatory evolution and rising customer expectations, we did not pursue reinvention. Instead, we stayed the course, implementing our strategy with discipline, consistency and focus on long-term value creation. This approach enabled Tawuniya to deliver resilient performance, strengthen its leadership position and continue building the platforms that will support sustainable growth in the years ahead.

Our performance in 2025 reflects the strength of our operating model and the clarity of our strategic priorities. We outperformed the market growth in gross written premiums, expanded our leadership across key lines of business, and advanced our evolution from a traditional insurer into a broader ecosystem player, while maintaining underwriting discipline, cost efficiency and capital strength.

Executing with discipline in a competitive market

Despite intense competition across the Saudi insurance market, Tawuniya delivered a strong financial and operating performance. For the full year, gross written premiums reached $\text{SAR } 23.8 \text{ Bn.}$, representing 20% growth. Our net insurance service result reached $\text{SAR } 1,116 \text{ Mn.}$, reflecting disciplined underwriting, improved cost control and portfolio quality.

Operational efficiency continued to improve, with our insurance expense ratio declining to 84.2% in 2025 from 84.5% in 2024. Net income reached $\text{SAR } 1,103 \text{ Mn.}$, representing 8% year-on-year growth, supported by stable insurance performance and investment income growth, which increased by 12% to $\text{SAR } 764 \text{ Mn.}$

These results underline a clear theme for the year: Growth with quality. While margins softened amid

challenging market conditions, our disciplined focus on value-accretive growth enabled us to sustain margins at levels that remain strong relative to the market, while strengthening our balance sheet and preserving flexibility in a complex environment.

Strengthening market leadership across core businesses

In 2025, we strengthened Tawuniya's leadership across all core insurance lines through selective growth and continued investment in technical capability and customer experience. Our overall market share increased year-on-year, reflecting consistent gains across Health, Mobility, General and Life Insurance. This performance was achieved in a highly competitive market environment and underscores our ability to grow with quality while protecting long-term value.

Health Insurance remained the cornerstone of the Company, with Tawuniya continuing to strengthen its market position in the Kingdom's largest insurance segment. We insured more than 3.6 million lives while delivering strong top- and bottom-line performance and expanding our market share. Growth was driven by high retention of key corporate accounts, selective new client acquisition, and continued expansion in the SME segment.

During the year, we accelerated the evolution of our health proposition from payer to healthcare partner, advancing population health management, primary care networks and preventive care programs. These initiatives were supported by deeper use of digital, AI and automation across the health value chain, including AI-assisted pre-authorization, automated SME pricing and expanded e-service platforms for clients and members, improving both efficiency and experience.

Mobility Insurance delivered another year of strategic progress as we moved beyond traditional Motor Insurance into a broader mobility offering. The launch of the Mobility Ecosystem as a standalone subsidiary

marked a pivotal step, enabling Tawuniya to integrate insurance, services, claims and workshop capabilities into a single platform. We achieved strong growth in higher-value products, including comprehensive Motor Insurance and mobility add-on coverages, supported by an improved portfolio mix driven by growth in corporate and SME segments. AI-driven, fully digital claims capabilities materially improved performance, reducing settlement times of third-party claims by 40%, with over 50% of claims settled automatically, reinforcing convenience and trust, while continued expansion of ecosystem partnerships are set to position Tawuniya as a one-stop mobility platform.

Gross written premiums reached $\text{SAR } 23.8 \text{ Bn.}$, representing a 20% growth

Net income reached

$\text{SAR } 1,103 \text{ Mn.}$,
representing 8% YoY growth

Dr. Othman Al-Kassabi
CEO



Our performance in 2025 reflects the strength of our operating model and the clarity of our strategic priorities.

CEO's Message continued

General Insurance continued to play a strategic role in supporting the Kingdom's economic development and complex risk needs. We established a dedicated Inherent Defects Insurance (IDI) Department and assigned leadership of the IDI market pool, strengthening our capabilities in construction, engineering and long-tail risks. The business expanded its facultative inward portfolio while maintaining a strong domestic focus, enhancing underwriting depth and diversification. Tawuniya supported major national infrastructure and development projects throughout the year, reinforcing our role as a strategic enabler of Vision 2030 initiatives. In parallel, we launched new General Insurance products and embedded our offerings through additional distribution partnerships, while advancing digital pricing, underwriting and customer journeys to improve turnaround times, operational efficiency and customer experience.

Life Insurance continued its upward trajectory, delivering topline record performance for the second consecutive year and increasing market share. We expanded distribution by establishing dedicated Life sales teams in the Western and Eastern regions, strengthening our national footprint and partner relationships. Investments in a scalable, digital-first operating platform improved onboarding, service delivery and customer experience, while laying the foundation for disciplined future growth. Our focus on execution, product relevance and distribution capability enabled Life to exceed full-year GWP targets and build momentum in a market with long-term structural potential.

Across all four businesses, performance was underpinned by consistent underwriting discipline, operational efficiency and continued investment in technology, data and customer experience. These shared capabilities allowed us to navigate pricing pressure and competitive intensity without compromising profitability or strategic focus, reinforcing Tawuniya's position as a market leader built on a disciplined operating model, resilience and long-term value creation.

Building an ecosystem beyond insurance

A defining feature of 2025 was the continued advancement of our ecosystem strategy. We are deliberately expanding beyond traditional insurance boundaries to improve customer outcomes, enhance cost efficiency and strengthen resilience across the value chain.

The launch of **Riyadh Re** marked a strategic milestone, extending our presence into reinsurance and supporting the localization of reinsurance capacity in line with Vision 2030 and the national insurance strategy to enhance local reinsurance capacity. Riyadh Re strengthens our risk management capabilities and positions Tawuniya to capture value across domestic and regional markets.

In healthcare, **meena** continued to scale rapidly, expanding its physical footprint with five new medical centers and accelerating growth in home healthcare, telemedicine and 24/7 rapid response services. Meena plays an increasingly strategic role in supporting population health management, cost containment and improved health outcomes for our members.

Through **tree**, our fully owned platform serving retail and SME segments, we expanded access to underserved markets. With a portfolio of more than 10 products, tree continues to enable faster innovation, improved time-to-market and participation in segments that complement Tawuniya's core operating model.

Embedding technology, AI and customer experience at the core

In 2025, technology and customer experience moved decisively from support functions to core strategic enablers. We embedded AI, data and digital platforms across underwriting, claims, pricing and service delivery, improving decision quality, speed and consistency.

Key AI applications included underwriting support tools for non-retail risks, AI-driven medical pre-authorization, automated claims onboarding, OCR-based reimbursement processes, fraud and outlier detection, and total loss identification in mobility. These use cases reduced manual effort and delivered measurable improvements in turnaround time and customer satisfaction.

On the customer experience front, we transitioned from capability building to enterprise-wide transformation. We also completed our Customer Experience Roadmap and Accreditation program, establishing unified governance and standards across the organization, and advanced our omnichannel strategy to deliver seamless, connected journeys across digital, physical, and assisted channels. Our weighted Net Promoter Score (NPS) increased to 49.8 in 2025, supported by data-driven customer experience insights. Tawuniya was recognized with 15+ regional and international awards across technology, digital experience, customer experience and innovation.

Building momentum in 2026

Looking ahead, we expect market conditions to remain competitive, with continued regulatory evolution, and rising expectations from customers and stakeholders. At the same time, the national insurance strategy sets out an ambitious growth trajectory for the sector, with insured lives expected to reach 23 million, motor coverage projected to expand to 16 million insured vehicles, and insurance penetration targeted to rise to 3.6% of non-oil GDP compared to 2.59% in 2024. This direction reinforces the scale of opportunity ahead and the importance of readiness and agility to capture these opportunities.

Our priorities for 2026 are to maintain strategic focus and discipline, scale our ecosystem platforms, deepen AI and data capabilities, and continue elevating customer experience across all touchpoints. We will focus on selective growth across Health, Mobility, General and

Life Insurance, while accelerating value creation through Meena, tree, the Mobility Ecosystem, and Riyadh Re. Technology, AI and operational excellence will remain central to our execution, ensuring that growth is scalable, resilient and aligned with the Kingdom's Vision 2030.

Acknowledgements

I would like to thank our Chairman and Board of Directors for their guidance throughout the year, and our employees for their dedication, professionalism and resilience. I extend my appreciation to our shareholders for their continued trust and support, to our customers whose expectations drive us to improve every day, and to our partners and stakeholders for their collaboration. We remain committed to contributing to the Kingdom's ambitions and delivering value with discipline and purpose, continuing to deliver strong growth and sustainable value for all our stakeholders.

Business Model

Turning strength into sustainable value.

Tawuniya brings together scale, expertise and innovation to consistently translate its competitive advantages into long-term value. By aligning financial strength with technical excellence, digital capability and trusted partnerships, Tawuniya delivers resilient performance across market cycles while meeting the evolving needs of customers and stakeholders. This integrated approach supports disciplined capital deployment, enables growth across diversified insurance lines and reinforces Tawuniya's role as a reliable partner to the economy, communities and the broader insurance ecosystem.

Our Strengths and Capabilities



Strong Capital Position

Tawuniya's financial strength is reflected in its A / Stable outlook rating from S&P and A / Positive outlook from Fitch, supported by robust solvency and capital adequacy, high-quality assets and consistent profitability, enabling sustainable growth across insurance cycles.

Market Leadership and Scale

The largest multi-line insurer in the region, serving corporate, SME and individual customers across diversified insurance lines.

Technical Insurance Expertise

Deep underwriting, actuarial and claims management capabilities built on decades of insurance experience and disciplined risk selection.

Digital and Insurtech Capabilities

Advanced digital platforms and data-driven systems enhancing operational efficiency, customer experience and product innovation.

Skilled and Engaged Workforce

A highly capable workforce of over 2,500 employees, supported by continuous training, leadership development and a strong culture of engagement, diversity and inclusion.

Trusted Relationships

Long-standing partnerships with regulators, reinsurers, healthcare providers and technology partners, reinforcing stability and execution strength.

How We Create Value



Health Insurance

- Innovative health insurance solutions across corporate, SME and retail segments
- Disciplined underwriting and pricing to support sustainable growth and margin resilience
- Provider network optimization to balance quality of care, access and cost efficiency
- Medical cost containment driven by active claims management and, automation and digitization
- An overarching Population Health Management (PHM) Framework underpins preventive engagement by leveraging meena and Vitality, supporting better health outcomes, improved customer experience and sustainable health portfolio performance

Mobility Insurance

- Motor insurance solutions across corporate, SME and retail segments, covering comprehensive and third-party liability risks
- Innovative add-on products designed to enhance coverage, flexibility and customer relevance
- Disciplined underwriting and pricing focused on portfolio quality and margin resilience
- End-to-end claims and repair management to improve turnaround times, cost efficiency and service reliability
- Ecosystem-led value creation through digital engagement, safer-driving incentives and ecosystem partnerships, enhancing customer experience and influencing loss trends over time

General Insurance

- General insurance solutions across corporate, SME and retail segments, protecting assets across critical economic sectors
- Portfolio-driven underwriting and disciplined risk selection
- Specialist capabilities in complex and emerging risks, including market leadership in supporting national infrastructure and housing projects
- Tailored solutions aligned with complex and evolving risk needs including risk prevention and risk advisory services
- Digitally enabled distribution and embedded partnerships enhancing customer access and experience

Life Insurance

- Saving and protection solutions supporting long-term financial security
- Scalable Life infrastructure enabling disciplined growth and service excellence
- Multi-channel, partner-led distribution expanding market reach
- Digitally enabled customer journeys and operations enhancing experience and efficiency

Our Stakeholder Impact



Our Customers

Tawuniya delivers reliable insurance solutions across health, motor, general and life lines, supported by improved service quality, digital platforms and enhanced customer experience.

Our Shareholders

Tawuniya generates sustainable financial returns through disciplined underwriting, profitable growth and strong capital efficiency, delivering resilient return on equity (ROE) and earnings growth.

Our Regulators

Tawuniya operates within a strong governance and compliance framework, maintaining capital strength, transparency and alignment with regulatory requirements.

Our Employees

Tawuniya fosters an inclusive and high-performance culture, investing in skills development, leadership capabilities and digital enablement to support long-term talent growth.

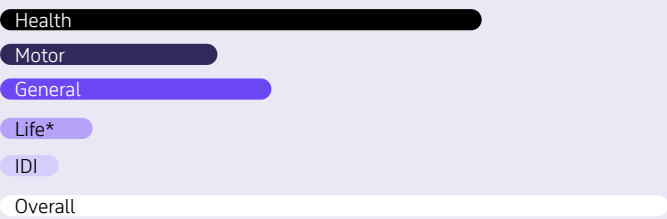
Our Partners

Tawuniya builds long-term partnerships with reinsurers, healthcare providers and technology partners to enhance risk management, service delivery and innovation.

Our Communities

Tawuniya contributes to healthier lifestyles and safer driving through preventive health, safer driving initiatives and community-focused programs that promote social wellbeing.

Insurance Revenue (Mn.)



FY25

15,911
2,491
2,786
207
9
21,403

FY25 Mix

74%
12%
13%
1%
0%
100%

*Protection and saving as per the consolidated financial statements

Strategy and KPIs



Our Purpose

Together for a safer life and bigger dreams.



Our Mission

Exceed expectations through superior customer experience and service excellence.



Our Vision

Largest insurer in the MENA region through superior organic growth and regional expansion.



Our Values

1. We act as one
2. We serve with care
3. We do it right
4. We chart tomorrow

Our 2025 Strategy

Tawuniya's 2025 Strategy was designed as a bold blueprint to transform the Company into the largest and most respected insurer in the MENA region. Anchored in our purpose, vision, and mission, the strategy focused on four strategic pillars: Extraordinary Results, Customer Experience, Operational Excellence, and Passionate People; each supported by clear objectives and measurable initiatives.

In 2023, a strategy refresh ensured our roadmap remained relevant and forward-looking, responding to evolving market dynamics, customer expectations, and regulatory developments. This exercise refined our initiatives, accelerated growth in high-potential segments, and strengthened operational excellence, digital capabilities, and talent development, laying the foundation for sustainable value creation and the transition toward our 2030 ambitions.



Strategy and KPIs continued

The following table summarizes our strategic priorities and performance metrics across the four pillars:

Pillar	Description	Strategic Priorities Link	2025 Achievements
Extraordinary Results 	• We are committed to achieving extraordinary financial results by driving above market growth, ensuring superior returns, and sustaining long-term profits. • Our focus extends to leadership in environmental, social, and governance (ESG), contributing to a responsible and sustainable future while creating value for all stakeholders.	• Profit Maximization: ◦ EPS • Increase Top Line Growth: ◦ CAGR Growth in GWP	• Achieved a GWP of 23.8 Bn. • Increased insurance revenue to 21.4 Bn. • Achieved ROE of 22.4% • Received a Fitch rating of “A” with a Positive Outlook • Received a S&P rating of “A” with a Stable Outlook
Customer Experience 	• We place our customers at the heart of everything we do, proactively engaging with them and delivering tailored solutions that meet their unique needs. • Our commitment is to provide affordable, accessible, and high-quality services that not only meet but exceed customer expectations.	• Enhance Customer Experience: ◦ NPS in 2025: 49.8 • Enhance Product Value Proposition: ◦ Offering +120 products	• Improved Net Promoter Score (NPS) by around 6 points, compared to 2024 ◦ Reduced customer complaints resolution time to 1.1 days in 2025, compared to 1.5 days in 2024 ◦ Developed +16 products during the year
Operational Excellence 	• We strive for operational excellence by embracing innovative digital solutions that streamline processes and ensure convenient digital access for our customers. • Through our ongoing digital revolution in the insurance industry, we enhance efficiency, improve accessibility, and elevate the overall customer experience.	• Improve Process Efficiency: ◦ # of RPAs Implemented - 2023: 14 - 2025: 234 • Enable Digitalization: ◦ Digital maturity index (DMI) - 2023: 2.9/5 - 2025: 3.6/5	• Completed 27 strategic initiatives ahead of time • +120 RPAs implemented in 2025 • Improved DMI to 3.6 in 2025 compared to 3.4 in 2024
Passionate People 	• We are dedicated to nurturing and supporting our team, fostering a culture of collaboration and performance. • We empower our employees by promoting personal growth, innovation, entrepreneurship, and leadership, enabling them to reach their full potential and drive success across the organization.	• Employee Engagement Score (EES): ◦ 2022: 77 ◦ 2025: 89 • Capability programs completed (Talent+, Talent Boost, Future Talent Program) • Training hours for employee (Marefa): ◦ 2023: 52,941 ◦ 2025: 63,350	• Achieved an Employee Engagement Index score that exceeded the Saudi financial sector and average of global financial services by 4 points • Launched Tawuniya Academy

Strategy and KPIs continued

Looking Ahead: Our 2030 Strategy

Building on our Purpose and Vision, we have developed a clear strategic ambition towards 2030.

Purpose: Together for a safer life and bigger dreams.

We exist to protect people and empower prosperity—safeguarding lives, enabling business, and unlocking long-term financial stability for all Saudis.

Vision: To become the largest insurer in MENA and the undisputed Saudi National Champion.

A champion that delivers scale, efficiency, innovation, and societal impact—aligned with Kingdom-wide transformation priorities.

2030 Strategic Pillars:

Pillar 1:

Achieve market leadership by focusing on the most profitable segments

National relevance: Support KSA Vision and IA's transformation agenda to increase insurance penetration and reduce protection gaps.

Pillar 2:

Set new standards of excellence and innovation in our industry

National relevance: Enable KSA's transformation agenda across healthcare, economic de-risking and financial protection.

Pillar 3:

Build a highly scalable and lean platform through technology and AI

National relevance: Embrace the evolution of the global insurance sector and KSA digital agenda, pioneering AI-powered, tech-driven insurance.



Alignment with Vision 2030

Enabling national transformation through insurance.

Tawuniya plays a key role in advancing Saudi Vision 2030 by strengthening the insurance sector as a foundation for economic resilience, social wellbeing and sustainable growth. As a market leader, Tawuniya is a trusted partner to government entities, businesses and individuals, enabling progress across priority sectors through risk protection, financial security and innovation.

Tawuniya’s mandate extends beyond providing coverage to supporting transformation, safeguarding national development initiatives and helping unlock private sector participation. By aligning its strategy with the Kingdom’s ambitions, Tawuniya contributes to a more resilient economy, healthier communities and a more secure future for people across the Kingdom of Saudi Arabia.

Vision 2030 Goal	Strategic Objectives	2025 Achievements
Health Sector Transformation Program	Advance value-based and preventive care to support the Health Sector Transformation Program, improving outcomes while expanding demand for health insurance.	Expanded the health insurance portfolio to 3.6 Mn. covered lives, supporting broader access to healthcare services. Health GWP increased by 23.0% for the year reaching ﷲ 17.2 Bn., while meena, under the Population Health Management (PHM) and Vitality initiatives, targeted preventive care, care coordination and healthcare system efficiency.
Quality of Life Program	Enhance quality of life and financial security by expanding protection solutions and delivering seamless, cost-effective post-accident services aligned with regulatory shifts.	Strengthened demand for life, health, and protection products, advanced the post-accident ecosystem through Mobility ecosystem, and expanded life insurance distribution via fintech partnerships and bancassurance, enhancing reach, efficiency and regulatory readiness.
National Industrial Development and Logistics Program	Support the Kingdom’s growing industrial and logistics base by expanding specialized insurance solutions while embedding a culture of risk prevention through predictive tools, early warning systems and safety programs.	Signed a Memorandum of Understanding (MoU) with “MODON” to launch specialized asset and facility insurance solutions, strengthening risk protection for expanding industrial operations and supporting safer, more resilient industrial activity by mitigating physical, operational and climate-related losses.
Financial Sector Development Program	Strengthen national financial resilience by expanding the insurance sector’s contribution to non-oil GDP and advancing long-term savings through tailored life solutions and bancassurance partnerships.	Delivered double-digit growth in gross written premiums and insurance revenue, supporting the expansion of the insurance sector and its contribution to non-oil GDP, while maintaining strong capital efficiency with a 22.4% ROE. Life business also delivered more than 107% gross written premiums growth in 2025, contributing to Vision 2030’s target of increasing the household savings rate to 10%.

Vision 2030 Goal	Strategic Objectives	2025 Achievements
Housing Program	Support housing market expansion through protection of residential assets and mortgage-related risks.	Expanded property and Inherent Defects Insurance (IDI) coverage, supporting housing supply growth and enhancing buyer confidence by de-risking the housing ecosystem, while contributing to the long-term sustainability of the housing market and Vision 2030’s target of 70% homeownership.
Fiscal Sustainability Program	Stable macroeconomic conditions support long-term underwriting discipline and capital efficiency.	Maintained disciplined underwriting and capital management, reinforcing financial resilience and long-term growth capacity.
National Transformation Program	Support market expansion and create opportunities in new sectors.	Accelerated digital transformation by deploying more than 120 RPA bots and delivering over 100 digital solutions, including the launch of the digital proposition, tree. The Company also ventured into the reinsurance market through Riyadh Re to capture growth opportunities and support the increase of local cession within the market.
Pilgrim Experience Program	Support growth in travel and visitor insurance aligned with rising pilgrimage volumes.	Supported safer, more seamless pilgrim journeys at scale and contributed to Vision 2030’s target of welcoming 30 Mn. pilgrims annually through Hajj and Umrah insurance coverage.
Human Capability Development Program	Strengthen workforce wellbeing, productivity and national talent development.	Achieved 87% Saudization rate, 36% female participation in the total workforce in support of Vision 2030’s target to raise female participation to 30% and delivered over 63,350 training hours through a wide range of structured programs.

Technology, Digital Transformation and Innovation

Technology and innovation driving enterprise transformation.

This year saw Technology and Innovation play a defining role in strengthening Tawuniya’s operating model and accelerating digital maturity across the business. The focus moved beyond isolated system upgrades toward enterprise-wide transformation, improving efficiency, resilience and decision-making while enabling more responsive, data-driven insurance operations across all lines of business.



During 2025, Tawuniya made meaningful progress in strengthening its customer base, sales and product enablement through targeted technology deployments.

The Company successfully implemented and launched a wide range of new enterprise applications, including a new Customer Relationship Management (CRM) system to improve customer experience, strengthen partner engagement and increase sales productivity. Progress continued across core enterprise systems as the ERP transformation advanced with the launch of Human Capital Management (HCM), Procurement, Insurance and Non-Insurance Finance Services. These deployments streamlined financial and operational workflows and improved integration across the organization.

Additionally, Tawuniya's employee mobile app launched for the first time to access all HCM services, anytime and anywhere. In parallel, the Company implemented the Goals and Performance Management System, strengthening performance tracking, accountability and alignment with strategic priorities, and reinforcing governance and data-led decision-making.

During the year, Technology and Digital also supported the implementation of a new Inherent Defects Insurance (IDI), a strategic product designed to address inherited risk in construction and engineering projects, by providing coverage for latent structural or design defects that may emerge after completion. As part of this project, six platforms were launched: Contractor, Technical Inspection Services (TIS), Admin, Inspector, Owner and Ready Build.

Tawuniya's data and analytics capabilities also scaled during the year with the delivery of Data Tech Stack (DTS) Scope A, encompassing the Data Lake, Data Warehouse, Data Pipeline and Data Governance Frameworks. The Data Governance module went live, and multiple business dashboards were deployed to enhance enterprise-wide visibility and insights. Advanced AI use cases, including Total Loss Detection, Taqdeer Outlier Detection, and Mobility Lead Enhancement, introduced greater automation and predictive intelligence into core business processes.

Within the Health and Life sectors, targeted technology initiatives enhanced service delivery and compliance. These included Vitality Phase 3 enhancements, Dawaaee Tree-CO integration, automated medication approvals and AML integration. Collectively, these initiatives improved efficiency, strengthened controls and supported a more seamless customer experience.

Infrastructure modernization remained a priority to support scalability and reliability. The data center cooling systems were enhanced, and critical IT initiatives, including Zero Data Loss and HPE server implementations, strengthened system resilience and operational continuity.

Alongside systems delivery, Tawuniya continued to build internal execution capability throughout the year. The Digital Venturing Initiative progressed to support innovative ideas and new digital business models within Tawuniya Tech and Digital, while the Digital

Partnerships Initiative advanced as a unified platform to facilitate digital partner onboarding, improving coordination and governance across future initiatives.

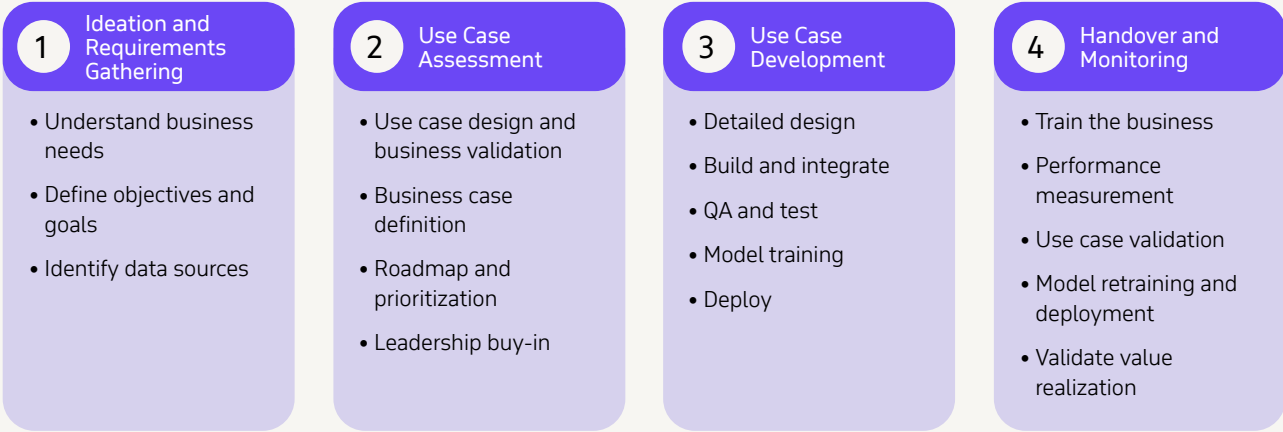
These exciting developments reflect a year of sustained progress in using technology and innovation to modernize operations, strengthen control and support sustainable growth, reinforcing Tawuniya's position as a technology-enabled insurer.

Strategic Focus Delivering Impact

Tawuniya embarked on an ambitious digital transformation journey under its 2023–2025 Digital Transformation Strategy, positioning Digital-First and innovation as foundational pillars to support the Company's strategic aspirations for growth and operational excellence, as well as elevating customer experience.

Data and AI Framework

Guided by an end-to-end Data and AI Framework, Tawuniya ensured that new ideas were anchored in business needs, rigorously assessed, effectively developed and sustainably deployed. This approach reinforced accountability, accelerated time to value and ensured that data and AI efforts delivered tangible impact for the business. By combining strong governance with execution focus, the function played a central role in empowering strategic delivery, enhancing performance and building scalable capabilities that support Tawuniya's long-term growth.



Technology, Digital Transformation and Innovation continued

Scaling Innovation through Strategic Technology Partnerships

Throughout the year, Tawuniya accelerated its Technology and Innovation agenda through a focused set of initiatives and partnerships designed to accelerate digital capability, expand distribution and improve operational efficiency. These collaborations reflect a deliberate approach to applying emerging technologies, embedding insurance into new ecosystems, and strengthening the foundations required to scale innovation across the business.

Advancing AI and Intelligent Automation

Tawuniya expanded the use of AI across multiple parts of the value chain to improve speed, accuracy and decision-making. The Company leveraged high-speed Language Processing Unit technology to enable faster AI inference and support next-generation insurance AI use cases. Tawuniya also explored AI-powered claims automation aimed at improving accuracy, reducing turnaround times and enhancing customer experience.

The Company also strengthened internal efficiency through targeted AI deployments. Oracle was engaged to deploy embedded AI assistants across HR, Procurement and Operations, streamlining processes and enabling more data-driven decisions. Masterworks solution was implemented to deliver AI-powered voice-to-text and speech analytics, enabling real-time transcription and analysis to improve customer service efficiency and engagement.

Applying AI to Strengthen Decisions and Efficiency

Tawuniya deployed a focused set of AI use cases in 2025, which improved decision quality, accelerated processing and enhanced internal efficiency across key functions. These applications were designed to support frontline teams, reduce manual effort and deliver more consistent outcomes for customers and employees.

An AI-powered Client Risk Assessment capability was introduced, that uses large language models to support underwriters in developing structured risk assessment reports for non-retail clients. This strengthened underwriting quality and improved the speed and consistency of complex risk evaluations.

In Health, Tawuniya launched a Pre-Authorization AI model that enables automated approvals, supported by policy terms, member profiling and global medical guidelines, improving customer satisfaction while supporting accurate and efficient decision-making.

The Company also deployed Daleelak, an AI-driven internal chatbot that provides employees with immediate and accurate responses to HR-related inquiries, improving accessibility to information and reducing response times.

Agentic AI solutions were implemented across several operational use cases, including customer onboarding, domestic worker claims processing and reimbursement automation. For Optical and Dental invoices, robot agents using OCR were deployed to automate reimbursement processing, reducing manual intervention and accelerating turnaround times.

Collectively, these AI use cases strengthened operational efficiency, improved decision consistency and supported a more responsive experience for customers and employees across the organization.

Expanding Embedded and Ecosystem-Based Insurance Distribution

Technology partnerships also played a central role in extending Tawuniya's distribution reach. Through Ideal, Tawuniya launched an embedded insurance partnership for SMEs, enabling seamless distribution of General Insurance products through a B2B platform. With STC, the Company introduced telecommunication-driven insurance distribution via targeted SMS solutions, leveraging nationwide reach to engage customers at scale. The partnership with Saudi Post expanded access to Home Insurance through SPL's logistics and residential network, offering more convenient and comprehensive home protection.

The Company also entered new digital ecosystems. Collaboration with The Chefz expanded insurance distribution within the food delivery space, providing coverage for delivery partners, restaurant businesses, customers and gig-economy participants. Together with Blu Store, Tawuniya introduced exclusive insurance benefits for Al Hilal fans, integrating insurance into sports and e-commerce experiences.

Strengthening Digital Platforms and Enterprise Systems

To support operational scalability, Tawuniya partnered with Odoo to accelerate digital transformation through scalable business applications and joint initiatives that improve efficiency. The Company also worked with IBM to explore emerging AI technologies and enterprise solutions aligned with Tawuniya's broader innovation and digital roadmap.

Building Innovation Capability and Talent Pipelines

Capability building remained a priority alongside technology deployment. Tawuniya signed a strategic memorandum of understanding (MoU) with KAUST, focused on innovation and talent development. The collaboration includes joint research and development initiatives, technical consultation, tailored employee training programs, internship and talent acquisition opportunities, and support for Vision 2030 objectives related to human capital development and knowledge transfer.

The Company also partnered with PnP to launch the InsurAI Accelerator Program, enabling Tawuniya to adopt AI at scale. The program supports top-line growth through AI-driven insights, enhances the customer experience and improves employee engagement by accelerating practical AI adoption across the organization.

Enhancing Insight through Data and Social Intelligence

To strengthen external insight and brand responsiveness, Tawuniya collaborated with Sprinklr to activate advanced social listening capabilities. This initiative supports social feedback monitoring, competitor insights and brand sentiment tracking, contributing to top-line growth, an improved customer experience and stronger employee engagement.



123 additional bots implemented to improve operational efficiencies with Data team

+4.55 Mn.

App downloads in 2025

Technology, Digital Transformation and Innovation continued

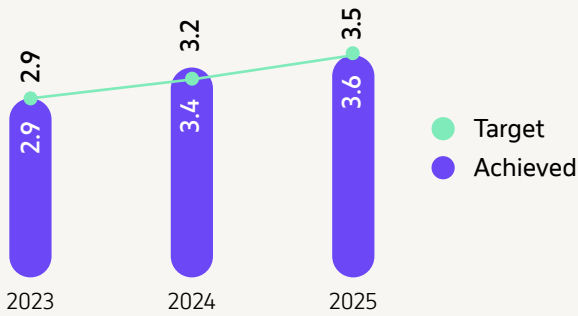
Accelerating Digital Maturity

Technology and Digital adopted the Digital Maturity Index (DMI) as a structured framework to measure and assess its maturity journey across four core domains: strategy, technology, organizational alignment and customer engagement. Each domain is further broken down into sub-domains, providing an end-to-end and comprehensive view of Technology and Digital maturity. Since its introduction in 2023, the index has highlighted the rapid evolution of Technology and Digital capabilities, with maturity scores rising from 2.9 in 2023 to an impressive 3.6 by 2025.

DMI Score



DMI Roadmap



Delivering Results and Earning Recognition

Tawuniya delivered strong performance across its digital initiatives this year, exceeding key targets and reinforcing the commercial impact of its technology investments. This result reflect disciplined execution, stronger digital adoption and improved customer experience across its platforms.

The Company progress was further recognized through more than six regional and international awards that highlight leadership in digital innovation and experience design. The Tawuniya Super App was honored at the Webby Awards for Best User Experience and for Productivity, Financial Services and Banking. Version

3 of the Super App was named winner in the Mobile Application Innovation category at the ITC Asia Awards. It also received the MSME Insurance Initiative of the Year award and a Bronze award at the A Design Award and Competition, for excellence in digital design and usability.

At the Asian Experience Awards 2025, Tawuniya was recognized with Digital Experience of the Year. In addition, Tawuniya secured the Gartner Innovation Award for the second consecutive year, winning the APAC category for the Tawuniya Super App as an all-in-one insurance ecosystem and receiving runner-up recognition for claims automation across critical retail products.

Advancing toward an AI-First Future

In 2026, Technology and Innovation will play a central role in delivering Tawuniya's new five-year corporate strategy, with a clear ambition to become an AI-first insurer. This strategic direction encompasses various AI use cases planned for delivery by 2030. These initiatives reflect a focused approach to embedding AI across core business processes to drive smarter decisions, operational efficiency and improved customer outcomes.

Alongside AI deployment, Tawuniya will continue to advance technology initiatives that support scale and execution excellence. These include further productization, enhancements to the squad delivery model and the rollout of next-generation capabilities such as gamification, a digital wallet, Tawuniya Aamal web and unified app business platforms, and Version 4 of the Tawuniya mobile app. These priorities position 2026 as a pivotal year in strengthening Tawuniya's AI capabilities, accelerating innovation and supporting sustainable growth across the business.

Category	Metric	2024 Performance	2025 Performance
Customer adoption and impact 	App digital adoption rate	79%	107%
	Digital process automation (Robotic Bots)	111 bots needed to improve operational efficiencies with Data team	123 additional bots implemented to improve operational efficiencies with Data team (total to date is 234)
	App downloads	+3.3 Mn.	+4.55 Mn.
	App digital Rating	4.5	4.4
Digital maturity	Digital Maturity Index	3.4	3.6



Customer Service

Serving with care for satisfaction and impact.

Customer Service at Tawuniya underwent a decisive shift during 2025, redefining how people, processes and technology work together to deliver a faster, more consistent and more customer-centric service. Guided by a refreshed customer-centric strategy and anchored in Tawuniya's core value of "We serve with care", the function focused on strengthening both digital capability and organizational culture. This dual focus enabled meaningful improvements in service quality, responsiveness, and customer trust, while directly supporting the Group's broader strategic ambition to embed customer centricity across the enterprise.

Building a Digitally Enabled Service Model

A major priority in 2025 was accelerating digital transformation across customer service operations. The implementation of CRM Ticketing and Call Center modules laid the foundation for a more integrated and structured service environment. This was reinforced through the launch of CRM360, which unified key customer service functions into a single platform, providing contact center teams with a comprehensive view of customer profiles, histories and interactions. As a result, agents were able to deliver faster, more personalized and more consistent responses, supported by automated workflows and clearly defined service pathways.

Digital access points were also expanded to meet customers where they prefer to engage. Live Chat was launched within the Tawuniya app, a WhatsApp customer service channel was activated through Sprinklr, and Robotic Process Automation was introduced within digital operations to reduce manual effort and improve turnaround times. Together, these enhancements improved the overall ease of interaction for customers.



Tawuniya won the Bronze Award for Best Complaint Handling, Best Complaints Handling Award and Best Contact Center Awards

Blending Human Expertise with Intelligent Automation

Customer centricity in 2025 was advanced through a hybrid service model that combines human expertise with chatbot support. Chatbots were deployed to handle repetitive and time-consuming inquiries, allowing service agents to focus on more complex, sensitive or emotionally charged cases where human judgment and empathy are critical. This balanced approach improved efficiency while preserving service quality and care, reinforcing trust across customer touchpoints.

Empowering People through a Culture of Continuous Improvement

Alongside system enhancements, Tawuniya invested heavily in its people. The Service Kaizen Lab was launched to foster a culture of continuous improvement and empowerment, equipping employees with the tools and mindset to identify issues, propose solutions and drive service enhancements. This initiative strengthened ownership, engagement and accountability across the function, ensuring that service excellence is driven from within and sustained over time.

1.6 days

Service request handling time

Measurable Improvements in Service Performance

The impact of these initiatives was reflected in strong performance improvements across key service metrics. Service request handling time was reduced significantly, improving from 11.7 days in July 2024 to 2.3 days in July 2025, and closing the year at 1.6 days. SLA adherence increased to 89.25% from 49.3%, while Contact Center first call resolution improved from 80% to 83%. Customer care handling time also declined from 1.8 days to 1.1 days, demonstrating sustained gains in efficiency and responsiveness.

Recognition for Service Excellence

Tawuniya's progress in customer service was recognized through multiple industry awards in 2025. These included a Bronze award for Best Complaint Handling at the International Customer Experience Awards, as well as Best Complaints Handling and Best Contact Center awards at the Customer Experience Live Awards. These recognitions reflect the strength of Tawuniya's service model, governance and frontline execution.

Customer Service in 2026

Looking ahead, Customer Service will continue to evolve toward a more data-driven and differentiated model. Priorities for 2026 include a stronger focus on speech-to-text and conversational AI, supported by broader automation, agent assist tools and enhanced omnichannel capabilities. The function will also pursue COPC certification to further strengthen service quality, governance and operational excellence. In parallel, a dedicated VIP Program will be introduced to deliver tailored services and elevated experiences for premier customers, reinforcing Tawuniya's commitment to service excellence at every level.



Customer Experience

Designing seamless experiences at scale.

In 2025, customer experience became a central driver of value creation at Tawuniya. The Company moved from building foundational capabilities to delivering an enterprise-wide transformation that places customers at the center of how Tawuniya designs, delivers and measures its services. Customer centricity is now embedded as a strategic enabler within Strategy Refresh 2030, shaping decisions across the organization.

Throughout this year, customer experience was positioned as a core driver of long-term value for Tawuniya and a key enabler of a stronger insurance ecosystem in the Kingdom. Tawuniya’s focus shifted from capability building to execution at scale, embedding customer centricity into how it designs services, allocates investment and measures performance under Strategy Refresh 2030. This approach strengthens trust, improves access to protection and supports a more resilient and inclusive insurance market.

Progress during the year was driven by two enterprise initiatives that reshaped how experience is governed and delivered. Through the Customer Experience Roadmap Accreditation, Tawuniya completed an external assessment and achieved the highest CXRA rating in the MENA insurance sector. More importantly, the program established unified customer experience standards and governance across Tawuniya and translated assessment insights into a prioritized portfolio of initiatives aligned with customer needs and business outcomes. In parallel, the Company’s Omnichannel Strategy aligned journeys across digital, physical and assisted channels, reducing friction, improving consistency and enabling more connected customer interactions.

These initiatives were integrated into a single Customer Experience Transformation Roadmap for 2026 to 2030, fully aligned with Strategy Refresh 2030. The roadmap defines a phased execution approach that links customer experience priorities to strategic objectives and measurable value creation. Delivery was reinforced through a data-driven operating model, with enterprise-wide adoption of Inner Loop and Outer Loop processes, journey huddles and monthly critical journey reviews. Together, these mechanisms strengthened accountability, accelerated insight-to-action cycles and supported sustained improvement across all lines of business.

The impact of this progress was reflected in customer advocacy. Unweighted Net Promoter Score (NPS) increased from 40.2 in 2024 to 46.4 in 2025, while weighted NPS rose from 44.0 to 49.8 over the same period, demonstrating tangible improvement in customer perception and experience quality.

Strengthening Insight through New Experience Tools

Throughout 2025, Tawuniya enhanced its customer experience capabilities through the launch of two new tools that strengthen insight, transparency and responsiveness across digital and assisted channels. These tools support a more complete view of the customer journey and enable faster, data-informed decisions that improve service quality.

Customer 360 was introduced to unify feedback from multiple sources, including surveys, call centers, complaints, social media, social care, mobile

applications and web portals. By consolidating these inputs into a single total experience profile for each customer, the platform provides a clearer understanding of needs, pain points and expectations across the full relationship lifecycle.

Tawuniya also launched Medallia DXA, an analytics platform that provides comprehensive visibility into user experience across websites and mobile applications. DXA generates an AI-driven Digital Experience Score that evaluates each online interaction on a standardized scale, enabling Tawuniya to identify friction points, prioritize improvements and protect loyalty, conversion and long-term value.

CSAT Improvement from 2024 to 2025

Call center:	Complaints:	Reimbursements:
2.7 to 3.0	1.5 to 1.7	3.3 to 3.8
Motor claims:	General retail claims:	General retail cancellations:
3.2 to 3.4	1.7 to 2.4	2.2 to 2.8



Customer Experience continued

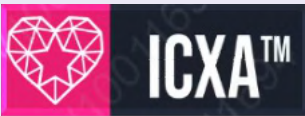
Awards and Recognitions in 2025

In 2025, progress in customer experience excellence was recognized through multiple regional and global awards, reflecting the strength of Tawuniya's leadership, governance and execution across key customer touchpoints.

CUSTOMER EXPERIENCE LIVE SHOW MIDDLE EAST 2025

Customer Experience Live Middle East Awards 2025

- Best Voice of Customer Program
- Best Use of Customer Insights



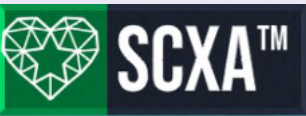
International Customer Experience Awards 2025 (ICXA)

- Customer Experience Leader of the Year
- Best Employee Engagement – Best Place to Work
- Customers at the Heart of Everything

CUSTOMER EXPERIENCE LIVE AWARDS UK 2025

Customer Experience Live Global Awards 2025

- Best Measurement in Customer Experience
- Customer Experience Leader of the Year



Saudi Customer Experience Awards 2025 (SCXA)

- Customer Experience Leader of the Year
- Customers at the Heart of Everything

Customer Experience in 2026

In the year ahead, Tawuniya will advance the next phase of its Customer Experience Transformation by shifting from foundation setting to scaled execution across the organization. The focus will be on extending governance, strengthening insight and embedding journey ownership to deliver more consistent, proactive and measurable improvements in customer outcomes.

Tawuniya will scale Inner Loop practices beyond critical journeys and mature the Outer Loop through quarterly systemic improvements. New initiatives will include persona development to guide journey redesign, communication and service blueprinting, alongside a Predictive NPS program that uses AI to forecast risk signals and address dissatisfaction early.

Journey management will also be strengthened through dedicated software, integrated Voice of Customer data and a unified omnichannel journey design model anchored by a clear journey "north star".

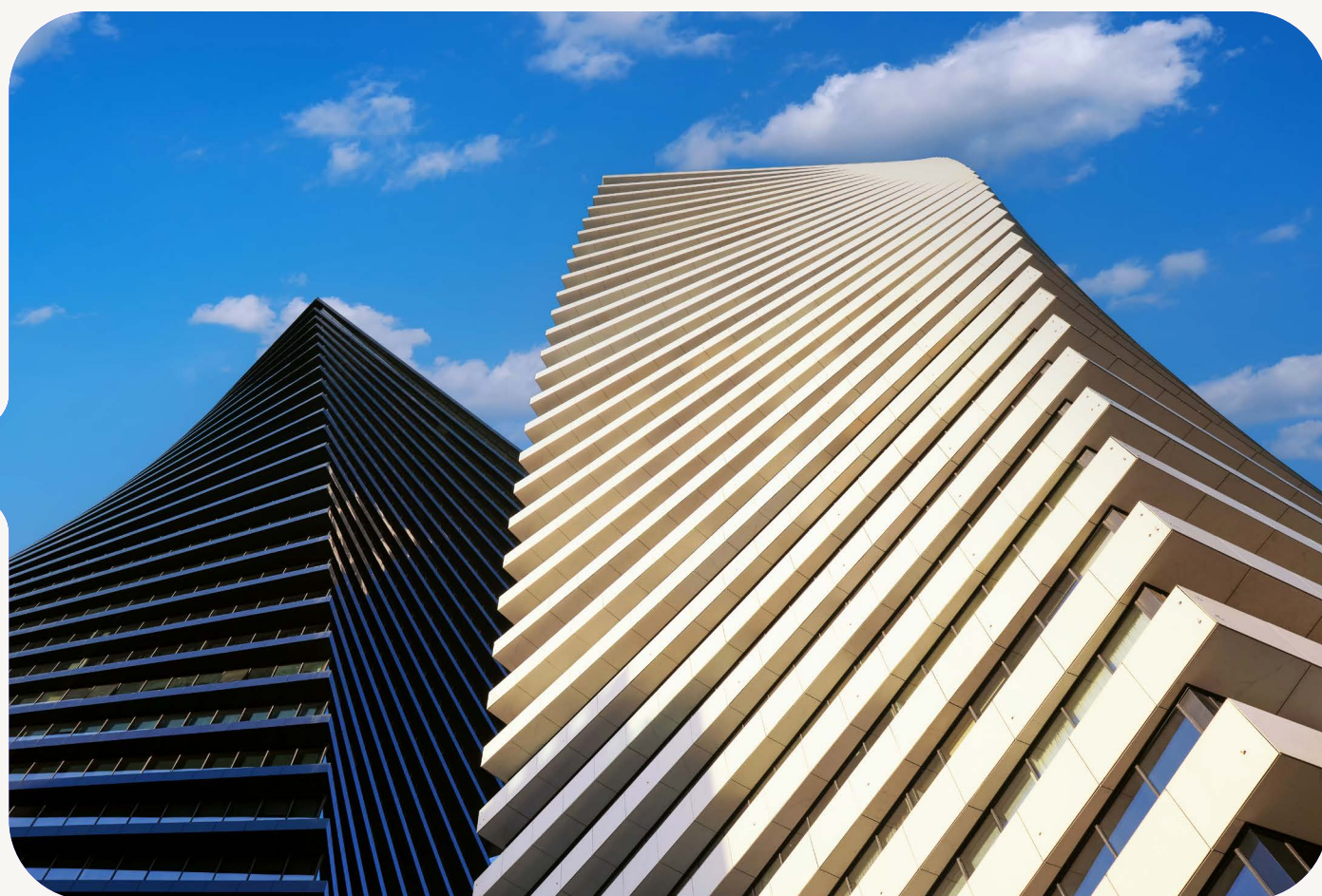
Execution will be supported by a broader set of enterprise initiatives that embed customer experience into daily operations and leadership accountability. These include establishing a Central Customer Data System, integrating internal communications, linking NPS to executive scorecards, expanding coaching and employee feedback mechanisms, extending real-time surveys and enabling wider access to experience insights. These initiatives will translate strategy into action and reinforce customer experience as a sustained source of value for Tawuniya.



Market Overview

An evolving insurance landscape with untapped potential.

The insurance sector continued to evolve rapidly in 2025, shaped by macroeconomic volatility, demographic shifts, regulatory reform, and the emergence of new risk categories. While global and regional markets benefited from rising awareness of protection and expanding mandatory coverage, the Saudi insurance market stood out for the pace and breadth of its growth. Structural under-penetration, combined with strong economic momentum and national transformation initiatives, continued to create significant headroom for expansion across all major lines of business.



Increase in the number of jobs available to national talent in the insurance sector from 17,500 to 38,500 positions.

Expansion of private sector contribution to GDP to

65%

Global Economy

Disinflation and cautious easing under persistent geopolitical and policy uncertainty

The global economy witnessed moderate inflation, easing (but still relatively restrictive) financial conditions, and elevated policy uncertainty. Geopolitical tensions and supply chain re-routing continued to influence trade flows, shipping costs, and commodity markets. Alongside wars and conflict spillovers, policy-driven trade frictions (including tariffs and export controls) have reinforced a theme of "geoeconomic fragmentation," increasing uncertainty for cross-border investment and the pricing of strategic goods. The World Bank notes that while inflation has been abating and interest rates have started to come down in parts of the world, the global economy remains exposed to shocks from wars, inflation episodes, and tariffs. The International Monetary Fund expects global growth to remain broadly steady around the low-3% range in 2026–2027, while global inflation is projected to continue its steady descent, easing from 4.2% in 2025 to approximately 3.7% in 2026.

Oil markets continue to be shaped by OPEC+ policy, non-OPEC supply growth, and demand uncertainty. External forecasts linked to the U.S. Energy Information Administration Short-Term Energy Outlook (January 2026) indicate expectations for lower average Brent prices in 2026 versus 2025, reflecting supply growth outpacing demand in the baseline narrative.

KSA Economy

Saudi economic activity remained resilient through 2025, supported by broad-based non-oil momentum alongside a gradually improving oil cycle. The Ministry of Finance estimates real GDP growth of ~4.4% in FY2025, with non-oil activities growth projected around ~5.0%, reflecting continued expansion across consumer-facing and services sectors (including trade, hospitality, and financial/insurance activities) and sustained private-sector investment. Inflation remained under control at 2% in 2025 while monetary conditions continued to be shaped by the exchange-rate peg and global rate movements. On the fiscal side, the FY2026 budget framework signals continued support for growth while managing balances.

Looking ahead, the same official baseline projects ~4.6% real GDP growth in FY2026, led primarily by non-oil growth as the engine of expansion. Near-term risks remain centered on oil price/output dynamics, project phasing and execution capacity, and imported cost

pressures; nevertheless, high-frequency indicators still point to expansion in the non-oil private sector entering 2026.

Global Insurance Market

Scale, consolidation and new risk frontiers

The global insurance market maintained strong momentum, supported by still-firm pricing carryover in parts of P&C, resilient demand, and strong emerging-market growth, with industry growth averaging approximately 6% over the past two years, exceeding the long-term average by around two percentage points. Total global premiums continued to expand, driven by evolving risk profiles, rising protection needs, and demographic change. Life insurance remained the largest segment globally, accounting for around 50% of total premiums, and is expected to retain this position over the coming years as aging populations and retirement gaps sustain demand for long-term savings and protection products.

In Health, cost trend stayed elevated, keeping pressure on pricing adequacy, provider negotiations, and benefit design. Mobility market also faced high severity especially due to higher cost of technological components in vehicles. Life insurance market cooled down in 2025 reflecting normalization and mixed demand coupled with renewed focus on ALM discipline and credit selection. In commercial lines, there was selective rate softening as capacity improved and competition intensified. Reinsurance pricing and structures remained disciplined with tightening around peak cat exposures and greater focus on model risk, climate trends, and aggregation.

Looking ahead, the expectation is moderating premium growth coupled with still resilient sector profitability, driven by easing price momentum and continued support from higher investment yields. However, nat-cat volatility remains the key downside risk. Global insurance premiums are expected to grow at around 5% annually, supported by steady expansion across Life, Property and Casualty, and Accident and Health lines. Growth in non-life insurance has been underpinned by rising incomes in emerging markets, expanding middle-class populations, and increasing exposure to climate-related and cyber risks. At the same time, affordability pressures and claims inflation have intensified the focus on technical pricing, underwriting discipline, and risk prevention.

Market Overview continued

Industry structure has continued to consolidate at a global level. The market is increasingly concentrated, with approximately 50 insurers accounting for nearly 95% of global premiums, reflecting ongoing scale-driven competition, geographic diversification strategies, and balance sheet optimization. Alongside consolidation, insurers have accelerated expansion into underpenetrated, high-growth regions, particularly across parts of Asia, Africa, and Latin America, seeking to balance mature-market saturation with emerging-market opportunity.

Product innovation has also gathered pace. Insurers globally have expanded beyond traditional risk transfer to include risk prevention and mitigation solutions, increasingly embedded into customer journeys through partnerships and technology-enabled platforms. Greater use of data, smart devices, and advanced analytics has enhanced risk assessment, personalization, and operational efficiency, reshaping how insurance is distributed, priced, and serviced.

Regional Dynamics
Infrastructure-driven demand and compulsory coverage
Across the GCC and wider MENA region, insurance markets continued to expand in 2025, supported by sustained infrastructure investment, economic diversification programs, and the prevalence of compulsory insurance schemes. Health and motor insurance remained the primary growth engines, reinforced by regulatory mandates and rising population coverage.

The regional health insurance market reached approximately USD 18.9 Bn. in 2025, reflecting increasing demand for private healthcare coverage, corporate medical benefits, and improved access to healthcare services. In parallel, demand for engineering, energy, and specialty insurance grew in line with large-scale construction, transport, and industrial projects, particularly in markets pursuing ambitious national development agendas.

While regional growth remained robust, insurance penetration across much of the GCC and MENA continued to lag that of advanced economies, highlighting a persistent gap between economic output and insurance coverage. This under penetration, combined with demographic growth and regulatory reform, continues to position the region as a structurally attractive market for long-term insurance expansion.

Saudi Insurance Market
Rapid growth anchored in structural transformation

Saudi Arabia's insurance market delivered one of the strongest growth performances globally in recent years. Since 2022, the market has expanded at an estimated compound annual growth rate of around 19%, driven by regulatory enforcement, economic expansion, and diversification of insurance demand across both corporate and retail segments.

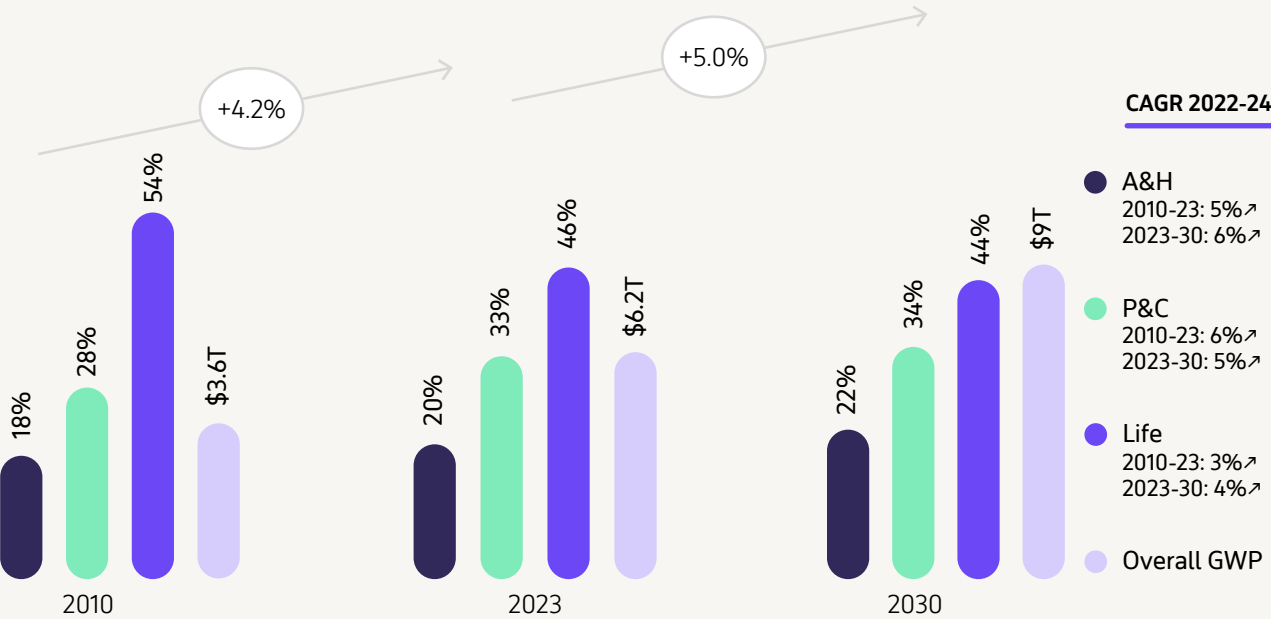
Growth has been broad-based across lines of business, with particularly strong momentum in protection and savings insurance, which expanded at a CAGR of approximately 103% since 2022, reaching around 7.7 Bn., compared to approximately 1.9 Bn. in 2022. This segment now represents around 10% of

total market gross written premiums, reflecting rising demand for unit-linked products.

The retail insurance segment emerged as the fastest-growing area of the market, expanding at a CAGR of approximately 46%. Retail products now account for around 22% of total market premiums, driven primarily by mandatory third-party motor insurance and the gradual expansion of individual life and savings solutions. Growth has been supported by rising vehicle ownership, population growth, and improved distribution access.

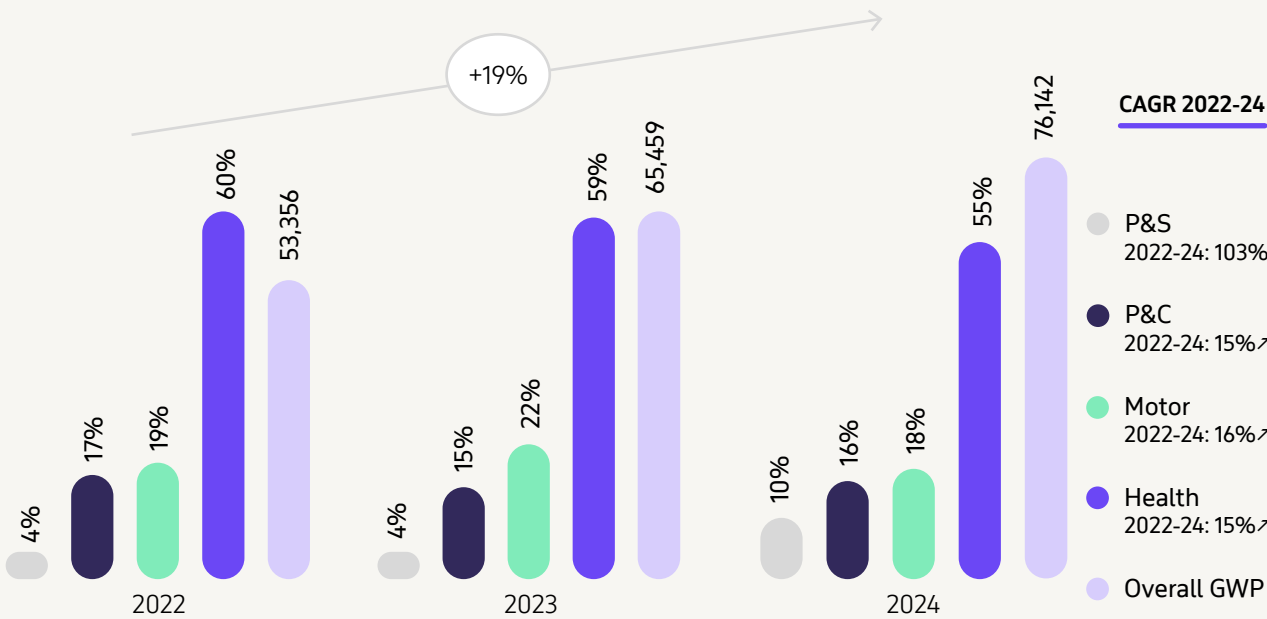
Market composition continues to vary significantly by line of business. Health and Property and Casualty insurance remain heavily corporate-driven, with corporate clients accounting for approximately 73% of health premiums and around 67% of Property and Casualty premiums, reflecting mandatory employee health coverage and large-scale commercial risk needs. In contrast, motor insurance is predominantly retail-led, with retail customers representing around 64% of premiums, largely concentrated in third-party liability products.

Global insurance industry expected to grow by 5% for the next few years with Life continuing to be the largest sub-sector.



Note: 2030 share of Life, P&C and Auto & Health estimated from future premium of top 22 countries (+90% premium share) and applied on total forecasted global premium to estimate forecasted premium by LoB Source: Fitch, Allianz, Global data, Bain analysis

KSA Insurance Market GWP by LoB (2022-24; 7 Mn.)



Market Overview continued

A notable structural shift has occurred within protection and savings insurance. Between 2022 and 2024, the corporate share of this segment declined from approximately 63% to around 15%, while the retail share surged from about 30% to approximately 82%, underscoring the rapid expansion of individual property and related coverages.

Despite this strong performance, the Saudi insurance market remains structurally underpenetrated relative to other high-income economies. Insurance penetration, measured as gross written premiums relative to GDP, continues to trail global benchmarks. National targets aim to increase penetration to 3.6% of non-oil GDP by 2030, indicating substantial headroom for sustained growth.

Macroeconomic fundamentals continue to support this trajectory. Economic growth is underpinned by rising non-oil activity, increased investment, and improving labor market indicators. Vision 2030 initiatives are reshaping demand drivers across the insurance sector, including:

- Expansion of Umrah capacity from 8 Mn. to 30 Mn. visitors
- Growth in physically active population from 13% to 40%
- Increase in average life expectancy from 74 to 80 years
- Home ownership targeted to reach 70%
- Reduction in unemployment from 12.3% to 7%
- Increase in SME contribution to GDP from 20% to 35%
- Growth in women's workforce participation to 30%
- Expansion of private sector contribution to GDP to 65%
- Increase in non-oil exports to 50% of non-oil GDP
- Growth in household savings rate to 10%

National Insurance Sector Strategy

The National Insurance Sector Strategy outlines a structured roadmap to develop a more resilient, inclusive, and globally competitive insurance market in Saudi Arabia. Designed as a transformation blueprint aligned with Saudi Vision 2030, the strategy positions insurance not only as a protection mechanism for households and businesses, but also as an enabler of wider economic development and diversification.

The strategy is organized into 11 strategic/enabling programs spanning key lines (health, motor, life, P&C for individuals and corporates), as well as reinsurance, retention/capacity, uninsured national risks, regulation, technology/data/AI, and human capital. Delivery is framed through 72 initiatives and "strategic promises" to be achieved by 2030.

The strategic promises are:

- Increase the size of the insurance market GWP from 76 Bn. in 2024 to 140 Bn. by 2030
- Raise insurance penetration to non-oil GDP from 2.4% to 3.6% of GDP by 2030
- Double risk-based capital size from 25 Bn. to 50 Bn.
- Increase retention rates in property and casualty insurance
- Expand health insurance coverage from 12 to 23 Mn. beneficiaries
- Increase the number of insured vehicles from 8.5 Mn. to 16 Mn.
- Raise the number of jobs available to national talent in the insurance sector from 17,500 to 38,500 positions
- Increase private sector participation in covering national risks
- Apply +200 regulatory changes to improve the business environment, innovation and customer protection

Across these 72 initiatives, 10 initiatives are designed to scale the local reinsurance landscape. The focus is on empowering Saudi reinsurers to compete on a global stage while simultaneously boosting domestic capacity and capital reserves. Moreover, there are five initiatives designed to raise digital standards, data protection, and cybersecurity levels within the insurance sector.

Going forward, Saudi Arabia's insurance sector is well placed to deliver sustainable expansion and a larger contribution to the broader economy, supported by ongoing regulatory enhancements, rising insurance penetration, and accelerating digital development.



CFO's Review

Delivering disciplined growth and strengthening financial resilience.

2025 was a year of strong financial execution for Tawuniya, marked by the continued strength of our core insurance business and the disciplined translation of market leadership into profitable growth in a highly competitive Saudi insurance market. Our performance reflects the effectiveness of our strategy, underpinned by underwriting discipline, effective claims management, and a growing, diversified insurance and ecosystem platform.

Tawuniya's outstanding financial performance in 2025 was driven by sustained topline momentum and continued improvements in operating quality. Insurance revenue grew by 17% year-on-year, underpinned by 20% growth in Gross Written Premiums (GWP). GWP growth was led by the Health line of business, which recorded an increase of 23%, alongside General Insurance which reported a growth of 4%. These achievements were further supported by disciplined underwriting, active cost management, and a strong balance sheet that continues to provide strategic flexibility, with growth driven by selective portfolio expansion, and strong client retention across core segments.

This topline performance translated into stable underwriting and operating outcomes. Net insurance results increased by 0.4% to SAR 1.1 Bn., supported by a

favorable business mix, continued scale benefits, and improving operational efficiencies. Consequently, the insurance service margin decreased marginally by 0.9 percentage points to 5.2%, while the combined ratio increased slightly by 0.1 percentage points to 97.9%. Overall, performance remained broadly stable year-on-year and continues to compare favorably with peers, reflecting disciplined underwriting and a continued focus on portfolio quality amid competitive market conditions.

Investment income increased by 12% year-on-year to SAR 764 Mn., driven by the continued expansion of the investment portfolio, which grew by 9.3% year-on-year to SAR 12.6 Bn., supported by proactive asset allocation and portfolio diversification that supported stable returns during the year despite a lower interest rate environment.

Resilient Profitability and Earnings Quality

Overall profitability strengthened materially during the year, with net profit after zakat increasing by approximately 8% year-on-year to SAR 1.1 Bn. and earnings per share improving year-on-year to SAR 7.37 translating into a return on equity of 22.4%, reinforcing Tawuniya's ability to generate sustainable earnings through the cycle despite the witnessed inflationary pressures and pricing competitive dynamics in certain lines of business. These results reflect the combined

impact of stable underwriting performance, resilient investment income, and ongoing efficiency gains delivered through continued execution on our strategic priorities.

It is worth to highlight that since the inception of Tawuniya's strategy in 2021, net profit has grown at a CAGR of 54%, demonstrating consistency and effectiveness of our strategic direction and execution.

Investment income increased
by 12% year-on-year to

SAR 764 Mn.,

driven by the continued expansion
of the investment portfolio, which
grew by 9.3% year-on-year to
 SAR 12.6 Bn.

Mr. Abdulaziz Alshaikh
Chief Financial Officer



Tawuniya's balance sheet remained a key source of strength in 2025.

CFO’s Review continued

Income Statement (ﷲ Mn.)	2023	2024	2025	Change % (YoY)
Gross written premium	18,360	19,822	23,842	20.3%
Insurance revenue	15,265	18,273	21,403	17.1%
Insurance service expenses	(14,067)	(15,434)	(18,016)	16.7%
Insurance service result before reinsurance contracts held	1,198	2,839	3,387	19.3%
Insurance service result	681	1,111	1,116	0.4%
Investment return	436	680	764	12.2%
Net profit for the period before Zakat	718	1,145	1,227	7.1%
Zakat charge for the period	(101)	(123)	(124)	0.4%
Net profit for the period after Zakat	616	1,022	1,103	7.9%
Return on average equity	18.3%	25.2%	22.4%	-2.8%
Insurance Expense Ratio	92.2%	84.5%	84.2%	-0.3%
Combined Ratio	98.7%	97.8%	97.9%	0.1%

Strong balance sheet and financial flexibility

Tawuniya’s balance sheet remained a key source of strength in 2025. Total assets stood at ﷲ21.8 Bn. supported by a high-quality and well-diversified investment portfolio aligned with the Group’s risk appetite and liability profile. Insurance contract liabilities amounted to ﷲ13.4 Bn., reflecting best estimate reserving practices reserving practices and robust actuarial governance under the IFRS 17 framework.

Shareholders’ equity reached ﷲ5.4 Bn. at year-end, underpinned by strong retained earnings generation and conservative capital management. Tawuniya maintained solid liquidity levels throughout the year supported by substantial cash balances and term deposits, ensuring the timely settlement of claims and the ability to meet obligations under a range of operating scenarios. Our solvency position remained strong, comfortably above regulatory requirements, providing capacity to support future growth and strategic investments.

Balance Sheet (ﷲ Mn.)	2023	2024	2025	Change % (YoY)
Cash and cash equivalents	2,082	2,077	1,701	-18.1%
Term deposits	7,368	9,252	7,934	-14.2%
Investments including accrued investment income	1,020	2,197	4,578	108.4%
Investments in equity accounted investments	117	116	128	10.3%
Statutory deposit	150	150	150	0.0%
Total Assets	18,417	20,996	21,764	3.7%
Zakat payable	360	461	483	4.6%
Dividends payable	9	10	9	-14.3%
Insurance contract liabilities	13,436	14,385	13,377	-7.0%
Total Liabilities	14,795	16,517	16,406	-0.7%
Share capital	1,500	1,500	1,500	0.0%
Statutory reserve	1,373	1,500	1,500	0.0%
Retained earnings	741	1,449	2,300	58.8%
Total Equity	3,622	4,478	5,358	19.6%
Total Liabilities and Equity	18,417	20,996	21,764	3.7%

Strategic investments and ecosystem expansion

Throughout 2025, we prioritized value-driven investments aligned with our ecosystem strategy, deploying capital selectively to strengthen digital and core systems, expand the strategic role of subsidiaries, and enhance operational efficiency and customer experience. This disciplined approach to capital allocation focused on long-term competitiveness and scalability, reinforcing efficiency and sustainable value creation.

We continued to scale Meena, our vertically integrated healthcare provider, through the expansion of five additional healthcare centers during the year, and further reinforced our presence in home healthcare and digital consultation services. These initiatives align with our Population Health Management approach, which is focused on improving customer well-being, enhancing cost predictability, claims outcomes with the objective of mitigating medical inflation and supporting sustainable underwriting margins over the long term.

In Mobility, we progressed the expansion of our motor ecosystem through the acquisition of automotive workshops across the central, western, and eastern regions of the Kingdom. These investments are designed to transform and disrupt the vehicle repair and maintenance experience, supporting quality control, cost efficiency, and customer satisfaction within our Mobility Insurance portfolio as well as diversifying Tawuniya’s revenues profile.

A key strategic milestone in 2025 was the launch of RiyadhRe, our reinsurance subsidiary, during the fourth quarter of the year. RiyadhRe represents a new growth platform in a relatively untapped market, supported by favorable regulatory tailwinds. Over time, this business is expected to play a central role in risk optimization, capital efficiency, and underwriting stability, while diversifying and strengthening our insurance ecosystem.

In addition, we assumed leadership of the Inherent Defects Insurance program, a government-mandated residential construction insurance initiative effective from June 2025. This appointment is expected to contribute to premiums growth, reflecting the trust placed in Tawuniya’s underwriting capabilities and our ability to manage large, complex programs on behalf of the sector.

These initiatives were complemented by continued investment in AI and digital infrastructure aimed at strengthening pricing, claims management, and operational efficiencies. In parallel, Tawuniya’s strengthened partnerships with government entities, large corporates, and giga projects including NEOM, ROSHN, Bahri, Petro Rabigh, Saudia, and ACWA Power collectively reinforced sustainable value creation and future growth.

Credit ratings affirm financial strength

In 2025, Tawuniya’s financial strength and market credibility were reinforced by strong international credit ratings. S&P Global Ratings affirmed our credit rating at “A” with a Stable outlook, reflecting confidence in capital adequacy, underwriting strength, and market leadership. Fitch Ratings also affirmed an Insurer Financial Strength rating of “A” with a Positive outlook, underscoring robust financial performance and prudent risk management.

Outlook for 2026: Sustainable growth and long-term value creation

Looking ahead to 2026, we remain focused on sustaining above-market growth across insurance and non-insurance activities, while continuing to build a more digital, data-driven, and scalable operating model. Key priorities include profitable insurance growth, scaling RiyadhRe as a new revenue stream, expanding ecosystem subsidiaries, and increasing investment in AI and digital integration to enhance pricing, claims, and customer experience.

Investment strategy will continue to focus on portfolio growth, asset diversification, and selective rebalancing toward higher-yielding opportunities, ensuring resilience across interest rate cycles while supporting earnings stability.

These initiatives, combined with continued cost discipline and margin protection, are expected to support scalable efficiency, strong capital discipline, and long-term value creation. With an integrated insurance ecosystem and a technology-enabled platform, Tawuniya is well positioned to continue leading the Saudi insurance market and contributing to the Kingdom’s Vision 2030 objectives, underpinned by strong solvency and capital strength.

Risk Management

Disciplined risk governance for sustainable growth.

At Tawuniya, risk management underpins the Company’s ability to grow with confidence, protect stakeholder value and operate responsibly in an increasingly complex environment. Tawuniya’s approach is designed to balance opportunity with discipline, ensuring that risk considerations are systematically embedded into strategy, decision-making and execution across the Company. By combining strong governance, clear accountability and forward-looking oversight, Tawuniya maintains resilience through change while supporting long-term value creation for the business, the insurance sector and the Kingdom.

Risk management at Tawuniya is a core enabler of institutional resilience, disciplined execution, and long-term sustainability. This critical responsibility is led by the Chief of Governance, Risk and Control Officer, who reports directly to the Chief Executive Officer and is a member of the Senior Executive leadership. To ensure independence, the Risk Management Division submits quarterly reports to the Board of Risk Committee, while remaining closely integrated with strategic decision-making, enabling the Cooperative to sustain growth with clarity and control.

The Risk Management Department provides enterprise-wide oversight of financial, operational, regulatory, technological and strategic risks. Its mandate covers the full risk lifecycle, from identification and assessment through to monitoring and mitigation across all business units. Established frameworks and tools, including the Risk Appetite Framework, Risk and Control Self Assessments and enterprise risk registers, provide Management with clear visibility of risk exposures and ensure that risks are managed within approved thresholds.

Over recent years, the function has continued to mature by strengthening risk culture, enhancing governance and aligning practices with recognized international standards, including the International Organization for Standardization (ISO) and the Committee of Sponsoring Organizations (COSO). The creation of a dedicated Business Continuity Management team and the achievement of ISO 22301 certification reinforces Tawuniya’s focus on operational resilience. As the Company expands into areas such as life insurance and reinsurance, the risk function continues to evolve to ensure effective oversight of emerging risks and sustained organizational stability.

Risk Governance and Management Framework

Tawuniya’s risk governance framework is built on the internationally recognized Three Lines of Defense model, providing a clear and disciplined structure for managing risk across the organization. The framework establishes defined accountability, effective escalation and independent oversight, ensuring that risk management is embedded at every level of decision-making.

By integrating business ownership, independent challenges and objective assurance, the model supports sound strategic execution, strengthens organizational discipline and underpins long-term sustainability. It is aligned with leading global standards, including ISO, COSO ERM and Solvency II-aligned principles, ensuring that Tawuniya’s approach to risk remains robust, current and fit for purpose.

First Line of Defense: Business Ownership

The first line of defense is formed by operational management and business units, which hold primary responsibility for identifying, assessing and managing risks arising from day-to-day activities. Business leaders are accountable for maintaining effective internal controls, embedding risk-aware practices and ensuring compliance with internal policies and regulatory requirements. This includes identifying emerging risks, evaluating potential impacts and implementing appropriate mitigation measures. By placing ownership at the business level, risk management is fully integrated into operational execution, performance management and service delivery, rather than treated as a standalone function.

Tawuniya's risk governance framework is aligned with leading global standards, including ISO, COSO ERM and Solvency II-aligned principles, ensuring that Tawuniya’s approach to risk remains robust, current and fit for purpose.

Second Line of Defense: Independent Oversight

The second line of defense is led by the Executive Director of the Risk Division, reporting to the Chief GRC Officer. It provides independent oversight, challenges and guidance to ensure that risks are identified, measured, monitored and managed consistently across the enterprise. The function maintains core risk tools, including the Risk Appetite Framework, Risk and Control Self Assessments and enterprise risk registers, enabling structured evaluation and informed decision-making.

This line works closely with Compliance, Business Continuity Management and Third-Party Risk Management to ensure a coordinated and holistic view of risk. It also prepares and presents quarterly risk reports to the Board Risk Committee, offering timely insight into principal risks, emerging trends and performance against the approved risk appetite. In parallel, the Executive Risk and Control Committee, chaired by the Chief GRC Officer, serves as a senior management forum to review material risks, address emerging exposures, and ensure that risk-related matters are escalated and resolved in a structured manner.

Third Line of Defense: Independent Assurance

The third line of defense is provided by Internal Audit, which reports directly to the Board Audit Committee, maintaining full independence from Management. Internal Audit assesses the design and effectiveness of internal controls, evaluates the adequacy of risk management practices and provides objective assurance over the control environment. This independent review strengthens governance integrity and provides the Board with confidence that risk management processes are operating effectively and that improvement areas are identified and addressed in a timely manner.

Supporting Governance Structures

The Three Lines of Defense are supported by a series of governance committees and oversight forums that provide focused supervision in key areas. These include the Board Risk Committee, which oversees the risk profile and risk appetite; the Audit Committee, which monitors internal controls and assurance activities; and the Business Continuity Management Committee, which oversees preparedness, crisis management and operational resilience. Additional forums provide oversight of compliance, outsourcing and third-party risk.

Together, these elements form an integrated governance ecosystem that embeds risk considerations into strategic planning, operational execution and organizational culture. This cohesive approach reinforces Tawuniya’s commitment to resilience, regulatory compliance and sustainable value creation.

Strengthening Risk Management in 2025

During 2025, Tawuniya continued to strengthen its risk management practices through a series of targeted enhancements that reinforced alignment with strategy, regulation and operational resilience. The Risk Appetite Framework was updated to reflect evolving market conditions, business priorities and regulatory expectations, with refined thresholds and metrics improving the linkage between risk appetite, strategic planning and performance monitoring.

Business Continuity Management also progressed, supported by the successful execution of multiple failover and disaster recovery tests. The continued maintenance of ISO 22301 certification reaffirmed Tawuniya’s readiness to respond to disruption and sustain critical operations. In parallel, enterprise risk registers were comprehensively refreshed in line with COSO ERM principles, improving risk articulation, strengthening control design and enhancing the quality of management reporting.

Risk Management continued

The year also saw further enhancement of third-party risk management. The framework was strengthened to align more closely with IA requirements, with reinforced controls covering outsourcing arrangements, vendor concentration and service continuity risks. Together, these developments reflect a disciplined approach to risk oversight and demonstrate Tawuniya's ongoing commitment to regulatory compliance, resilience and sustainable value creation.

Principal Risks and Mitigation

Tawuniya's principal risks span financial, operational, technological, insurance, human capital and strategic domains. These risks are managed through a structured and proactive approach that integrates risk identification, mitigation and ongoing monitoring, to support resilience, regulatory compliance and sustainable performance.

Financial Risks

Financial risks include capital adequacy, liquidity pressures, receivables recovery and volatility in underwriting and investment performance. These risks are managed through long-term capital and solvency planning, robust liquidity management and proactive engagement with financial institutions. Key Risk Indicators (KRIs), including solvency ratios, combined ratios, liquidity metrics and external credit ratings, are closely monitored to ensure performance remains within approved thresholds. Oversight also extends to actuarial pricing discipline, reserve adequacy and investment performance.

Operational Risks

Operational risks arise from potential system failures, project execution challenges and supply chain disruptions. Mitigation measures include a comprehensive Business Continuity Management Framework, regularly tested disaster recovery arrangements, and vendor diversification strategies designed to reduce dependency and enhance operational resilience.

Cybersecurity and Technology Risks

Cybersecurity and technology risks remain a priority given the increasing reliance on digital platforms and data. These risks are addressed through controls aligned with ISO 27001 standards, regular penetration testing, data encryption protocols, and mandatory cybersecurity awareness training for employees to strengthen preventive and response capabilities.

Insurance and Regulatory Risks

Insurance and regulatory risks relate to underwriting practices, claims experience and changes in regulatory requirements. Mitigation actions include periodic underwriting and portfolio reviews, structured self-assessments, and ongoing readiness for Solvency II-aligned governance frameworks to ensure compliance and disciplined risk-taking.

Human Capital Risks

Human capital risks include talent attraction, retention and succession planning. These are managed through competitive remuneration structures, targeted training and development programs, and formal succession planning processes that support workforce continuity and capability development.

Strategic Risks

Strategic risks stem from regulatory developments, competitive pressures and shifts in market dynamics. These risks are mitigated through proactive engagement with regulators, structured scenario and stress testing, and the integration of ESG considerations into strategic planning and management reporting, supporting informed decision-making and long-term resilience.

Risk Management in 2026

Looking ahead, 2026 is expected to be a transition year for Tawuniya's Risk Management Framework, shaped by regulatory evolution and strategic expansion. The Company is preparing for the implementation of the new Insurance Law and a Solvency II-aligned governance framework, ensuring full and timely compliance with changing regulatory expectations. In parallel, Company-wide risk oversight will expand to encompass subsidiaries, requiring enhanced monitoring of emerging and evolving risks across the enterprise.

Cybersecurity and data privacy will remain key focus areas, with further strengthening of frameworks and controls to embed resilience across digital platforms and data infrastructure. At the same time, ESG considerations will continue to be integrated into risk assessment and reporting processes, reflecting global best practices and rising stakeholder expectations. Together, these priorities reinforce Tawuniya's forward-looking risk posture, and support sustainable growth, resilience and long-term value creation across the wider insurance ecosystem.



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The year reflected consistency rather than reinvention, with a well-established investment philosophy, strong governance and prudent decision-making enabling Tawuniya to navigate volatility and deliver resilient performance.



Asset Management

Powering resilient value creation.

Asset Management remains a critical pillar of Tawuniya’s financial strength, providing stability, income generation and long-term value creation in support of policyholders and shareholders. In 2025, the function continued to demonstrate disciplined execution amid shifting market conditions, balancing growth with capital preservation while maintaining a clear focus on risk-adjusted returns. The year reflected consistency rather than reinvention, with a well-established investment philosophy, strong governance and prudent decision-making enabling Tawuniya to navigate volatility and deliver resilient performance.

About Asset Management

Asset Management oversees Tawuniya’s investments across a diversified range of strategies spanning public and private markets, with a clear mandate to deliver sustainable, risk-adjusted returns aligned with the Company’s long-term objectives. The function operates within a robust governance and risk management framework, ensuring disciplined decision-making, capital preservation and resilience across market cycles. Managing approximately AED 12.6 Bn. in assets, the investment team is comprised of experienced professionals with deep expertise across key financial markets, enabling active portfolio management and consistent value creation for Tawuniya and its stakeholders.

CAGR of

21%

growth in Investment Book
since 2022

Disciplined Strategy and Governance Continuity

Tawuniya’s approach to asset management in 2025 remained aligned with the framework outlined in the previous year. The focus continued to center on disciplined portfolio construction, long-term value creation and robust risk management. Adjustments during the year were tactical and responsive to market dynamics rather than structural, allowing the investment team to adapt asset allocation while preserving the integrity of the core strategy, governance model and investment principles. This consistency ensured clarity of decision-making and sustained confidence across stakeholders.

Performance and Growth in 2025

Asset Management delivered strong performance during the year, supported by both scale and quality of returns. Growth was driven primarily by Money Market and Fixed Income activities, reflecting solid net inflows and favorable positioning amid market conditions. Across major strategies, investment performance remained competitive relative to benchmarks, underpinned by active portfolio management, prudent risk controls and timely tactical adjustments. These outcomes reinforced Asset Management’s contribution to Tawuniya’s overall profitability and balance sheet strength.

Evolving Portfolio Composition

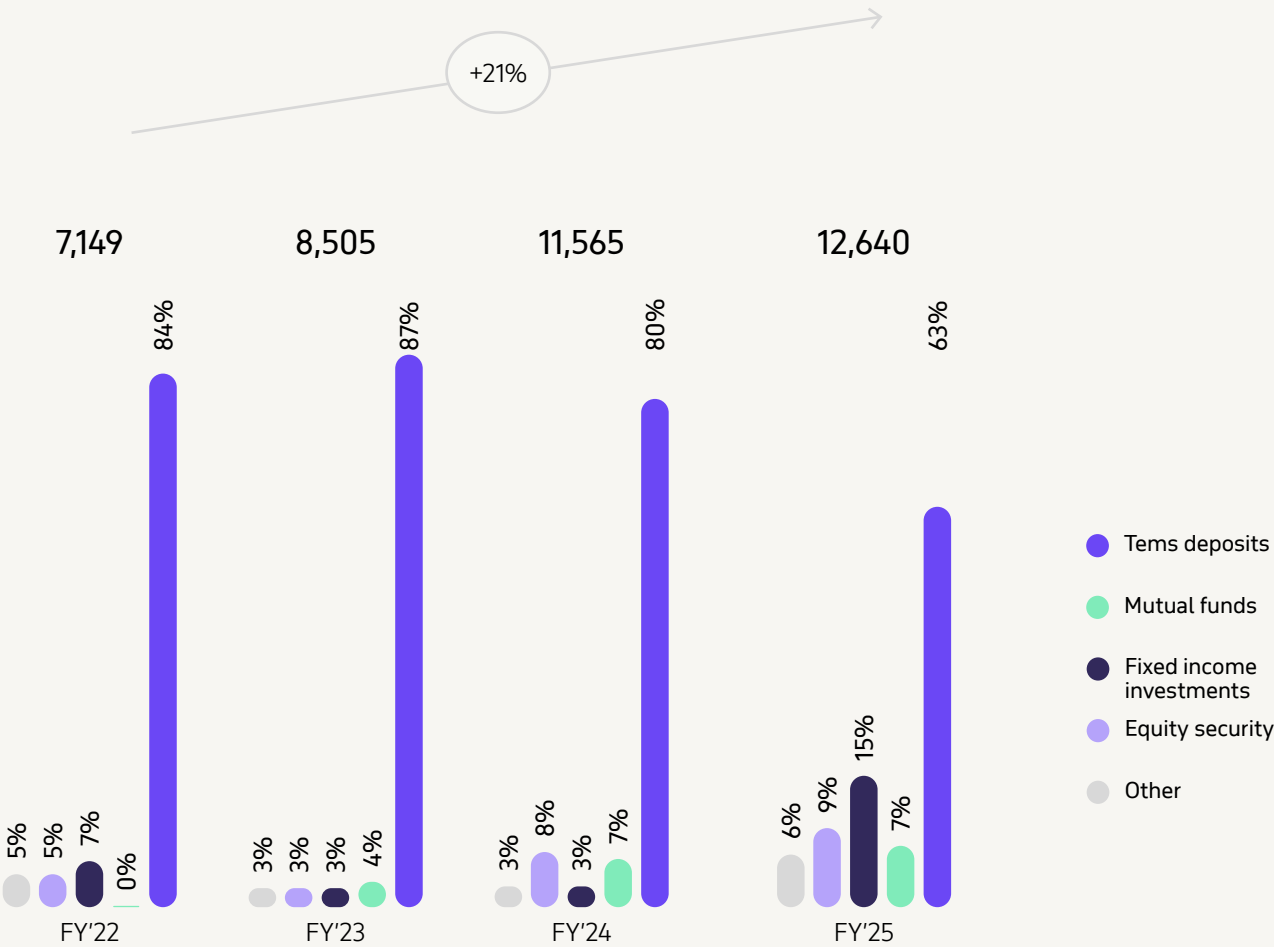
Over the past five years, Tawuniya’s investment portfolio has continued to expand in scale while maintaining a diversified asset mix. The portfolio remains anchored by term deposits and fixed income investments, providing stability, liquidity and predictable income. At the same time, measured exposure to equities, mutual funds and alternative assets has supported growth and diversification, enabling the portfolio to capture upside opportunities while managing volatility. This balanced allocation reflects a deliberate approach to aligning assets with liabilities and preserving resilience across market cycles.

Asset Management in 2026

Looking ahead, Asset Management will focus on strengthening long-term performance while scaling its strategy in a disciplined manner. Priorities for 2026 include expanding exposure to private markets, debt strategies and alternate assets to enhance diversification and return potential.

The function will also continue to strengthen portfolio resilience through advanced risk analytics and deeper integration of ESG and sustainability considerations across investment processes. In parallel, selective geographic expansion, increased use of technology and data to enhance investment decision-making, and continued investment in governance and talent development will support the next phase of growth, ensuring Asset Management remains a stable and value-accretive engine for Tawuniya.

Investments (AED Mn.)



Health Insurance

Advancing care and improving outcomes.

In 2025, Tawuniya’s Health Insurance sector delivered one of its strongest performances to date, combining accelerated growth with a clear shift in how healthcare value is created. The sector took the first step in moving beyond traditional risk coverage and claims administration toward a more proactive, preventive and member-centered healthcare model. This evolution strengthened Tawuniya’s competitive position, brought the Company closer to the number one health insurer spot in the Kingdom, and reinforced its role as a long-term healthcare partner to employers, members and the national health system.

About Health Insurance Sector

The Health Insurance sector at Tawuniya aims to provide medical insurance coverage for employees and residents of Saudi Arabia, protecting against unexpected costs for consultations, diagnostics, hospitalization and emergency care. It is Tawuniya’s largest sector in insurance revenue and insuring around 3.6 Mn. lives. The sector’s scale continues to expand rapidly, driven by population growth and rising demand for comprehensive healthcare coverage.

Gross Written Premium

ﷲ 17,176 Mn.

+23.0% growth year-on-year

Revenue Contribution

74%

in 2025

Accelerating Growth and Market Momentum

Health Insurance recorded strong GWP growth of approximately ﷲ 3.2 Bn. compared to 2024. The majority of this growth was driven by new client acquisitions, with employers actively shifting to Tawuniya in recognition of its ability to better manage healthcare costs and deliver more consistent outcomes. This momentum reflects disciplined underwriting, a strengthened value proposition and growing confidence in Tawuniya’s health management capabilities.

Geographic expansion also contributed to growth. During the year, the sector successfully penetrated regions where Tawuniya’s presence had previously been weaker, particularly the Western and Eastern regions. SME portfolios in both regions grew significantly, broadening the sector’s footprint and diversifying its growth base across the Kingdom.

From Claims Payer to Proactive Healthcare Partner

A defining feature of 2025 was the strategic shift from reactive cost management to proactive care delivery. Tawuniya advanced PHM initiatives focused on preventive care, chronic disease management, early intervention and personalized care pathways. This approach supports improved health outcomes for members while helping employers manage long-term healthcare costs more effectively.

Cost control remained a critical differentiator. By working closely with healthcare providers, Tawuniya ensured that the right care is delivered to the right members at the right time, reinforcing trust with corporate clients and supporting sustainable portfolio performance.

Leveraging meena to Extend Care Closer to Members

Tawuniya’s subsidiary meena played an increasingly important role in strengthening the Health Insurance proposition. Through expanded digital health and home healthcare services, meena enabled care delivery that is closer, more accessible and more responsive to member needs. This integration supported a more seamless healthcare journey and reinforced Tawuniya’s ability to influence outcomes beyond claims processing alone.

Improving Efficiency and Customer Experience through Digital Enablement

Operational efficiency and customer focus were central to the sector’s contribution to Tawuniya’s broader strategy. Multiple automation initiatives were deployed across the health value chain, improving internal productivity and accelerating turnaround times. Enhanced digital e-service platforms enabled clients to manage policies, access services and complete transactions more seamlessly, strengthening convenience and transparency for employers and members alike.

Delivering Strong Results

Performance in 2025 was reflected in both top-line and bottom-line results. Insurance revenue grew by 22.9%, driven by portfolio expansion and increased market penetration. The insurance service result improved by 13.8%, supported by disciplined underwriting, operational efficiencies and stronger portfolio performance. Together, these results demonstrate the sector’s ability to grow profitably while maintaining control over healthcare costs.

Expanding Products, Services and Partnerships

During the year, Health Insurance introduced several new products and services designed to enhance accessibility, efficiency and member experience. A Premium Residency Product was launched as a retail offering tailored for premium residents, providing comprehensive coverage and enhanced services.

A Primary Care Network comprising 95 providers was established, allowing members to access care without prior approvals and significantly improving convenience and speed of access. AI-assisted pre-authorization was introduced to support doctors with faster, accurate decision-making while improving compliance and operational efficiency.

Digital enablement also extended to distribution and pricing. Broker digital portals were launched to allow brokers to manage policies, submit claims and access services through a single interface. Automated pricing tools were implemented to enable SME policy pricing without human intervention across both digital and offline channels, accelerating issuance and improving consistency.

Innovation through AI and Population Health Management

Innovation in 2025 focused on practical applications of technology to improve outcomes and efficiency. Automated pricing solutions enabled instant, error-free SME pricing while reducing manual workload. AI-assisted pre-authorization streamlined approval processes and supported better clinical decision-making.

PHM initiatives targeted high-risk members through preventive programs and early intervention, promoting healthier behaviors and long-term wellbeing while supporting cost sustainability.

Engagement, Education and National Wellbeing

Beyond insurance delivery, Tawuniya expanded its role in member engagement and health awareness. A Health Education platform provided members with resources to support healthier lifestyles, preventive care and chronic disease awareness. The sector participated in multiple national wellness initiatives and preventive health campaigns, reinforcing its contribution to public health priorities. Engagement programs such as the Vitality leaderboard successfully encouraged healthier behaviors and increased member participation.

Health Insurance in 2026

Looking ahead, Health Insurance will focus on diversified growth across corporate, SME and retail segments, maintaining strong relationships with key accounts while expanding into underpenetrated markets. PHM will continue to scale, with expanded programs delivering proactive, preventive and personalized care.

Technology and AI will play an even greater role across underwriting, claims, pre-authorization and member engagement, supporting higher efficiency, improved outcomes and continued innovation in health insurance offerings. Together, these priorities position Tawuniya Health to sustain profitable growth while shaping the future of healthcare delivery in the Kingdom.

Mobility Insurance

Redefining motor ownership.

In 2025, the Mobility Insurance sector entered a new phase of growth and differentiation by moving beyond traditional motor coverage toward a fully integrated mobility proposition. The year was defined by the launch of the Mobility ecosystem as a standalone subsidiary, the acceleration of digital and AI-enabled services, and continued growth across multiple customer segments. Together, these developments strengthened Tawuniya’s position as the most innovative motor insurer in the Kingdom while delivering faster service, clearer journeys and greater value for customers.

About Mobility Insurance Sector

The Mobility Insurance sector provides the Kingdom with an integrated mobility proposition that extends beyond traditional motor coverage. Through its standalone mobility ecosystem, the sector combines digital insurance, telematics, vehicle services and end-to-end claims management.

Gross Written Premium

﷼ 2,828 Mn.

+7.5% growth year-on-year

Revenue Contribution

12%

in 2025

Launching the Mobility Ecosystem

The most significant milestone of the year was the successful launch of the Mobility ecosystem as a standalone company. As the first of its kind in the market, the Mobility ecosystem is designed to support the full motor ownership lifecycle, extending well beyond insurance. It operates across two core branches.

The first is a service aggregator that brings together key ownership touchpoints, including vehicle purchasing, driver behavior monitoring through telematics, servicing, maintenance and valuations, all delivered through a seamless digital platform.

The second branch represents an ambitious move into workshop ownership and end-to-end claims servicing, strengthening control, efficiency and customer experience across the claims value chain.

Strengthening Market Position and Digital Access

Alongside the ecosystem launch, the Mobility Insurance business delivered growth in non-retail and comprehensive offerings while transforming into a fully digital and seamless experience. New digital portals for clients and brokers enabled non-retail customers to issue policies, submit claims and manage ongoing services through a single interface. These enhancements expanded reach across all regions of the Kingdom and responded to rising expectations for convenience and premium service, particularly among higher-value customer segments.



The sector also sharpened its strategic focus through offerings tailored to luxury vehicle owners, reflecting the growing demand for elevated service experience. In parallel, Tawuniya Mobility signed strategic partnership agreements to expand its Cross-Border Own Damage product into the neighboring UAE, extending protection for customers traveling beyond the Kingdom.

Delivering Faster, Smarter Claims

Operational excellence and customer experience improvements were central to the sector’s contribution to Tawuniya’s customer-centric strategy in a highly competitive and price-driven market. AI-supported claims tools accelerated evaluation, improved accuracy and reduced manual intervention. As a result, third-party claims settlement time dropped to less than 24 hours, with more than 40% of such claims settled automatically through integrated auto settlement capabilities across the claims and payment ecosystem.

Digital adoption continued to rise, with more than half of Mobility Insurance’s customers completing their claims journey using the Tawuniya Mobility, award winning, digital end-to-end claims journey. These improvements and adoption translated into meaningful gains in customer satisfaction, with individual customer NPS increasing by more than 10% and SME segments’ NPS rising by more than 22% during the year.

Performance, Scale and Customer Impact

The strength of the Mobility Insurance sector in 2025 is reflected in both financial growth and operational scale. The comprehensive insurance portfolio grew by 18% year-on-year. More than 80,000 customers were supported through the First Notification of Loss and accident services.

The sector accelerated its efforts in the field of digital engagement, as the number of downloads of the “Drive” application reached +2.2 Mn. downloads, alongside the addition of more than +236,000 new users during 2025, reflecting growing trust and the expansion of the user base.

As part of promoting safe driving behavior, rewards of around ﷼10,000,000 were distributed to users who achieved a tangible improvement in their driving style and adhered to responsible driving standards on the road. This direct incentive contributed to creating a real and sustainable change in driving behavior, enhancing road safety awareness among users, and reinforcing a culture of safe driving as a core value within the program experience. Collectively, these indicators confirm the positive impact of integrated product innovation, ecosystem expansion, and the reinforcement of sustainable digital adoption on the overall customer experience.

Mobility Insurance continued

Expanding Products, Campaigns and Partnerships

During the year, Mobility Insurance launched a broad set of new products, services and campaigns. AI tools were introduced to support damage assessment, fraud detection and claims processing, improving speed and consistency. Luxury Vehicle Insurance was launched to provide personalized coverage and elevated service for premium customers. Seasonal and value-driven campaigns included the MotorFlex Winter Campaign, the enhanced Sanad Plus offering with higher coverage limits, a three-phase Cross-Border Own Damage campaign promoting Tawuniya’s international own damage cover, and Alhilal Comprehensive insurance campaign.

Additional innovations included Valet Insurance Coverage for comprehensive customers, providing protection when vehicles are entrusted to valet services, and a first-in-market partnership with Tamara offering a 12-month payment option. These initiatives were complemented by the launch of client and broker digital portals, consolidating issuance, claims, and after-sales services into a single digital interface.

Innovation across the Mobility Value Chain

Innovation in 2025 extended beyond insurance into a broader mobility context. AI-driven claims improvements supported faster and more consistent decision-making, while higher adoption of digital journeys confirmed the shift toward a fully online service model. The Mobility ecosystem expanded to include more than 38 partners offering vehicle-related services such as repairs, rentals, car washes and Absher-related services, positioning Tawuniya Mobility as a one-stop platform for mobility needs.

Safety and responsiveness were further enhanced through telematics driven, proactive “impact alerts”, with more than 2,000 alerts processed during the year to improve customer safety and response times. Participation in five major national driver safety events reinforced the sector’s commitment to road safety and public awareness.

Recognition for Customer Experience Excellence

Mobility Insurance continued to receive local and international recognition for its “End-to-End digital claims experience” and customer service leadership. In 2025, the sector was awarded Gold at the Saudi Customer Experience Awards and Silver at the International Customer Experience Awards, reflecting best-in-class delivery of reliable, fast and customer-focused mobility services.

Mobility Insurance in 2026

Looking ahead, the Mobility Insurance sector will focus on scaling its ecosystem-led model and deepening customer value. Priorities include expanding cross-sell initiatives across Tawuniya’s broader customer base, increasing penetration in the growing SME segment, and further expanding the Mobility ecosystem and partner network.

The sector will continue to strengthen offerings for luxury and premium customer groups while launching and scaling non-core growth products such as Guaranteed Asset Protection and Extended Warranty.

Additional AI use cases and digital solutions will be introduced to enhance both internal efficiency and customer experience, supporting the ambition to position Tawuniya Mobility as a gold standard for motor insurance locally and internationally.



General Insurance

Protecting progress at scale.

In 2025, the General Insurance sector remained a key engine of resilience and sustainable growth, supporting the Kingdom’s economic momentum by protecting assets, strengthening risk readiness and enabling confidence across priority sectors. Guided by underwriting excellence, operational efficiency and a sharper customer experience, Tawuniya continued to build portfolio quality while reinforcing its role as a trusted insurer for large corporates, SMEs and retail customers, and as a strategic enabler of Vision 2030.

About General Insurance Sector

The General Insurance sector delivers diversified risk and insurance solutions across corporate, SME and retail segments. In 2025, the portfolio achieved sustained growth supported by disciplined underwriting and strong portfolio quality.

Gross Written Premium
3,188 Mn.
+4.0% growth year-on-year

Revenue Contribution
13%
in 2025

Sustaining Growth through Disciplined Underwriting and Portfolio Quality

Throughout the year, Tawuniya sustained premium growth and portfolio expansion, delivering robust year-on-year momentum while consistently outperforming industry benchmarks. The Company strengthened its position through flagship contracts with major national initiatives and leading corporates, expanding the breadth and depth of its domestic portfolio and reinforcing market leadership. Alongside growth, Tawuniya maintained focus on proactive risk management practices and tighter portfolio quality, supporting more sustainable performance over the cycle.

Expanding Reach in Saudi Arabia and the Region

In parallel with strengthening the Company’s domestic presence, Tawuniya expanded its facultative inward business from across the region, supporting broader participation in regional risk placement and diversifying its sources of growth. This dual focus strengthened portfolio resilience while extending Tawuniya’s relevance beyond the local market.

Leading the Market in Inherent Defects Insurance

A defining milestone of 2025 was Tawuniya’s emergence as the leader of the Inherent Defects Insurance (IDI) market pool, marking a major achievement in this specialized line of business. To support this priority, the General Insurance structure was expanded with the addition of a dedicated IDI Department, responsible for managing the IDI product pool. Beyond market leadership, this capability strengthened Tawuniya’s ability to support infrastructure and national development projects and reinforced the Company’s role as a strategic partner to Vision 2030 priorities, including housing and large-scale development.

Broadening Solutions through Targeted Products and Flexible Coverage

Tawuniya continued to strengthen client trust and loyalty through tailored solutions across corporate, retail and SME segments, supported by innovative products and flexible coverage options aligned with evolving expectations and market conditions. During 2025, the products added to the Company’s product lines included Credit Insurance, Inherent Defects Insurance, Warranty and Indemnity Insurance, Professional Liability Insurance for Exercise and Fitness Professionals, and Transport and Logistics Operators Liability Insurance. These offerings enhanced Tawuniya’s ability to respond to emerging risks in a more targeted way, while expanding the relevance of General Insurance across a wider set of customer needs.

Advancing Innovation through Digital Journeys, Pricing and Ecosystem Integration

Innovation remained central to strengthening customer experience and commercial performance. The IDI project enhanced the end-to-end customer journey through seamless digital services designed to support faster turnaround times and more responsive solutions. In retail, the Radar pricing tool for offline channels and aggregators was introduced, to support dynamic pricing and drive sales growth.

Tawuniya also advanced seamless digital ecosystem integrations that embed insurance into moments of purchase and service. Through Flyadeal, the Company integrated embedded insurance into flight booking journeys, offering customers protection at the point of purchase. Through the Almanea partnership, insurance solutions were integrated into the retail ecosystem, simplifying access for shoppers. In addition, integration with Tameeni expanded reach for Home and Domestic Helper Insurance, enhancing convenience for clients. The partnership ecosystem during the year also included Amazon, supporting Tawuniya’s broader distribution and access agenda.

Investing in Talent and Future Leadership

Sustainable growth was reinforced through continued investment in talent. In 2025, the fifth Specialized Development Program (TAP) was launched for young Saudi professionals, reflecting Tawuniya’s commitment to nurturing future leaders and strengthening the Insurance sector’s talent pipeline over the long-term.

Recognitions Reflecting Impact and Capability

Progress in capability building and sector contribution was reinforced through external recognition. Tawuniya received Apprenticeship Employer (Large) of the Year from the Chartered Insurance Institute in the UK and was recognized through the Middle East Insurance Industry Awards in 2024.

Awards and Recognitions

Progress in customer experience excellence was recognized through multiple regional and global awards, reflecting the strength of Tawuniya’s leadership, governance and execution across key customer touchpoints.



CII and PFS recognize excellence with Apprenticeship Awards and Qualification Prizes



General Insurance Company of the Year

General Insurance in 2026

In the year ahead, Tawuniya will focus on strengthening quality-led growth and deepening customer value across the portfolio. Priorities include increasing the premium retention ratio, expanding penetration in the SME segment and improving value-added services. The Company will also continue improving the full digital journey for retail customers, building on the digital and ecosystem progress achieved, to deliver more seamless access, faster service and stronger customer outcomes.

Life Insurance

Redefining ambition in Life Insurance.

In 2025, Tawuniya set a stronger direction for Life Insurance as one of the main drivers of the Company's growth. The sector entered a new phase of scale, capability building and customer focus, shaped by broader distribution reach, stronger operational foundations and a more seamless digital experience. These efforts created the platform for a more competitive and resilient Life business that will continue to create value for customers, partners and shareholders.

About Life Insurance Sector

Established in 2023, the Life Insurance business is a high-growth sector with a professional team. It delivered a remarkable first full year in 2024, achieving solid growth in GWP. Building on this exceptional momentum, the business continued to deliver strong growth in 2025 demonstrating an accelerated trajectory for significant market expansion and solidifying the Life Insurance division as a key strategic pillar for Tawuniya.

Gross Written Premium
ﷲ 228 Mn.
+107.1% growth year-on-year

Revenue Contribution
1%
in 2025

Scaling Capability and Strengthening Customer Value

This year, the Life Insurance sector executed a clear strategy focused on sustainable growth, operational excellence and stronger customer value. It continued to build a scalable end to end Life infrastructure that enhances underwriting discipline, improves service delivery and supports consistent expansion across priority segments.

This foundation enabled the division to broaden its reach through targeted distribution initiatives as it prepared for multiple channels, including agencies, bancassurance, aggregators and digital platforms. These initiatives strengthened corporate relationships and positioned the Company to capture new opportunities across an evolving market.

A sharper customer experience was another central driver of progress. Enhancements were introduced that simplified onboarding, accelerated policy issuance and improved claims servicing. These improvements supported higher satisfaction and retention while reinforcing the shift toward more digital and responsive engagement.

Strong execution across these pillars translated into a record financial performance for the year. This outcome reflects the growing momentum of the Life Insurance sector and underscores Tawuniya's role in developing Saudi Arabia's life insurance market.

Strategic Focus and Delivering Value for Tawuniya

The Life Insurance sector evolved meaningfully in 2025 as it refined its structure and strategic priorities to support stronger, more diversified growth. Early in the year, a regional distribution strategy was introduced that shifted the Company beyond a Riyadh-centric sales model. Dedicated Life sales teams were established in the Western and Eastern regions, enabling each market to target its own client base and leverage the brand, corporate relationships and physical network. This structure improved responsiveness to local opportunities, strengthened engagement with key and large accounts and supported tailored solutions that reflect regional needs. It also opened new avenues for organic expansion and reinforced Tawuniya's commitment to disciplined distribution execution.

These changes positioned the Life sector to make a clear contribution to Tawuniya's broader strategy. As life insurance penetration in the Kingdom remains at 0.19%, the Life sector was formally established as a core strategic pillar to diversify the revenue mix and expand into an underdeveloped market with significant long-term potential. This sector is now poised to become a meaningful driver of growth and a contributor to Tawuniya's budget delivery over the coming years.

Several milestones illustrate this strategic impact. Tawuniya created a scalable Life business supported by the right structure, talent and distribution model, enabling Tawuniya to enter a high opportunity market at the right time. Life exceeded its 2025 financial topline targets for the second year, while strengthening

its operating capabilities through investments in infrastructure that improved service delivery, enhanced customer experience and embedded Tawuniya's values into daily operations. These developments position the Life Insurance sector as a growing contributor to Tawuniya's progress and a key source of value creation for the years ahead.

Delivering Strong Growth and Momentum

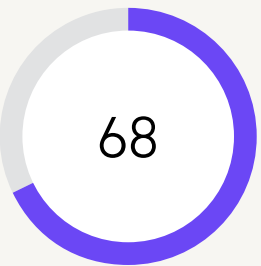
In 2025, the Life Insurance sector made meaningful progress on every strategic and operational front, from operational and financial growth to capability building and customer value. The year marked a step change in performance as Tawuniya strengthened its foundation, expanded its reach and scaled a more modern, customer-focused business.

Financial progress was a clear highlight. The full-year GWP target was exceeded for the second consecutive year, achieving 138% of target. This outcome increased the Life market share beyond forecasted expectations and reinforced the sector's potential as a growing contributor to Tawuniya's long-term revenue mix.

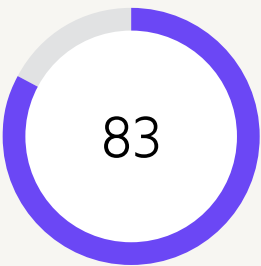
Customer excellence was another defining feature of Tawuniya's progress. The Company expanded its customer-centric digital tools to accelerate service delivery and simplify interactions across the Life journey. These enhancements supported a Net Promoter Score (NPS) of 68 against 43 in 2024. The improvement reflects stronger satisfaction, higher trust and more consistent delivery of Tawuniya's service commitments.

Net Promoter Score

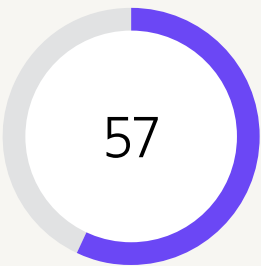
Overall Life



Life Business-to-Business



Life Business-to-Consumer



Life Insurance continued

Operationally, life sector completed every digital and operational project assigned for the year, demonstrating disciplined execution. An enhanced scalable Life infrastructure and improved onboarding, strengthened the customer journey and expanded dedicated Life sales teams in Riyadh, the Western region and the Eastern region. These actions enhanced distribution coverage, deepened client engagement and improved service delivery across the full year.

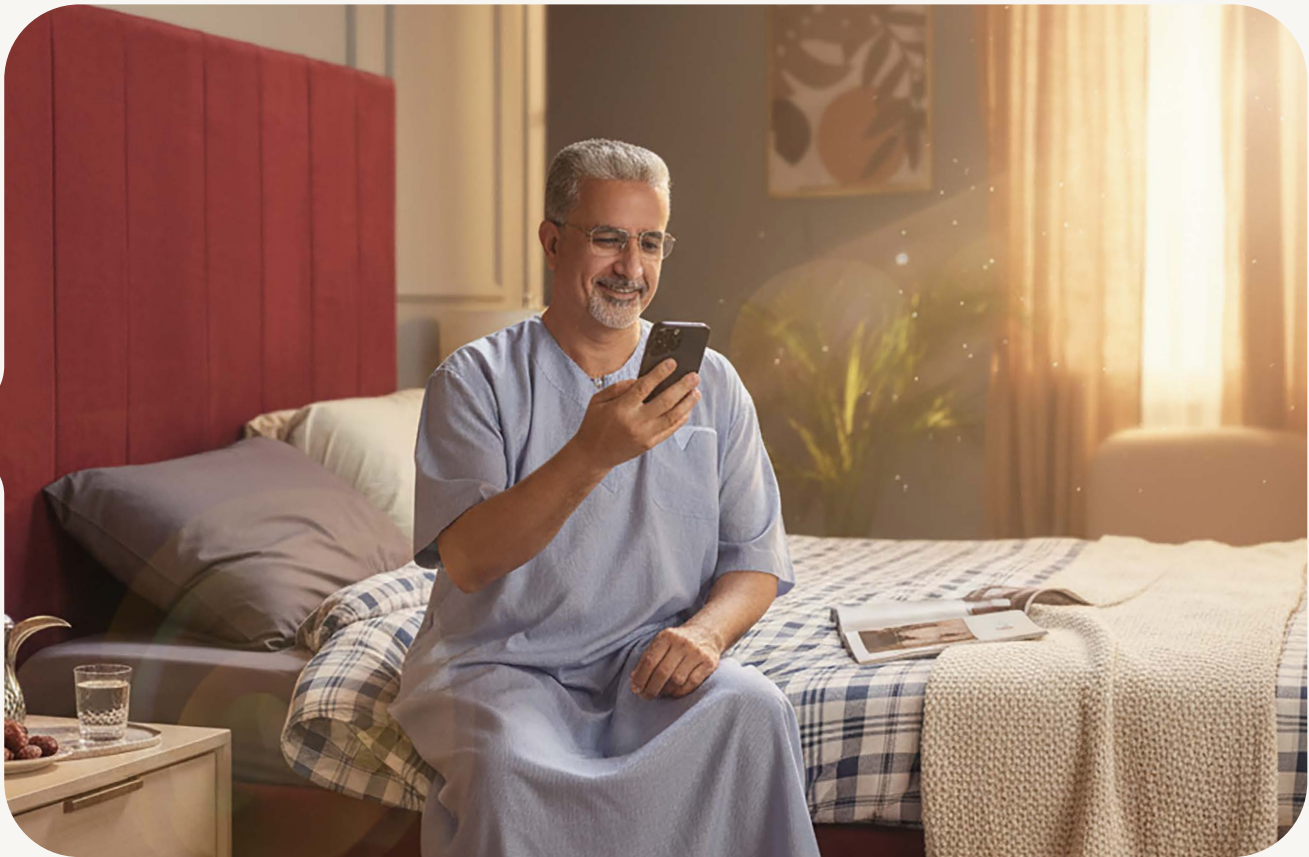
Collectively, these achievements made 2025 one of the strongest years for the Life Insurance sector. The combination of financial strength, customer-centric growth and digital and operational progress positions Tawuniya for continued expansion and a stronger competitive advantage in a rapidly developing market.

Expanding the Product Portfolio and Elevating Service Delivery

The Life Insurance sector delivered on a focused agenda this year to broaden its product portfolio, enhance digital accessibility and strengthen partnerships that support deeper market penetration. These efforts reflect the divisions strategy to offer more relevant protection and savings solutions while improving the overall experience for both corporate and retail customers.

On the product side, progress was made across several key development initiatives, supporting stronger financial accumulation at earlier stages while reducing administrative charges. The future pipeline was also enhanced with four new Life products planned for launch in 2026, which will focus on retail and corporate protection and savings solutions. These developments reflect the shift toward a more diversified set of propositions that better align with evolving customer needs.

Meaningful progress was also made in service innovation. A Corporate Portal that enables instant policy management, onboarding and claims support for corporate clients was launched. For retail customers, a new Customer Portal was introduced that allows individuals to begin their sales journey on Tawuniya's website. A mobile app journey was designed, that enables customers to initiate sales inquiries, view policies and contributions, request amendments and submit and track claims. These platforms improve transparency and turnaround times while deepening engagement, reinforcing the aim to deliver a more accessible and customer-focused Life experience.

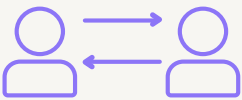


Advisor Portal



- Portal for agents
- Applicable for individual products
- New business and policy servicing
- Customer onboarding

Payment Getaway



- Integrated with payment gateway
- Applicable for first premium and recurring premium

Mobily App View



- View of term policies and savings protection policies by customers

Corporate Portal



- Platform to be used by employers
- Used to manage group credit and group life
- Available modules: member details, claims, document center, complaints/query, template mapping, policy summary, premium invoice and pre-check
- Available functionalities: manage group life members (addition, alteration, deletion) and group credit members (monthly submissions)

Customer Portal



- Platform to be used by customers
- Used to manage retail savings
- Available modules: quote and application history, view illustration and calculator
- Available functionalities: quotes and application processing and new business

Mobile App



- Mobile app to be used by customers
- Used to manage retail savings
- Available modules: portfolio, policy 360, quote and application history, policy documents
- Available functionalities: quotes and application processing, new business and policy servicing

Life Insurance continued

Strengthening Distribution through Strategic Partnerships

Throughout 2025, Tawuniya expanded its partnership ecosystem to accelerate distribution, deepen market access and support the long-term scalability of its Life Insurance sector. These collaborations broaden reach across retail and corporate segments and position Tawuniya to engage customers through a more diverse set of channels.

Presence in agency networks was strengthened, to expand localized, advisory driven retail coverage. The Company is in the final stages of establishing bancassurance partnerships to reach savings and protection customers through banking channels with strong relationship depth. Visibility was also increased through aggregator platforms, enabling customers to compare and access Life solutions with greater ease. In parallel, new collaborations were formed with fintech companies to integrate Life offerings within digital ecosystems and capture a growing share of online demand.

Together, these partnerships expand the distribution landscape, support sustained organic growth and reinforce Tawuniya's position as an emerging leader in Life solutions across the Kingdom.

Advancing Digital and AI Driven Innovation

During 2025, the Life Insurance sector accelerated its innovation agenda by embedding digital and AI enabled solutions across the customer journey, distribution ecosystem and core operations. These milestones are shaping a more scalable and intelligent Life business that supports the long-term growth ambitions and elevates the experience Tawuniya delivers to customers and partners.

One major area of progress was the expansion of the digital ecosystem for both corporate and retail customers. The Corporate Portal, Customer Portal and mobile app journey for Life products were enhanced, to enable digital onboarding, policy management, contribution updates, service requests and transparent claims follow up. These platforms replace manual processes with faster, more accurate digital workflows, improving turnaround times and contributing to stronger customer satisfaction.

Development of an AI powered Smart Distribution Management System was initiated. This system is designed to support new distribution channels through automated commission configuration, streamlined onboarding of agents and AI based document intelligence. It will also provide AI generated sales targets and actionable insights that improve distribution effectiveness and support a more agile response to market opportunities.

A third area of innovation was AI-led claims digitization. Work began on solutions that automate claim intake, verify documentation and support faster decision-making. The scope includes intelligent document processing, Natheer based verification of death certificates and AI capabilities to identify suspicious patterns and flag potential fraud. These enhancements aim to improve accuracy, strengthen risk controls and reduce processing time.

Collectively, these achievements demonstrate Tawuniya's commitment to building a smarter, more automated and customer-centered Life Insurance sector that supports long-term competitiveness and growth.

A key objective for the year is to drive accelerated growth and meaningfully increase market presence. The growth momentum will continue and will aim to capture a larger share of the Life market, as awareness and demand continue to rise. Strengthening distribution will be central to this ambition. The mix of channels will be expanded, with a primary emphasis on bancassurance, and to deepen relationships with corporate clients through targeted cross-selling initiatives.

Digital capabilities will continue to evolve as customer experience is enhanced and operational efficiency is raised. The plan is to progress new technology investments and elevate the NPS performance as service delivery becomes more seamless and responsive. In parallel, six additional AI initiatives are being evaluated that support customer experience, risk analytics, underwriting, pricing and operational automation. These tools will help create a smarter, more efficient Life ecosystem.

Product development remains another priority. Offerings will be expanded with innovative and competitive solutions that reach a wider customer base and respond to emerging needs.

These initiatives set the foundation for breakthrough growth, stronger customer trust and a more distinctive role for Tawuniya in the Kingdom's life insurance market.

Life Insurance in 2026

In the year ahead, the Life Insurance sector will pursue a focused set of initiatives designed to accelerate growth, expand distribution reach and strengthen long-term customer value. These priorities build on the progress achieved in 2025 and position the business to compete more effectively in a rapidly developing market.

Life exceeded its 2025 financial topline targets for the second year, while strengthening its operating capabilities through investments in infrastructure that improved service delivery, enhanced customer experience and embedded Tawuniya's values into daily operations.

Smart Distribution Management System



- Portal for Ops team, Sales team, agents and Channel Head
- Applicable for all products
- IM Management, business mapping, commission management, incentive management and bill generation
- Dashboards

Claim Digitization



- Portal for Ops team and Claims Manager
- Applicable for all products
- AI-enabled system for intimation
- Fraud scoring and fraud detection

Subsidiaries



Care without boundaries.

In 2025, meena Medical Group accelerated its evolution as a differentiated healthcare platform, expanding access, strengthening quality and scaling delivery across multiple care settings. The year marked a shift from establishment to execution, as meena translated its integrated care model into tangible growth, deeper national presence and stronger alignment with the Kingdom’s healthcare priorities.

About meena

Established in 2023, meena is an independent healthcare company delivering integrated home and digital health services across the Kingdom. It provides several medical programs, including Hospital-at-Home services such as dialysis and post-surgery care, supported by an accredited Rapid Response team operating 24/7. meena is expanding its home healthcare footprint across key cities while also delivering digital consultations through a growing physician network. In the corporate sector, meena provides occupational health services in partnership with major public and private organizations, extending quality care beyond traditional clinical settings.

Tawuniya shareholding:
100%

A Mandate to Elevate Saudi Healthcare

meena operates as an independently growing healthcare company within Tawuniya’s ecosystem, delivering integrated services across care centers, home healthcare, occupational health, urgent care, rapid response and digital and virtual clinics. Its mandate is to provide continuous, patient-centric care that moves beyond episodic treatment, combining physical and virtual touchpoints to improve outcomes, accessibility and experience. The platform supports a broad range of medical programs and operates around the clock through accredited clinical teams and rapid response capabilities.

Platform Expansion and Service Reach

Expansion was a core pillar of meena’s strategy in 2025. Five new medical centers were launched across Al-Wuroud, Al-Sulaymaniyah, Jubail, Al-Rawdah and Jeddah, extending geographic coverage and bringing services closer to communities. Service volumes grew to reach more than 460,000 member interactions by year end, supported by enhanced capacity and 24/7 emergency readiness. Alongside physical expansion, meena strengthened its digital and virtual clinics, enabling patients to book, consult and manage care seamlessly through connected channels.



Integrated Care Model

meena’s services are designed as a connected journey rather than isolated interactions. Care centers deliver accessible primary and specialty services, while home healthcare brings hospital-standard medical and nursing care into patients’ homes, including recovery, chronic disease management and preventive screenings. Occupational health programs protect workforce wellbeing through on-site clinics, preventive care and digital monitoring, while urgent care and rapid response teams provide accredited, 24/7 medical support wherever needed. Digital health capabilities unify these services into a single, continuous experience.

Quality, Accreditation and Recognition

Clinical quality and reliability remained central to meena’s operating model. All main centers achieved CBAHI accreditation, reinforcing adherence to national quality standards. During the year, meena received a Sustainability Award from the Health Holding Company, was recognized as a Center of Excellence for Home Healthcare by the Saudi Scientific Society and opened the Kingdom’s first dedicated Occupational Health Center. The platform also operates 12 on-site clinics within corporate facilities.

National Engagement and Partnerships

meena maintained a visible presence at major national events and initiatives, serving as medical sponsor for Al-Hilal and providing care during Hajj. Its medical teams supported events such as the Global Health Exhibition, Global Insurance Conference, Longines Global Champions Tour, Model of Care Forum and GOSH Occupational Safety & Health Conference, reinforcing meena’s role as a trusted healthcare partner at scale.

meena in 2026

Looking ahead, meena plans to continue expanding its footprint with additional centers across the Kingdom, while shaping a longer-term vision to scale the network in line with demand and strategic priorities. The next phase will focus on deepening regional presence, strengthening integrated care delivery, and building on the foundations established to support sustained growth and national impact.



5 new meena medical centers were launched across Al-Wuroud, Al-Sulaymaniyah, Jubail, Al-Rawdah and Jeddah

12

on-site clinics operate within corporate facilities through the platform

Subsidiaries

tree

Unlocking digital growth in underserved segments.

tree emerged as a critical engine of experimentation, learning and extension for Tawuniya in 2022, translating digital ambition into practical execution during a year of intense market pressure. The focus was on proving that growth, customer relevance and discipline can coexist, using speed, data and customer insight to build momentum without compromising resilience. This year marked tree's shift from concept to credible platform, demonstrating how a focused digital model can support Tawuniya's broader strategy while laying durable foundations for scalable growth in the years ahead.

About tree

Established in 2022, tree is the first fully digital insurance proposition in Saudi Arabia.

Determined to expand reach into online, underserved and first-time buyer markets, tree delivers simple, flexible insurance through an automation-led, expense-light model. tree has a portfolio of more than 10 products and serving over 400,000 customers.

Tawuniya shareholding:
100%

Focused Expansion with Disciplined Execution

In 2022, tree emerged as a focused growth engine addressing segments traditionally underserved by the insurance market. While Tawuniya continued to concentrate on large corporate clients, tree expanded access for SMEs and retail, primarily in health insurance, through tailored, digital-first solutions designed around speed, simplicity and relevance. This complementary positioning allowed Tawuniya to broaden its reach without diluting its core operating model, reinforcing Tawuniya's overall market coverage and strategic flexibility.

A defining catalyst for this progress was the launch of AI tree Magic, a breakthrough capability that fundamentally changed how products are built and launched. By reducing development cycles from months to days, tree gained the ability to respond rapidly to market signals and customer behavior, converting ideas into live offerings at unprecedented speed. Throughout the year, tree also focused on simplifying and digitizing end-to-end customer journeys, strengthening digital channels, and embedding structured Voice of Customer insights and Customer Experience performance measurement. These efforts translated into stronger satisfaction and journey clarity and resulted in tree being recognized among the top three companies in customer experience by the Insurance Authority.

Alongside customer-facing momentum, 2025 was a year of deliberate foundation-building. tree expanded its portfolio to more than 10 products and diversified distribution across direct channels, web, mobile app,



tree expanded its portfolio to more than 10 products and diversified distribution across direct channels, web, mobile app, partnerships and aggregators, ensuring broad and flexible customer access

partnerships and aggregators, ensuring broad and flexible customer access. In parallel, operational maturity advanced, with governance frameworks, policies and procedures strengthened, new departments established, and key certifications achieved, including Cybersecurity Maturity Level 3 based on NCA requirements and ISO/IEC 27001:2022. Progress in people and culture further reinforced execution quality, accountability and employer brand strength, supporting tree's ability to scale with discipline.

Supporting Tawuniya's Strategy through Complementarity and Speed

tree played a clear strategic role in delivering Tawuniya's ambitions by combining complementarity with innovation. Its digital operating model enabled Tawuniya to expand into new and underserved segments without disrupting existing structures, translating strategic intent into tangible market presence. At the same time, tree accelerated innovation and time-to-market through rapid development cycles and independent digital tools, strengthening its ability to test, learn and respond to evolving customer and market needs with agility.

Performance in a Challenging Market

In 2025, tree maintained its disciplined approach in a highly competitive environment characterized by industry-wide pricing pressure. A new pricing model was implemented to improve loss ratios and support longterm sustainability. Despite these headwinds, tree delivered strong year-on-year revenue growth which was supported by sales, marketing and claims-handling commission alongside interest income, demonstrating resilience and healthy performance under challenging market dynamics.

Recognition for Digital Excellence

tree's progress was recognized through multiple local and international awards during the year. These included being ranked among the top three companies in Customer Experience by the Insurance Authority, achieving ISO/IEC 27001:2022 certification, winning Best Digital Customer Experience at the Customer Experience Live Awards UK 2025, receiving the GBO Award for Most Innovative Insurance Product Portfolio in Saudi Arabia, and being named Fastest Growing Digital Insurance Provider in Saudi Arabia by the Global Brand Awards 2025.

tree in 2026

Looking ahead, tree will shift from foundationbuilding to efficiency and transformation in 2026. The Company will focus on being a digital insurance attacker improving operational performance through AI-driven automation, multi-agent capabilities and expanded enterprise data platforms, enabling better pricing accuracy, faster customer journeys and reduced manual effort. In parallel, the Company will advance toward full operational and regulatory readiness, strengthening core systems, governance, data controls and cybersecurity. Growth will be driven by optimizing the existing portfolio, innovating with new products and services, scaling sales and marketing, and expanding partnerships through embedded insurance journeys, positioning tree on a clear path toward sustainable growth and improved profitability.

Subsidiaries

RiyadhRe
الرياض لإعادة التأمين

Building national capacity and strategic resilience.

Riyadh Re was launched in 2025 to advance Saudi Arabia's ambition to localize reinsurance capacity, develop national expertise and strengthen financial resilience in line with Vision 2030. Its establishment represents a strategic step toward building a competitive, home-grown reinsurance platform that retains value within the Kingdom, supports market stability and enhances the depth and maturity of the broader insurance ecosystem.

About Riyadh Re

Established in 2025, Riyadh Re has a strong capital base of **ﷲ 550 Mn.** and an A- rating from S&P Global Ratings, demonstrating immediate credibility as a resilient and well-capitalized reinsurer. Combining deep local insight with regional reach and global reinsurance expertise, the Company is positioned to deliver tailored, high-quality risk solutions to local and international partners. Riyadh Re focuses on supporting primary insurers in managing large and complex exposures through collaborative reinsurance structures, providing bespoke coverage across commercial and industrial assets, catastrophe risks and long-term capital-intensive sectors including energy, real estate, infrastructure, logistics and utilities.

Tawuniya shareholding:

100%

Strengthening Tawuniya's Strategy and Value Chain

The launch of Riyadh Re directly reinforces Tawuniya's long-term strategy by extending its leadership across the insurance and reinsurance value chain in Saudi Arabia and the wider region. The platform enhances Company-level financial resilience and creates access to new growth opportunities in both domestic and selected international markets.

By enabling more efficient risk diversification across products, geographies and segments, Riyadh Re supports disciplined capital deployment while strengthening Tawuniya's ability to manage complex and large-scale exposures. The establishment of the reinsurance entity also reflects strategic agility, responding to regulatory evolution and capturing growing opportunities for local treaty and facultative reinsurance retention through new relationships and distribution channels.

Milestone Recognition in 2025

2025 marked a foundational year for Riyadh Re, with a strong focus on regulatory approvals, operational readiness and market entry. The Company's formal launch at the Ingate Conference under the patronage of the Insurance Authority represented a significant industry milestone and a clear vote of confidence in its mandate. Being introduced on such a prominent, IA-backed platform underscored Riyadh Re's role in strengthening domestic reinsurance capacity and supporting the Kingdom's financial ecosystem.



Riyadh Re in 2026

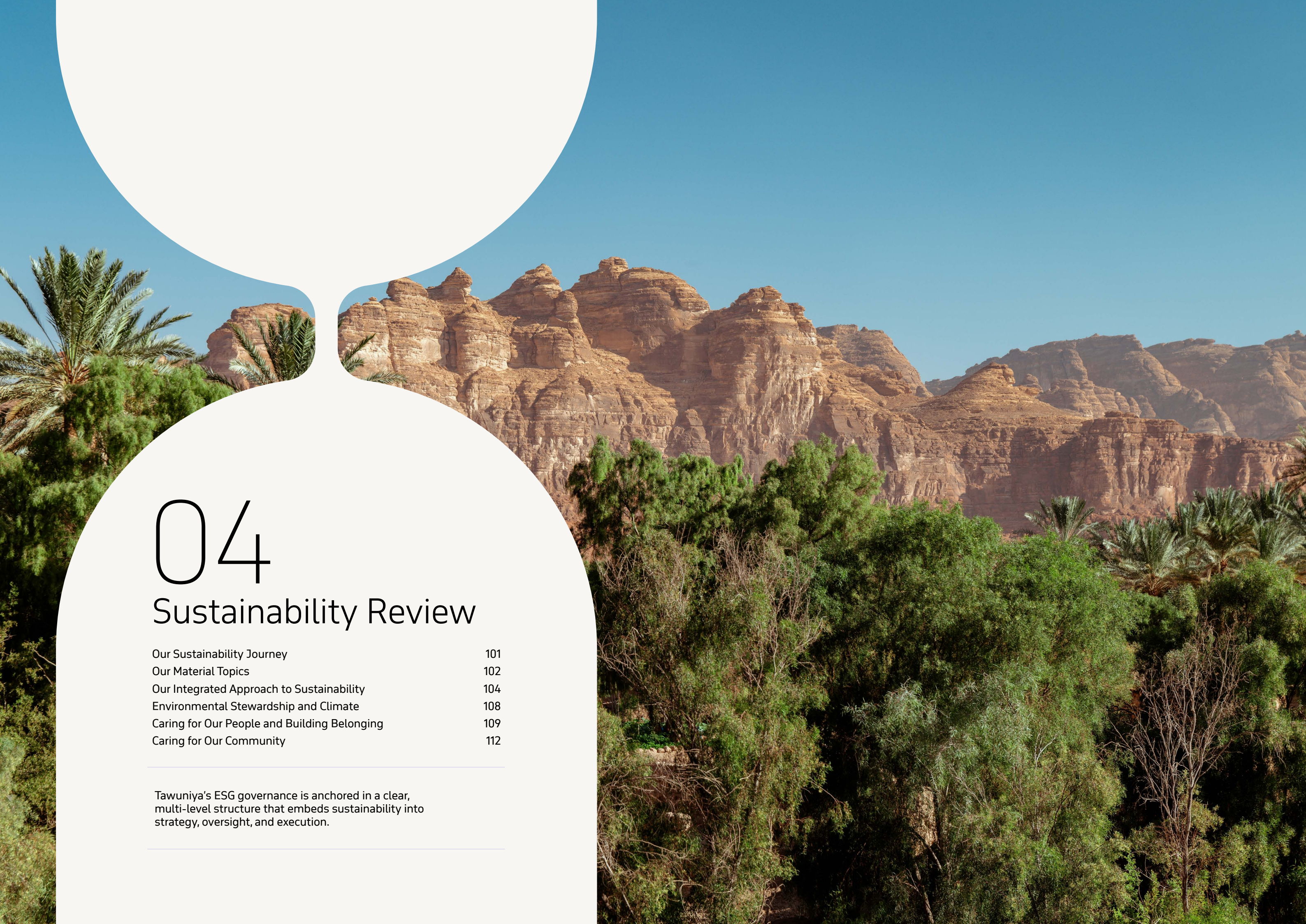
Riyadh Re has officially launched its operations and will concentrate on building a strong and disciplined foundation for regional growth. In Saudi Arabia, the priority will be to maximize the benefits of mandatory cessions and deep local market knowledge to establish a high-quality core portfolio. Across the GCC, the Company will pursue targeted expansion with strict exposure controls, particularly in relation to catastrophe risks. In the wider MENA region, a selective and risk-aware approach will be adopted to manage accumulation and protect capital strength.



Riyadh Re has a strong capital base of

ﷲ 550 Mn.

and an A- rating from S&P Global Ratings



04

Sustainability Review

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Tawuniya's ESG governance is anchored in a clear, multi-level structure that embeds sustainability into strategy, oversight, and execution.

Advancing responsibility, resilience, and long-term impact

Our sustainability agenda continued to expand throughout 2025 as a core driver of resilience, trust and long-term value creation. We moved from progress in individual initiatives to a more integrated approach, reinforcing governance, sharpening priorities and embedding ESG into how we manage risk, allocate capital, design solutions and engage our ecosystem. By aligning with leading global frameworks and deepening our focus on the issues most material to our business and stakeholders, we advanced sustainability with the same discipline we apply to performance, ensuring our commitments translate into measurable outcomes and a stronger foundation for the years ahead.

MSCI ESG Rating

A

S&P Global

24



Our Sustainability Journey

Sustainability at Tawuniya has moved from ambition to practice. Since publishing our first report, we have built the governance structures, measurement systems, and strategic frameworks to manage ESG with the same rigor we apply to financial and operational performance.

2022	2023	2024
- Published first sustainability report for 2021 - Board of Directors approved sustainability roadmap - Appointed sustainability champions across the organization	- Published 2022 sustainability report - Conducted GHG workshop for internal stakeholders - Measured GHG emissions across Scope 1, 2, and 3 - Joined Principles for Sustainable Insurance (PSI)	- Published 2023 sustainability report - Developed ESG Policy - Developed Responsible Investment Policy and commitment
2025	2026 Onward	
- Published 2024 sustainability report - Joined Principles for Responsible Investment (PRI)	- Launch new 2026-2030 ESG Roadmap - Continue integrating sustainability throughout day-to-day operations	

Our Commitments

We are committed to global frameworks that guide responsible business conduct and sustainable finance.

Principles for Responsible Investment

The Principles for Responsible Investment (PRI) serve as a global framework for investors to integrate environmental, social, and governance (ESG) factors into investment decision-making and active ownership. The framework strengthens accountability and supports long-term value creation. Tawuniya became a signatory in 2025.

Principles for Sustainable Insurance

The UNEP FI Principles for Sustainable Insurance (PSI) serve as a global framework for addressing environmental, social, and governance risks and opportunities across the insurance industry. Tawuniya became a signatory in 2023.

Our Material Topics

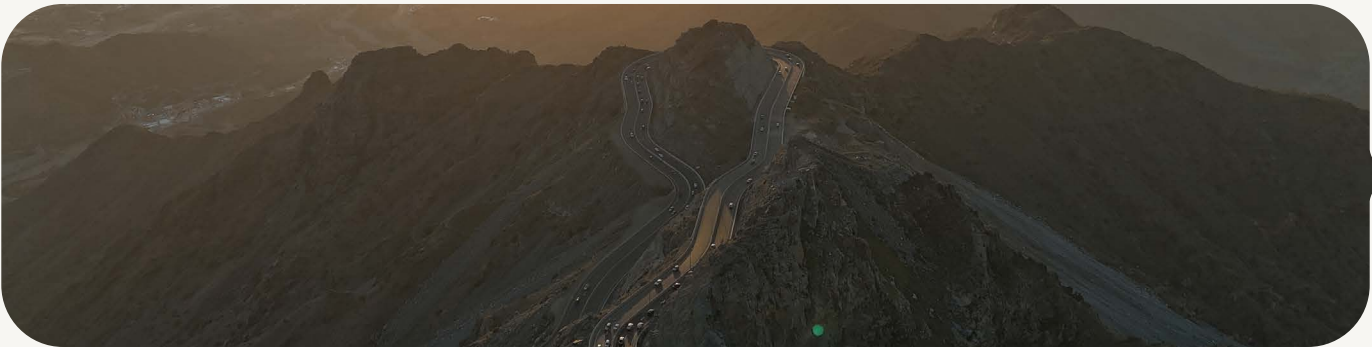
In 2025, we revamped our material topics by conducting a double materiality assessment aligned with both the Global Reporting Initiative (GRI) standards and the IFRS S1 requirements. This rigorous approach reflects our commitment to identifying and addressing the sustainability issues that are most significant to our business, our stakeholders, and the broader societal and environmental context in which we operate.

	ESG Topic	Description	Impact Materiality	Financial Materiality (Risk)	Financial Materiality (Opp)	Double Materiality
Environment	Climate Strategy	Resource efficiency and responsible consumption across operation and value chain	✓	✓	✓	✓
	Responsible Consumption and Production	Managing climate related risks and opportunities through governance, strategy, targets, and disclosure	Not material (impact and financial)			
	Circular Economy	Circular practices reducing waste through reuse, refurbishment, and recycling	Not material (impact and financial)			
Social	Employment and Talent Development	Workforce management covering attraction, development, retention, and capability building	✓	✓	-	✓
	Diversity and Equal Opportunity	Promoting equal opportunity, diversity, inclusion, and fair workplace treatment	Not material (impact and financial)			
	Local Communities	Community impact management through responsible engagement and social investment initiatives	✓	-	✓	✓
	Customer Safety and Community Wellbeing	Protecting customer safety and supporting wellbeing through products, services, and partnerships	✓	✓	-	✓
	Access and Affordability	Ensuring product and service accessibility and affordability for relevant customer segments	✓	-	✓	✓
	Customer Relations	Customer experience management, including service quality, responsiveness, complaint handling, and trust building	✓	✓	-	✓
	Responsible Investment	Integrating ESG considerations into investment decision making, stewardship, and governance	✓	✓	-	✓
	Science, Technology and Innovation	Using innovation, data, and technology to enhance service delivery, outcomes, and operational effectiveness	✓	-	-	-
	Localism	Contributing to local economic development through employment, procurement, and enterprise support	✓	-	-	-
	Super-aging societies	Addressing demographic change and aging related needs in products, services, and customer support	✓	-	-	-

Materiality assessment is a critical tool that helps us prioritize where to focus our efforts. It informs our business strategy, enabling us to direct resources where they can drive the most meaningful change, while ensuring our sustainability agenda stays aligned with the evolving needs and expectations of our stakeholders.

We identified 17 material ESG topics from the 22 issues initially shortlisted. These material topics span our operations, supply chain, and future strategic positioning, accounting for both current and emerging risks and opportunities across short, medium, and long-term horizons. They form the foundation of our sustainability roadmap, developed throughout 2025. We are now integrating these findings into our risk management framework and corporate risk register, ensuring sustainability considerations are embedded in how we assess, prioritize, and manage enterprise-wide risks.

	ESG Topic	Description	Impact Materiality	Financial Materiality (Risk)	Financial Materiality (Opp)	Double Materiality
Governance	Product design and lifestyle management	Integrating ESG into product design, underwriting, and lifecycle impacts	Not material (impact and financial)			
	Business Model Resilience	Business resilience to long term shifts and disruptions through risk management, continuity planning, and adaptive strategy	✓	✓	✓	✓
	Supply Chain Management	Identifying and managing ESG risks and standards across suppliers and third party relationships	✓	-	-	-
	Business Ethics	Ethical conduct frame work, including anti-fraud, anti-corruption, and integrity controls	✓	✓	✓	✓
	Management of Legal and Financial Material (risk)	Compliance, regulatory engagement, and legal/conduct risk management	-	✓	-	-
	Corporate Governance	Governance structures, board oversight, accountability mechanisms, and decision making controls	✓	✓	-	✓
	Stakeholder Engagement	Structured engagement to identify stakeholder expectations and inform decision making and disclosure	Not material (impact and financial)			
	Economic Performance	Financial performance management, including profitability, cost efficiency, and economic resilience	✓	✓	✓	✓
	Data Privacy and Information Security	Financial performance management, including profitability, cost efficiency, and economic resilience	✓	✓	-	✓



Our Integrated Approach to Sustainability

Our sustainability roadmap is integral to corporate strategy. It reflects the ambition set by the Board and Management Executive to operationalize ESG initiatives across Tawuniya. It addresses the issues that matter most to our business and stakeholders. Following a double materiality assessment aligned with GRI standards, we focus on three strategic pillars. Each pillar addresses specific material topics and is supported by three targeted initiatives.

Pillar	Climate Resilience Insurer	Inclusive and Trusted Insurer	Principled and Transparent Insurer
Description	We drive climate leadership, environmental responsibility, and operational sustainability. This means aligning with global climate goals and national targets, embedding resilience into core operations, and minimizing our environmental footprint across the value chain.	We advance equity, wellbeing, and community value. This includes embedding inclusion into products, people, and partnerships while strengthening employee experience, social innovation, and financial access.	We strengthen ethical, transparent, and accountable practices. This involves embedding ESG in governance, partnerships, procurement, training, and investor engagement to build stakeholder trust and enable long-term value creation.
Material Topics	Climate Strategy	- Employment & Talent Development - Local Communities - Customer Safety and Community Wellbeing - Access and Affordability - Customer Relations - Science, Technology and Innovation - Localism - Super-Aging Societies	- Business Model Resilience - Supply Chain Management - Business Ethics - Corporate Governance - Economic Performance - Data Privacy and Information Security - Management of the Regulatory and Legal Environment
Initiatives	- Advance a Credible Net Zero - Embed Climate Risk into Business Decision-Making - Reduce Operational Environmental Impact	- Embed Diversity, Equity and Workforce Wellbeing - Expand Social Inclusion and Access - Institutionalize Community Engagement and Volunteering	- Strengthen Ethics, Compliance and ESG Integration - Embed Responsible Investment Governance and Practices - Drive Responsible Supply Chain



Pillar	Climate Resilience Insurer	Inclusive and Trusted Insurer	Principled and Transparent Insurer
Sustainable Development Goals	 SDG 12: Responsible Consumption and Production	 SDG 1: No Poverty	 SDG 9: Industry, Innovation and Infrastructure
	 SDG 13: Climate Action	 SDG 3: Good Health and Wellbeing	 SDG 16: Peace, Justice and Strong Institutions
		 SDG 4: Quality Education	 SDG 17: Partnerships for the Goals
		 SDG 5: Gender Equality	
		 SDG 8: Decent Work and Economic Growth	
		 SDG 10: Reduced Inequalities	

Building the Foundation

Across all three pillars, we are building the internal capabilities, governance mechanisms and data infrastructure needed to manage ESG systematically. This includes:

- Reinforcing internal ESG capabilities
- Strengthening ESG governance and internal controls
- Expanding ESG partnerships and external recognition

Our Integrated Approach to Sustainability continued

ESG Governance

Tawuniya's ESG governance is anchored in a clear, multi-level structure that embeds sustainability into strategy, oversight, and execution. The Board of Directors provides strategic direction, ensuring ESG priorities are aligned with core business objectives and stakeholder expectations. This oversight is supported by the Risk Committee, which monitors ESG risks with potential financial, operational, or reputational impact and by the Investment Committee, which oversees responsible investment practices and approves the Responsible Investment Policy annually.

At the management and execution levels, the CEO Office coordinates enterprise-wide ESG initiatives, translating Board direction into actionable priorities and ensuring consistent implementation across the organization. A dedicated Executive Risk and Control Committee (ERCC) ensures that top ESG risks are monitored and reported. In addition, an ESG Working Group, comprising relevant departments, drives execution by embedding sustainability into day-to-day operations and delivering measurable outcomes that strengthen business resilience and societal impact.

Aligning with National and International Standards

Our sustainability roadmap reflects both national priorities and international best practices.

Category	Frameworks and Initiatives
Local Initiatives	- Vision 2030 - Saudi Green Initiative - Saudi National Transformation Program
Global Framework	- United Nations Sustainable Development Goals (UN SDGs) - UN Global Compact - UN Environment Programme (UNEP) Principles for Sustainable Insurance - Principles for Responsible Investment
Reporting Frameworks and Standards	- Global Reporting Initiative (GRI) - Saudi Exchange ESG Disclosure Guidelines

How We Contribute to Priority SDGs

Our sustainability roadmap reflects both national priorities and international best practices.

SDG	How We Align
 SDG 1: No Poverty	We strengthen protection and resilience through product design, distribution partnerships and customer support. We promote fair access and affordability through product governance and monitoring of customer outcomes.
 SDG 3: Good Health and Wellbeing	We enable health access and financial risk protection through health insurance solutions and service partnerships. We support wellbeing through employee health programs and community initiatives. We promote safer mobility by encouraging risk-aware driving behaviors and supporting safety awareness.
 SDG 4: Quality Education	We develop talent through structured learning, leadership development and professional capability-building. We support community education through targeted programs delivered with partners, focusing on awareness, capability and inclusion.
 SDG 8: Decent Work and Economic Growth	We enhance employee experience through wellbeing, engagement, capability development and a safe workplace. We support business continuity and resilience through risk protection, claims responsiveness, and risk management expertise. We strengthen financial inclusion through distribution and partner models that expand access and improve customer experience.
 SDG 9: Industry, Innovation and Infrastructure	We digitize and modernize customer journeys to improve service quality, speed and accessibility. We strengthen risk capability and data-driven underwriting to support resilient markets and customer needs. We partner with technology and service ecosystems to scale innovation responsibly.
 SDG 10: Reduced Inequalities	We embed inclusion into product design and distribution, with a focus on fair access and appropriate coverage. We strengthen inclusion within our workforce through equitable hiring, development and employee experience.
 SDG 12: Responsible Consumption and Production	We reduce our operational footprint through efficiency measures and responsible resource use. We embed sustainability considerations into procurement and supplier engagement. We improve the quality and transparency of sustainability disclosure through structured governance and reporting controls.
 SDG 13: Climate Action	We advance climate resilience by embedding climate risk into business decision-making (an early-stage initiative). We reduce our environmental footprint and strengthen climate governance across the value chain. We collaborate with partners to strengthen climate awareness, preparedness and resilience solutions.
 SDG 16: Peace, Justice and Strong Institutions	We strengthen ethics, compliance, and ESG integration into governance and decision-making. We maintain robust controls for anti-corruption, conflicts of interest, and responsible business conduct. We improve transparency and reliability of reporting through clear governance, oversight and internal controls.
 SDG 17: Partnerships for the Goals	We scale outcomes through partnerships with government entities, healthcare providers, employers, SMEs, technology partners and civil society. We strengthen alignment with global initiatives relevant to the insurance sector, including the Principles for Sustainable Insurance and responsible investment expectations where applicable.

Environmental Stewardship and Climate

As an insurance company, our direct environmental footprint is modest. We do not engage in energy-intensive production, large-scale water consumption, or significant material waste generation. However, our limited operational footprint does not diminish our responsibility. Rather, it underscores the importance of rigorous management of what we can control and, more significantly, the influence we can exercise through our core business activities.

For insurers, credible environmental performance rests on two pillars: responsible operations and smart underwriting and risk management. Through disciplined underwriting, proactive risk assessment, and value chain engagement, we contribute to building a more sustainable and resilient economy.

Carbon Emissions

Our greenhouse gas emissions originate primarily from purchased electricity across our three facilities, fugitive refrigerants from air conditioning systems and fuel consumption from our small vehicle fleet and standby generator.

	2023	2024	2025
Total Electricity Consumption (kWh)	6,187,415	7,625,621	7,632,949

Scope	Category	GHG Emissions (tCO2eq)	
		2024	2025
Scope 1	Mobile Emissions	73.92	90.40
Scope 2	Purchased Electricity	4,194.09	4,198.12
Grand Total		4,268.01	4,288.53

Note: Emissions are reported using the operational control approach. During 2025, we improved the completeness and quality of activity data across our facilities; therefore, previously reported electricity and Scope 2 figures were updated to align with the latest available data and assumptions. Fugitive emissions and stationary emissions are not disclosed in this cycle due to insufficient, non-standardized data across newly added locations in Riyadh; we will disclose once data quality is adequate.

Water

Water consumption at Tawuniya is primarily associated with employee use, facility hygiene and cleaning operations. Consumption remains modest and is managed efficiently across all locations.

	2023	2024	2025
Water Consumption (M3)	14,460	11,550	11,692

Note: Water consumption data covers Headquarters only.

Promoting Sustainable Practices with Our Partners

Our commitment to sustainability extends beyond our direct operations. As a leading insurer and financial institution, we recognize our responsibility to influence environmental practices across our value chain, empowering customers, partners and industries to adopt more responsible and future-ready behaviors. Through our insurance products, investment strategies and supply chain partnerships, we drive meaningful and lasting impact. Active engagement with our ecosystem is central to embedding sustainability across our operations and shaping a more resilient future.

Caring for Our People and Building Belonging

Our people represent both our greatest asset and our fundamental purpose. Long-term success depends on how effectively we care for, develop and empower the individuals driving our impact each day. We are building an organization anchored in inclusion, empathy and growth where every employee feels valued, heard and equipped to thrive.

Fostering Belonging and Meaningful Engagement

Creating genuine belonging requires intentional effort beyond diversity policies. We cultivate shared purpose and organizational pride through engagement initiatives that honor individual contributions while building collective identity.

Championing Diversity, Equity and Inclusive Growth

Diversity fuels innovation, builds resilience, and deepens empathy across the organization. Beyond representation targets, we work systematically to remove barriers and ensure equal treatment in recruitment, development and advancement decisions. Our diversity commitment rests on four pillars:

- **Gender Representation:** Women comprise 36% of our workforce, a ratio we have maintained consistently across recent years.
- **Generational Diversity:** Our workforce skews toward Millennials, bringing digital fluency, adaptability and contemporary perspectives aligned with modern business demands.
- **Support for Employees with Disabilities:** Mowaamah Program certification confirms our compliance with inclusive workplace standards for persons with disabilities
- **Inclusive Talent Practices:** Accessible recruitment processes, targeted development opportunities and equitable career progression mechanisms operate across functions and roles.

Holistic Employee Wellbeing

Employee wellbeing encompasses physical health, mental wellness, social connection and financial security. We take a whole-person approach that supports employees throughout different life stages and personal circumstances. Our wellness framework proactively enables balanced, fulfilling experiences that blend personal care with organizational support.

Talent Development

To embed continuous learning culture, we launched the Tawuniya Academy, a centralized platform serving all employees. The Academy offers curated training aligned with organizational goals, market dynamics and individual development plans, enabling employees to reskill and upskill at their own pace. This learning infrastructure supports the broader talent pipeline strategy that ensures business continuity and leadership readiness.

In addition, Tawuniya maintains a formal talent pipeline and succession planning framework aligned with corporate strategy and long-term business objectives. The framework strengthens organizational sustainability by ensuring continuity for critical roles, mitigating talent and leadership gaps and maintaining future capability readiness. It supports structured identification of critical positions across levels, assessment of talent readiness and targeted development planning to build internal strength and sustain leadership continuity.

Career development programs (Talent+, Talent Boost, Future Tawuny Program), expanded internal mobility, and increased promotions have strengthened retention. Employees now see clear progression paths that enhances internal mobility and promotion. Voluntary turnover declined from 14.4% in 2024 to 11.2% in 2025. Annual compensation reviews benchmark against market data to maintain competitiveness and support retention of critical skills.

Caring for Our People and Building Belonging continued

Our Performance

Workforce data demonstrates our progress on diversity, nationalization and talent retention.

Headcount and Employment Type

	2023	2024	2025
Employees (total)	2,060	2,252	2,563

Workforce by Gender

	2023	2024	2025
Female employees	754	798	932
Male employees	1,306	1,454	1,631

Total Hires and Hires by Gender

	2023	2024	2025
Hires (total)	683	786	668
Female hires	256	288	246
Male hires	427	498	422

Total Turnover and Type

	2023	2024	2025
Turnover (total)	602	488	343
Voluntary turnover	463	325	288
Involuntary turnover	139	163	55

Turnover by Gender

	2023	2024	2025
Female turnover	243	210	117
Male turnover	359	278	226

Nationalization

	2023	2024	2025
Nationalization rate (overall)	74.2%	78.6%	87.0%

* Following an internal review of HR data and validation controls in 2025, selected employee figures have been updated to enhance accuracy and consistency with source HR systems. Prior year figures have been restated where applicable to support comparability

Employees with Disabilities

	2025
Employees with disabilities (total)	11
Female employees with disabilities	4
Male employees with disabilities	7

	2023	2024	2025
Total Training Hours	52,941	66,064	63,350



Caring for Our Community

Tawuniya corporate social responsibility framework is grounded in its core belief of being “Passionate About People”. In practice this commitment extends beyond insurance service to include protecting the natural environment that communities depend on and fostering a culture of responsible focused growth. As Tawuniya advances towards its ambition to become an ecosystem integrator, environmental stewardship becomes a shared responsibility.

Community Empowerment



We uplift people and communities through inclusive, human-centered initiatives

Environmental Sustainability



We act to preserve the natural environment for future generations

Future Skills & Youth Empowerment



We invest in the next generation by supporting learning, capability building and future readiness

Tawuniya Garden: Expanding Green Spaces Through Public Partnership

In collaboration with the Riyadh Region Municipality, we launched Tawuniya Garden, a new green space in the heart of the city designed to enhance urban livability and environmental quality. The initiative supports Riyadh's quality-of-life goals by increasing accessible green areas for residents. Our employees participated directly in planting trees and vegetation, helping transform the park into a vibrant space featuring walking paths, recreational zones, and modern amenities. The garden represents a visible, lasting expression of our commitment to environmental responsibility.

Eid Clothing Charity Market

In partnership with Al Hilal Charity Foundation, we launched the Eid Clothing Charity Market, a reuse-driven initiative that brought joy to families in need during the festive season. Clean, pre-loved clothing was collected and distributed through a market-style setup, giving families the opportunity to select items and celebrate Eid with dignity. The initiative supported over 100 families and demonstrated the power of circular giving to create both social and environmental impact.

Ramadan Basket Distribution

We partnered with the Albir Association to prepare and distribute 900 food baskets to families across Riyadh, Jeddah, and Khobar during the holy month of Ramadan. With active employee support, the initiative helped ensure that vulnerable households had access to essential food supplies, reinforcing our commitment to social solidarity and compassion during one of the year's most important periods.

Iftar Sa'im Initiative

During Ramadan, we launched the Iftar Sa'im initiative in collaboration with the Albir Association, contributing to the distribution of 2,500 iftar meals at traffic intersections during Maghrib prayer time. Implemented across Riyadh, Jeddah, and Khobar, the program supported fasting individuals on the move during prayer hours, offering a meaningful gesture of support during the holy month.

Orphan Visit and Celebration

We hosted a special Orphan Day in collaboration with Al Hilal Charity Foundation, welcoming 50 orphans to our headquarters for a day of games, activities, food, and gifts. Organized with contributions from employees across both organizations, the event fostered a spirit of inclusion, joy and generosity, reflecting the human-centered values at the heart of our social responsibility mission.

Population Health Management

Tawuniya's Population Health Management (PHM) program represents a proactive care model for members facing higher health risks or barriers to accessing regular care. This includes individuals with chronic conditions and older adults who require more intensive support. The program combines personalized care plans, early risk identification and coordinated services to manage conditions more effectively and reduce avoidable complications.

To guide this approach, we apply a structured framework grounded in four core principles (4Ps) and delivered through three complementary pillars (3Cs).

The 4Ps of PHM

- **Personalized Care** tailors support to each member's clinical needs, lifestyle and health circumstances.
- **Proactive Care** identifies potential health risks early and intervenes before conditions worsen.
- **Preventive Care** encourages regular screenings, assessments, and health monitoring to reduce long-term risks.
- **Program-Based Care** monitors performance and outcomes to ensure consistency and high-quality service delivery.

The 3Cs of PHM

- **Continuous Care** offers ongoing support and coordination throughout the member's healthcare journey.
- **Community-Based Care** extends services into homes and local settings to improve access and continuity.
- **Case Management** provides structured care pathways and personalized treatment plans for high-risk members.

Building on this population health foundation, we have launched a comprehensive wellness and health services program that expands preventive care efforts, addresses complex and high-cost health conditions and integrates behavioral and mental health support.

Wellness and Health Services Program

Our proactive health programs address the diverse needs of members at every stage of their health journey. Our wellness and health services programs provide proactive, personalized care across the full health journey, combining prevention, chronic disease management and high-risk support to improve outcomes and quality of life. They include:

- High-risk care programs**
- Elderly care with regular assessments and chronic condition monitoring
 - Medication safety reviews to prevent harmful interactions
 - Palliative care for patients undergoing intensive treatment

- Physical therapy and rehabilitation after injury or surgery
- Urgent care access through clinics and telemedicine

- Preventive care programs**
- Child care covering growth, vaccinations and development
 - Women's health across all life stages
 - Preventive screenings and vaccination campaigns
 - Lifestyle and wellness programs with personalized goals
 - Mental wellbeing services through clinics and virtual support

- Chronic disease management**
- Structured, long-term care plans for conditions such as diabetes, hypertension, asthma and thyroid disorders, delivered by multidisciplinary teams

Caring for Our Community continued

	2025
Number of members enrolled in PHM programs	34,734

	2025
Number of lives protected	3,605,340

Preventive Care Outcomes

	2023	2024	2025
Number of preventive screenings completed	NA	NA	1,041
Number of telemedicine consultations	NA	54,253	82,434
Number of home vaccination visits	8,007	11,572	17,518
Number of medication refill requests/orders	11,528	6,916	8,947
Number of chronic disease management interactions	8,944	10,507	33,693

Occupational Health Programs

Tawuniya has recently introduced a comprehensive Occupational Health Program to support corporate clients in improving workplace health, safety and productivity. Developed in partnership with the National Council for Occupational Safety and Health (NCOSH), this program aligns with national goals for healthier, safer working environments across the Kingdom. Delivery occurs through two integrated components.

meena Occupational Health Model

The meena model focuses on clinical and physical health services delivered in workplace settings.

- Corporate Health Clinics deliver on-site medical services for immediate employee care and health monitoring.
- Occupational Healthcare Hub provides a centralized platform for managing occupational health data, assessments and interventions.
- Corporate Healthcare Platform integrates health services, analytics and reporting through a digital solution that empowers HR and health teams.

Tawuniya Corporate Health Initiatives

These initiatives elevate employee wellbeing, reduce health-related absenteeism and foster workplace vitality.

- Tawuniya Corporate Wellness Model applies a wellness framework built on the 7 Pillars of Occupational Vitality, helping companies identify and address productivity barriers linked to burnout and work environment factors.
- Tawuniya ErgoSmart Project connects workplace ergonomics with employee musculoskeletal claims and sick leaves through proactive assessment, delivering actionable recommendations to prevent injury and enhance comfort.
- Tawuniya AbseControl Solution evaluates sick leave patterns and their impact on employee productivity and organizational performance through an innovative analytical tool.

Influencing Health Outcomes

Beyond traditional healthcare delivery, Tawuniya is leveraging technology and behavioral science to transform health and safety outcomes across Saudi Arabia. Two programs demonstrate how data-driven innovation can promote positive behavioral change while advancing Vision 2030 objectives. Tawuniya Vitality rewards healthy lifestyles, while Tawuniya Drive promotes safer roads. Both programs empower individuals to make better choices that benefit themselves, their communities and the nation.

Tawuniya Vitality: Rewarding Healthy Lifestyles

Tawuniya Vitality encourages members to take an active role in managing their health through personalized

insights, wellness activities and reward-based engagement. The program supports preventive care through regular health assessments, physical activity tracking and goal-oriented challenges. Participants earn rewards weekly, monthly and annually by achieving activity goals tailored to their personal health data. Incentivizing healthy habits enhances the value of our medical insurance offerings while improving long-term outcomes for members. Participants earn rewards weekly, monthly and annually by achieving activity goals tailored to their personal health data. The reward structure is designed to sustain engagement and encourage consistent healthy behaviors.

	2023	2024	2025
Number of registered users	632,427	1,196,736	1,768,934

Tawuniya Drive: Promoting Safer Roads

Launched in 2021, Tawuniya Drive represents a market-leading telematics program designed to promote safer and more sustainable driving behaviors. A mobile app connected to a vehicle-mounted sensor analyzes real-time driving data across multiple dimensions.

measurable business value. The impact is evident across multiple dimensions: significant reduction in motor accidents and injury rates, improved loss ratios and retention within our motor insurance portfolio and enhanced client acquisition driven by the program's unique positioning in the Saudi market.

By rewarding responsible driving behavior, the program contributes to safer communities while delivering

	2023	2024	2025
Number of registered users	545,346	1,275,712	1,523,566

Caring for Our Community continued

Expanding Protection and Financial Inclusion

Aligned with Vision 2030, Tawuniya is committed to offering accessible and affordable insurance solutions for underserved segments including SMEs, gig economy workers, low-income households and individuals without employer-sponsored protection.

Our financial inclusion strategy is anchored in five core pillars:

- Affordability drives our approach to cost-effective solutions that reduce financial barriers to coverage.
- Accessibility shapes our multi-channel distribution strategy and guides our strategic partnerships.
- Inclusivity informs how we design products for underserved and vulnerable populations.
- Innovation enables us to create solutions that close protection gaps for emerging segments.
- Impact measures how effectively we build financial resilience by safeguarding income and reducing the impact of economic shocks.

How We Expand Protection and Access

We advance financial inclusion through three interconnected levers. Inclusive product design ensures our offerings meet diverse customer needs. Accessible distribution extends our reach to underserved communities. Segment-specific solutions deliver measurable impact where it matters most.

Inclusive Product Design Across Life Stages

Insurance needs to evolve as people move through different life stages. Our life insurance portfolio responds to this reality with simple, affordable protection and savings-linked products that support long-term financial security. The portfolio serves individuals across income levels, with particular attention to lower-income segments.

Segment Focused Solutions for Underserved Groups

We are expanding access to insurance for individuals facing barriers such as limited income, irregular employment, or low awareness. These segments, including low-income individuals, rural communities, women and self-employed workers, face disproportionate exposure to financial shocks while having limited access to traditional employer-sponsored protection.

Supporting Small and Medium-Sized Enterprises

Our 360-degree Health Insurance package targets companies with fewer than 250 employees, representing the majority of SMEs in the Kingdom. The package includes multiple tiers of medical coverage for employees and their families, complies with Council of Health Insurance (CHI) regulations and incorporates integrated health services and wellbeing programs. The result is a complete, scalable healthcare solution that grows with the business.

Expanding Access Through Partnerships and Digital Channels

We adopt a multi-channel distribution strategy designed to reach customers through digital platforms, strategic partners and local communities. This approach addresses specific barriers faced by underserved and first-time insurance buyers, including geographic distance, limited awareness and unfamiliarity with insurance products.



A nighttime photograph of a city skyline. Several tall skyscrapers are visible, some with green lights and others with warm yellow lights. A street lamp with a single glowing light is in the foreground. The sky is a deep blue with some light clouds. The overall scene is urban and modern.

05

Corporate Governance

Investment activities contributed meaningfully to overall profitability, reinforcing our commitment to disciplined asset allocation, robust governance and long-term value creation.

GOVERNANCE

CORPORATE GOVERNANCE

Tawuniya has established robust governance frameworks and high standards to ensure effective oversight of its operations and to safeguard the long-term interests of the Company and its stakeholders. In compliance with Corporate Governance Regulations and in line with best practices, the Company promotes transparency, accountability, and compliance. Ongoing monitoring of governance practices ensures the protection of shareholders' and stakeholders' rights, including the shareholders' right to hold the Board of Directors accountable, while the Board, in turn, oversees and holds executive management accountable, supporting a balanced approach to risk management and sustainable strategic growth.

Implemented provisions of Corporate Governance Regulations

Tawuniya applies the principles of Corporate Governance in accordance with the applicable laws and regulations, including the following:

1. The Cooperative Insurance Companies Control Law, enacted by Royal Decree No. (M/32) and most recently amended by Royal Decree No. (M/12) on 23/1/1443H (corresponding to 01/09/2021), along with its Implementing Regulations issued on 20/04/2004.
2. The Companies Law, updated by the Ministry of Commerce, effective from 19 January 2023.

3. The Corporate Governance Regulations issued by the Capital Market Authority (CMA)
4. Rules on the Offer of Securities and Continuing Obligations issued by the Capital Market Authority (CMA)
5. The Insurance Corporate Governance Regulations issued by the Insurance Authority on 22/10/2015.
6. The Audit Committee Regulation for Insurance and Reinsurance Companies, issued by the Insurance Authority on 22/10/2015.
7. The Company's By-Laws.
8. All other applicable laws and regulations governing the Company and its Board.

To ensure strict compliance, Tawuniya employs a high-level monitoring system that continuously tracks regulatory changes, gathers relevant information, and takes proactive steps to prevent non-compliance. The Company remains committed to adhering to the Corporate Governance Regulations set by the Capital Market Authority and the Insurance Corporate Governance Regulations established by the Insurance Authority. Tawuniya consistently updates its policies and procedures to align with new regulatory developments, reinforcing its dedication to governance excellence. Tawuniya has applied all Articles of the Corporate Governance Regulations issued by Insurance Authority and the CMA.

BOARD OF DIRECTORS

Composition of the Board

Tawuniya's Board of Directors (BOD) consists of nine members, including a Chairman and Vice Chairman, and holds full responsibility for overseeing the company's management and strategic direction. Board Members are elected by the Ordinary General Assembly for a term of up to three years.

The current Board, appointed on 10 April, 2023, comprises three Independent and six Non-Executive Members. A Non-Executive Member is selected as Chairman to ensure balanced representation between independent and non-executive members.

Each Board member brings the necessary qualifications, expertise, and integrity to fulfill their responsibilities effectively. The Board establishes clear accountability

structures across all levels of the organization, led by the Chief Executive Officer, who is supported by sector and divisional leadership. This structure was refined during the Company's major organizational revision in 2025, aligning with Tawuniya's Strategy 2030.

Strong corporate governance is essential to achieving Tawuniya's strategic goals. Effective corporate governance is critical for the realization of Tawuniya's Strategy 2030, and is driven by six well-structured and highly focused governing committees emanating from the Board:

- Executive Committee
- Nomination and Remuneration Committee
- Investment Committee
- Risk Committee
- Audit Committee
- Technology Projects Committee

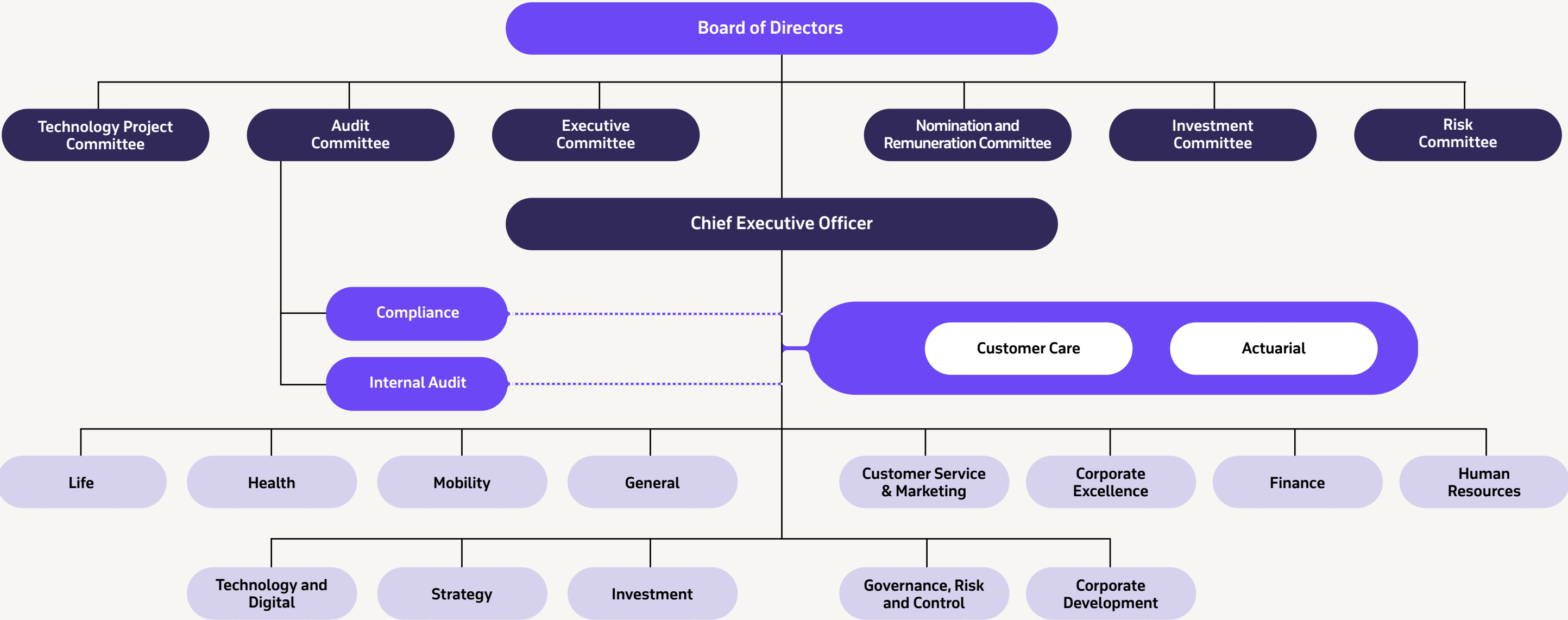
Member name	Membership Classification
Mr. Abdulaziz Alnowaiser	Non-Executive
Mr. Selman Alfares	Non-Executive
Mr. Abdulaziz Alkhamees	Non-Executive
Dr. Khaled Alghunaim	Non-Executive
Mr. Nasser Alhuqbani	Independent
Dr. Paul Sweeting	Non-Executive
Mr. Abdulaziz Alsedeas	Independent
Mr. Abdulsalam Abaoud	Independent
Ms. Hessah Al-Alshaikh	Non-Executive



The duties and powers of the Board of Directors

The Board has the ultimate power to oversee and ensure Tawuniya performs its duties of care and loyalty in managing the Company’s affairs and undertakes all actions in the general interest of the Company and develops it and maximizes its value.

The Board is responsible for the company’s business even if it delegates some of its powers to committees and individuals. In any case, the Board may not issue a general or an open-ended delegation.



Names, classifications, qualifications, experiences, and current and previous positions of the Board and Committees' members and the Executive Management



Mr. Abdulaziz Alnowaiser
Chairman (Non-Executive Director)

Mr. Al-Nowaiser is the Chairman of the Board of Directors, and Chairman of the Executive Committee of Tawuniya. He also serves as the Chief Executive Officer of Emaar King Abdullah Economic City (KAEC). He is also currently the Chairman of the Board of Directors, and Chairman of the Executive Committee at United Insurance Company in Bahrain, Vice Chairman of the Board of Directors and Member of the Audit Committee at Osool Integrated Real Estate Company, Member of the Board of Directors and Chairman of the Audit Committee at Maharah Human Resources Company, Member of the Audit Committees at the Saudi Railways Company, National Water Company, and Flyadeal Company. Previously, he served as a Chairman or a member of Boards and/or Committees at several listed and non-listed companies.

Mr. Al-Nowaiser draws from close to 25 years of experience across several leadership positions, having previously held the role of Chief Executives Officer at Tahakom Investment Company, Vice President of Finance at both STC Solutions Company and Al-Othaim Investment and Real Estate Development Company. He was also an Executive Partner and eventually Chief Executive Officer of the House of National Consulting Company, and was Chief Financial Officer of Elm Information Security Company, among other progressive roles in the sector.

At the outset of his career, Mr. Al-Nowaiser was a lecturer at the Accounting Department of King Saud University, KSA, where he earned his Bachelor's Degree in Accounting. He also holds a Master's Degree in Accounting from Case Western Reserve University in Cleveland, Ohio, USA, studying Finance and Information Systems as his two sub-specialties. Mr. Al-Nowaiser also holds a Diploma in International Financial Reporting Standards (DiplFR), as well as several other professional certifications, including the American Certified Public Accountants (CPA) Exam, American Certification of Management Accountants (CMA), American Certification of Financial Managers (CFM), American Certification of Internal Auditors (CIA), and the American Certification of Financial Services Auditors (CFSA).



Mr. Selman Al-Fares
Vice Chairman (Non-Executive Director)

Mr. Al-Fares is the Vice Chairman of the Board and Member of the Executive Committee and the Chair of Investment Committee at Tawuniya. He also serves as the Chief Executive Officer of AlMajed Alarabha Trading. At present, he also Chairs the Boards at Smart Link Company, and Al-Malath Arabian Company.

Mr. Al-Fares has held several management positions in the field of technology across many companies and organizations during his career span of 42 years, and continues to serve on the Boards of Directors and Committees of several companies. He is Vice Chairman of the Board of Directors and Chairman of the Remuneration and Nomination Committee and Member of the Executive Committee at Hassana Company. Mr. Al-Fares is also Vice Chairman of the Board of Directors and Member of the Audit Committee at Inaya Medical College. Previously, he served as a chairman or a member of Boards and/or Committees at several listed and non-listed companies.

Mr. Al-Fares holds a Bachelor's degree in Computer Science and Information Systems from the Arizona State University, USA.



Mr. Abdulaziz A. Al-Khamis
(Non-Executive Director)

Mr. Al-Khamis is is a Member of both the Investment Committee and Nominations and Remunerations Committee at Tawuniya. He also sits as Board member of Tabuk Cement Co. and a Board Member of the United Insurance Company in Bahrain also Member of both Investment and Nomination and Remuneration Committee. Mr. Al-Khamis has a distinguished career spanning over two decades at the Saudi Central Bank, also held the role of Deputy Governor of Investment at the Public Pension Agency (PPA), and provided his services as a Consultant to Raidah Investment Company when it was established to manage the PPA's real estate assets.

Mr. Al-Khamis read for his BA in Economics from the Northeastern University of Boston, USA, and also holds a number of professional qualifications and specialized certifications in the field of finance.



Mr. AbdulAziz Al Sedeas

(Independent Director)

Chairman of Audit Committee and a Member of Board Risk Committee at Tawuniya, and he is a Audit Committee Member at Maharah Human Resources Company. Mr. Al Sedeas is a highly accomplished executive with three decades of experience in the insurance, banking, education, and real estate sectors.

Mr. Al Sedeas has held key leadership roles throughout his career, including serving as CEO of Al Rajhi Cooperative Insurance Company ("Al Rajhi Takaful") and Chairman of the General Committee of Insurance Companies Managing Directors. Beyond insurance, he has expanded his portfolio through ownership of Al Diyar Al Hadithah Real Estate, showcasing his expertise in property investment and development.

With a background in English Literature from King Saud University and a post graduate Diploma in Business Administration from the University of Leicester, UK. Mr. Al Sedeas brings a unique blend of academic knowledge and practical expertise to his roles.



Mr. Nasser Al-Huqbani

(Independent Director)

Mr. Al-Huqbani is Member of the Executive Committee as well as the Chair of Nominations and Remuneration Committee at Tawuniya. In a career span of over three decades, Mr. Al-Huqbani has held numerous administrative and executive positions in the healthcare sector, and continues to provide guidance by serving as a member of Boards and committees in a number of organizations and companies. He is the Chief Executive Officer of Health Holding Company. Mr. Al-Huqbani sits on the Boards of the Nasma Contracting Company, and is also a Member of Nominations and Remuneration Committee.

Mr. Al-Huqbani holds a Bachelor's degree in Public Administration from King Saud University, KSA, and a Master's in Business Administration from the Institute of Public Administration, KSA.



Dr. Khaled Al-Ghoneim

(Non-Executive Member)

Dr. Al-Ghoneim is a Member of the Nominations and Remuneration Committee, and Chairman of Technology Projects Committee at Tawuniya. He is the co-founder of Mozn, a company that focuses on AI and data science. He is also the founder of specialist company Hawaz, which specializes in behavioral economy and management consulting.

Dr. Al-Ghoneim has held a wide range of leadership positions in the areas of Information Technology. In 2013, He established Takamol in his role as the Chairman and CEO. He was also the Group CEO of Saudi Telecom Company (STC), and the founding CEO of Elm from 2002-2012, where he was able to cultivate the organization into exceptional growth rates, launching it from a small cost center to a large profit-making entity.

Having started his professional career in 1996 as an Assistant Professor at King Saud University, KSA, in 2001, Dr. Al-Ghoneim was elected as the Chairman of the Saudi Computer Society, where he had the opportunity to lead KSA's first IT strategic plan. Since then, he has become a pioneer in KSA's IT industry for his business transformation skills, earning him a reputation for being a trusted advisor to some of the country's leading decision-makers.

A native of Riyadh, Dr. Al-Ghoneim graduated with first-class honors from King Saud University, KSA in 1988 with a Bachelor's degree in Computer Engineering. He got his Ph.D. in the field of Machine Learning from Carnegie Mellon University, Pennsylvania, USA in 1996.

Aside from his esteemed Board Membership at Tawuniya, Dr. Al-Ghoneim is also currently a Board Member of Mobily, ELM, Al-Obeikan. His previous Board memberships include Human Resource Development Fund (HRDF), Mawhibah, National Water Company, KACST, Tabadul, Takaful, Thiqah, and Public transport authority.



Mr. Abdulsalam Abaoud
(Independent Director)

One of our Independent Directors, Mr. Abaoud is a Member of the Nominations and Remuneration Committee and Board Risk Committee at Tawuniya. With nearly two decades of actuarial leadership experience across multinational and domestic insurers, he develops deep expertise in rigorous financial risk analysis, capital modeling, and sustainable insurance system design. Mr. Abaoud holds a Bachelor's degree in Mathematics from King Saud University, and he earned his Master's in Actuarial Science from the University of Waterloo, Ontario, Canada. Mr. Abaoud is also an associate of the American Society of Actuaries (ASA).



Dr. Paul Sweeting
(Non-Executive Director)

Dr. Paul Sweeting serves as a Chairman of the Board Risk Committee, and a member of the Investment Committee. brings in well over two decades of experience in the investment field, where he has held many key positions across multiple organizations. Further, he served as Chief Risk Officer at Hassana Investment Company.

Dr. Sweeting holds a Bachelor's degree in Economics from the University of Bristol, UK, and a Master's in Actuarial Science from City University, UK. He earned his PhD in Economics from the University of Bristol, UK. Dr. Sweeting also holds a number of professional certifications, and is a Chartered Enterprise Risk Actuary, is a Chartered Financial Analysts, and is also a Fellow of the Institute of Actuaries.



Ms. Hessah Al AlSheikh
(Non-Executive Director)

Ms. Al-Sheikh is Member of the Board Risk Committee and Investment Committee at Tawuniya. She has held numerous key positions in the financial and investment fields in a career spanning over a decade, and continues to now provide guidance in her role as a Board Member at Tawuniya. Ms. Al-Sheikh was previously a board member and Audit Committee Member at Basic Chemical Industries.

Ms. Al-Sheikh holds a bachelor's degree in finance from the Al Yamamah University, KSA, and a dual Master's in Business Administration from Columbia University, New York, USA, and London Business School, UK.



Names of companies inside and outside the Kingdom in which a Board member is a manager or a member of their current or previous Board

#	Board Member Name	Names of Companies in which a Board member is a member of their current Board or a Manager	Inside/ outside the kingdom	Legal entity	Names of Companies in which a Board member is a member of their previous Board or a Manager	Inside/ outside the kingdom	Legal entity
1	Mr. Abdulaziz AL-Nowaiser	Mahara Human Resources Company	Inside	Public Joint Stock Company	House of National Consulting (founder & board member)	Inside	Closed Joint Stock Company
		United Insurance Company (UIC)	Outside	Closed Joint Stock Company	Saudi SEV	Inside	Closed Joint Stock Company
		EMAAR	Inside	Public Joint Stock Company	Tahakom	Inside	Closed Joint Stock Company
		Osool Integrated Real Estate Company	Inside	Closed Joint Stock Company	Abdullah ALOthaim Investment	Inside	Closed Joint Stock Company
		Port Development Company	Inside	Closed Joint Stock Company	Abdulrahman ALHumaid & Saud ALNimr for Consulting	Inside	Closed Joint Stock Company
2	Mr. Abdulaziz A. AL-Khamis	Tabuk Cement Co.	Inside	Public Joint Stock Company	National Petrochemical Co.	Inside	Public Joint Stock Company
		United Insurance Company (UIC)	Outside	Closed Joint Stock Company	Sahara Petrochemical Co.	Inside	Public Joint Stock Company
					Saudi Investment Bank	Inside	Public Joint Stock Company
3	Mr. Selman AL-Faris	Al Majd Arabian Trading Company	Inside	Limited Liability Company	Raidah Investment Company	Inside	Closed Joint Stock Company
		Al Malath AlArabia Company	Inside	Limited Liability Company	GOSI	Inside	Governmental Entity
		Smart Link Company	Inside	Closed Joint Stock Company	Soledair Real Estate	Outside	Closed Joint Stock Company
		Tech InvestCom	Inside	Closed Joint Stock Company	Gulf International Bank	Inside	Closed Joint Stock Company
		Hassana Investment Company	Inside	Closed Joint Stock Company	Astra Industrial Group	Inside	Public Joint Stock Company
		Inaya Medical Colleges	Inside	Closed Joint Stock Company	Falcom Holding	Inside	Closed Joint Stock Company
4	Mr. Nasser AL-Huqbani	Nesma Company	Inside	Closed Joint Stock Company	Health Partners Company	Inside	Limited Liability Company
		Health Holding Company	Inside	Closed Joint Stock Company	Dr. Sulaiman Al Habib Medical Group	Inside	Public Joint Stock Company
		Seha Human Resources Company	Inside	Closed Joint Stock Company	Al-Rayyan Maintenance and Operation Company	Inside	Closed Joint Stock Company
					Antab Riyadh Operation and Maintenance Company	Inside	Closed Joint Stock Company
					AL-Afia Pharmacies Company	Inside	Closed Joint Stock Company
					Cloud Solutions for Communications and Information Technology Company	Inside	Closed Joint Stock Company
					Serco Saudi Services Company	Inside	Closed Joint Stock Company

#	Board Member Name	Names of Companies in which a Board member is a member of their current Board or a Manager	Inside/ outside the kingdom	Legal entity	Names of Companies in which a Board member is a member of their previous Board or a Manager	Inside/ outside the kingdom	Legal entity
5	Mr. Abdulaziz AL-Sedeas	Al Diyar Al Hadithah Real estate	Inside	Limited Liability Company	Takaful Alrajhi	Inside	Public Joint Stock Company
6	Ms. Hessah AL-Sheikh	Hassana Investment Company	Inside	Closed Joint Stock Company	Al Hammadi Holding	Inside	Public Joint Stock Company
					Bayt Al Herafion Company	Inside	Closed Joint Stock Company
7	Dr. Paul Sweeting				Chemical Industries Company	Inside	Public Joint Stock Company
		Athene Co-Invest Reinsurance Affiliate	Outside	Limited Liability Company	The Institute & Faculty of Actuaries	Outside	Limited Liability Company
		Prismetrica	Outside	Closed Joint Stock Company	Hassana Investment Company	Inside	Closed Joint Stock Company
		Elm	Inside	Public Joint Stock Company	Bayan Credit Bureau	Inside	Closed Joint Stock Company
		Mobily	Inside	Public Joint Stock Company	National Water Company	Inside	Closed Joint Stock Company
		Obeikan Company	Inside	Limited Liability Company	Unfionic	Inside	Closed Joint Stock Company
8	Dr. Khaled A. AL-Ghoneim	Mozn	Inside	Limited Liability Company	Takamol Holding	Inside	Closed Joint Stock Company
		Hawaz	Inside	Limited Liability Company	THIQH Business Services	Inside	Closed Joint Stock Company
					The Saudi Company for Exchanging Digital Information (TABADUL)	Inside	Closed Joint Stock Company
					Second Health Cluster	Inside	Governmental Entity
					Mawhiba	Inside	Endowment Foundation
					KACST	Inside	Governmental Entity
9	Abdulsalam Abaoud	N/A			Human Resources Development Fund	Inside	Governmental Entity
					Saudi Transportation	Inside	Governmental Entity

Procedures taken by the Board to inform its members, Non-Executive Directors in particular, of shareholders’ suggestions and remarks on the Company and its performance

If shareholders provide opinions, comments, or proposals, the Board of Directors—led by the Chairman and in coordination with the Chief Executive Officer—ensures that these inputs are communicated to its members, particularly the Non-Executive Directors, in accordance with the Corporate Governance Policy. This feedback is shared through various channels, including:

- Board of Directors meetings
- Board Committee meetings
- General Assembly meetings
- Regular meetings with shareholders and investors

These mechanisms facilitate transparency, encourage shareholder engagement, and support informed decision-making within the Company.

The 2025 assessment confirmed that the Board, its committees, and the Executive Management have effectively carried out their duties and responsibilities. The Board of Directors affirms that no punishments, penalties, statutory reserves, or restrictions were imposed on any Board member by any judicial, supervisory, or regulatory authority in connection with the Company during the year 2025.

The General Assembly Meetings dates held during the last fiscal year and names of the Board Members who attended

Name	1st Meeting (27 MAY 2025)
Mr. Abdulaziz Al-Nowiaser – Chairman of the Board	Y
Mr. Selman Al-Fares – Vice Chairman	Y
Mr. Abdulaziz A. Al-Khamis – Board Member	Y
Dr. Khaled A. Al-Ghoneim – Board Member	Y
Mr. Abdulaziz Alsedeas – Board Member	Y
Mr. Nasser Al-Huqbani – Board Member	Y
Mr. Abdul Salam Abaoud – Board Member	Y
Dr. Paul Sweeting – Board Member	Y
Ms. Hessah Al-Sheikh – Board Member	Y

The means used by the Board to assess its performance, performance of its committees and members, and the external body which conducted the assessment and its relation with the Company, if any

To assess the effectiveness of the Board, the Nomination and Remuneration Committee oversees an annual evaluation process for Board members, its committees, and the Executive Management. This evaluation follows established procedures, assessing skills, experience, and overall effectiveness in fulfilling their responsibilities. Key performance indicators are aligned with the Company’s strategic objectives to enhance accuracy and efficiency, with an independent third party engaged to ensure an objective assessment.

Non-Executive Directors are also responsible for periodically evaluating the performance of the Chairman, excluding the Chairman from these discussions. If any weaknesses are identified, appropriate solutions are proposed in the best interest of the Company.

The number of Board meetings

		Number of Meetings (5) meetings					
	Name	Nature of Membership	First Meeting (12 March 2025)	Second Meeting (29 May 2025)	Third Meeting (19 – 20 September 2025)	Fourth Meeting (25 November 2025)	Fifth Meeting (10 December 2025)
01	Mr. Abdulaziz Al-Nowaiser	Chairman	P	P	P	P	P
02	Mr. Abdulaziz Al-sedeas	Member	P	P	P	P	P
03	Mr. Nasser AL-Huqbani	Member	P	P	P	A	P
04	Mr. Abdul Salam Abaoud	Member	P	P	P	P	P
05	Mr. Salman AL-Fares	Member	P	P	P	P	P
06	Mr. Abdulaziz A. Al-Khamis	Member	P	P	P	P	P
07	Dr. Paul Sweeting	Member	P	P	P	P	P
08	Ms. Hessah AL-Sheikh	Member	P	P	P	P	P
09	Dr. Khaled A. AL-Ghoneim	Member	P	P	P	P	P

*(P) stands for “Present” and (A) stands for “Absent”

Remuneration policy and method adopted to determine the remuneration of Board Members

The Board of Directors determines the remuneration of its members based on recommendations from the Nominations and Remuneration Committee, ensuring compliance with applicable laws, regulations, and the conditions approved by the General Assembly.. To maintain transparency, all proposed remuneration details are published in advance, allowing shareholders to review them before voting.

Board Member remuneration may include a fixed amount, attendance allowances, in-kind benefits, or a percentage of net profits, with the option to combine multiple forms of compensation. The Chairman of the Board receives additional remuneration for his role and responsibilities.

Board Members and committee members are entitled to medical insurance for themselves and their dependents, unless they receive similar benefits from another employer. The Company also provides professional liability insurance coverage for Board Members and committees. Additionally, Tawuniya indemnifies Board and committee members for any government taxes or fees, such as value-added tax, associated with their membership.

The Company’s Extraordinary General Assembly, held on May 27, 2025, approved the remuneration and compensation policy for Board Members and committees. In line with this policy, the Board proposed member remuneration based on the Nominations and Remuneration Committee’s recommendations, including special remuneration for the Chairman, which was approved after obtaining the required no-objection certificate from the Insurance Authority.

Name	Specific amount	Amounts for Committee membership	Allowance for attending Board meetings	In-kind benefits	Remunerations for technical managerial and consultative work	Total allowance for attending committee meetings	Remunerations of the Chairman Managing Director or Secretary, if a member	Total
Independent Members				Independent Members				
Mr. Abdulaziz Al Sedeas	450,000	500,000	25,000	-	-	65,000	0	1,040,000
Mr. Nasser Al Huqbani	450,000	275,000	20,000	-	-	45,000	0	790,000
Mr. Abdul Salam Abaaoud	450,000	225,000	25,000	-	-	60,000	0	760,000
Total	1,350,000	1,000,000	70,000	-	-	170,000	0	2,590,000

Name	Specific amount	Amounts for Committee membership	Allowance for attending Board meetings	In-kind benefits	Remunerations for technical managerial and consultative work	Total allowance for attending committee meetings	Remunerations of the Chairman Managing Director or Secretary, if a member	Total
Non-Executive Members								
Mr. Abdulaziz Al-Nowaiser	450,000	275,000	25,000	-	-	30,000	1,500,000	2,280,000
Mr. Salman Al Fares	450,000	275,000	25,000	-	-	50,000	0	800,000
Mr. Abdulaziz Alkhamis	450,000	225,000	25,000	-	-	40,000	0	740,000
Dr. Paul Sweeting	450,000	275,000	25,000	-	-	40,000	0	790,000
Ms. Hessah Alsheikh	450,000	225,000	25,000	-	-	40,000	0	740,000
Dr. Khaled AlGhoneim	450,000	275,000	25,000	-	-	50,000	0	800,000
Total	2,700,000	1,550,000	150,000	-	-	250,000	1,500,000	6,150,000



Executive Management



Dr. Othman Al-Kassabi
Chief Executive Officer

Dr. Othman Al-Kassabi serves as Chief Executive Officer of Tawuniya and chairs the boards of three of its subsidiaries. He actively contributes as a board and advisory council member across various organizations. Bringing nearly two decades of experience in healthcare and insurance, he has held prominent leadership roles, including CEO of Tawuniya's Health and Life Sector, Executive Director of Enablement and Oversight, and Spokesperson for the Council of Health Insurance.

Since his appointment, Dr. Al-Kassabi has been instrumental in advancing Tawuniya's strategic growth and digital transformation. He has harnessed innovative technologies, enhanced customer-focused services and aligned the Company's direction with Saudi Arabia's Vision 2030. These efforts have strengthened Tawuniya's market leadership position and contributed to nearly tripling its earnings per share (EPS).

Dr. Al-Kassabi holds an Executive MBA in Leadership and Global Management from Al Yamamah University, an MBA from Hochschule Furtwangen University, Germany and a Bachelor's degree in Rehabilitation Sciences and Physiotherapy from King Saud University. He is also pursuing a PhD at Vrije Universiteit in Brussels.

Beyond his professional work, Dr. Al-Kassabi continues to pursue his passion as a physical therapist specializing in musculoskeletal sports medicine at MENA clinics. He also actively supports several charitable organizations and serves on the board of the Zahra Breast Cancer Association.



Eng. Mohammed Al-Saeed
Chief Executive Officer of Health Insurance Sector

Eng. Mohamed Al-Saeed joined Tawuniya as Senior Executive Director of Health Operations, bringing over a decade of experience in supply chain management. He currently also serves as a Board Member at Meena Health and Waseel.

Prior to joining Tawuniya, Eng. Al-Saeed served as Chief Supply Chain Officer at Johnson Controls Arabia. Earlier in his career, he spent 11 years at Unilever Arabia in several regional roles, including Purchasing Manager, Production Plant Manager and Supply Chain Manager. He also held the position of Director of Service Provider Relations at Bupa Arabia.

Eng. Al-Saeed holds a Master's degree in Business Management from Hull International Business School, a Master's degree in Systems Engineering from George Mason University and a Bachelor's degree in Electrical Engineering from Virginia Tech. He is a Certified Professional in Supply Management (CPSM), Certified Supply Chain Professional (CSCP), Certified in Production and Inventory Management (CPIM) and is a Member of the Chartered Institute of Purchasing and Supply (MCIPS).



Mr. Sultan Al-Khomashi
Chief Executive Officer of General Insurance Sector

Mr. Al-Khomashi has more than 25 years of experience at Tawuniya across property, casualty, non-marine insurance claims, human resources and support services. Prior to his appointment, he held several administrative and leadership positions, including Senior Vice President of General Insurance, Senior Vice President of Technical Affairs and General Manager of Human Capital, Support Services, and Property and Casualty.

In addition to his executive responsibilities, Mr. Al-Khomashi serves as a board member of Chemanol, United Insurance Company (UIC) and the Arab War Risks Insurance Syndicate (AWRIS)

Mr. Al-Khomashi holds a Master's degree in Insurance and Risk Management from Case Business School London, and a Master's and Bachelor's degree in Chemical Engineering from King Saud University. He also holds an Advanced Diploma in Insurance (ACII) and is Certified a Board Director by the GCC Board Director Institute and by IMD.


Mr. Mansour Abuthnain

Chief Executive Officer of Mobility Insurance Sector

Mr. Mansour Abuthnain serves as the Chief Executive Officer of the Mobility Insurance Sector at Tawuniya, bringing more than two decades of progressive leadership experience across information technology, customer service and motor insurance. Throughout his tenure at Tawuniya, he has held several senior executive roles, including General Manager of Customer Service and Vice President of Motor Insurance, where he led large-scale operations, drove service excellence and advanced digital and customer-centric transformation initiatives.

Beyond his executive responsibilities, Mr. Abuthnain plays an active role in industry governance and strategic oversight. He currently serves as a Board Member at Najm, Chairman of the Commercial Vehicle Solutions and Services Company and Board Member at UIC, contributing to organizational strategy, performance oversight and sector advancement.

Mr. Abuthnain holds a Bachelor's degree in Computer Science and Information Technology from King Saud University, Saudi Arabia. He also holds a Diploma in Board Directorship from GCC Board Directors Institute, a Diploma in Board Directorship from IMD Business School and has completed advanced executive leadership programs, reflecting a strong commitment to continuous development, effective governance and sustainable business leadership.


Mr. Mohammed Salma

Senior Executive Director of Life Insurance Sector

Mr. Mohammed Salma has more than 21 years of experience in the insurance and healthcare sectors, with extensive experience in business leadership, commercial strategy and operational management within regulated environments. He currently serves as Senior Executive Director of the Life Insurance Sector at Tawuniya, where he is responsible for sector strategy, performance and long-term value creation.

Prior to joining Tawuniya, Mr. Salma held senior executive positions including Chief Commercial Officer at Medgulf Saudi Arabia, Head of Central Region at AXA Cooperative Insurance Company and leadership roles at GE Healthcare, where he was responsible for performance management and capability development initiatives.

Mr. Salma holds an MBA from the University of Denver, USA, a Master of Applied Science in Knowledge and Information Technologies from the University of Denver, USA and a Bachelor of Science in Rehabilitation Science from King Saud University. He also holds the IMD Board Director Diploma.


Mr. Abdulaziz Alshaikh

Chief Financial Officer

Abdulaziz Alshaikh is an independent Board Member and Senior Finance Executive with over 24 years of experience in finance, investment management, and corporate governance across the public and private sectors. He currently serves as Chief Financial Officer at Tawuniya Insurance Company and has previously held senior finance leadership roles at Saudi Arabia Railways and Maharah Human Resources Company. He holds a Bachelor's degree in accounting from King Saud University and has served on multiple audit and investment committees, contributing to financial oversight, risk management and long-term value creation.


Mr. Fahad Bin Muammar

Chief Investment Officer

Mr. Fahad Bin Muammar is the Chief Investment Officer at Tawuniya and an independent Board Member at Al-Moammar Information System Company (MIS). Mr. Bin Muammar draws from a distinguished career spanning well over three decades in investment management, having previously been the Senior Vice President of Investment at Tawuniya, prior to his current appointment. Mr. Bin Muammar comes with leadership experience in the financial sector including the role of Vice President of Investment as well as Head of Finance at a number of banks and financial institutions including Riyadh Bank, Emirates NBD, Tadawul and Manafe Holding.

Mr Bin Muammar holds a Bachelor's degree in Insurance and Real Estate, alongside many professional and specialized certificates, including specialized training in market risk management and banking services risk management organized by Citibank and the Saudi Central Bank (SAMA).



Mr. Mohammed Al-Neaim
Chief of Staff

Mr. Mohammed Al-Neaim is the Chief of Staff at Tawuniya, leading corporate excellence where he works closely with the Company's senior leadership to facilitate strategy execution, enterprise alignment and sustained institutional performance.

Mr. Al-Neaim brings over 20 years of professional experience spanning corporate governance, enterprise performance, quality and operational excellence and executive advisory roles, across the insurance and healthcare sectors. His career reflects a progression from clinical and quality leadership into enterprise-level roles, supporting boards and senior executives in complex, highly regulated environments.

Mr. Al-Neaim has direct responsibility for Investor Relations, Stakeholder Management and Customer Experience, ensuring these critical functions operate in alignment with Tawuniya's strategic objectives, regulatory environment and long-term value creation agenda. Through this mandate, he contributes to shaping the Company's external narrative, strengthening engagement with key stakeholders, and embedding customer-centricity into enterprise decision-making.

Mr. Al-Neaim holds multiple professional certifications in leadership, quality and health administration, and has completed advanced executive development and innovation programs. He is recognized for his execution-oriented mindset, adaptability and ability to operate effectively at the intersection of strategy, delivery and stakeholder engagement, contributing to the long-term institutional strength of Tawuniya.



Mr. Feher Al-Shareif
Chief Strategy Officer

Mr. Feher Al-Shareif is Chief Strategy Officer at Tawuniya, bringing over 20 years of leadership experience across insurance, logistics, government, telecommunications and financial services. He specializes in translating strategic vision into measurable outcomes, leading transformations, scaling businesses and delivering national programs aligned with economic and policy objectives.

Prior to joining Tawuniya, Mr. Al-Shareif held senior strategy and transformation leadership roles at Tabadul and elm, where he led national initiatives supporting employment, digital government services and logistics sector modernization. His work included launching digital platforms, driving enterprise transformation and enabling partnerships that improved performance and sector competitiveness.

At Tawuniya, he leads strategic transformation initiatives supporting revenue and profitability growth, launched subsidiaries to diversify revenue streams, and strengthened governance across its entities.

He also serves as Vice Chairman and is a Board Member of the Saudi Automobile and Motorcycle Federation's Executive Committee, supporting motorsport development and international partnerships in the Kingdom.

He holds a Master's degree in Management Information Systems from George Washington University and a Bachelor's degree in Computer Information Systems from American University, and has completed executive programs at Harvard, Stanford, INSEAD and IMD.



Mr. Dhari Al-Modaifer
Chief Corporate Development Officer

Mr. Dhari Al-Modaifer brings experience across corporate development, investment and strategic transformation to Tawuniya. His role includes oversight of portfolio companies and subsidiaries, as well as investment activities and mergers and acquisitions (M&A). He has held senior roles at ALAT and SABIC across large-scale industrial and manufacturing businesses.

Prior to joining Tawuniya, Mr. Al-Modaifer worked with executive leadership teams on investment strategies, transactions and portfolio development. His experience covers industrial manufacturing, technology-driven platforms and sector transformation, giving him practical exposure to operating models, governance and long-term strategic positioning. Over the course of his career, he has taken part in building corporate development functions and supporting growth priorities within diversified organizations. Mr. Al-Modaifer also serves as a Board Director at the Mobility Ecosystem, where he supports strategic oversight related to innovation and ecosystem development.

Mr. Al-Modaifer holds a degree in Engineering from King Fahd University of Petroleum and Minerals and has completed executive programs in Mergers and Acquisitions and Corporate Strategy at INSEAD, as well as a Private Equity program at Columbia Business School.



Mr. Abdullah Al-Sharqi
Chief Technology and Digital Officer

Mr. Abdullah Al-Sharqi is a transformational leader with over 20 years of executive experience delivering complex, multi-billion ₪ programs across government and private sectors. He is also a Certified Board Director accredited by the Board Directors Institute (BDI), reflecting his strong governance and board-level expertise. He has led national-scale initiatives aligned with Vision 2030, including the NPHIES National Health Insurance Information Exchange and the ₪ 185 billion Eskin Housing Program, implementing 66 initiatives across 16 government entities following his appointment by H.E. Majed Al-Hogail.

Mr. Al-Sharqi structured and executed the ₪ 4 billion NPHIES platform through a Public-Private Partnership (PPP) model, setting new benchmarks for digital health infrastructure. He currently leads Tawuniya's enterprise-wide digital transformation, generating over ₪ 14 billion in Gross Written Premiums (GWP) through digital channels, while serving on the Executive Committee and overseeing 150+ professionals. He also elevated CCHI's digital maturity to a leading position within the health sector.

Mr. Al-Sharqi holds a GMP from Harvard Business School, an MBA from Al Faisal University and a Bachelor's degree in Information Systems from King Saud University.



Eng. Yaser A. Allaf

Chief Governance, Risk and Control Officer

Eng. Yaser Allaf serves as Chief Governance, Risk and Control Officer at Tawuniya and has more than 25 years of experience in the financial services sector. Before joining Tawuniya, he held senior leadership roles at Saudi National Bank (SNB) and Abdul Latif Jameel United Finance Company, where he contributed to the design and strengthening of enterprise risk management frameworks, corporate governance structures and financial risk control environments.

Across his career, Eng. Allaf has built extensive expertise in treasury and risk management, regulatory compliance, legal and corporate governance, supporting stronger institutional resilience, sound decision-making and sustained regulatory alignment.

Beyond his executive role, Eng. Allaf actively supports the advancement of corporate governance through Board and Committee memberships at Saudi Telecom Company (STC), Vision Bank, Hala Finance, SISCO Holding and Barns, where he provides strategic oversight across audit, risk management and governance matters.

Eng. Allaf holds an MBA in Finance and a Bachelor's degree in Electrical Engineering. His executive education includes leadership programs at IMD, Columbia Business School and INSEAD. He is a Certified Board Director from the GCC Board Directors Institute (BDI).



Mr. Asim Al-Saawi

Chief Human Resource Officer

Mr. Al-Saawi brings more than 20 years of experience in human resources to Tawuniya. He has held many leadership positions such as Chief Human Resources Officer at Emkan, AGM HR Center of Excellence at Al Rajhi Bank and prior to that, Academy and Talent Management Senior Director at Al Rajhi Bank. Mr. Al-Saawi is an expert in developing HR strategies and transformation and is a pioneer in the field of developing award-winning teams alongside delivering state of the art HR standards. Mr. Al-Saawi is a member of the Australian Human Resources Institute, MELA, the American Society for Training and Development and WorldatWork Total Reward Association.

Mr. Al-Saawi holds an MBA from Griffith University, Australia.



Mr. Abdullah Abahussain

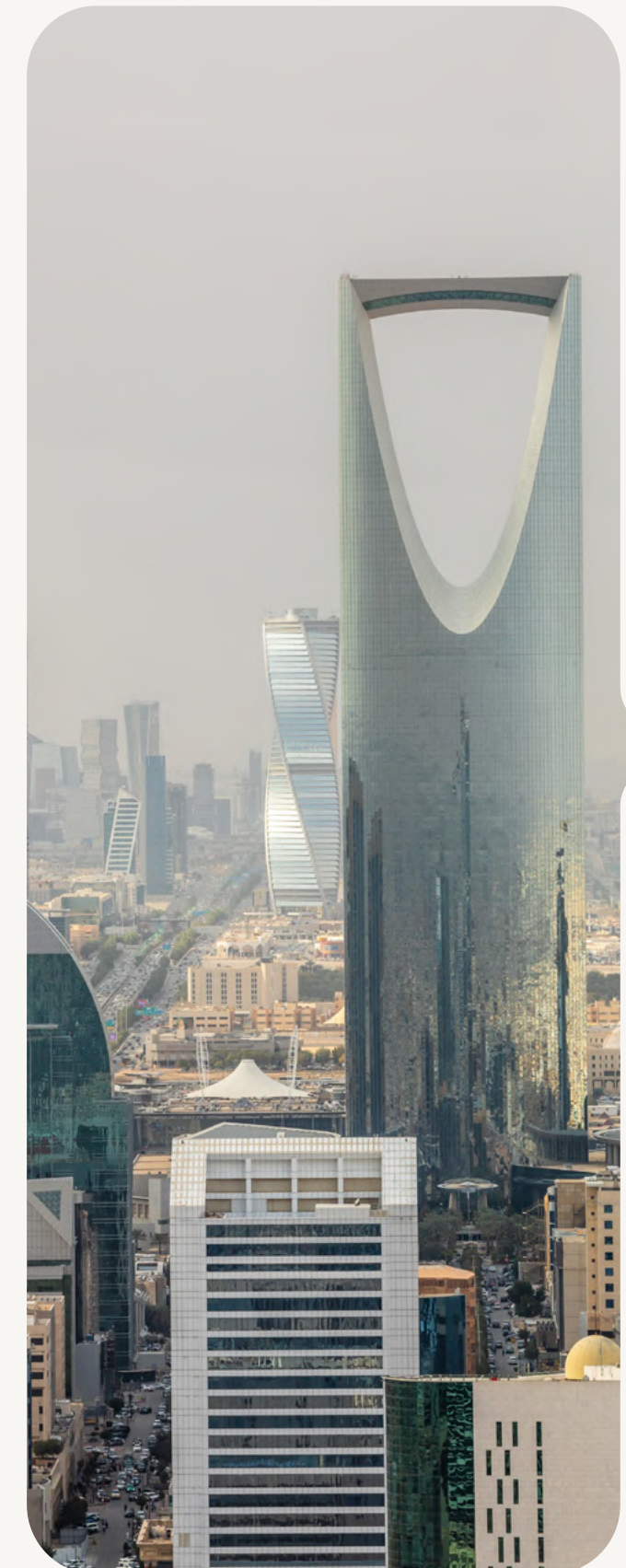
Chief Marketing and Customer Service Officer

Mr. Abdullah Abahussain brings over 15 years of experience in developing innovative marketing strategies that expand market reach, strengthen brand positioning and drive revenue growth. He excels in market research and is adept at leading high-performing teams, cultivating strategic partnerships and optimizing operations across complex stakeholder environments.

Before joining Tawuniya, Mr. Abahussain led impactful marketing initiatives across various sectors, consistently engaging target audiences and enhancing brand visibility.

Mr. Abahussain's strategic vision and entrepreneurial mindset empower him to identify and capitalize on opportunities that deliver measurable value. His commitment to marketing excellence and innovative thinking has established him as a respected thought leader in the marketing industry. Mr. Abahussain continues to inspire others to embrace innovative approaches in their marketing efforts, making impactful contributions to organizations.

Mr. Abahussain is a graduate of the 2030 Leaders Program at Misk Leadership and holds a degree in Information Systems from King Saud University, along with a degree in Strategic Branding from the London Business School.



Remuneration policy and method adopted to determine the remuneration of Executive Management

The Extraordinary General Assembly of the Company held its meeting on 28/08/2023 and approved the remuneration and compensation policy for members of the Executive Management. The policy is in line

with market practice where members of the Executive Management team earn monthly fixed pay, annual benefits and are also eligible for a company performance bonus plan. These practices have been updated by a global consultancy firm, endorsed by the Nomination and Remuneration Committee and approved by the Board.

Remuneration and Compensation of Senior Executives

Description	Salaries and Compensation	Fixed Allowances	Annual Remuneration	End of Service indemnities	Total
Remuneration and compensations received by the Five highest Executive Management members Including the CEO and CFO	9,700	4,255	16,011	823	30,700

*The Company is committed to disclosing the total remuneration of the senior executive management in accordance with the requirements of Article 90(4-b) of the Corporate Governance Rules. In order to protect the interests of the Company, the shareholders, the employees, and to avoid any unfavorable situation that may result from a detailed disclosure as to the job titles and positions, a description of remuneration is not presented pursuant to Appendix (1) of the Remuneration Schedule of Corporate Governance Rules related to Senior Executives.



BOARD COMMITTEES

Executive Committee

The Executive Committee operates under the BOD and is appointed by the Board in accordance with regulations approved by the General Assembly. It reports directly to the Board and plays a crucial role in overseeing key strategic and operational matters.

- 2. Making decisions and taking actions on matters delegated by the Board that fall outside the CEO's authority, including issues related to capital expenditures and procurement, within the limits set by the Board.

Responsibilities and Duties:

- 1. Providing recommendations to the Board on strategic initiatives, operational plans, budgets, and business plans, along with necessary actions to achieve the Company's objectives.

ExCom meetings held during 2025								
	Name	Nature of Membership	Number of Meetings (6) meetings					
			1 st (05 FEB)	2 nd (02 MAR)	3 rd (13 MAY)	4 th (28 AUG)	5 th (14 OCT)	6 th (12 Nov)
01	Mr. Abdulaziz Al-Nowaiser	Chairman	P	P	P	P	P	P
02	Mr. Salman Al Fares	Member	P	P	P	P	P	P
03	Mr. Nasser Al Huqbani	Member	P	P	A	P	P	P
04	Dr. Othman Alkassabi (CEO)	Member	P	P	P	P	P	P

*(P) stands for "Present" and (A) stands for "Absent"

Nomination and Remuneration Committee

The Nominations and Remuneration Committee operates under the BOD and is appointed by the Board in accordance with regulations approved by the General Assembly. It plays a key role in overseeing Board composition, executive appointments, and compensation policies.

Responsibilities and Duties:

- 1. Recommending nominees for Board and Board committee memberships in line with regulatory requirements and approved policies.
- 2. Annually reviewing the skills and qualifications required for Board and committee membership, defining role expectations, and assessing time commitments.
- 3. Evaluating the structure and composition of the Board and committees, identifying weaknesses, and proposing improvements.
- 4. Assessing and ensuring the independence of Board and Committee Members while preventing conflicts of interest, with a mandatory annual review of independent members
- 5. Developing transparent policies for Board, committee, and Senior Management remuneration and compensation.
- 6. Conducting regular evaluations of Board and committee member performance.

- 7. Recommending the selection and dismissal of Senior Management members.
- 8. Establishing and monitoring succession plans for the Board Members, CEO and key Senior Management positions.
- 9. Reviewing and overseeing compensation plans for Senior Management.
- 10. Supervising the implementation of Senior Management compensation policies.
- 11. Advising the Board on various matters related to nominations and remuneration.
- 12. Proposing clear policies and criteria for membership in the Board of Directors and Executive Management.
- 13. Periodic review of the rewards policy, and evaluation of its effectiveness in achieving the intended objectives.
- 14. Clarifying the relationship between the rewards granted and the applicable rewards policy, and stating any material deviation.
- 15. Supervising the induction program and periodic training for the Board of Directors members.

The Committee ensures the Company maintains a strong governance framework, aligning leadership capabilities with strategic goals while fostering transparency and accountability.

Investment Committee

The Investment Committee operates under the Board of Directors and is appointed by the Board in accordance with regulations approved by the General Assembly. It is responsible for overseeing the Company’s investment activities and reports directly to the Board.

- 1. Reviewing and approving the investment strategy and policies proposed by executive management.
- 2. Overseeing the implementation of investment strategies and policies to ensure full compliance.
- 3. Evaluating and approving investment proposals that require committee approval, making investment decisions within the authority granted by the Board.
- 4. terminating investment managers outside the Kingdom while determining their fees.
- 5. Establishing investment limits for domestic and international investments in line with regulations set by the Insurance Authority.
- 6. Monitoring compliance with investment limits across various investment instruments.
- 7. Conducting periodic reviews and evaluations of the Company’s investment portfolio based on regular reports.
- 8. Keeping the Board informed of key activities, findings, and decisions.
- 9. Review the performance of each asset class.
- 10. Submitting investment portfolio performance reports to the Board of Directors.
- 11. Review all risk limits and exposures in investment activities periodically to ensure that they are appropriate to current market conditions and the company’s overall risk tolerance.
- 12. The Company’s Investment Committee shall review the assignment agreement and approve it by the Board of Directors.
- 13. Setting technical standards for investment activities approved by the Board.
- 14. Ensure that all individuals responsible for and monitoring investment activities have adequate levels of knowledge and experience.

- 15. The Committee shall study the topics within its jurisdiction or those referred to it by the Board of Directors, and submit its recommendations to the Board to take a decision on them, or to take decisions if the Board delegates this to it.

The committee ensures that Tawuniya’s investment strategies align with regulatory requirements and the Company’s long-term financial objectives.

Non-Board Committee Members

Dr. Ammr Kurdi

Dr. Ammr K. Kurdi holds more than 22 years of professional and executive experience in accounting, finance, and auditing with a proven track in leading complex organizational roles. He is currently the Assistant Governor for Financial Sustainability & Risk Management at the General Organization for Social Insurance (GOSI). He also holds multiple board and audit committees memberships for various organizations, such as Saudi National Bank, National Development Fund, Saudi Telecom Co. (STC), Saudi Electricity Co. (SEC), the Insurance Authority (IA), and The Company for Cooperative Insurance (Tawuniya). Dr. Kurdi also held multiple positions previously as Chief Financial Officer, Chief Audit Executive, and Chief Corporate Services Officer for publicly listed, privately-held, and government organizations. These included the Company for Cooperative Insurance (Tawuniya), the Saudi Arabian Industrial Investments Company (Dussur), and King Fahd University of Petroleum & Minerals (KFUPM), among others. Dr. Kurdi earned his Ph.D. in Accounting from the University of North Texas, USA, a Masters’ degree in Accounting from the University of Arizona, and Bachelors’ degree in Accounting from KFUPM. He is also a Certified Management Accountant (CMA).

NRC meetings held during 2025						
	Name	Nature of Membership	Number of Meetings (4) meetings			
			1 st (18 FEB)	2 nd (29 JUN)	3 rd (5 AUG)	4 th (23 NOV)
01	Mr. Nasser Al Huqbani	Chairman	P	P	P	P
02	Dr. Khaled ALGhomeim	Member	P	P	P	P
03	Mr. AbdulSalam Abaaoud	Member	P	P	P	P
04	Mr. Abdulaziz Alkhamis	Member	P	P	P	P

*(P) stands for "Present" and (A) stands for "Absent"

IC meetings held during 2025						
	Name	Nature of Membership	Number of Meetings (4) meetings			
			1 st (17 FEB)	2 nd (12 May)	3 rd (8 SEP)	4 th (18NOV)
01	Mr. Selman Alfares	Chairman	P	P	P	P
02	Mr. Abdulaziz Alkhamis	Member	P	P	P	P
03	Mr. Ammr Kurdi	Member	P	P	P	P
04	Ms. Hessah Alsheikh	Member	P	P	P	P
05	Dr. Paul Sweeting	Member	P	P	P	P

*(P) stands for "Present" and (A) stands for "Absent"

Board Risk Committee

The Board Risk Committee is a designated committee within the Board of Directors, focused on assisting the Board in its corporate governance responsibilities related to risk management. It supervises and evaluates the Company's Risk Management Plan and ensures its execution aligns with the Board-approved Risk Management Strategy. To create an effective risk management framework, Tawuniya adopts a "three lines of defense" model, with controls spread across various organizational units, including Business and Operational Sectors, Risk and Compliance, and Internal Audit.

Responsibilities and Duties:

1. Identifying and categorizing risks that could threaten the Company, maintaining an acceptable risk profile.
2. Overseeing the risk management system and evaluating its effectiveness.
3. Defining, implementing, and regularly reviewing the Company's comprehensive risk management strategy, considering both internal and external factors.
4. Ensuring the Company's ability to continue operations successfully, identifying risks that could threaten its existence within the next twelve (12) months.
5. Reviewing and recommending risk management policies.
6. Assessing the organizational structure for risk management and making recommendations for improvement before Board approval in line with the Delegation of Authority (DOA).
7. Regularly reassessing the Company's risk tolerance and exposure (e.g., via stress testing).

8. Reporting to the Board on risk exposures and suggesting measures to manage them.
9. Providing advice to the Board on risk management-related matters.
10. Monitoring Environmental, Social, and Governance (ESG) risks that could damage the Company's reputation, financial standing, or operational performance.

The committee ensures that risk management practices are effectively integrated into the Company's strategy, safeguarding against potential threats while promoting sustainable growth.

Non-Board Committee Members

Mr. Yazid Al-Jared

With well over two decades of experience in the field of compliance, governance and risk, Mr. Al-Jared continues to serve as a Board and Committee Member across a number of companies and organizations. Apart from serving Tawuniya as a Member of the Risk Committee, Mr. Al-Jared also serves as a Member of the Risk and Compliance Committee of the Tourism Development Fund, Board Member at Riyadh Development Company, Board Risk Committee at NUPCO and a Member of the Risk and Sustainability Committee of Saudi Agricultural and Livestock Investment Company (SALIC). Mr. Al-Jared is also a Member of the Audit and Risk Committee for the Privileged Residency Center of the Council of Economic and Development Affairs, KSA. With a Bachelor's degree in Economics from King Abdulaziz University, KSA, Mr. Al-Jared is also professionally certified in his area of expertise with CMA 1 & 2 Certifications in Securities Business and Compliance respectively.

BRC meetings held during 2025						
		Nature of Membership	Number of Meetings (4) meetings			
			1 st (4 MAR)	2 nd (20 MAY)	3 rd (20 AUG)	4 th (30 NOV)
01	Dr. Paul Sweeting	Chairman	P	P	P	P
02	Mr. Abulaziz AlSedeas	Member	P	P	P	P
03	Mr. Abdulsalam Aboud	Member	P	P	P	P
04	Ms. Hessah Alsheikh	Member	P	P	P	P
05	Mr. Yazeed Aljared	Member	P	P	P	P

*(P) stands for "Present" and (A) stands for "Absent"

Audit Committee

The Audit Committee is an independent body affiliated with the Board of Directors, governed by its Charter which was approved by the Company's General Assembly. It comprises a minimum of three and a maximum of five members, including at least one independent member, and a majority from outside the Board. The committee is appointed by the General Assembly based on the Board's recommendation, following the Insurance Authority's written approval. It selects a Chairman from its members for a three-year term. The Audit Committee is responsible for monitoring the Company's activities and ensuring the integrity and effectiveness of the reports, financial statements and internal control systems.

Responsibilities and Duties:

1. Recommend the nomination or re-nomination of external auditors to the Board, ensuring the auditors' qualifications to perform a professional audit.
2. Appoint and dismiss the Chief Compliance Officer, after obtaining written approval from the Insurance Authority
3. Recommend the nomination or dismissal of the Executive Director Internal Audit to the Board, after obtaining written approval from the Insurance Authority
4. Ensure the independence of external auditors from the Company, Board members, and senior management.
5. Guarantee the independence of the Internal Audit Division and verify no limitations or negative influences on their work.
6. Ensure the independence of the Compliance Division and verify no restrictions or negative influences on its activities.
7. Discuss and review the Company's annual and quarterly financial statements with external auditors and senior management before issuance.
8. Examine and review the financial statements, providing recommendations to the Board.
9. Review the plans of internal and external auditors.
10. Approve and follow up on the implementation of the compliance plan.
11. Review key accounting policies, procedures, and any changes.

12. Prepare a report on the adequacy of the internal control system and the Committee's work, to be made available at the Company's Head Office ten (10) days before the General Assembly.
13. Coordinate between internal and external auditors.
14. Review reports from external auditors and make recommendations to the Board.
15. Review reports from internal auditors and make recommendations to the Board.
16. Review reports from the Compliance Department and make recommendations to the Board.
17. Analyze reports from regulatory and supervisory authorities and provide recommendations to the Board.
18. Assess the efficiency and objectivity of the external auditors, internal auditors, the Compliance Department, and the Chief Compliance Officer
19. Review observations from the Insurance Authority and other authorities regarding legal violations or corrective actions, providing recommendations to the Board.
20. Study internal and external auditors' evaluations of internal control procedures
21. Examine operations with related parties and inter-group processes.
22. Review actuarial reports and provide recommendation to the Board.
23. Ensure compliance with actuarial recommendations, where mandatory under Insurance Authority regulations.
24. Monitor reports from the Insurance Authority and other regulatory bodies and make recommendations to the Board.
25. Approve compensation for the Internal Audit Department, including salary, performance bonuses, and other awards in line with the Company's internal regulations.
26. Approve compensation for the Compliance Department, including salary, performance bonuses, and other awards in line with internal regulations.
27. Ensure a written code of ethics is in place, approved by the Board, to guide fair and ethical business conduct.
28. Track significant lawsuits involving the Company and report on them to the Board.
29. Ensure the effective use of information technology and controls for accurate, reliable information
30. Answer the queries raised by the Company's auditor

- 31. Review the management letter prepared by the auditors and peruses the management’s views on them
- 32. Provide technical opinion, upon the request of the Board, whether the report of the Board and the financial statements of the Company is fair, balanced and understandable
- 33. Study any important or unusual issues contained in the financial reports.
- 34. Verify the accounting estimates of material matters contained in the financial reports
- 35. Monitor and supervise the performance and activities of the Internal Audit Department
- 36. Examine the internal audit reports and follow up the implementation of the corrective actions of notes contained therein.

Non-Board Committee Members

Mr. Khalid S. Al-Solaiman

Mr. Al Sulaiman is a Non-Board Member of the Audit Committee at Tawuniya. He has extensive experience and knowledge in the field of auditing and financial management, having previously held many related leadership positions including his tenure as the Director of Internal and External Audit at the Saudi National Bank. Mr. Al Sulaiman holds the American Fellowship of Certified Public Accountants (CPA), as well as a Bachelor’s in Accounting from King Saud University, KSA.

Mr. Ehsan A. Makhdoum

Mr. Makhdoum is a Non-Board Member of the Audit Committee at Tawuniya. With more than 28 years of experience in auditing and accounting including a

distinguished post as Partner at Deoitte & Touche, Mr. Makhdoum established the Ehsan Makhdoum Office for Auditing to service his clients. With a Bachelors' Degree in Accounting from King Fahad University of Petroleum and Minerals, KSA, Mr. Makhdoum is also a qualified Chartered Accountant with an American Fellowship of Certified Public Accountants (CPA), and a Fellowship of the Saudi Organization for Certified Public Accountants (SOCPA).

Mr. Yaser Abbas Salman

Mr. Yaser is a seasoned professional with over 18 years of experience in audit and assurance, internal audit, risk assessment, corporate governance, and regulatory advisory services. He has played a key role in expanding Grant Thornton Bahrain's financial services and government sector portfolio, leading cross-border engagements across the Middle East. Previously, he held significant roles at Gulf International Bank and Ernst & Young, contributing to internal audit, risk management, and banking sector audits. He has also previously served as a member of the Board of Directors of Bahrain Accountants & Auditors Association.

Yaser holds multiple professional qualifications, including fellowship of the Association of Chartered Certified Accountants (ACCA), Certified Internal Auditor (CIA), Certified Financial Services Auditor (CFSA), and Certified Islamic Public Accountant (CIPA). He is also a Qualified Arbitrator for Banking and Financial Disputes under the GCC Commercial Arbitration Center. His expertise and contributions have been recognized with international awards for excellence in the field of audit and financial services.

Audit meetings held during 2025											
	Name	Nature of Membership	Number of Meetings (9) meetings								
			1 st (13 FEB)	2 nd (25 FEB)	3 rd (29 APR)	4 th (30 APR)	5 th (30 JUL)	6 th (31 JUL)	7 th (30 OCT)	8 th (27 NOV)	9 th (10 DEC)
01	Mr. Abdulaziz Al Sedeas	Chairman	P	P	P	P	P	P	P	P	P
02	Mr. Ehsan Makhdoum	Member	P	P	P	P	P	P	P	P	P
03	Mr. Khalid AlSoliman	Member	P	P	P	P	P	P	P	P	P
04	Mr. Yaser Salman	Member	P	P	P	P	P	P	P	P	P

*(P) stands for “Present” and (A) stands for “Absent”

Technology Projects Committee (TPC)

The Technology Projects Committee is affiliated with the Board of Directors and is nominated by the Board following the regulations approved by the Company's General Assembly. This Committee is responsible for overseeing Tawuniya's Core System Program Project, including reviewing, recommending, and implementing actions to ensure its progress. The Committee submits its reports directly to the Board.

Responsibilities and Duties:

- 1. Assist in implementing and finalizing the Core System Program Project, ensuring smooth progress
- 2. Make decisions within the Committee's powers and expedite decisions outside of these powers to keep the project on track

- 3. Intervene directly or indirectly to prevent risks or issues from affecting the project’s progress
- 4. Regularly follow up on the project’s status, reviewing periodic and ad-hoc reports at scheduled meetings
- 5. Submit detailed reports to the Board on project progress, including risks, solutions, and any recommendations for improvements.
- 6. Review and approve project timelines and resources as per the Committee's powers, adjusting plans if needed.
- 7. Recommend additional projects to be incorporated into the Core System Program if necessary

This Committee ensures the timely and successful implementation of Tawuniya’s Core System Program while addressing potential risks and ensuring that resources and plans are aligned with the project’s objectives.

TPC meetings held during 2025								
	Name	Nature of Membership	Number of Meetings (6) meetings					
			1 st (26 JAN)	2 nd (27 APR)	3 rd (22 JUL)	4 th (19 AUG)	5 th (9 DEC)	6 th (18 DEC)
01	Dr. Khaled ALGhomeim	Chairman	P	P	P	P	P	P
02	Mr. Abdulrhaman AlOdan	Member	P	P	P	P	P	P
03	Mr. Mohammad Alshaibi	Member	P	P	P	P	P	P
04	Dr. Othman Alkassabi	Member	P	A	P	P	P	P

Board Committee members remuneration

Committee Member	Fixed remuneration (except attending sessions)	Allowances for attending sessions	Total
ExCom Committee Members			
Mr. Abdulaziz Al-Nowaiser	275,000	30,000	305,000
Mr. Salman Al Fares	-	30,000	30,000
Mr. Nasser Al Huqbani	-	25,000	25,000
Dr. Othman Alkassabi (CEO)	-	-	-
Total	275,000	85,000	360,000
Nomination & Remuneration Committee Members			
Mr. Nasser Al Huqbani	275,000	20,000	295,000
Dr. Khaled ALGhomeim	-	20,000	20,000
Mr. Abdul Salam Abaaoud	-	20,000	20,000
Mr. Abdulaziz Alkhamis	225,000	20,000	245,000
Total	500,000	80,000	580,000
Investment Committee Members			
Mr. Selman Alfares	275,000	20,000	295,000
Mr. Abdulaziz Alkhamis	-	20,000	20,000
Dr. Paul Sweeting	-	20,000	20,000
Mr. Ammr Kurdi	225,000	20,000	245,000
Ms. Hessah Alsheikh	225,000	20,000	245,000
Total	725,000	100,000	825,000
Board Risk Committee Members			
Dr. Paul Sweeting	275,000	20,000	295,000
Mr. Abulaziz AlSedeas	225,000	20,000	245,000
Mr. Abdulsalam Aboud	225,000	20,000	245,000
Ms. Hessah Alsheikh	-	20,000	-20,000
Mr. Yazeed Aljared	225,000	20,000	245,000
Total	950,000	100,000	1,050,000
TPC Committee Members			
Dr. Khaled ALGhomeim	275,000	30,000	305,000
Mr. Abdulrhaman AlOdan	225,000	30,000	255,000
Mr. Mohammad Alshaibi	225,000	30,000	255,000
Dr. Othman Alkassabi (CEO)	-	-	-
Total	725,000	90,000	815,000
Audit Committee			
Mr.Abdulaziz Al Sedeas	275,000	45,000	320,000
Mr.Ehsan Makhdoum	225,000	45,000	270,000
Mr.Khalid AlSoliman	225,000	45,000	270,000
Mr. Yaser Salman	225,000	45,000	270,000
Total	950,000	180,000	1,130,000

Results of the annual audit of the effectiveness of the internal control procedures of the Company and the opinion of the audit committee with respect to adequacy of Company's internal control system.

Include Board’s conclusions on such annual review together with remarks rendered by the Audit Committee on the adequacy of the Company’s internal control system

Recognizing that management is responsible for establishing a comprehensive and effective control system tailored to the Company's business and related risks, the Committee received updates about the improvements made by the executive management in the internal control system, the results of the internal audit activity and the systems of risk management. The Committee also:

1.

Reviewed quarterly performance reports on customer complaints.
2.

Was informed of all major lawsuits filed by or against the Company.
3.

Reviewed reports from Internal Audit Division and the external auditors on the effectiveness of the internal controls related to the financial reporting system. .

Therefore, the Committee found no material weaknesses in the Company's internal control systems. However, the Committee believes further improvements are necessary to support the Company's growth and strategic directions and will monitor these improvements.

Recommendation of the Audit Committee on the need to appointing an internal auditor for the Company, if there is no internal auditor
There is a fully operational Internal Audit Division established within Tawuniya.

The Audit Committee’s recommendations that are in conflict with the Board’s resolutions or those which the Board disregarded, relating to appointment, dismissal, performance assessment or determining the remuneration of an external auditor, as well as justifications for those recommendations and reasons for disregarding them
Not Applicable.

If the external auditor's report contains reservations on the annual financial statements, the Board’s report must highlight them mentioning their reasons and any relevant information

The Company's External Auditors issued an “Unmodified Opinion” on the Financial Statements of the Company for the year 2025 attesting with reasonable assurance that it presents fairly in all material respects the financial position of the Company.

If the Board recommends replacing the external auditor before the end of the term for which it is appointed, the report shall indicate this, mentioning the reasons for the replacement recommendation
There are no recommendations by the Board to replace the external auditors before the end of the term.

Nominations of the Company's external auditors for year 2025
Based on the recommendation of the Audit Committee, the Extra-Ordinary General Assembly held on 27/ May/2025 approved the nomination of KPMG and PKF Al Bassam & Co. to review and audit the company’s interim Financial Statements for the second quarter, third quarter, and annual financial statements of the fiscal year 2025, and the first quarter of the fiscal year 2026. . No recommendation was made by the Board of Directors to change the external auditors before the end of the period for which they were appointed.

Description of the main types of activities of the Company and its subsidiary, and each activity's effect on the size of the Company’s businesses and contributions to the result.
In 2025, The Company for Cooperative Insurance (Tawuniya) continued to lead the Saudi insurance market, offering a comprehensive range of over 126 insurance products. Our principal lines of business include medical, motor, marine, fire, engineering, energy, aviation, Takaful, and casualty insurance. To effectively manage and report our diverse portfolio, Tawuniya is organized into the following business segments:

1.

Medical Insurance Segment: Provides health insurance solutions for individuals and groups, including general accident coverage for pilgrims.
2.

Medical Umrah Segment: Offers health insurance specifically designed for Umrah pilgrims.

3. Motor Insurance Segment: Covers motor insurance policies and Manafeth third-party liability insurance for foreign vehicles.

4. Property and Casualty Insurance Segment: Encompasses insurance for property, engineering, marine, aviation, energy, and general accidents.

5. General Accident-Umrah Segment: Provides general accident insurance coverage tailored for Umrah pilgrims.
6. Travel and COVID-19 Insurance Segment: Offers travel insurance, including coverage related to COVID-19 for citizens traveling abroad.

7. Protection and Saving Segment: Delivers life insurance products focused on protection and savings

8. IDI: Encompasses insurance for inherent defects insurance.

Operating Segments	Activity Revenues ﷲ '000	Percentages
Medical	15,320,670	71.58%
Medical Umrah	590,655	2.76%
Motor	2,490,538	11.64%
Property and casualty	2,675,651	12.50%
IDI	8,656	0.04%
General & Accident Umrah	110,090	0.51%
Travel and Covid19	-	0%
Protection and Savings	206,917	0.97%
Total	21,403,177	100%

The contribution of subsidiaries / affiliates to Tawuniya’s business results during the year under review are as follows: (ﷲ'000)

Name of Affiliate	Type of Affiliate	Description of affiliate	Activity Revenues	% of Total
*Tree Digital Company	Subsidiary	Introducing innovative products and services with an end-to-end digital journey to drive insurance penetration in the Kingdom of Saudi Arabia (e.g. convenience of choice, behavior change based products, rewards program), while building an ecosystem of partnerships to fulfil growing customer needs and provide a differentiating proposition versus local and regional competitors.	0	0%
Meena Healthcare Company	Subsidiary	Extending health care services for medical line of business.	9,604	24%
Teejan Al-Khaleej	Subsidiary	Developing technology based solutions and extending consultancy services for the insurance and healthcare businesses.	0	0%
Commercial Vehicle Solutions and Services Company	Subsidiary	Wholesale and retailing of vehicles including new and used private cars, new and used and heavy transport vehicles, new and used travel and camping vehicles, selling light and heavy vehicles on commission and other related vehicle solution services	0	0%
Optimal Solution Company for settling insurance claims	Subsidiary	To provide the claim administration services.	0	0%
Riyadh Reinsurance Company	Subsidiary	To transact cooperative reinsurance and related activities.	0	0%
United Insurance Company B.S.C	Associates	Insurance for all motor vehicles which travel through the King Fahad Causeway in accordance with the Bahrain Insurance Company Law.	29,380	72%
Waseel Application Service Provider Limited	Associates	Internet based connectivity, information services, and B2B e- commerce capabilities for the healthcare insurance market.	1,642	4%
		Total	40,627	100%

*The business of the subsidiary Tree Digital Company directly contribute to the main business income

Name of each affiliate company, its capital, the Company’s ownership percentage, main scope of business, country of operation and country of incorporation (ﷲ'000)

Seq	Affiliate name	Share Capital	Company's Ownership Percentage	Main Scope of Business	Country of Operation	Country of Incorporation
1	Tree Digital Company	7,500	100%	Introducing innovative products and services with an end-to-end digital journey to drive insurance penetration in the Kingdom of Saudi Arabia (e.g. convenience of choice, behavior change based products, rewards program), while building an ecosystem of partnerships to fulfil growing customer needs and provide a differentiating proposition versus local and regional competitors	Saudi Arabia	Saudi Arabia
2	Meena Healthcare Company	500	100%	Extending health care services for medical line of business.	Saudi Arabia	Saudi Arabia
3	Teejan Al-Khaleej	7,500	100%	Developing technology based solutions and extending consultancy services for the insurance and healthcare businesses.	Saudi Arabia	Saudi Arabia
4	Haloul Wakhadmat Almarkabat Commercial Company (Mobility Ecosystem)	2,000	100%	Wholesale and retailing of vehicles including new and used private cars, new and used heavy transport vehicles, new and used travel and camping vehicles, selling light and heavy vehicles on commission and other related vehicle solution services	Saudi Arabia	Saudi Arabia
5	Holoul TPA	8,000	100%	Health Claim Management and all related services	Saudi Arabia	Saudi Arabia
6	United Insurance Company B.S.C	5,000	50%	Insurance for all motor vehicles which travel through the King Fahad Causeway in accordance with the Bahrain Insurance Company Law.	Bahrain	Bahrain
7	Waseel Application Service Provider	24,000	45%	Internet based connectivity, information services, and B2B e-commerce capabilities for the healthcare insurance market.	Saudi Arabia	Saudi Arabia
8	Riyadh Re	550,000	100%	Riyadh Re embodies the national vision to localize reinsurance capacity, develop local expertise, and reinforce financial resilience in alignment with Saudi Vision 2030 and National Insurance Strategy.	Saudi Arabia	Saudi Arabia

RISK

The Current and Potential Risks

In order to navigate its business model effectively, Tawuniya adopts an Enterprise Risk Management (ERM) approach to identify, assess, measure, and manage risks comprehensively. This ensures that all business activities are aligned with the company's strategic objectives while maintaining a proactive stance on risk mitigation and sustainability.

Risk Appetite Framework (RAF)

Tawuniya has established as part of its wider ERM framework, a robust RAF in line with the Insurance Authority (IA) guidelines and the Financial Stability Board (FSB) guidelines. This framework includes carefully designed Key Risk Indicators (KRIs) that are reviewed annually to ensure alignment with business goals, budget, and strategy. Key considerations include industry analysis, peer comparison, and both foreseeable and unforeseen challenges.

Material Risks:

- 1. Insurance Risk:** Uncertainty regarding the occurrence and financial implications of insured events.
- 2. Reinsurance Risk:** Potential exposure due to reinsurer insolvency, mitigated by evaluating reinsurer financial health.
- 3. Financial Market Risk:** Market fluctuations impacting financial instrument values, securities, or liquidity.
- 4. Credit Risk:** The possibility of a party failing to meet financial obligations
- 5. Liquidity Risk:** Inability to raise funds to meet financial obligations on time without significant losses
- 6. Operational Risk:** Losses from internal or external processes, people, technology, or infrastructure
- 7. Cybersecurity Risk:** The increased likelihood of cyber-attacks, data breaches, or system vulnerabilities disrupting operations and compromising sensitive information, leading to financial and reputational damage.
- 8. Strategy Execution Risk:** Failure to effectively implement approved strategies or business plans, negatively impacting company goals.

- 9. Market Competition & Price Fluctuations:** Competitive dynamics and pricing volatility affecting profitability, customer retention, and market share
- 10. Solvency and Capital Requirements:** Failing to meet regulatory solvency and capital requirements can reduce stakeholder confidence, result in penalties or sanctions, and lead to credit rating downgrades, causing financial losses and reputational damage.
- 11. Decline in Local Economic Environment:** Potential delays in receivables due to economic downturn.
- 12. Global Economic Conditions:** Economic fluctuations may negatively impact investments, profitability, and overall financial stability.
- 13. Supplier Power:** Limited options in the medical providers' network could influence costs
- 14. Business Mix:** Over-reliance on specific sectors, products, or markets can lead to inefficient capital use, revenue volatility, strategic vulnerabilities, and operational inefficiencies
- 15. Risk Accumulation:** Concentration of risks in specific locations or sectors, leading to large claims
- 16. Sensitive Information Leakage:** Risks to reputation from breaches of confidential information
- 17. Frauds and Financial Crimes:** Potential fraudulent activities impacting financial health
- 18. Regulatory Breach:** Non-compliance with regulations leading to penalties and reputational damage.
- 19. Technology Risk:** Risks associated with legacy systems transformation and digitalization
- 20. Business Continuity:** Disruption to business operations caused by internal or external factors.
- 21. Financial Market Collapse:** External shocks, such as inflation, geopolitical crises, or natural disasters, negatively impacting core business and investment portfolios.
- 22. Customer Loyalty and Retention:** Changes in customer preferences or demographics impacting retention.
- 23. Business Resilience Risk:** Increased risk from third-party service provider integration during expansion.

This framework ensures that Tawuniya's business activities are aligned with its risk appetite while providing robust mitigation strategies for identified risks.

The Company considers the following to be the key potential risks that could adversely impact its business, financial position, and operating performance:

- 1. Financial Reporting and Performance Volatility (Post-IFRS 17/9)**
Following the implementation of IFRS 17 and IFRS 9, the Company is exposed to increased complexity in financial reporting, greater earnings volatility, and heightened sensitivity to actuarial, economic, and assumption changes. Ensuring consistent interpretation, robust controls, and clear communication of financial results to stakeholders remains critical.
- 2. Solvency Regime Changes**
The Insurance Authority is progressing toward a Risk-Based Capital (RBC) solvency framework aligned with Solvency II principles. This transition is expected to introduce more complex data, modeling, reporting, and governance requirements, particularly in relation to capital adequacy, diversification benefits, and risk quantification. The Company may need to adapt its business strategy, product mix, and capital management practices accordingly.
- 3. Cybersecurity and Information Security Risks**
The increasing sophistication of cyber threats, including cyber-attacks, malware, and data breaches, poses a risk to the availability, integrity, and confidentiality of the Company's systems and information. Any significant cybersecurity incident could disrupt operations, damage reputation, and result in regulatory or financial consequences.
- 4. Business Growth and Operating Model Scalability**
As the Company expands its business and operations, there is a risk that operating standards, internal controls, and governance frameworks may not scale effectively. Failure to maintain service quality, operational discipline, and customer value propositions could impact on market positioning and client retention.
- 5. Geopolitical and Macroeconomic Risks**
Regional and global geopolitical developments may affect underwriting results, claims experience, reinsurance availability and pricing, as well as investment performance. These risks are particularly relevant for Property and Casualty lines and cross-border reinsurance arrangements.
- 6. Regulatory and Legal Environment Changes**
Ongoing changes in regulatory, supervisory, and legal requirements may lead to increased compliance costs, operational adjustments, or the need for unplanned investments in systems, processes, or resources to meet new obligations.
- 7. Natural Catastrophes and Extreme Weather Events**
The increasing frequency and severity of natural catastrophes and extreme weather events could result in elevated claims, reserve volatility, and pressure on underwriting profitability, reinsurance programs, and overall financial performance.



The Company's Policy in Managing and Controlling Risks

To mitigate potential risks and support the achievement of its strategic objectives, the Company adopts a proactive and structured enterprise risk management approach, underpinned by strong governance, oversight, and control frameworks:

1. Governance, Risk, and Control Framework

The Company has established a dedicated Governance, Risk, and Control (GRC) Sector, led by the Chief Governance, Risk, and Control Officer, with direct reporting and oversight through the Board Risk Committee. This structure ensures effective risk ownership, escalation, and independent challenge across the business.

2. Fraud Risk Management

A comprehensive anti-fraud framework is in place to prevent, detect, and respond to fraudulent activities. This includes defined policies, monitoring mechanisms, and coordination across relevant functions to safeguard the integrity of operations and financial outcomes.

3. Risk Identification, Assessment, and Reporting

The Risk Management Department (RMD) continues to enhance its risk identification, logging, and reporting processes. This is supported by targeted training programs to strengthen risk management capabilities, promote consistent risk assessment, and improve the quality of management and Board-level reporting.

4. Capital and Solvency Management

The Company actively monitors its solvency position in line with regulatory requirements and maintains an appropriate buffer above minimum capital thresholds. In parallel, the Company closely monitors rating agency metrics and expectations within the context of its business plan, with the objective of maintaining a strong financial profile and achieving its targeted credit rating.

5. Regulatory Compliance and Policy Management

Policies, procedures, and internal controls are regularly reviewed and updated to ensure ongoing alignment with evolving regulatory, legal, and compliance requirements. This supports regulatory readiness, minimizes compliance risk, and promotes consistent application across the organization.

Key Risk Management Activities Carried Out in 2025

During the reporting period, the Risk Management Division (RMD) undertook a range of activities to support effective enterprise-wide risk management and ensure alignment with the Company's strategic objectives and regulatory expectations:

1. Board and Committee Risk Reporting

Regular updates on the Company's risk profile were provided to the Board Risk Committee, aligned with the approved Risk Appetite Statement and supported by key risk management tools, including the Risk and Control Self-Assessment (RCSA) and the Enterprise Risk Register.

2. Capital and Solvency Stress Testing

Periodic stress testing exercises were conducted to assess the resilience of the Company's regulatory solvency position and capital adequacy ratios under adverse scenarios.

3. Investment Risk Oversight

Quarterly investment risk reviews were prepared and presented to the Investment Committee, including risk assessments and recommendations to support informed decision-making.

4. Product Risk Governance

Regular Product Committee meetings were held to assess the risk profile of existing products and evaluate risks associated with new product initiatives prior to approval.

5. Executive Risk Oversight

The Executive Risk Committee reviewed the Company's top and emerging risks on a quarterly basis, ensuring timely escalation and management action across all sectors.

6. Risk Assurance Activities

The Risk Assurance function executed assurance activities in line with the approved 2025 plan, covering all key functions across the Company. Independent assurance was provided on the effectiveness of risk management practices and their alignment with Tawuniya's strategic objectives.

7. Risk-Based Assurance Framework

A comprehensive framework and methodology for risk-based assurance activities were developed and implemented to strengthen independent oversight.

8. Automation and Enhancement of RCSA

The existing RCSA processes were automated and enhanced to improve efficiency, consistency, and reporting quality.

9. Risk and Control Register Enhancement

A detailed enhancement exercise was conducted across all sectors, resulting in the development of more than 60 risk and control registers, strengthening risk ownership and control visibility.

10. Operational Risk Event Management

Operational risk events and associated losses were systematically identified, logged, and analyzed to support root cause analysis and corrective actions.

11. Regulatory Reporting

Risk-Based Supervision (RBS) reporting was completed and submitted to the Insurance Authority in accordance with regulatory requirements.

12. Business Continuity Management (BCM)

- The Company maintained a business continuity program aligned with regulatory expectations.
- Disaster recovery and business continuity tests were conducted to validate the resilience of critical systems and applications.
- The BCM Committee, operating under Board authority, provided oversight of BCM activities.
- A Business Continuity Management System (BCMS) aligned with ISO 22301:2019 was implemented, with a focus on insurance services.
- BCM awareness and training programs were conducted to strengthen organizational preparedness and resilience.

13. Anti-Fraud Risk Management

The Anti-Fraud Review Unit (AFU) and Anti-Fraud Risk Committee strengthened ongoing anti-fraud activities, reinforcing a proactive approach to fraud prevention and detection.

14. Risk Incident Management

Risk incidents were recorded, analyzed for root causes, and addressed through corrective and preventive actions to minimize recurrence.

15. Outsourcing Risk Assessments

Comprehensive risk assessments were conducted for outsourced arrangements to ensure compliance with Insurance Authority requirements and obtain regulatory "no objection" approvals.

16. Risk Awareness and Culture

Risk awareness sessions were delivered across the organization to promote a strong culture of risk identification, escalation, and mitigation.

17. Risk Maturity Enhancement

A structured risk maturity project was successfully completed, with RMD working closely with all sectors to improve overall risk management maturity through defined milestones and initiatives.

18. Internal Control Reviews

A detailed internal control review was conducted across all sectors, identifying control gaps and areas for enhancement. RMD continues to work with management to remediate the identified gaps.

19. Life & Savings Risk Support

The Life & Savings Risk function worked closely with the Life sector to identify key business risks and support mitigation actions. RMD also contributed to major Life & Savings initiatives throughout the year.

Penalties and punishments imposed on the Company

For 2025

Sanction/Penalty/ Precautionary Procedure/ Preventive Measure	Reasons for violation	No. of Executive Decisions	Imposing Authority	Total Amount (ﷲ)	Measures undertaken to remedy and avoided such non-compliance in the future
Penalty	Violating the Insurance Authority's instructions for Supervisory and Control.	1	IA	1,720,000	The Company has developed a corrective plan to address and implement all requirements and to ensure avoiding recurrence.
Penalty	Violating the Insurance Authority's instructions regarding anti-money laundering and counter- terrorism financing requirements.	1	IA	2,510,000	The Company has developed a corrective plan to address and implement all requirements and to ensure avoiding recurrence.

For 2024

Sanction/ Penalty/ Precautionary Procedure / Preventive Measure	Reasons for violation	No. of Executive Decisions	Imposing Authority	Total Amount (ﷲ)	Measures undertaken to remedy and avoided such non-compliance in the future
Penalty	Violating the Insurance Authority's instructions for Supervisory and Control	1	IA	280,000	The Company has developed a corrective plan to address and implement all requirements and to ensure avoiding recurrence.

Summary of the Company's assets, liabilities and business results of the last five fiscal years

IFRS 17 (ﷲ'000)

Description	2025	2024	2023	2022
Insurance revenue	21,403,177	18,272,957	15,265,424	11,408,348
Insurance service expenses	(18,016,361)	(15,434,203)	(14,067,493)	(10,485,303)
Net expense from reinsurance contracts held	(2,270,565)	(1,727,325)	(516,759)	(605,912)
Insurance service result - net	1,116,251	1,111,429	681,172	317,133
Net insurance financial result	1,918,625	1,632,939	1,064,632	541,996
Net profit for the year before zakat	1,226,621	1,145,014	717,806	391,579
Zakat charge for the year	(123,507)	(122,989)	(101,380)	(89,386)
Net profit for the year after zakat	1,103,114	1,022,025	616,426	302,193

IFRS 4 (ﷲ'000)

Description	2021
Gross Written Premium (GWP)	10,218,606
Net Earned Premiums (NEP)	7,929,662
Net Incurred Claims	6,660,276
Net profit (loss) before Zakat	350,138
Total Comprehensive income	329,702
Profit per share (ﷲ)	2.13

Company assets, liabilities, Equity

Description	2025	2024	2023	2022	2021*
Total Assets	21,763,833	20,995,701	18,416,726	15,260,390	14,718,253
Total Liabilities	16,406,333	16,517,458	14,794,909	12,127,830	11,679,189
Total Equity	5,357,500	4,478,243	3,621,817	3,132,560	3,039,064

*2021 numbers were taken from IFRS 4

Geographical analysis of revenues of the Company and its affiliates

(ﷲ '000)

2025 GWP	Total
CRO	15,948,528
ERO	3,799,045
WRO	3,876,272
North	6
South	79
E-BUSINESS	63,249
Bahrain	154,433
Total	23,841,612

(ﷲ'000)

Geographic Analysis of Affiliate (Associates) (1)'s Total Revenues				Share of profit from equity accounted investments
Year	Name of associates	Geographic Area (1)	Geographic Area (2)	
2025	Waseel Application services Provider Limited	Kingdom of Saudi Arabia	Kingdom of Saudi Arabia	31,023
	United Insurance Company	Kingdom of Bahrain	Kingdom of Bahrain	
2024	Waseel Application services Provider Limited	Kingdom of Saudi Arabia	Kingdom of Saudi Arabia	21,676
	United Insurance Company	Kingdom of Bahrain	Kingdom of Bahrain	

Material differences in the operational results compared to the previous year's results or expectations announced by the Company (ﷲ'000)

Description	2025	2024	Changes (+) (-)	Change Rate
Insurance revenue	21,403,177	18,272,957	3,130,220	17%
Insurance service expenses	(18,016,361)	(15,434,203)	(2,582,158)	17%
Insurance service result before reinsurance contracts held	3,386,816	2,838,754	548,062	19%
Allocation of reinsurance premiums	(2,613,920)	(2,211,901)	(402,019)	18%
Amounts recoverable from reinsurers for incurred claims	343,355	484,576	(141,221)	-29%
Net expense from reinsurance contracts held	(2,270,565)	(1,727,325)	(543,240)	31%
Insurance service result - net	1,116,251	1,111,429	4,822	0%
Net insurance finance (expense) / income	(101,768)	(70,412)	(31,356)	45%
Revenue from non-insurance services	9,604	3,214	6,390	199%
Net investment income	763,791	680,445	83,346	12%
Expected credit loss allowance on financial assets	130,747	(91,737)	222,484	-243%
Net insurance and non- insurance financial result	1,918,625	1,632,939	285,686	17%

Approved accounting standards

The consolidated financial statements of the Group have been prepared in accordance with International Financial Reporting Standard (IFRSs) Accounting Standards ("IFRS Accounting Standards") as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants ("SOCPA") and in compliance with Regulations for Companies in the Kingdom of Saudi Arabia and By-Laws of the Company.

Details of shares and debt instruments issued for each subsidiary

There are no shares or debt instruments issued to the subsidiaries.

A description of the Company's policy for distributing dividend

The Board of Directors recommends the profit distribution to the General Assembly, based on several key factors:

1. **Solvency and Credit Rating:** The Company ensures that it maintains at least 100% of the solvency required by insurance law, an A credit rating, and sufficient liquidity for operational and expansion needs

2. **Distribution Mechanism:** According to the Articles of Association (Articles 44,45 and 46) and regulations from the Insurance Authority:

- 10% of the net surplus is shared with policyholders (either through direct distribution or premium reduction).
- 90% of the surplus is transferred to shareholder accounts.

3. **Shareholders' Profit Allocation:**

- Shareholders receive profits from the return on their investment and the 90% of the net surplus, after deducting Zakat and the mandatory 20% statutory reserves.
- The Ordinary General Assembly can veto the statutory reserve component if it reaches 100% of the paid-up capital.

4. **Other Reserves and Profit Allocation:**

- The Ordinary General Assembly may create additional reserves if deemed necessary for the company's interests or to guarantee fixed profit distributions.
- Net annual profits are distributed in compliance with the Law on the Supervision of Cooperative Insurance Companies and Insurance Authority regulations.

5. **Shareholder Dividend Distribution:**

- At least 5% of the paid-up capital will be allocated for shareholder dividends, as proposed by the BOD and decided by the General Assembly
- If the profits are insufficient to meet the required dividend percentage, the General Assembly may not approve an excess distribution for the year, and shareholders cannot claim this excess in future years.

6. **Eligibility for Dividends:**

- Shareholders must be registered by the end of the day specified for maturity to be eligible for dividends.

(ﷲ'000)

Dividends ratio distributed over the year				
	31-Dec-22	31-Dec-23	31-Dec-24	31- Dec-25
Payout Ratio	-	8.3%	10.0%	15%
Total Dividends Paid	-	125,000	150,000	225,000
Number of shares in issue	125,000	150,000	149,742	149,542

A description of any interest in a class of voting shares held by persons (other than the company's directors, Senior Executives and their relatives) who have notified the Company of their holdings pursuant to Article (85) of the Rules on the Offer of Securities and Continuing Obligations , along with any change to such rights during the last fiscal year.

In compliance with the Article 87 and sub-point 25 of Corporate Governance Regulation issued by CMA, Tawuniya confirm that no stakeholder in the category of shares eligible to vote belonging to persons (except for members of the Board of Directors, Senior Executives, and their relatives) informed Tawuniya of these rights pursuant to Article 70 of the Rules on the Offer of Securities and Continuing Obligations, together with any change to such interests during the last fiscal year 2025.

A description of any interest, contractual securities or rights issue of the Board members, Senior Executives and their relatives on the shares or debt instruments of the Company or its affiliates, and any change on such interest or rights during the last fiscal year.
There are no interests, contractual securities or rights issues of the Board members, Senior Executives and their relatives, on the debt instruments of the Company or its affiliates.

Name of the person of interest	Number of shares at the beginning of the year	Number of shares at the end of the year	Net change	Change Ratio
Mr. Abdulaziz Alnowaiser	300	300	0	0%
Mr. Abdulaziz Alkhamees	1,500	1,500	0	0%
Mr. Selman Alfares	1,200	1,200	0	0%
Mr. Nasser Alhuqbani	1,200	1,200	0	0%
Mr. Abdulaziz Alsedead	240	240	0	0%
Ms. Hessah Al-Alshaikh	N/A	N/A	N/A	N/A
Dr. Paul John Sweeting	N/A	N/A	N/A	N/A
Dr. Khaled Alghunaim	1,200	1,200	0	0%
Mr. Abdulsalam Abaoud	1,200	1,200	0	0%

Name of the person of interest	Number of shares at the beginning of the year	Number of shares at the end of the year	Net change	Change Ratio
Dr. Othman Y. Al-Kassabi	133	133	0	0%
Eng. Yaser A. Allaf	N/A	N/A	N/A	N/A
Mr. Sultan S. Al-Khomashi	N/A	N/A	N/A	N/A
Mr. Feher Al-Shareif	N/A	N/A	N/A	N/A
Mr. Mansour F. Abuthnain	N/A	N/A	N/A	N/A
Mr. Mohammed Al-Saeed	N/A	N/A	N/A	N/A
Mr. Abdullah Abahussain	285	285	0	0%
Mr. Abdullah Al-Shargi	N/A	N/A	N/A	N/A
Mr. Fahad S. Al-Moammar	N/A	N/A	N/A	N/A
Mr. Asim Al Saawi	N/A	N/A	N/A	N/A
Mr. Mohammed Alneaim	N/A	N/A	N/A	N/A
Mr. Abdulaziz Alshaikh	N/A	N/A	N/A	N/A
Mr. Mohammed Salma	N/A	N/A	N/A	N/A
Mr. Dhari AlModaifer	N/A	315	N/A	N/A

Information relating to any loans, repayment of loans, and the total indebtedness of the Company and its affiliates
During the year the company has utilities its financing arrangement and obtained the loan of ﷵ 550 million which is outstanding as at December 31, 2025.

Convertible debt instruments, contractual securities, options, warrants or similar rights issued or granted by the Company
Tawuniya declares that there are no convertible debt instruments, contractual securities, options, warrants or similar rights issued or granted by the Company during 2025.

Conversion or subscription rights under any convertible debt instruments, contractual securities, options, warrants or similar rights issued or granted by the Company
Tawuniya declares that there are no conversion or subscription rights under any convertible debt instruments, contractual securities, options, warrants or similar rights issued or granted by the Company during 2025.

Information related to any business that competes with the company or any of the branches of the activity it is engaged in and which any member of the Board of Directors is or was engaged in
The Company for Cooperative Insurance declares that there are no competing businesses for the company or for any of the branches of the activity is engaged in and it is practiced or was practiced by any member of the Board of Directors, noting that the United Insurance Company, whose dealings and which some members of the Board of Directors and Executive Management have disclosed, is a Bahraini subsidiary owned by 50% for the Cooperative Insurance Company, according to what was disclosed in this report.

Redemption, purchase or cancellation by the Company of any redeemable debt instruments and the amount of such securities outstanding

Redemption, purchase or cancellation by the Company or its affiliates								
Company	Redemption\ purchase\ cancellation	Type of Redeemable debt instrument	Number	Value	Date	Reason	Remaining	
							Number	Value
Tawuniya	15,000	Perpetual Sukuk (ANB)	15 units of ﷵ 1 million each	15,000	Feb 2025	Investment	15	15,000
United Insurance Company B.S.C	52,420	Quoted debt	Various	52,420	During 2025 (Multiple)	Investment	Various	4,685
United Insurance Company B.S.C	(47,735)	Quoted debt	Various	(47,735)	During 2025 (Multiple)	Investment disposal	Various	
United Insurance Company B.S.C	27,684	Unquoted debt	Various	27,684	During 2025 (Multiple)	Investment disposal	Various	27,684

The number of the Company's requests of shareholders registry, dates and reasons thereof

Number of the Company's requests of shareholders registry	Request Date	Request Reasons
1	23-03-2025	Others
2	08-04-2025	Corporate action
3	14-05-2025	Corporate action
4	20-05-2025	Corporate action
5	25-05-2025	AGM
6	29-06-2025	Corporate action
7	03-08-2025	Corporate action
8	28-08-2025	Corporate action
9	05-10-2025	Corporate action
10	02-11-2025	Corporate action
11	02-12-2025	Corporate action

Description of transactions between the Company and any related party during 2025.

Tawuniya acknowledges that there is no transaction between the company and any related party during 2025 as per the required disclosure in this regard in Article 87- paragraph 33 of Corporate Governance Regulation.

Information relating to any businesses or contracts to which the Company is a party, in which a Director of the Company, a Senior Executive or any person related to them is, or was, interested, including names of the person in relation with such business and contract, in addition to the nature, conditions, durations and amount for the business or contract.

Tawuniya acknowledges that there is no preferential treatment, and the below-mentioned businesses and contracts and dealings are based on purely technical and commercial foons like the other clients.



Name of the Company	Name of the Director/Executive	Insurance Premium (Annual Term)	Claims (Annual Term)	Others (Non-Insurance) (Annual Term)	Due to/Due from (Unspecified Term)	Investment (Unspecified Term)
Al Majd Al Arabiah Trading Company	Selman Al-fares	330,847.90	1,724.68	-	-	-
Al Malath Al Arabiah Company	Selman Al-fares	672,879.96	2,984.70	-	325,234.00	-
ELM	Khaled Al-Ghoneim	85,420,082.75	1,675,653.45	87,476,652.29	37,222,579.00	-
Emaar	Abdulaziz Al-Nowaiser	-	-	53,647.50	-	-
GOSI	Hessa Al-Sheikh Selman Al-fares	142,958,632.00	21,372,058.90	85,740,493.00	7,952,625.47	-
Hassana	Hessa Al-Sheikh Selman Al-fares	10,821,012.00	226,989.00	-	4,072,320.62	-
Mobiliy	Khaled Al-Ghoneim	-	325,210.07	-	2,878,499.87	-
Nesma Company	Nasser Al-huqbani	1,155,044.10	11,226.04	-	15,566.45	-
Obeikan	Khaled Al-Ghoneim	94,942.84	-	-	104,857.29	-
Osool	Abdulaziz Al-Nowaiser	-	102,492.80	-	(26,891.00)	-
Smartlink	Selman Al-fares Abdulaziz Al-Nowaiser	18,918,197.49	135,349.54	-	13,461,665.49	-
UIC	Abdulaziz Al-Khamis Abdullah Al Shargi Mansoor Abuthnein Sultan Al Khomashi	-	-	(7,223,560.00)	15,688,658.37	110,120,000.00
Al Moammar MIS	Fahad Bin Moammar	134,579.00	17,513.00	-	(13,852.58)	-
Altharwah Albashariyyah	Fahad Bin Moammar	1,611,413.58	21,105.21	-	350,959.55	-
AWRIS (Bahrain)	Sultan Al Khomashi	1,197,470.10	-	-	2,296,547.15	-
Chemanol	Sultan Al Khomashi	31,749,284.81	369,337.03	-	9,151,556.14	-
Dar Al Tamleek	Fahad Bin Moammar	3,472,912.83	1,591,455.05	-	1,706.77	-
Hala Financing	Yaser Allaf	334,943.26	4,323.76	-	203,665.78	-
Najm	Mansoor Abuthnein	570,733.64	807,482.68	106,406,913.00	497,296.43	76,965,000.00
Tanami Real Estate Company	Abdullah Al Shargi	(2,478.25)	-	-	(2,478.25)	-
Vision Bank	Othman Al Kassabi Othman Al Kassabi Abdullah Al Shargi	170,010.71	8,277.06	-	2,570.51	-
Waseel	Mohammad Al-Saeed	-	15,582.00	4,490,474.00	-	18,351,000.00
Zahra Association	Othman Al Kassabi	-	-	250,000.00	-	-
Tree (a wholly owned subsidiary of Tawuniya)	Othman Al Kassabi Abdulaziz Alshaikh	2,302,117.05	26,150.68	69,846,592.00	75,145,409.43	-
Meena (a wholly owned subsidiary of Tawuniya)	Othman Al Kassabi Abdulaziz Alshaikh Abdullah Al Shargi Mohammad Al-Saeed	18,033,495.00	74,439.00	256,137,561.00	224,980,140.00	-
Mobility Ecosystem (a wholly owned subsidiary of Tawuniya)	Mansoor Abuthnein Abdullah Abahussain Dhari Almodaifer	-	-	-	25,505,725.99	-
Riyadh-Re (a wholly owned subsidiary of Tawuniya)	Not applicable	-	-	-	113,708.96	-

A description of any arrangement or agreement, under which a member of the Board of Directors or a senior executive has waived any remuneration

Tawuniya declares that there are no arrangements or agreements, under which any member of the BOD or a senior executive has waived any salary or remuneration.

A description of any arrangements or agreements under which a shareholder of the Company has waived any rights to dividends.

Tawuniya declares that there is no arrangement or agreement, under which any shareholder has waived his rights to profits.

Statement of statutory payments (paid and outstanding) for the year 2025

Description	2025 (ﷲ'000)		Brief Description	Reasons
	Paid Amount	Outstanding amount until the end of the annual Financial period		
Zakat	102,099	482,715	Zakat Provision	In accordance with industry practice, the Zakat provision is recorded in the books based on a worst-case scenario, while the actual payment follows the best-case scenario. The variance primarily arises from ZATCA's disallowance of investment in available for sale and term deposits from the Zakat base. This issue has been formally escalated to both Internal Audit (IA) and ZATCA through a white paper, which is currently under review.
VAT	1,573,938	883,292	VAT Liability	The outstanding VAT liability in the books results from a timing difference between revenue recognition for accounting purposes and the time of supply rules under VAT regulations. Tawuniya has conducted a detailed reconciliation, aligning the VAT reported in the general ledger at policy inception with VAT reported to ZATCA which is based on the installment due date.
GOSI	78,507	0	GOSI invoice regarding registration of our employees in the national platform	-
Visas and Passports Costs	237	0	Iqama , issuing / renewal and sponsorship transfer	-
Labor Office Fees	3,094	0	Work permits	-

Investments made or any reserves set up for the benefit of the employees of the company

Share Granting

1. Eligible Employees:

- Certain executives are granted shares based on the fair value of the Company's shares as of 1 January 2023, with a vesting period of 3 years.
- The fair value of these shares, as of 31 December 2023, is ﷲ 66.25 per share.

2. Second Group of Employees:

- Another group of employees has been granted shares based on the fair value as of 1 January 2024, with a vesting period of 3 years
- The fair value of these shares, as of 31 December 2024, is ﷲ 134 per share.

3. Third Group of Employees:

- Another group of employees has been granted shares based on the fair value as of 1 January 2025, with a vesting period of 3 years
- The fair value of these shares, as of 31 December 2025, is ﷲ 148 per share

Declarations:

1. Books of Accounts:

Tawuniya confirms that proper books of accounts and principles have been maintained.

2. Internal Control:

The Company asserts that its internal control system is well-designed and effectively implemented.

3. Going Concern:

Tawuniya affirms there are no significant doubts regarding its ability to continue as an ongoing concern.

These actions and declarations reflect the company's commitment to transparency, sound governance, and maintaining a strong operational framework.

Reservations on the annual financial statements, if any

None.

Disclosure of treasury shares held by the Company and details of their use

1. Shares Bought Back:

The Company repurchased 458,014 shares for the purpose of granting long-term stock options to senior management.

2. Amount Paid:

ﷲ 68.8 million was paid for the buyback of the shares.

3. Loss Recorded:

The difference between the face value of the purchased shares and the amount paid is recorded as a loss of ﷲ 64.2 million in the consolidated statement of changes in equity under the treasury shares account.

Share Granting to Employees:

1. First Group of Employees:

Shares will be granted based on the fair value of the shares as of 1 January 2023, with a vesting period of 3 years.

2. Second Group of Employees:

Shares will be granted based on the fair value of the shares as of 1 January 2024, with a vesting period of 3 years.

3. Third Group of Employees:

Shares will be granted based on the fair value of the shares as of 1 January 2025, with a vesting period of 3 years.

This approach demonstrates the Company's strategy for incentivizing its senior management and employees while managing its equity structure.

Grant date	Fair value at grant date ﷲ	Number of shares bought back and granted	Number of shares forfeited	Number of shares outstanding	Number of shares vested
January 1, 2023	66.25	120,256	-	120,256	120,256*
January 1, 2024	134	137,896	9,577	128,319	-
January 1, 2025	148	199,862	5,190	194,672	-
	-	458,014	14,767	443,247	120,256

*As of December 31, 2025, no shares had vested to eligible employees under the scheme. Although the service and other vesting conditions under the 2023 plan had been satisfied, vesting of the shares remained subject to approval by the Executive Committee, which had not been obtained as of that date.

Conclusion

The Board of Directors expresses their sincere gratitude and appreciation for the continued trust and confidence customers placed in Tawuniya throughout 2025. They are immensely thankful to the Company's stakeholders for their active engagement and support in the Company's activities. The Board reassures stakeholders of the diligence and dedication of Tawuniya's Senior Management and employees, ensuring the Company's distinguished position in the Kingdom's insurance sector will continue to grow and enhance in the coming years.



06

Financial Statements

Tawuniya's outstanding financial performance in 2025 was driven by sustained topline momentum and continued improvements in operating quality.



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Commercial Registration No 1010425494

Headquarters in Riyadh



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Chartered Accountants

As Sulimaniyah – Prince Abdulaziz Ibn Musaid Street
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Riyadh 11557
Kingdom of Saudi Arabia
Commercial Registration No 1010385804





PKF AI Bassam
Chartered Accountants

INDEPENDENT AUDITORS’ REPORT

TO THE SHAREHOLDERS OF THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Opinion
We have audited the consolidated financial statements of The Company for Cooperative Insurance (the “Company”) and its subsidiaries (“the Group”), which comprise the consolidated statement of financial position as at 31 December 2025, the consolidated statement of income, comprehensive income, changes in equity and cash flows for the year then ended, and notes to the consolidated financial statements, comprising material accounting policies and other explanatory information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRS) that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants (“SOCPA”).

Basis for Opinion
We conducted our audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the *Auditors’ Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards), that is endorsed in the Kingdom of Saudi Arabia, as applicable to audits of the financial statements of public interest entities. We have also fulfilled our other ethical responsibilities in accordance with the Code’s requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters
Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

INDEPENDENT AUDITORS’ REPORT

TO THE SHAREHOLDERS OF THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY) (CONTINUED)

Key Audit Matters (Continued)

Insurance contract liabilities	
See note 8 to the consolidated financial statements	
The key audit matter	How the matter was addressed in our audit
As at 31 December 2025, the Group's insurance contract liabilities amount to SAR 13,377 million; of which there are two components: a) liability for incurred claims (“LIC”) amounting to SAR 6,176 million; and b) liability for remaining coverage (“LRC”) amounting to SAR 7,201 million. Actuarial projection methods, based on both historical information and assumptions on future developments, are used to measure the insurance contract liabilities. For liability for incurred claims, estimates include assumptions related to the amount of the expected settlement and claim payment patterns. Due to inherent nature of liability for incurred claims, there is a significant degree of uncertainty, and change in assumptions could significantly impact the consolidated financial statements. Therefore, liability for incurred claims has been considered a key audit matter.	Together with our actuarial specialists, on a sample basis, we: - Assessed the design and implementation of key controls over management’s processes for estimating the liability for incurred claims, including controls over the completeness and accuracy of the claims estimate recorded. - Tested the amounts recorded for claims notified and paid, together with the outstanding claims amount to appropriate source documentation to evaluate the valuation of ultimate expected claims. - Assessed the reasonableness of the actuarial models and assumptions used to calculate the present value of the future cash flows of the liability for incurred claims. We also analysed the actuarial reserve report issued by the Group’s appointed actuary. - Evaluated the completeness and accuracy of data used by management in their calculation of liability for incurred claims. - Assessed the adequacy of the disclosures in the consolidated financial statements in respect of the liability for incurred claims, considering the disclosure requirements of IFRS 17.

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INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY) (CONTINUED)

Other Information

Management is responsible for the other information. The other information comprises the information included in the Group's 2025 annual report, but does not include the consolidated financial statements and our auditors' report thereon. The Group's 2025 annual report is expected to be made available to us after the date of this auditors' report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the Group's 2025 annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by SOCPA, the applicable requirements of the Regulations for Companies, and the Company's By-Laws and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, i.e. the Board of Directors of the Group, are responsible for overseeing the Group's financial reporting process.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.



INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY) (CONTINUED)

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements (continued)

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the Group's consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit of The Company for Cooperative Insurance (the "Company") and its subsidiaries ("the Group").

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

KPMG Professional Services Company

P.O. Box 92876
Riyadh 11663
Kingdom of Saudi Arabia

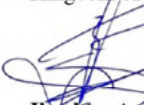

Khalil Ibrahim Al Sedais
Certified Public Accountant
Registration No. 371



Riyadh on 5 March 2026
Corresponding to: 16 Ramadhan 1447H

PKF AI Bassam Chartered Accountants

P. O. Box 69658
Riyadh 11557
Kingdom of Saudi Arabia


Ibrahim A. Al-Bassam
Certified Public Accountant
Registration No. 337



THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Consolidated Statement of Financial Position

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

	Notes	December 31, 2025	December 31, 2024
		R'000	
ASSETS			
Cash and cash equivalents	4	1,701,158	2,077,468
Term deposits	5	7,933,741	9,251,676
Investments including accrued investment income	6	4,578,024	2,197,024
Receivable from brokers / agents	7	2,977,221	3,274,268
Reinsurance contract assets	8	2,884,355	3,011,998
Prepaid expenses and other assets	9	415,326	219,413
Investments in equity accounted investments	10	128,471	116,497
Intangible assets	11	444,040	188,521
Property, equipment, and right-of-use assets	12	543,677	507,963
Accrued income on statutory deposit	13	7,832	896
Statutory deposit	13	149,988	149,977
TOTAL ASSETS		21,763,833	20,995,701
LIABILITIES			
Accrued expenses and other liabilities	14	1,744,302	1,498,643
Zakat payable	28	482,715	461,307
Dividends payable		8,863	10,343
Insurance contract liabilities	8	13,376,778	14,385,367
Reinsurance contract liabilities	8	43,761	-
Short term loan payable	15	554,706	-
Accrued income payable on statutory deposit	13	7,832	896
Defined benefits obligation	16	187,376	160,902
TOTAL LIABILITIES		16,406,333	16,517,458
EQUITY			
Share capital	17	1,500,000	1,500,000
Statutory reserve	18	1,500,000	1,500,000
Re-measurement of defined benefit obligations		(26,957)	(28,922)
Fair value reserve for investments	19	61,786	49,216
Treasury shares reserve	20	(4,582)	(2,582)
Employees stock option scheme reserve	21	26,846	11,471
Retained earnings		2,300,407	1,449,060
TOTAL EQUITY		5,357,500	4,478,243
TOTAL LIABILITIES AND EQUITY		21,763,833	20,995,701
CONTINGENCIES AND COMMITMENTS	35		


Abdulaziz M. AlSedeas
Board Director


Abdulaziz Alshaikh
Chief Financial Officer


Othman Y. Alkassabi
Chief Executive Officer

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Consolidated Statement of Income

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

	Notes	December 31, 2025	December 31, 2024
		ﷲ'000	
Insurance revenue	23	21,403,177	18,272,957
Insurance service expenses	24	(18,016,361)	(15,434,203)
Insurance service result before reinsurance contracts held		3,386,816	2,838,754
Allocation of reinsurance premiums		(2,613,920)	(2,211,901)
Amounts recoverable from reinsurers for incurred claims		343,355	484,576
Net expense from reinsurance contracts held	25	(2,270,565)	(1,727,325)
Insurance service result - net		1,116,251	1,111,429
Revenue from non-insurance services	26	9,604	3,214
Commission income		524,998	601,476
Dividend income		3,080	1,953
Net fair value gains on financial assets at fair value through profit or loss		204,690	55,340
Share of profit from equity-accounted investments	10	31,023	21,676
Net investment income		763,791	680,445
Reversal of / (Allowance for) expected credit losses on financial assets		130,747	(91,737)
Finance expense from insurance contracts issued		(173,309)	(169,943)
Finance income from reinsurance contracts held		71,541	99,531
Net insurance finance expense		(101,768)	(70,412)
Insurance and non-insurance results		1,918,625	1,632,939
Finance charge		(20,551)	(9,569)
Other operating expenses	27	(691,665)	(538,620)
Other income		20,212	60,264
Net profit for the year before Zakat		1,226,621	1,145,014
Zakat charge for the year	28	(123,507)	(122,989)
Net profit for the year after Zakat		1,103,114	1,022,025
Basic earnings per share (in ﷲ)	30	7.37	6.82
Diluted earnings per share (in ﷲ)	30	7.35	6.81


Abdulaziz M. AlSedeas
Board Director


Abdulaziz Alshaikh
Chief Financial Officer


Othman Y. Alkassabi
Chief Executive Officer

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Consolidated Statement of Comprehensive Income

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

	Notes	December 31, 2025	December 31, 2024
S'000			
Net profit for the year after Zakat		1,103,114	1,022,025
Other comprehensive income:			
Items that will not be reclassified to the consolidated statement of income subsequently:			
Re-measurement of defined benefits obligation	16	1,965	(15,723)
Net movement in fair value of investments carried at FVOCI	6	11,869	27,466
		13,834	11,743
Items that are or may be reclassified to the consolidated statement of income subsequently:			
Share of other comprehensive income of investment in equity-accounted investments	10	701	1,261
Total comprehensive income for the year		1,117,649	1,035,029

Abdulaziz M. AlSedeas
Board Director

Abdulaziz Alshaikh
Chief Financial Officer

Othman Y. Alkassabi
Chief Executive Officer

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Consolidated Statement of Changes in Equity

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

	Notes	Share capital	Statutory reserve	Remeasurement of defined benefit obligation	Fair value reserve for investments	Treasury shares reserve	Employee stock option scheme reserve	Retained earnings	Total
S'000									
Balance as at January 1, 2024		1,500,000	1,373,285	(13,199)	20,489	-	-	741,242	3,621,817
Net profit for the year after Zakat		-	-	-	-	-	-	1,022,025	1,022,025
Re-measurement loss on defined benefits obligation	16	-	-	(15,723)	-	-	-	-	(15,723)
Other comprehensive income for the year		-	-	-	28,727	-	-	-	28,727
Total comprehensive income for the year		-	-	(15,723)	28,727	-	-	1,022,025	1,035,029
Transfer to statutory reserve		-	126,715	-	-	-	-	(126,715)	-
Treasury shares	20	-	-	-	-	(2,582)	-	-	(2,582)
Employee stock option scheme reserve		-	-	-	-	-	11,471	-	11,471
Loss on treasury shares	20	-	-	-	-	-	-	(37,492)	(37,492)
Transactions with owners									
Dividends	17	-	-	-	-	-	-	(150,000)	(150,000)
Balance as at December 31, 2024		1,500,000	1,500,000	(28,922)	49,216	(2,582)	11,471	1,449,060	4,478,243
Net profit for the year after zakat		-	-	-	-	-	-	1,103,114	1,103,114
Re-measurement loss on defined benefits obligation	16	-	-	1,965	-	-	-	-	1,965
Other comprehensive income for the year		-	-	-	12,570	-	-	-	12,570
Total comprehensive income for the year		-	-	1,965	12,570	-	-	1,103,114	1,117,649
Transfer to statutory reserve		-	-	-	-	-	-	-	-
Treasury shares	20	-	-	-	-	(2,000)	-	-	(2,000)
Employee stock option scheme reserve		-	-	-	-	-	15,375	-	15,375
Loss on treasury shares	20	-	-	-	-	-	-	(26,767)	(26,767)
Transactions with owners									
Dividends	17	-	-	-	-	-	-	(225,000)	(225,000)
Balance as at December 31, 2025		1,500,000	1,500,000	(26,957)	61,786	(4,582)	26,846	2,300,407	5,357,500

Abdulaziz M. AlSedeas
Board Director

Abdulaziz Alshaikh
Chief Financial Officer

Othman Y. Alkassabi
Chief Executive Officer

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Consolidated Statement of Cash Flows

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

	Notes	December 31, 2025	December 31, 2024
		RM'000	
Operating activities:			
Net profit for the year before zakat		1,226,621	1,145,014
Adjustments for non-cash items:			
Depreciation	12	71,693	41,307
Amortisation of intangible assets	11	116,953	70,188
Share of profit from investments in equity-accounted investments	10	(31,023)	(21,676)
Employee share option scheme		15,375	11,471
Commission income		(524,998)	(601,476)
Gain on disposal of investment properties		-	(36,235)
Dividend income		(3,080)	(1,953)
(Reversal of) / Allowance for of expected credit loss		(130,747)	91,737
Net fair value (gain) on available for sale and FVPL investments		(204,690)	(55,340)
Finance cost		20,551	9,569
Provision for defined benefits obligation	16.3	32,968	23,342
		589,623	675,948
Changes in operating assets and liabilities:			
Receivable from brokers / agents		427,793	(472,065)
Reinsurance contract assets		127,643	522,943
Prepaid expenses and other assets		(195,920)	572,768
Accrued expenses and other liabilities		266,406	657,320
Reinsurance contract liabilities		43,761	-
Insurance contract liabilities		(1,008,589)	949,210
		250,717	2,906,124
Zakat paid during the year	28	(102,099)	(21,526)
Defined benefits obligation paid	16	(12,071)	(12,676)
Net cash generated from operating activities		136,547	2,871,922
Investing activities:			
Proceeds from sale of investments		261,050	-
Proceeds from sale of investment properties		-	170,119
Purchase of investments at FVPL		(2,396,432)	(1,094,249)
Proceeds from term deposits	5	16,913,156	16,450,376
Placement in term deposits	5	(15,595,393)	(18,334,138)
Commission income received		499,188	601,898
Dividends income received		-	1,953
Dividends received from investments in equity-accounted investments	10	19,750	23,093
Purchase of property, equipment and right-of-use assets	12	(107,407)	(237,986)
Purchase of intangible assets	11	(372,472)	(248,682)
Net cash used in investing activities		(778,560)	(2,667,616)
Financing activities:			
Buy-back of treasury shares	20	(28,767)	(40,100)
Lease liability paid	14.1	(20,747)	(17,042)
Interest paid for lease liability	14.1	(8,303)	(2,995)
Dividends paid		(226,480)	(148,408)
Loan received	15	550,000	-
Net cash flows generated from / (used in) financing activities		265,703	(208,545)
Net change in cash and cash equivalents during the year		(376,310)	(4,239)
Cash and cash equivalents, beginning of the year		2,077,468	2,081,707
Cash and cash equivalents, end of the year	4	1,701,158	2,077,468
Non-cash supplemental information:			
Re-measurement of defined benefits obligation	16	1,965	(15,723)
Share of other comprehensive income of investments in equity accounted investments	10	701	1,261
Net fair value gain on investments in OCI	6	11,869	27,466


Abdulaziz M. AlSedeas
Board Director


Abdulaziz Alshaikh
Chief Financial Officer


Othman Y. Alkassabi
Chief Executive Officer

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

1. GENERAL

The Company for Cooperative Insurance (the “Company”) is a Saudi Joint Stock Company established in Riyadh, Kingdom of Saudi Arabia by Royal Decree Number M/5 and incorporated on January 18, 1986 corresponding to Jumada Al-Awal 8, 1406H under Commercial Registration No. 1010061695. The Company’s head office is located on Thumamah Road (At Takhassusi) Ar Rabi District, P.O. Box 86959, Riyadh 11632, Kingdom of Saudi Arabia.

The purpose of the Company is to transact cooperative insurance operations and all related activities including reinsurance and agency activities. Its principal lines of business include medical, motor, marine, fire, engineering, energy, aviation, takaful and property and casualty insurance.

On July 31, 2003, corresponding to Jumada Thani 2, 1424H the Law on the Supervision of Cooperative Insurance Companies (“Insurance Law”) was promulgated by Royal Decree Number (M/32). On December 1, 2004 corresponding to Shawwal 18, 1425H, the Insurance Authority (formerly Saudi Central Bank “SAMA”) as the principal authority responsible for the application and administration of the Insurance Law and its implementing regulations, granted the Company a license to transact insurance activities in Saudi Arabia. During 2023, the Insurance Authority has been established by a royal decree as the insurance regulator. Previously issued regulations by SAMA will be upheld until the Insurance Authority issued updated regulations.

The Company conducts the business and advances funds to the insurance operations as required. On January 20, 2004 the Company amended its Articles of Association giving authority to the Board of Directors to determine the disposition of the surplus from insurance operations.

On March 20, 2004, the Board of Directors approved the distribution of the surplus from insurance operations in accordance with the Implementing Regulations issued by Insurance Authority, whereby the shareholders of the Company are to receive 90% of the annual surplus from insurance operations and the policyholders are to receive the remaining 10%. Any deficit arising on insurance operations is transferred to the shareholders’ operations in full.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

1. GENERAL (continued)

The Company has the following subsidiaries and associates.

Name of the Subsidiary / Associate	Registration No.	Registration date	Ownership interest	Financial year end	Principal Activities
Subsidiary					
Teejan Al- Khaleej	1010644057	21 July 2020	100%	December 31	Developing technology based solutions and extending consultancy services for the insurance and healthcare businesses.
Tree Digital Insurance Agency Company	1010816901	04 August 2022	100%	December 31	Introducing innovative products and services with an end-to-end digital journey to drive insurance penetration in the Kingdom of Saudi Arabia by providing intermediary insurance services and claims settlement services.
Meena health medical Company	1010887256	08 June 2023	100%	June 30	Extending health care services for Medical line of business.
Commercial Vehicle Solutions and Services Company	1009119265	17 October 2024	100%	December 31	Wholesale and retailing of vehicles including new and used private cars, new and used and heavy transport vehicles, new and used travel and camping vehicles, selling light and heavy vehicles on commission and other related vehicle solution services
Optimal Solution Company for settling insurance claims	1009127897	3 November 2024	100%	December 31	To provide the claim administration services.
Riyadh Reinsurance Company	7052384265	4 November 2025	100%	December 31	To transact cooperative reinsurance and related activities.
Associates					
United Insurance Company B.S.C.	17337-1	12 May 1986	50%	December 31	Insurance for all motor vehicles which travel through the King Fahad Causeway in accordance with the Bahrain Insurance Company Law.
Waseel Application Service Provider Limited	1010186558	15 April 2003	45%	December 31	Internet based connectivity, information services, and B2B e-commerce capabilities for the healthcare insurance market.

These consolidated financial statements comprise the Company and its subsidiaries (together referred to as the ‘Group’).

2. BASIS OF PREPARATION

2.1 Statement of compliance

The consolidated financial statements of the Group have been prepared in accordance with International Financial Reporting Standard (IFRSs) as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants (“SOCPA”) and in compliance with Regulations for Companies in the Kingdom of Saudi Arabia and By-Laws of the Company.

The Group’s consolidated statement of financial position is not presented using a current / non-current classification. However, the following balances would generally be classified as non-current: statutory deposit, accrued income on statutory deposit, Property, equipment and right-of-use assets, net, intangible assets, return payable on statutory deposit, investment properties, investments in equity accounted investments, defined benefits obligation and those balances of insurance & reinsurance contracts liabilities and reinsurance contract assets that would not settle within next twelve months. All other financial statement line items would generally be classified as current.

The Group presents its consolidated statement of financial position in order of liquidity. As required by the Saudi Arabian Insurance Regulations, the Company maintains separate books of accounts for Insurance Operations and Shareholders’ Operations. Assets, liabilities, revenues and expenses clearly attributable to either activity are recorded in the respective accounts. The basis of allocation of expenses between Insurance Operations and Shareholders’ Operations is determined and approved by the management and the Board of Directors.

In preparing the Group-level consolidated financial statements in compliance with IFRS Accounting Standards as endorsed in Kingdom of Saudi Arabia, the balances and transactions of the insurance operations are amalgamated and combined with those of the shareholders’ operations. Inter-operation balances, transactions, and unrealised gains or losses, if any, are eliminated in full during amalgamation. The accounting policies adopted for the insurance operations and shareholders operations are uniform for like transactions and events in similar circumstances.

The by-laws of the Company were amended effective June 23, 2024.

2.2 Basis of measurement

These consolidated financial statements are prepared under the historical cost convention, except for the measurement of investments carried at fair value through profit or loss (FVPL) and investments carried at fair value through other comprehensive income (FVOCI), investment in equity accounted investments which is accounted for under the equity method, defined benefits obligation recorded at the present value using the projected unit credit method and liability of incurred claims (LIC) and assets for incurred claims (AIC) recorded at the present value at the current discount rates.

Functional and presentation currency

These consolidated financial statements have been presented in Saudi Arabian Riyals (ﷲ), which is also the functional currency of the Company. All financial information presented in Saudi Arabian Riyal has been rounded to the nearest thousands, except where otherwise indicated.

Fiscal year

The Group follows a fiscal year ending December 31.

Seasonality of operations

Other than normal seasonality in Medical and Motor Insurance Business in the Kingdom of Saudi Arabia, there are no seasonal changes that may affect insurance operations of the Company.

2.3 Basis of consolidation

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries. The financial statements of the subsidiaries are prepared for the same reporting year as that of the Company, using consistent accounting policies.

The Group accounts business combination under the acquisition method when the acquired set of activities and assets meet the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

2. BASIS OF PREPARATION (continued)

The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities. The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee);
- Exposure, or rights, to variable returns from its involvement with the investee, and;
- The Group's voting rights and potential voting rights.

The financial statements of subsidiaries are included in the consolidated financial statements of the Group from the date of acquisition or incorporation, being the date on which the Group obtains control, and continue to be consolidated until the date when such control ceases. The financial statements of the subsidiaries are prepared for the same reporting year as the Company, using consistent accounting policies.

Generally, there is a presumption that a majority of voting rights result in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement(s) with the other vote holders of the investee;
- Rights arising from other contractual arrangements;
- The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income, and expenses of a subsidiary acquired or disposed of during the period are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

Goodwill

Goodwill is initially measured as the excess of the cost of the acquisition over the fair value of the Group's share of the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed, and reviews the procedures used to measure the amounts to be recognized at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognized in profit or loss as a bargain purchase gain.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the cash-generating units ("CGU") that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquire are assigned to those units.

Where goodwill has been allocated to a CGU and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in these circumstances is measured based on the relative values of the disposed operation and the portion of the CGU retained.

Non-controlling interests (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the date of acquisition. All subsidiaries of the Company is fully owned and therefore NCI share is zero.

Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in the consolidated statement of income. Any interest retained in the former subsidiary is measured at fair value when control is lost. A change in ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealized income and expenses and cash flows relating to transactions arising from intra group transactions, are eliminated. Unrealized losses are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

2.4 Critical accounting judgments, estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

Estimates and judgments are continually evaluated and based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Revisions to estimates are recognised prospectively.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

2. BASIS OF PREPARATION (continued)

Following are the accounting judgments and estimates that are critical in the preparation of these consolidated financial statements:

a) PAA eligibility assessment

The Group has calculated a Liability for remaining coverage (LRC) and Asset for remaining coverage (ARC) for those groups of insurance contracts written and reinsurance contracts held respectively where the coverage period was more than one year. The calculation was performed under both simplified approach i.e., Premium Allocation Approach (PAA) and General Measurement Model (GMM). Situations, which may cause the LRC and / or ARC under the PAA to differ from the LRC and / or ARC under the GMM:

- When the expectation of the profitability for the remaining coverage changes at a particular valuation date during the coverage period of a group of contracts;
- If yield curves change significantly from those in place at the group's initial recognition;
- When the incidence of claims occurrence differs from the coverage units; and
- The effect of discounting under the GMM creates an inherent difference; this difference compounds over longer contract durations.

Upon analysis of the possible differences between LRC and / or ARC applying the PAA and GMM approach, respectively, the Group did not note any material difference for contracts with coverage period of more than one year. Hence, it has opted to report all such contracts using the PAA approach maintaining a consistent accounting treatment to the rest of the portfolio of insurance contracts issued and reinsurance contracts held that have a coverage period of up to one year. The Group assesses materiality at each respective group of contracts level (GoCs) and at an aggregate insurance contract liabilities / re-insurance contract assets level using pre-determined quantitative threshold for differences at the GoCs.

b) Insurance acquisition cash flows

Under Premium Allocation Approach

Commissions and other acquisition related expenses are deferred and amortized over the term of the insurance contracts to which these relate, similar to premiums earned. The Group uses a systematic and rational method to allocate such expenses. Insurance acquisition cash flows that are directly attributable to a group of insurance contracts are allocated:

- to that group; and
- to groups that include insurance contracts that are expected to arise from the renewals of the insurance contracts in that group.

Under General Measurement Approach

At the end of each reporting period, the Group assesses the recoverability of an asset for insurance acquisition cash flows if facts and circumstances indicate the asset may be impaired. If Group identifies an impairment loss, the Group adjust the carrying amount of the asset and recognises the impairment loss in profit or loss.

The Group recognises in profit or loss a reversal of some or all of an impairment loss previously recognised and increase the carrying amount of the asset, to the extent that the impairment conditions no longer exist or have improved, without increasing the carrying amount above the amount that would have been determined had no impairment been recongnized.

c) Expense attribution

The Group identifies expenses which are directly attributable towards acquiring insurance contracts (acquisition costs) and fulfilling / maintaining (other attributable expenses) such contracts and those expenses which are not directly attributable to the aforementioned contracts (non-attributable expenses). Acquisition costs, such as underwriting costs including other expenses except for initial commission paid, are no longer recognized in the consolidated statement of income when incurred and instead spread over the lifetime of the group of contracts based on the passage of time.

Other attributable expenses are allocated to the groups of contracts using an allocation mechanism considering the activity-based costing principles. The Group has determined costs directly identified to the groups of contracts, as well as, costs where a judgement is applied to determine the share of expenses as applicable to that group.

On the other hand, non-directly attributable expenses, overheads and one-off exceptional expenses is recognized in the consolidated statement of income immediately when incurred. The proportion of directly attributable and non-attributable costs at inception will change the pattern at which expenses are recognized.

d) Discounting methodology

Under Premium Allocation Approach

Insurance contract liabilities and Reinsurance contract assets are calculated by discounting expected future cash flows at a discount rate that reflects the characteristics of the cash flows and the liquidity characteristics of the insurance contracts. The Group applied a bottom-up approach to derive the applicable yield curve when determining the discount rate, where the curve is based on the European Insurance and Occupational Pensions Authority (EIOPA) volatility adjusted risk-free curve denominated in United States Dollars while applying certain adjustments for factors under IFRS 17.

Under General Measurement Approach

CSM under GMM approach is measured using locked in discount rate at the date of initial recognition of group of insurance contracts.

Discount rates applied for discounting of future cash flows are listed below:

Evaluation date	1 Year	2 Year	3 Year	4 Year	5 Year
31 December 2025	4.52%	4.40%	4.43%	4.49%	4.56%
31 December 2024	5.40%	5.30%	5.28%	5.25%	5.23%

e) Risk adjustment methodology, including correlations, and confidence level selected

The risk adjustment for non-financial risk is the compensation that the Group requires for bearing the uncertainty about the amount and timing of the cash flows of groups of insurance contracts. The risk adjustment reflects an amount that an insurer would rationally pay to remove the uncertainty that future cash flows will exceed the expected value of claims.

The Group has estimated the risk adjustment using a confidence level (probability of sufficiency) approach at the 75th percentile. That is, the Group has assessed its indifference to uncertainty for all product lines, as an indication of the compensation that it requires for bearing non-financial risk) as being equivalent to the 75th percentile confidence level less the mean of an estimated probability distribution of the future cash flows.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

2. BASIS OF PREPARATION (continued)

The Company has appointed a qualified actuary who supports in reviewing and providing recommendations with regards to the expected ultimate claims and the associated claims reserves. The Company booked reserves following the recommendation of the appointed actuary who is currently external and independent from the Company. A range of methods were used by the appointed actuary to determine these claims. From the diverse methods available to estimate the volatility of future cash flows and, thus, the applicable confidence interval for each line of business, the Group relied on the following three methods depending on the nature of each portfolio:

- Mack Model
- Bootstrap – over dispersed Poisson model
- Stochastic Bornhuetter-Ferguson

f) Liability for incurred claims

The estimation of the ultimate liability arising from claims made under insurance contracts is the Company’s most critical accounting estimate given the level of subjectivity inherent in estimating the impact of claim events that have occurred and incurred but not reported for which the ultimate outcome remains uncertain. There are several sources of uncertainty that need to be considered in the estimate of the liability that the Company will ultimately pay for such claims. Estimates are made at the end of the reporting period both for the expected ultimate cost of claim reported and for the expected ultimate costs of claims incurred but not reported. Both of these estimates are recorded under the liability for incurred claims (“LIC”). Moreover, the Company includes claims payable and advance payment made to or on behalf of policyholders under LIC.

Events not in data (“ENID”) represents an additional amount that needs to be included in the best estimate claim liability to ensure that the best estimate is a true best estimate of all possible outcomes. The methodology used by the Group to derive the ENID is based on Lloyd’s Technical Provisions Guidance issued in March 2011, which suggests several approaches to allow for Binary events / Events Not in Data. In this guidance, Lloyd’s details an approach that offers uplifting reserve best estimates to allow for a limited range of historical (observable) data. This approach is also called the Truncated Statistical Distribution approach and defines the uplift factor of reserve best estimate as: “the ratio of the ‘true mean’ to the ‘mean only including realistically foreseeable events”. The distribution is adjusted to add to the tail and a new mean is estimated from the new distribution which represents a “true” distribution of claims. The ENID uplift factor applied to the claims is then the ratio of the new mean to the old mean.

Liabilities for unpaid reported claims are estimated using the input of assessments for individual cases reported to the Company. At the end of each reporting period, prior year claims estimates are reassessed for adequacy and changes are made to the provision.

The Company has appointed a qualified actuary who supports in reviewing and providing recommendation with regards to the expected ultimate claims and the associated claims reserves. The Company booked reserves following the recommendation of the appointed actuary who is currently external and independent from the Company. A range of methods were used by the appointed actuary to determine these claims. A range of methods such as Chain Ladder Method, Bornhuetter-Ferguson Method and Expected Loss Ratio Method are used by the actuaries to determine these provisions. The actuary had also used a segmentation approach including analysing cost per member per year for medical line of business. Underlying these methods are a number of explicit or implicit assumptions relating to the expected settlement amount and settlement patterns of claims.

Some insurance contracts permit the Group to sell (usually damaged) assets acquired in settling a claim (for example, salvage). The Group may also have the right to pursue third parties for payment of some or all costs (for example, subrogation). Estimates of salvage recoveries are included as an allowance in the measurement of the LIC. The allowance is the amount that can reasonably be recovered from the disposal of the asset. Subrogation reimbursements are also considered as an allowance in the measurement of the LIC. The allowance is the assessment of the amount that can be recovered from the third party.

g) Significant financing component

For insurance contracts measured under PAA the Group has assessed its Liability for Remaining Coverage (LRC) and Assets for remaining coverage (ARC) and concluded that no significant financing component exists within LRC and ARC respectively in contracts with a coverage period of one year or less (measured under PAA). Therefore, the Group has not adjusted the carrying amount of the LRC and ARC to reflect the time value of money and the effect of financial risk using the discount rates. For IDI product, the Company has adjusted the carrying amount of the LRC and ARC to reflect the time value of money and the effect of financial risk using the discount rates.

h) Amortization of CSM

Under the GMM approach, the CSM is a component of the asset or liability for the group of insurance contracts that represents the unearned profit the Company will recognize as it provides services in the future. The amount of the CSM for a group of insurance contracts is recognized in the consolidated statement of income as insurance revenue in each period to reflect the services provided under the group of insurance contracts in that period. The amount is determined by:

- Identifying the coverage units in the group
- interest accreted on the carrying amount of the contractual service margin during the reporting period, measured at the locked-in discount rates
- Allocating the CSM at the end of the period (before recognizing any amounts in the consolidated statement of income to reflect the services provided in the period) to each coverage unit provided in the current period and expected to be provided in the future
- Recognizing in the consolidated statement of income the amount allocated to coverage units provided in the period.

The number of coverage units in a group is the quantity of coverage provided by the contracts in the group, which the Company determines by considering the quantity of the benefits provided and the expected coverage duration. The total coverage units of each group of insurance contracts are reassessed at the end of each reporting period to adjust for the reduction of remaining coverage for claims paid, and cancellation/delays of contracts in the period.

i) Estimates of future cash flows

Expected inflows

Cash inflows are comprised of expected premiums from policyholders and fees from other insurers who are providing coinsurance.

Expected Outflows

Outflows are comprised of expected claims, and expected expenses, the model assumes a loss ratio of 60%. There are two types of defects which will result in claims, patent and latent. Most construction defect claims fall into the latent category.

Patent defects are defects detectable through reasonable inspection. An example of a patent defect is a wall is mouldy due to leaking pipes. This is something that would be expected to be readily detectable and most of these claims are expected to occur a few months after construction is completed and they are not expected to be severe. This pattern has been reflected in the modelling assumptions used.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

2. BASIS OF PREPARATION (continued)

Latent defects are defects that are not detectable through reasonable inspection and are manifested over a period of time. Most of the defects manifest when the building is 3-6 years old. An example of a latent defect is the pipes freezing in a house because the plumbing was not properly insulated. This is something that would not be expected to be readily detectable. These types of defects are expected to be severe and less frequent.

Expenses

Operating expenses assumptions reflect the projected costs of acquiring, maintaining and servicing in-force policies and associated overhead expenses. The current level of expenses is taken as an appropriate expense base, adjusted for expected expense inflation if appropriate based on IDI pool agreement.

An increase in the expected level of expenses will reduce future expected profits of the Company. The cash flows within the contract boundary include an allocation of fixed and variable overheads directly attributable to fulfilling insurance contracts. Such overheads are allocated to groups of contracts using methods that are systematic and rational, and are consistently applied to all costs that have similar characteristics.

j) Onerosity determination

The profitability of groups of insurance contracts is assessed by actuarial valuation models that take into consideration existing and new business. Profitability is measured through the expected risk-adjusted combined ratio (including premiums, expenses, discounted risk adjusted claims and an allowance for ENID). The expected risk adjusted combined ratio approximates the fulfilment cash flows as defined in IFRS 17. The Group assumes that no contracts in the portfolio are onerous at initial recognition unless facts and circumstances indicate otherwise. The Group also considers facts and circumstances to identify whether a group of contracts are onerous based on the following key inputs:

- Pricing information: Underwriting combined ratios and price adequacy ratio. This input is most relevant for the Medical insurance portfolio;
- Historical combined ratio of similar and comparable sets of contracts for Motor and P&C portfolios in particular;
- Any relevant inputs from underwriters;
- Other external factors such as inflation and change in market claims experience or change in regulations; and
- For subsequent measurement, the Group also relies on the same group of contracts' weighted actual emerging experience.

The actuarial profitability valuation and results are then discussed with the Profitability Assessment Committee (the "Committee") which is chaired by Group's CFO and includes other relevant stakeholders as members. The objective of the Committee is to formulate management's view of the profitability of new and in-force contracts. The Committee, based on aforementioned inputs, classifies all new contracts into either onerous or profitable and produce the estimated combined loss ratio. For existing contracts, the Committee also produces a view of the combined ratio for such contracts. The expected combined loss ratio is then fed into the loss component calculation. Any loss-recovery component is determined with reference to the loss component recognised on underlying contracts and the recovery expected on such claims from reinsurance contracts held, if any.

k) Expected premium receipts adjustment

Insurance revenue will be adjusted with the amounts of expected premium receipts adjustment calculated on premiums not yet collected as at date of the statement of financial position. The computation is performed using IFRS 9 simplified approach to calculate Expected Credit Loss (ECL) allowance. The corresponding impact of this adjustment is recorded to LRC.

l) Non-performance risk

The Group measures the estimates of the present value of future cash flows using assumptions that are consistent with those used to measure the estimates of the present value of future cash flows for the underlying insurance contracts, with an adjustment for any risk of non-performance by the reinsurer. The effect of the non-performance risk of the reinsurer is assessed at each reporting date and the effect of changes in the non-performance risk is recognized under Amounts recoverable from reinsurers for incurred claims in the consolidated statement of income. The computation is performed using IFRS 9 simplified approach to calculate ECL allowance.

m) Impairment losses on financial assets

The measurement of impairment losses under IFRS 9 across relevant financial assets requires judgement, in particular, for the estimation of the amount and timing of future cash flows when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by the outcome of modelled Expected Credit Losses ("ECL") scenarios and the relevant inputs used.

n) Fair value of financial instruments

Fair values of financial instruments are based on quoted prices for marketable securities or estimated fair values. The fair value of commission-bearing items is estimated based on discounted cash flows using commission for items with similar terms and risk characteristics. The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed. All models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data; however, areas such as credit risk (both own credit risk and counterparty risk), volatilities, and correlations require management to make estimates. Refer fair value of financial instruments disclosure in note 32.

o) Impairment losses on non-financial assets

Assets that have an indefinite useful life – for example, land – are not subject to depreciation and are tested annually for impairment. Assets that are subject to depreciation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purpose of assessing impairment, assets are grouped at the lowest level for which there are separately identifiable cash flows (cash-generating units).

p) Impairment of goodwill

The Group tests whether goodwill has suffered any impairment on an annual basis. the recoverable amount of the cash-generating units (CGUs) was determined based on value-in-use calculations which require the use of assumptions. The calculations use cash flow projections based on financial budgets approved by management covering a five-year period. Cash flows beyond the five-year period are extrapolated using the estimated growth rates. These growth rates are consistent with forecasts included in industry reports specific to the industry in which each CGU operates.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

2. BASIS OF PREPARATION (continued)

Under Premium Allocation Approach

The liability for incurred claims is sensitive to the key assumptions in the table below. It has not been possible to quantify the sensitivity of certain assumptions such as legislative changes or uncertainty in the estimation process.

The following sensitivity analysis shows the impact on gross and net liabilities, profit before tax and equity for reasonably possible movements in key assumptions. The correlation of assumptions will have a significant effect in determining the ultimate impacts, but to demonstrate the impact due to changes in each assumption, assumptions have been changed on an individual basis. It should be noted that movements in these assumptions are non-linear.

	December 31, 2025				
	ﷲ '000				
	Changes in assumptions	Impact on profit before zakat gross of reinsurance	Impact on profit before zakat net of reinsurance	Impact on equity gross of reinsurance	Impact on equity net of reinsurance
Risk adjustment changes	+/-10%	34,114	21,326	34,114	21,326
Liability for incurred claims changes	+/-5%	298,710	208,118	298,710	208,118
Discounting impact changes	+/-50%	86,443	44,233	86,443	44,233

	December 31, 2024				
	ﷲ '000				
	Changes in assumptions	Impact on profit before zakat gross of reinsurance	Impact on profit before zakat net of reinsurance	Impact on equity gross of reinsurance	Impact on equity net of reinsurance
Risk adjustment changes	+/-10%	46,208	21,529	46,208	21,529
Liability for incurred claims changes	+/-5%	314,254	199,232	314,254	199,232
Discounting impact changes	+/-50%	87,117	49,990	87,117	49,990

The sensitivities relating to risk adjustment on LIC and impact of discounting have been disclosed in addition to overall LIC sensitivity. These above base LIC amounts is inclusive of risk adjustment and impact of discounting.

Under General Measurement Approach

The sensitivity to key valuation assumptions is provided in the table below. It has not been possible to quantify the sensitivity of certain assumptions such as legislative changes.

The following sensitivity analysis shows the impact on gross and net liabilities, profit before tax and equity for reasonably possible movements in key assumptions. The correlation of assumptions will have a significant effect in determining the ultimate impacts, but to demonstrate the impact due to changes in each assumption, assumptions have been changed on an individual basis. It should be noted that movements in these assumptions are non-linear.

	December 31, 2025				
	ﷲ '000				
	Changes in assumptions	Impact on profit before zakat gross of reinsurance	Impact on profit before zakat net of reinsurance	Impact on equity gross of reinsurance	Impact on equity net of reinsurance
Activation Date	+/- 5%	433	108	433	108
Loss Rate	+/- 5%	551	225	799	494
Discounting impact changes	+/- 5%	799	494	433	108

	December 31, 2024				
	ﷲ '000				
	Changes in assumptions	Impact on profit before zakat gross of reinsurance	Impact on profit before zakat net of reinsurance	Impact on equity gross of reinsurance	Impact on equity net of reinsurance
Activation Date	+/- 5%	739	185	739	185
Loss Rate	+/- 5%	321	321	82	5
Discounting impact changes	+/- 5%	82	5	739	185

3. CHANGE IN MATERIAL ACCOUNTING POLICIES

The accounting policies used in the preparation of these consolidated financial statements are consistent with those used in the preparation of the annual consolidated financial statements for the year ended December 31, 2024, except as mentioned in note 3.1 below:

a) New IFRS Standards, IFRIC interpretations and amendments thereof, adopted by the Group

Standard, interpretation, amendments	Description	Effective date
Amendments to IAS 21 - Lack of exchangeability	The International Accounting Standards Board (IASB) has published 'Lack of Exchangeability (Amendments to IAS 21)' that contains guidance that will help an entity determine whether a currency is exchangeable into another currency and requirements the entity would apply when it is not.	Annual periods beginning on or after January 1, 2025

These amendments had no impact on the consolidated financial statements of the Group.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

3. CHANGE IN MATERIAL ACCOUNTING POLICIES (continued)

b. Standards issued but not yet effective

The Group has chosen not to early adopt the following new standards, which have been issued but not yet effective for the Group's accounting year beginning on or after January 1, 2026, and is currently assessing their impact:

Standard, interpretation, amendments	Description	Effective date
Amendments to IFRS 10 and IAS 28	Amendments to IFRS 10 consolidated financial statements and IAS 28 Investments in Associates and Joint Ventures—Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	The effective date of the amendments have yet to be set by the IASB.
IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures	Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures	Annual reporting periods beginning on or after January 1, 2026
Annual Improvements to IFRS Accounting Standards	Amendments to: IFRS 1 First-time Adoption of International Financial Reporting Standards. IFRS 7 Financial Instruments: Disclosures and its accompanying Guidance on implementing IFRS 7; IFRS 9 Financial Instruments. IFRS 10 Consolidated Financial Statements; and IAS 7 Statement of Cash flows	Annual reporting periods beginning on or after January 1, 2026
IFRS 19 Subsidiaries without Public Accountability: Disclosures	IFRS 19 allows eligible subsidiaries to apply IFRS Accounting Standards with the reduced disclosure requirements of IFRS 19.	Annual reporting periods beginning on or after January 1, 2027
IFRS 18 – Presentation and disclosure in financial statements.	IFRS 18 includes requirements for all entities applying IFRS for the presentation and disclosure of information in financial statements.	Annual reporting periods beginning on or after January 1, 2027

3.1 Insurance and reinsurance contracts

Classification

The Company issues insurance contracts in the normal course of business, under which it accepts significant insurance risk from its policyholders. As a general guideline, the Company determines whether it has significant insurance risk, by comparing benefits payable after an insured event with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk. The Company issues non-life insurance to individuals and businesses. Non-life insurance products offered include medical, motor, marine, fire, engineering, energy, aviation and casualty insurance. These products offer protection of policyholder's assets and indemnification of other parties that have suffered damage as a result of a policyholder's accident.

Level of aggregation

IFRS 17 requires a company to determine the level of aggregation for applying its requirements. The level of aggregation for the Company is determined firstly by dividing the business written into portfolios. Portfolios comprise groups of contracts with similar risks which are managed together. Portfolios are further divided based on expected profitability at inception into three categories: (a) onerous contracts, (b) contracts with no significant risk of becoming onerous, and (c) the remainder. This means that, for determining the level of aggregation, the Company identifies a contract as the smallest 'unit', i.e., the lowest common denominator. However, the Company makes an evaluation of whether a series of contracts need to be treated together as one unit based on reasonable and supportable information, or whether a single contract contains components that need to be separated and treated as if they were stand-alone contracts. As such, what is treated as a contract for accounting purposes may differ from what is considered as a contract for other purposes (i.e., legal or management). Further, no group for level of

aggregation purposes contains contracts issued more than one year apart.

The Company has elected to group together those contracts that would fall into different groups only because law or regulation specifically constrains its practical ability to set a different price or level of benefits for policyholders with different characteristics.

The portfolios are further divided by year of issue and profitability for recognition and measurement purposes. Hence, within each quarter of issue, portfolios of contracts are divided into three groups, as follows:

- A group of contracts that are onerous at initial recognition (if any)
- A group of contracts that, at initial recognition, have no significant possibility of becoming onerous subsequently (if any)
- A group of the remaining contracts in the portfolio (if any)

The profitability of groups of contracts is assessed by actuarial valuation models that take into consideration existing and new business. The Company assumes that no contracts in the portfolio are onerous at initial recognition unless facts and circumstances indicate otherwise. For contracts that are not onerous, the Company assesses, at initial recognition, that there is no significant possibility of becoming onerous subsequently by assessing the likelihood of changes in applicable facts and circumstances. The Company considers facts and circumstances to identify whether a group of contracts are onerous based on:

- Pricing information
- Results of similar contracts it has recognised
- Environmental factors, e.g., a change in market experience or regulations

The Company divides portfolios of reinsurance contracts held applying the same principles set out above, except that the references to onerous contracts refer to contracts on which there is a net gain on initial recognition. For some groups of reinsurance contracts held, a group can comprise a single contract.

The Group does not issue any insurance contracts and reinsurance contracts held which qualify for contract combination / unbundling.

Length of Cohorts

The Group has adopted quarterly cohorts to measure groups of insurance contracts issued and reinsurance contracts held. This means that the groups of contracts are identified at a more granular level. The Group has elected to use quarterly cohorts that aligns with external quarterly reporting periods as well.

Recognition

The Company recognises groups of insurance contracts it issues from the earliest of the following:

- The beginning of the coverage period of the group of contracts
- The date when the first payment from a policyholder in the group is due or when the first payment is received if there is no due date
- For a group of onerous contracts, if facts and circumstances indicate that the group is onerous

Premium received in advance represents premiums received by the Company before initial recognition of the group of insurance contracts. These are excluded from liability for remaining coverage and recognised as other liabilities (refer above policy for conditions relevant to initial recognition of the group of contracts).

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in Saudi Riyals thousands unless otherwise stated)

3. CHANGE IN MATERIAL ACCOUNTING POLICIES (continued)

The Company recognises a group of reinsurance contracts held it has entered into from the earlier of the following:

- The beginning of the coverage period of the group of reinsurance contracts held. However, the Company delays the recognition of a group of reinsurance contracts held that provide proportionate coverage until the date any underlying insurance contract is initially recognised, if that date is later than the beginning of the coverage period of the group of reinsurance contracts held; and
- The date the Company recognises an onerous group of underlying insurance contracts if the Company entered into the related reinsurance contract held in the group of reinsurance contracts held at or before that date.

The Company adds new contracts to the group in the reporting period in which that contract meets one of the criteria set out above.

Measurement model

The Group applies the Premium Allocation Approach (PAA) to all the insurance contracts that it issues contracts and reinsurance contracts that it holds except IDI. The Group applies the PAA as the coverage period of these contracts is one year or less. In case of contracts with more than one-year of coverage period, the Group had carried out the PAA eligibility test (refer note 2.4(a)) to confirm that PAA may be applied. When measuring liabilities for remaining coverage, the PAA is broadly similar to the Group's previous accounting treatment under IFRS 4. However, when measuring liabilities for incurred claims, the Group now discounts cash flows that are expected to occur more than one year after the date on which the claims are incurred and includes an explicit risk adjustment for non-financial risk as well as provision for ENID. For IDI contracts, including the related reinsurance contracts held for IDI, the coverage period is 10 years (11 years for the reinsurance contracts held). Accordingly, these contracts do not meet the eligibility criteria for the Premium Allocation Approach (PAA) under IFRS 17. As a result, the Group applies the General Measurement Model (GMM) to measure these contracts. The related disclosures have been presented in accordance with the requirements of paragraphs 100 and 101 of IFRS 17.

Contract boundary

The Company includes in the measurement of a group of insurance contracts all the future cash flows within the boundary of each contract in the group. Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the reporting period in which the Company can compel the policyholder to pay the premiums, or in which the Company has a substantive obligation to provide the policyholder with insurance contract services. A substantive obligation to provide insurance contract services ends when:

- The Company has the practical ability to reassess the risks of the particular policyholder and, as a result, can set a price or level of benefits that fully reflects those risks; or

Both of the following criteria are satisfied:

- The Company has the practical ability to reassess the risks of the portfolio of insurance contracts that contain the contract and, as a result, can set a price or level of benefits that fully reflects the risk of that portfolio; and
- The pricing of the premiums up to the date when the risks are reassessed does not take into account the risks that relate to periods after the reassessment date

A liability or asset relating to expected premiums or claims outside the boundary of the insurance contract is not recognised. Such amounts relate to future insurance contracts.

Insurance contracts – initial measurement

Under Premium Allocation Approach

The Company applies the premium allocation approach (PAA) to all the insurance contracts that it issues and reinsurance contracts that it holds, as:

- The coverage period of each contract in the group is one year or less, including insurance contract services arising from all premiums within the contract boundary; or
- For contracts longer than one year, the Company has modelled possible future scenarios and reasonably expects that the measurement of the liability for remaining coverage for the group containing those contracts under the PAA does not differ materially from the measurement that would be produced applying the General Measurement Model ("GMM").

For a group of contracts that is not onerous at initial recognition, the Company measures the liability for remaining coverage as:

- The premiums, if any, received at initial recognition,
- Minus any insurance acquisition cash flows at that date,
- Plus or minus any amount arising from the derecognition at that date of the asset recognised for insurance acquisition cash flows, and
- Any other asset or liability previously recognised for cash flows related to the group of contracts that the Company pays or receives before the group of insurance contracts is recognised.

For all insurance contracts, there is no allowance for time value of money in the calculation of LRC. The Group expects that the time between providing each part of the services and the related premium due date is no more than a year.

Where facts and circumstances indicate that contracts are onerous at initial recognition, the Company performs additional analysis to determine if a net outflow is expected from the contract. Such onerous contracts are separately grouped from other contracts and the Company recognises a loss in consolidated statement of income for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows. A loss component is established by the Company for the liability for remaining coverage for such onerous group depicting the losses recognised.

Under General Measurement Approach

On initial recognition, the Company measures a group of insurance contracts as the total of:

- the fulfilment cash flows, which comprise estimates of future cash flows, adjusted to reflect the time value of money and the associated financial risks, and a risk adjustment for non-financial risk; and
- the CSM.

The fulfilment cash flows of a group of insurance contracts do not reflect the Company's non-performance risk.

The risk adjustment for non-financial risk for a group of insurance contracts, determined separately from the other estimates, is the compensation required for bearing uncertainty about the amount and timing of the cash flows that arises from non-financial risk.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

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3. CHANGE IN MATERIAL ACCOUNTING POLICIES (continued)

The CSM of a group of insurance contracts represents the unearned profit that the Company will recognise as it provides services under those contracts. On initial recognition of a group of insurance contracts, CSM is determined as the total of:

- the fulfilment cash flows,
- any cash flows arising at that date
- any amount arising from the derecognition of any assets or liabilities previously recognised for cash flows related to the group (including assets for insurance acquisition cash flows), and
- experience adjustments relating to future periods.

If the total is a net inflow, then the group is not onerous. In this case, the CSM is measured as the equal and opposite amount of the net inflow, which results in no income or expenses arising on initial recognition.

If the total is a net outflow, then the group is onerous. In this case, the net outflow is recognised as a loss in profit or loss. A loss component is created to depict the amount of the net cash outflow, which determines the amounts that are subsequently presented in profit or loss as reversals of losses on onerous contracts and are excluded from insurance revenue.

VAT treatment

Transaction-based taxes (such as premium taxes, value added taxes and goods & services taxes) and levies that arise directly from existing insurance contracts, or that can be attributed to them on a reasonable and consistent basis are included within insurance contract liabilities as part of fulfilment cash flows within the boundary of insurance contracts.

Reinsurance contracts held – initial measurement

Under Premium Allocation Approach

The Company measures its reinsurance assets for a group of reinsurance contracts that it holds on the same basis as insurance contracts that it issues. However, they are adapted to reflect the features of reinsurance contracts held that differ from insurance contracts issued, for example the generation of expenses or reduction in expenses rather than revenue.

Where the Company recognises a loss on initial recognition of an onerous group of underlying insurance contracts or when further onerous underlying insurance contracts are added to a group, the Company establishes a loss-recovery component of the asset for remaining coverage for a group of reinsurance contracts held depicting the recovery of losses.

The Company calculates the loss-recovery component by multiplying the loss recognised on the underlying insurance contracts and the percentage of claims on the underlying insurance contracts the Company expects to recover from the group of reinsurance contracts held. The Company uses a systematic and rational method to determine the portion of losses recognised on the group to insurance contracts covered by the group of reinsurance contracts held where some contracts in the underlying group are not covered by the group of reinsurance contracts held.

The loss-recovery component adjusts the carrying amount of the asset for remaining coverage.

Under General Measurement Approach

The Company measures its reinsurance assets for a group of reinsurance contracts that it holds on the same basis as insurance contracts that it issues. However, they are adapted to reflect the features of reinsurance contracts held that differ from insurance contracts issued, for example the generation of expenses or reduction in expenses rather than revenue.

On initial recognition, the CSM of a group of reinsurance contracts represents a net cost or net gain on purchasing reinsurance. It is measured as the equal and opposite amount of the total of:

- the fulfilment cash flows,
- any amount arising from the derecognition of any assets or liabilities previously recognised for cash flows related to the group,
- any cash flows arising at that date,
- any income recognised in profit or loss because of onerous underlying contracts recognised at that date, and
- experience adjustments relating to future periods.

However, if any net cost on purchasing reinsurance coverage relates to insured events that occurred before the purchase of the group, then the Company recognises the cost immediately in profit or loss as an expense.

Insurance contracts – subsequent measurement

Under Premium Allocation Approach

The Company measures the carrying amount of the liability for remaining coverage at the end of each reporting period as the liability for remaining coverage at the beginning of the period:

- Plus premiums received in the period,
- Minus insurance acquisition cash flows,
- Plus any amounts relating to the amortisation of the insurance acquisition cash flows recognised as an expense in the reporting period for the group,
- Plus any adjustment to the financing component, where applicable,
- Minus the amount recognised as insurance revenue for the services provided in the period, and
- Minus any investment component paid or transferred to the liability for incurred claims, where applicable.

The Company estimates the liability for incurred claims as the fulfilment cash flows related to incurred claims. The fulfilment cash flows incorporate, in an unbiased way, all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of those future cash flows, they reflect current estimates from the perspective of the Company and include an explicit adjustment for non-financial risk (the risk adjustment).

Where, during the coverage period, facts and circumstances indicate that a group of insurance contracts is onerous, the Company recognises a loss in consolidated statement of income for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows. A loss component is established by the Company for the liability for remaining coverage for such onerous group depicting the losses recognised.

Under General Measurement Approach

Subsequently the carrying amount of a group of insurance contracts at each reporting date is the sum of the liability for remaining coverage and the liability for incurred claims.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

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3. CHANGE IN MATERIAL ACCOUNTING POLICIES (continued)

Liability for Remaining Coverage

The liability for remaining coverage comprises

- the fulfilment cash flows that relate to services that will be provided under the contracts in future periods and
- any remaining CSM at that date.

Insurance Acquisition Cash Flows

The Group allocates insurance acquisition cash flows to group of insurance contracts using a systematic and rational method. The Group recognizes as an asset the insurance acquisition cash flows paid.

The Group derecognizes an asset for insurance acquisition cashflows when the insurance acquisition cash flows are included in the measurement of the related group of insurance contracts.

At the end of each reporting period, the Group assesses the recoverability of an asset for insurance acquisition cash flows if facts and circumstances indicate the asset may be impaired. If Group identifies an impairment loss, the Group adjust the carrying amount of the asset and recognises the impairment loss in profit or loss.

The Group recognises in profit or loss a reversal of some or all of an impairment loss previously recognised and increase the carrying amount of the asset, to the extent that the impairment conditions no longer exist or have improved.

Liability for Incurred Claims

The liability for incurred claims includes the fulfilment cash flows for incurred claims and expenses that have not yet been paid, including claims that have been incurred but not yet reported.

Fulfilment of cashflows

The fulfilment cash flows of groups of insurance contracts are measured at the reporting date using current estimates of future cash flows, current discount rates and current estimates of the risk adjustment for non-financial risk. Changes in fulfilment cash flows are recognised as follows.

- Changes relating to future services – Adjusted against the CSM (or recognised in the insurance service result in profit or loss if the group is onerous)
- Changes relating to current or past services – Recognised in the insurance service result in profit or loss
- Effects of the time value of money, financial risk and changes therein on estimated future cash flows – Recognised as insurance finance income or expenses

Contractual Service Margin

The carrying amount of the CSM at each reporting date is the carrying amount at the start of the year, adjusted for:

- the CSM of any new contracts that are added to the group in the year;
- interest accreted on the carrying amount of the CSM during the year, measured at the discount rates on nominal cash flows that do not vary based on the returns on any underlying items determined on initial recognition;
- changes in fulfilment cash flows that relate to future services, except to the extent that:
 - any increases in the fulfilment cash flows exceed the carrying amount of the CSM, in which case the excess is recognised as a loss in profit or loss and creates a loss component; or
 - any decreases in the fulfilment cash flows are allocated to the loss component, reversing losses previously recognised in profit or loss;
- the effect of any currency exchange differences on the CSM; and
- the amount recognised as insurance revenue because of the services provided in the year

Changes in fulfilment cash flows that relate to future services comprise:

- experience adjustments arising from premiums received in the year that relate to future services and related cash flows, measured at the discount rates determined on initial recognition;
- changes in estimates of the present value of future cash flows in the liability for remaining coverage, measured at the discount rates determined on initial recognition, except for those that arise from the effects of the time value of money, financial risk and changes therein;
- differences between
 - any investment component expected to become payable in the reporting period, determined as the payment expected at the start of the year plus any insurance finance income or expenses related to that expected payment before it becomes payable; and
 - the actual amount that becomes payable in the reporting period;
- differences between any loan to a policyholder expected to become repayable in the reporting period and the actual amount that becomes repayable in the reporting period; and
- changes in the risk adjustment for non-financial risk that relate to future services.

Changes in discretionary cash flows are regarded as relating to future services and accordingly adjust the CSM.

Reinsurance contracts held – subsequent measurement

Under Premium Allocation Approach

The subsequent measurement of reinsurance contracts held follows the same principles as those for insurance contracts issued and has been adapted to reflect the specific features of reinsurance held.

Where the Company has established a loss-recovery component, the Company subsequently reduces the loss recovery component to zero in line with reductions in the onerous group of underlying insurance contracts in order to reflect that the loss-recovery component shall not exceed the portion of the carrying amount of the loss component of the onerous group of underlying insurance contracts that the entity expects to recover from the group of reinsurance contracts held.

Under General Measurement Approach

Subsequently, the carrying amount of a group of reinsurance contracts at each reporting date is the sum of the asset for remaining coverage and the asset for incurred claims. The asset for remaining coverage comprises:

- the fulfilment cash flows that relate to services that will be received under the contracts in future periods and
- any remaining CSM at that date.

The Company measures the estimates of the present value of future cash flows using assumptions that are consistent with those used to measure the estimates of the present value of future cash flows for the underlying insurance contracts, with an adjustment for any risk of non-performance by the reinsurer. The effect of the non-performance risk of the reinsurer is assessed at each reporting date and the effect of changes in the non-performance risk is recognised in profit or loss.

The risk adjustment for non-financial risk is the amount of risk being transferred by the Company to the reinsurer.

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3. CHANGE IN MATERIAL ACCOUNTING POLICIES (continued)

The carrying amount of the CSM at each reporting date is the carrying amount at the start of the year, adjusted for:

- the CSM of any new contracts that are added to the group in the reporting period;
- interest accreted on the carrying amount of the CSM during the reporting period, measured at the discount rates on nominal cash flows that do not vary based on the returns on any underlying items determined on initial recognition;
- income recognised in profit or loss in the reporting period on initial recognition of onerous underlying contracts;
- reversals of a loss-recovery component to the extent that they are not changes in the fulfilment cash flows of the group of reinsurance contracts;
- changes in fulfilment cash flows that relate to future services, measured at the discount rates determined on initial recognition, unless they result from changes in fulfilment cash flows of onerous underlying contracts, in which case they are recognised in profit or loss and create or adjust a loss-recovery component;
- the effect of any currency exchange differences on the CSM; and
- the amount recognised in profit or loss because of the services received in the reporting period.

Insurance contracts – modification and derecognition

The Company derecognises insurance contracts when:

- The rights and obligations relating to the contract are extinguished (i.e., discharged, cancelled or expired), or
- The contract is modified such that the modification results in a change in the measurement model or the applicable standard for measuring a component of the contract, substantially changes the contract boundary, or requires the modified contract to be included in a different group. In such cases, the Company derecognises the initial contract and recognises the modified contract as a new contract.

When a modification is not treated as a derecognition, the Company recognises amounts paid or received for the modification with the contract as an adjustment to the relevant liability for remaining coverage.

Presentation

The Company presents separately, in the consolidated statement of financial position, the carrying amount of portfolios of insurance contracts issued that are assets, portfolios of insurance contracts issued that are liabilities, portfolios of reinsurance contracts held that are assets and portfolios of reinsurance contracts held that are liabilities.

The Company disaggregates the total amount recognised in the consolidated statement of income into an insurance service result, comprising insurance revenue and insurance service expense, and insurance finance income or expenses.

The Company separately presents income or expenses from reinsurance contracts held from the expenses or income from insurance contracts issued.

The Group has chosen not to disaggregate the change in risk adjustment for non-financial risk between a financial and non-financial portion. Hence, the total charge for both financial and insurance portions are included as part of the insurance service result in the consolidated statement of income.

Insurance revenue

Under Premium Allocation Approach

The insurance revenue for the period is the amount of expected premium receipts allocated to the period (excluding any investment component). The Company allocates the expected premium receipts to each period of insurance contract services on the basis of the passage of time except for engineering and marine cargo policies. Engineering contracts are earned using linearly increasing earning pattern while marine cargo policies are earned over 90 days period. But if the expected pattern of release of risk during the coverage period differs significantly from the passage of time, then the allocation is made on the basis of the expected timing of incurred insurance service expenses. Any endorsements are recorded in the period these occur irrespective of the underwriting year these pertains to.

The Company changes the basis of allocation between the two methods above as necessary, if facts and circumstances change. The change is accounted for prospectively as a change in accounting estimate. For the periods presented, all revenue has been recognized on the basis of the passage of time.

Fee income from takaful is calculated in accordance with the terms of the agreement and is accounted for on an accrual basis and are recognised in insurance revenue.

Under General Measurement Approach

For contracts measured under the GMM insurance revenue comprises the following:

- Amounts relating to the changes in the LRC:
 - insurance claims and expenses incurred in the period measured at the amounts expected at the beginning of the period, excluding:
 - amounts related to the loss component.
 - repayments of investment components.
 - amounts of transaction-based taxes collected in a fiduciary capacity and
 - insurance acquisition expenses
 - changes in the risk adjustment for non-financial risk, excluding:
 - changes included in insurance finance income (expenses).
 - changes that relate to future coverage (which adjust the CSM); and
 - amounts allocated to the loss component.
 - amounts of the CSM recognized in consolidated statement of income for the services provided in the period; and
 - experience adjustments arising from premiums received in the period that relate to past and current service and related cash flows such as insurance acquisition cash flows and premium-based taxes

Loss components

The Company assumes that no contracts are onerous at initial recognition unless facts and circumstances indicate otherwise. Where this is not the case, and if at any time during the coverage period, the facts and circumstances indicate that a group of insurance contracts is onerous, the Company establishes a loss component as the excess of the fulfilment cash flows that relate to the remaining coverage of the group over the carrying amount of the liability for remaining coverage of the group. Accordingly, by the end of the coverage period of the group of contracts the loss component will be zero.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

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3. CHANGE IN MATERIAL ACCOUNTING POLICIES (continued)

Loss-recovery components

Where the Company recognises a loss on initial recognition of an onerous group of underlying insurance contracts, or when further onerous underlying insurance contracts are added to a group, the Company establishes a loss-recovery component of the asset for remaining coverage for a group of reinsurance contracts held depicting the expected recovery of the losses. A loss-recovery component is subsequently reduced to zero in line with reductions in the onerous group of underlying insurance contracts in order to reflect that the loss-recovery component shall not exceed the portion of the carrying amount of the loss component of the onerous group of underlying insurance contracts that the entity expects to recover from the group of reinsurance contracts held.

Insurance finance income and expense / reinsurance finance income and expenses

Under Premium Allocation Approach

Insurance / reinsurance finance income or expenses comprise the change in the carrying amount of the group of insurance contracts issued / reinsurance contracts held arising from:

- The effect of the time value of money and changes in the time value of money; and
- The effect of financial risk and changes in financial risk.

The Group presents insurance / reinsurance finance income or expenses on group of insurance contracts issued / reinsurance contracts held in the consolidated statement of income.

Under General Measurement Approach

For contracts measured under the GMM, the main amounts within insurance finance income or expenses are:

- interest accreted on the FCF and the CSM;
- the effect of changes in interest rates and other financial assumptions; and
- foreign exchange differences arising from contracts denominated in a foreign currency.

Net income or expense from reinsurance contracts held

The Company presents separately on the face of the consolidated statement of income, the amounts expected to be recovered from reinsurers, and an allocation of the reinsurance premiums paid. The Company treats reinsurance cash flows that are contingent on claims on the underlying contracts as part of the claims that are expected to be reimbursed under the reinsurance contract held and excludes commissions from an allocation of reinsurance premiums presented on the face of the consolidated statement of income.

Accounting for Shared pools

Insurance Contract Liability for Manafeth, Hajj & Umrah and Travel and Covid-19 pool is measured as follows:

- At initial recognition, the premium received by the Company is recorded in full in LRC
- Subsequent to initial recognition
 - commissions paid and claims paid by the Company are recorded in full in LRC and LIC respectively
 - Share of Insurance Revenue for the Company is reduced from LRC while the Company's share of acquisition costs incurred increase the LRC.
 - The Company's share of incurred claims and related expenses, risk adjustment on LIC and discounting of LIC are included in the measurement of LIC.

In calculating the reinsurance contract assets, the Group includes its share of allocation of reinsurance premium, amounts recoverable from reinsurers, risk adjustment and discounting impacts AIC. Gross cash flows for RI premiums paid and Reinsurance claims recovered are included within measurement of ARC and AIC respectively with a corresponding effect recorded in other liabilities / other assets.

The Company measures its share in groups of insurance contracts issued and reinsurance contracts held relating to Inherent Defect Insurance (IDI). For IDI, pro rata share of insurance activities is included in the measurement of Insurance Contract Liabilities.

Revenue from non-insurance services

Revenue from non-insurance services is rendered by the subsidiary to customers outside the Group.

3.2 Financial instruments

Initial recognition

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments. Financial instruments are initially recognised on the trade date measured at their fair value. Except for financial assets and financial liabilities recorded at Fair value through profit or loss, transaction costs are added to this amount.

3.2.1 Financial assets

Measurement categories

The Company classifies all of its financial assets based on the business model for managing the assets and the asset's contractual terms. The categories include the following:

- Amortised cost
- Fair value through other comprehensive income ("FVOCI")
- Fair value through profit or loss ("FVPL")

Debt instrument measured at amortised cost

Debt instruments are held at amortised cost if both of the following conditions are met:

- The instruments are held within a business model with the objective of holding the instrument to collect the contractual cash flows.
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest ("SPPI") on the principal amount outstanding.

The details of these conditions are outlined below:

a) Business model assessment

The Company determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Company holds financial assets to generate returns and provide a capital base to provide for settlement of claims as they arise. The Company considers the timing, amount, and volatility of cash flow requirements to support insurance liability portfolios in determining the business model for the assets as well as the potential to maximise return for shareholders and future business development.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

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3. CHANGE IN MATERIAL ACCOUNTING POLICIES (continued)

The Company's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios that is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the Company's key management personnel.
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed.
- The expected frequency, value and timing of asset sales are also important aspects of the Company's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

b) The solely payments of principal and interest (SPPI) test

As a second step of its classification process the Company assesses the contractual terms to identify whether they meet the SPPI test.

Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium / discount).

The most significant elements of interest within a debt arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

Financial instruments at fair value through other comprehensive income

A financial asset is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are SPPI.

The Group elects to present changes in the fair value of certain equity investments that are not held for trading in other comprehensive income. The election is made on an instrument-by-instrument basis on initial recognition and is irrevocable.

Financial assets measured at fair value through profit or loss

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. In addition, on initial recognition the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise. These instruments largely comprise debt instruments that had previously been classified as available-for-sale.

This investment portfolio has been designated at fair value through profit or loss since the Group has provided an unconditional mandate to the Investment Manager to make purchases and sales decisions without referring to the Group for each transaction. Hence, the Group does not carry the capacity to hold these Investments to realize contractual cash flows on these Investments, either partly or wholly.

Cash and cash equivalents

Cash and cash equivalents comprise cash in hand and balances with banks including mudaraba / murabaha deposits with less than three months maturity from the date of acquisition.

Subsequent measurement

Debt instrument at amortised cost

After initial measurement, financial assets are measured at amortised cost, using the effective interest rate (EIR) method, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fee or costs that are an integral part of the EIR. ECLs are recognised in the consolidated statement of income and deducted from the gross carrying amount of an asset.

Financial assets at fair value through other comprehensive income

Equity instruments that are measured at FVOCI category are subsequently measured at fair value. Dividends are recognised as income in the consolidated statement of income when the Group's right to receive payment is established, unless they clearly represent a recovery of part of the cost of the investment. Other net gains and losses are recognised in the consolidated statement of comprehensive income and are never reclassified to the consolidated statement of income. Cumulative gains and losses recognised in the consolidated statement of comprehensive income are transferred to retained earnings on disposal of an investment.

Financial assets at fair value through profit or loss

Financial assets that are measured at FVPL category are subsequently measured at fair value. Changes in fair value are recorded in the consolidated statement of income. Interest earned on assets mandatorily required to be measured at FVPL is recorded using contractual interest rate.

Dividend income is recorded in consolidated statement of income when the right to the payment has been established.

Derecognition of financial assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Company considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

When the Company has neither transferred nor retained substantially all of the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Company's continuing involvement, in which case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

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3. CHANGE IN MATERIAL ACCOUNTING POLICIES (continued)

On derecognition of a financial asset, the difference between the carrying amount at the date of derecognition and the consideration received (including any new asset obtained less any new liability assumed) is recognised in the consolidated statement of income or consolidated statement of comprehensive income as the case may be.

Impairment of financial assets

In relation to the impairment of financial assets, IFRS 9 requires an expected credit loss model. The Company applies the expected credit losses ('ECL') on its financial assets measured at amortised cost and FVOCI, which are in the scope of IFRS 9 for impairment. The Company recognises a loss allowance for such losses at each reporting date. The measurement of ECL reflects:

- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- The time value of resources; and
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

The receivable from broker / agents to be in default when it is due more than 365 while the Company considers other financial asset to be in default (credit impaired) when contractual payments are 30 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows:

- PD: The Probability of Default is an estimate of the likelihood of default over a given time horizon. It is estimated with consideration of economic scenarios and forward-looking information. Default is determined to occur if the receivable is overdue by 12 months or more based on insurance contractual position and wider insurance industry practice.
- EAD: The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, and accrued interest from missed payments.
- LGD: The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Company would expect to receive. It is usually expressed as a percentage of the EAD.

The Group allocates its assets subject to ECL calculations to one of these categories, determined as follows:

Stage 1 12-month ECL (12mECL):

The 12mECL is calculated as the portion of life time ECLs (LTECLs) that represent the ECLs that result from default events on a financial instrument that are possible within 12 months after the reporting date. The Group calculates the 12mECL allowance based on the expectation of a default occurring in the 12 months following the reporting date. These expected 12-month default probabilities are applied to a forecast EAD and multiplied by the expected LGD and discounted by an appropriate EIR.

Stage 2 LTECL:

When an instrument has shown a significant increase in credit risk since origination, the Group records an allowance for the LTECLs. The mechanics are similar to those explained above, including the use of multiple scenarios, but PDs and LGDs are estimated over the lifetime of the instrument. The expected losses are discounted by an appropriate EIR.

Stage 3 Credit impaired:

For debt instruments considered credit-impaired, the Group recognizes the lifetime expected credit losses for these instruments. The method is similar to that for LTECL assets, with the PD set at 100%.

Receivable from brokers / agents

Insurance contracts sold via brokers where brokers have collected the premiums from the insured and not yet paid to the Group are classified as "receivable from brokers / agents". The balances are outside the contract boundary of insurance contracts issued and are subject to impairment assessment based on simplified approach of IFRS 9. Under IFRS 9 simplified approach, the Group measures the loss allowance at an amount equal to lifetime expected credit losses for broker receivables.

Forward looking information

In its ECL models, the Company relies on a broad range of forward-looking information as economic inputs, such as:

- GDP growth
- Inflation

Write-offs

Financial assets are written off either partially or in their entirety only when the Company has stopped pursuing the recovery. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are credited to expected credit loss expense. There were no write-offs over the period reported in these consolidated financial statements.

All potential write-offs are reviewed for recoverability before it is submitted to the Board for their approval as per Group's standard operating procedures.

3.2.2 Financial liabilities including short term loans

All financial liabilities are recognised at the time when the Company becomes a party to the contractual provisions of the instrument. Financial liabilities at amortised costs are initially measured at fair value minus transaction costs.

Financial liabilities are subsequently measured at amortised cost using the effective yield method.

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expired.

Recognition of commission income

Under IFRS 9, commission income is recorded using the effective interest rate (EIR) method for all debt instruments measured at amortised cost.

If expectations of a fixed rate financial asset's cash flows are revised for reasons other than credit risk, the changes to future contractual cash flows are discounted at the original EIR with a consequential adjustment to the carrying amount. The difference to the previous carrying amount is booked as a positive or negative adjustment to the carrying amount of the financial asset in the consolidated statement of financial position with a corresponding increase or decrease in commission income.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

3. CHANGE IN MATERIAL ACCOUNTING POLICIES (continued)

3.3 Operating segments

A segment is a distinguishable component of the Company that is engaged in providing products or services (a business segment), which is subject to risk and rewards that are different from those of other segments. The Group has following reportable segments.

- Medical - coverage for health insurance.
- Medical Umrah - coverage for health insurance for pilgrims (refer note 29(a)).
- Motor - coverage for motor insurance and for Manafeth third party liability insurance for foreign vehicles.
- Property and casualty - coverage for property, engineering, marine, aviation, energy and general accidents insurance.
- General accidents – Hajj & Umrah insurance - coverage for pilgrims (refer note 29(a))
- Travel and COVID-19 – coverage of compulsory travel insurance in addition to some coverages related to COVID-19 for citizens travelling abroad.
- Protection and savings
- Inherent Insurance Defects (refer note 29(c))

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the chief executive officer that makes strategic decisions. No inter-segment transactions occurred during the year.

3.4 Insurance shared agreement

The shared agreements was an insurance pooling arrangement related to medical and general accidents in KSA. This was an arrangement between different number of insurance companies in KSA where the Company leads in providing insurance coverages for medical and general accidents for the pilgrims entering KSA (for Hajj and Umrah). In principle, the Company manages the shared pool arrangement on behalf of the other insurers and accordingly accounts for only its share under IFRS 17 (refer note 28(b)).

The Company also recognised its share in groups of insurance contracts issued and reinsurance contracts held relating to Inherent Defect Insurance (IDI) and the same is presented within property and casualty line of business.

3.5 Investment in equity accounted investments

An associate is an entity in which the Group has significant influence (but not control), over financial and operating policies and which is neither a subsidiary nor a joint venture. Although the Group holds 50% ownership in UIC, however, the Group does not exercise power over the financial and operating policies of UIC and therefore classified as investment in associate. Investments in equity accounted investments are carried in the consolidated statement of financial position at cost, plus post-acquisition changes in the Group's share of net assets of the associate, less any impairment in the value of individual investments.

The consolidated statement of income reflects the Group's share of the results of operations of the associate, while the Group share of other comprehensive income / loss is included in the consolidated statement of other comprehensive income. Dividend from such investments is recognized when received and is credited to the investment account. Where there has been a change recognized directly in the equity of the associate, the Group recognises its share of any such changes and presents, when applicable, in the consolidated statement of changes in equity.

When the Group's share of losses in an associate equal or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred legal or constructive obligation or made payments on behalf of the associate.

At each reporting date, the Group determines whether there is objective evidence that the investment in associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognises the loss in the consolidated statement of income, as the case may be.

3.6 Offsetting

Financial assets and financial liabilities are offset, and the net amount reported in the consolidated statement of financial position only when there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expense is not offset unless required or permitted by any accounting standard or interpretation.

3.7 Trade date accounting

All regular way purchases and sales of financial assets are recognized / derecognized on the trade date (i.e., the date that the Group commits to purchase or sell the assets). Regular way purchases or sales are purchases or sales of financial assets that require settlement of assets within the time frame generally established by regulation or convention in the marketplace.

3.8 Property and equipment

Property and equipment are stated at cost less accumulated depreciation and any impairment losses. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the consolidated statement of income during the financial period in which they are incurred. Land is not depreciated. The cost of other items of property and equipment is depreciated on the straight-line method to allocate the cost over estimated useful lives, as follows:

	Years
Buildings *	40-48
Furniture and fixtures	10
Computer and data equipment	4-7
Vehicles	4

* During the year, the Group reassessed the estimated useful lives of certain buildings in accordance with IAS 16 Property, Plant and Equipment. As a result of this reassessment, the useful life of these buildings was revised from 40 years to 48 years. The change represents a change in accounting estimate in accordance with IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors, and has been applied prospectively from the date of the reassessment.

The revision was based on management's updated assessment of the expected pattern of consumption of the future economic benefits embodied in the assets and to better align with current industry benchmarks and practices of insurance companies in Saudi Arabia.

The assets' residual values and useful lives are reviewed at each reporting date and adjusted if appropriate. The carrying values of these assets are reviewed for impairment when event or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication exists and where the carrying values exceed the estimated recoverable amount, the assets are written down to their recoverable amount.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are included in "Other income, net" in the consolidated statement of income.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

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as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

3. CHANGE IN MATERIAL ACCOUNTING POLICIES (continued)

Capital work in progress is stated at cost and not depreciated. Depreciation on assets under construction commences when the assets are ready for their intended use. When assets are ready for their intended use, they are transferred to property and equipment. Finance costs on borrowings to finance the construction of qualified assets are capitalized during the period that is required to complete and prepare the asset for its intended use.

3.9 Impairment of non-financial assets

Assets that have an indefinite useful life – for example, land – are not subject to depreciation and are tested annually for impairment. Assets that are subject to depreciation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognized for the amount by which the asset’s carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset’s fair value less costs to sell and value in use. For the purpose of assessing impairment, assets are grouped at the lowest level for which there are separately identifiable cash flows (cash-generating units).

3.10 Employees’ benefits

Defined benefits obligation

The Group operates an end of service benefits plan for its employees based on the prevailing Saudi Labor Laws. Accruals are made at the present value of expected future payments in respect of services provided by the employees up to the end of the reporting period using the projected unit credit method.

Consideration is given to expect future wage and salary levels, experience of employee departures and periods of service. Expected future payments are discounted using market yields at the end of the reporting period (as more fully defined in note 16). The benefits payments obligation is discharged as and when it falls due. Re-measurements (actuarial gains / losses) as a result of experience adjustments and changes in actuarial assumptions are recognized in consolidated statement of comprehensive income.

Short term employee benefits

Short term employee benefits obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short term cash bonus or any other benefits if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.11 Provisions, accrued expenses and other liabilities

Provisions are recognized when the Group has an obligation (legal or constructive) arising from past events, and the costs to settle the obligation are both probable and may be measured reliably. Liabilities are recognized for amounts to be paid in the future for goods or services received, whether billed by the supplier or not.

3.12 Zakat

The Group is subject to zakat in accordance with the regulations of the Zakat, Tax and Customs Authority (“ZATCA”). Zakat is computed on the Saudi shareholders’ share of equity or net income using the basis defined under the Zakat regulations. Zakat is accrued on a quarterly basis and charge to the consolidated statement of income.

3.13 Withholding tax

The Group withholds taxes on certain transactions with non-resident parties as required under Saudi Arabian Income Tax Law.

3.14 Value Added Tax (VAT)

Output VAT related to revenue is payable to tax authorities on the earlier of:

- a. Collection of receivables from customers or
- b. Delivery of services to customers.

Input VAT is generally recoverable against output VAT upon receipt of the VAT invoice. The tax authorities permit the settlement of VAT on a net basis.

VAT related to sales/services and purchases is recognized in the consolidated statement of financial position on a gross basis and disclosed separately as an asset and a liability.

VAT that is not recoverable is charged to consolidated statement of income as expense.

3.15 Dividend distribution

Dividend distribution to the Company’s shareholders is recognized as a liability in the Group’s consolidated financial statements in the period in which the dividends are approved by the Company’s shareholders.

3.16 Cash flow statement

The Group’s main cash flows are from insurance operations which are classified as cash flow from operating activities. Cash flows generated from investing and financing activities are classified accordingly.

3.17 Foreign currencies

Transactions in foreign currencies are recorded in ﷲ at the exchange rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated to ﷲ at the rate of exchange prevailing at the statement of financial position date. All differences are taken to the consolidated statements of income. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate as at the date of the initial transaction and are not subsequently restated. Foreign exchange gains or losses on investments are recognized in “Other income, net” in the consolidated statement of income. As the Group’s foreign currency transactions are primarily in US dollars, foreign exchange gains and losses are not significant.

3.18 Contingencies and commitments

Contingent liability is:

- A possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or
- a present obligation that arises from past events but is not recognized because:
- it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
- The amount of the obligation cannot be measured with sufficient reliability.

Contingent assets are not recognized in the consolidated financial statements. Contingent assets are not disclosed unless an inflow of economic benefits is probable.

Commitments represent binding agreements of the Group to carry out specified courses of action involving in a transfer of cash or other asset to the respective counterparties.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

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3. CHANGE IN MATERIAL ACCOUNTING POLICIES (continued)

3.19 Statutory reserve

In accordance with the Company's Articles of Association, the Group shall allocate 20% of its net income from shareholders operations each year to the statutory reserve until it has built up a reserve equal to the share capital. The reserve is not available for distribution.

3.20 Treasury shares (share capital)

When shares are repurchased, the amount of the consideration paid which includes directly attributable costs, is recognised as a deduction from equity. Repurchased shares are classified as treasury shares and are presented in the treasury share reserve. Any difference of the consideration paid on the treasury shares and the face value of the shares repurchased is reflected as loss on treasury shares in the retained earnings.

3.21 Employee stock option scheme reserve - Equity settled

This represents equity share-based payments granted in lieu of services provided by certain eligible executives and employees of the Group. The corresponding increase is recorded in equity based on fair value of the shares at the grant date. The employee cost is recorded over the vesting period of three years.

3.22 Management fee income

Management fee income is calculated in accordance with the terms of shared pool agreements and is accounted for on an accrual basis.

3.23 Leases

Right of Use Asset / Lease liability

On initial recognition, at inception of the contract, the Group shall assess whether the contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. Control is identified if most of the benefits are flowing to the Group and the Group can direct the usage of such assets.

At inception or on reassessment of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices. However, for the leases of land and buildings in which it is a lessee, the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

Right of Use Assets

Group applies cost model, and measure right of use (RoU) asset at cost;

- less any accumulated depreciation and any accumulated impairment losses; and
- adjusted for any re-measurement of the lease liability for lease modifications

Generally, RoU asset would be equal to the lease liability. However, if there are additional costs such as Site preparation, non-refundable deposits, application money, other expenses related to transaction etc. need to be added to the RoU asset value.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the same basis as those of property and equipment in addition to the consideration for lease term.

Lease Liability

On initial recognition, the lease liability is the present value of all remaining payments to the lessor, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, and the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

After the commencement date, Group measures the lease liability by:

- Increasing the carrying amount to reflect interest on the lease liability; and
- Reducing the carrying amount to reflect the lease payments made

Re-measuring the carrying amount to reflect any re-assessment or lease modification. The lease liability is measured at Amortised cost using the effective interest method. It is re-measured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is re-measured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in consolidated statement of income if the carrying amount of the right-of-use asset has been reduced to zero.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for short-term leases that have a lease term of 12 months or less and leases of low-value assets, including IT equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

3.24 Intangible assets

Separately acquired intangible assets are shown at historical cost. They have a finite useful life and are subsequent carried at cost less accumulated amortisation and impairment losses. The Group amortises intangible assets with a limited useful life using straight-line method over the following period:

	Years
Software licenses	1 - 4

Work in progress is stated at cost and not amortised. Amortisation on assets under construction commences when the assets are ready for their intended use. When assets are ready for their intended use, they are transferred to intangible assets. Finance costs on borrowings to finance the construction of qualified assets are capitalized during the period that is required to complete and prepare the asset for its intended us

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

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4. CASH AND CASH EQUIVALENTS

	December 31, 2025	December 31, 2024
	ﷲ'000	
Short-term deposits (note 4.1)	25,251	1,207,500
Banks balances and cash (note 4.2)	1,673,526	867,693
Accrued income on short-term deposits	2,574	2,468
	1,701,351	2,077,661
Expected credit loss allowance	(193)	(193)
Total cash and cash equivalents	1,701,158	2,077,468

4.1 The deposits are held with banks and financial institution registered with Capital Market Authority in the Kingdom of Saudi Arabia. These deposits are predominately in mudaraba structures. These deposits are denominated in Saudi Arabian Riyals and have an original maturity of less than three months. The average yield on these deposits is 5.53% (December 31, 2024: 5.91%) per annum.

4.2 These balances include cash placed with the custodian amounting to ﷲ 2.36 million (December 31, 2024: ﷲ 6 million).

4.3 Bank balances are placed with counterparties with sound credit ratings of AA to BBB- (as per S&P and Fitch) and/or Aaa to Baa3 (as per Moody's).

4.4 Bank balances and cash includes cash received by the Group on behalf of the IDI pool amounting to ﷲ 122.8 million (refer note 29(c)). The said cash is not available for use by the Group. The corresponding liability as "Due to IDI pool and Balady fee payable" is aggregated under accrued expenses and other liabilities.

5. TERM DEPOSITS

The deposits are held with banks and financial institutions registered with the Capital Market Authority in the Kingdom of Saudi Arabia. These deposits are predominately in mudaraba structures. These deposits are denominated in Saudi riyals and have an original maturity of more than three months. The average yield on these deposits is 4.80% (December 31, 2024: 4.84%) per annum.

The movements in deposits during the year is as follows:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Balance at the beginning of the year	9,161,251	7,277,489
Placed during the year	15,595,393	18,334,138
Matured during the year	(16,913,156)	(16,450,376)
Balance at the end of the year	7,843,488	9,161,251
Accrued investment income	90,293	90,462
	7,933,781	9,251,713
Expected credit loss allowance	(40)	(37)
Total	7,933,741	9,251,676

6. INVESTMENTS INCLUDING ACCRUED INVESTMENT INCOME

Investments including accrued investment income comprise the following:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Financial instruments measured at FVPL*		
Mutual funds **	944,634	760,425
Fixed income investments	1,916,833	321,980
Equity securities	1,076,627	907,802
Funds with a portfolio manager	483,279	43,464
Accrued investment income	79,686	50,627
	4,501,059	2,084,298
Financial instruments measured at amortised cost		
Sukuk	-	45,000
Accrued income	-	2,630
	-	47,630
Equity instrument measured at FVOCI		
Unquoted private equities ***	76,965	65,096
Total investments	4,578,024	2,197,024

6.1 The Group has invested in Shariah Notes including accrued investment income having fair value amounting to ﷲ 4,501 million (December 31, 2024: ﷲ 2,084 million). The equity securities include the in-house equity portfolio managed by the Group amounting to ﷲ 794 million (December 31, 2024: ﷲ 536 million), which consists of Saudi equities. The Shariah Notes are issued by a special purpose vehicle "SPV" established in the Cayman Islands. The administrator of these Shariah Notes is a Company registered in Mauritius. The underlying investments of Shariah Notes include mutual funds, discretionary portfolio management - equity shares, and fixed-income portfolios. The legal ownership of these underlying investments is not with the Group; however, the Group is the ultimate beneficial owner of the underlying investments while having control over the Shariah Notes but not over the underlying investments. The Shariah Notes are issued within a ring-fenced cell/structure, and the underlying assets are ring-fenced as well for that structure managed by the SPV. The custody of the underlying investments is in the custody account of the SPV, or its nominee entity opened with fund and portfolio managers. The Group does not exercise any control over SPV and/or fund and portfolio managers.

* Financial Instruments measured at FVPL are those that are mandatorily classified as fair value through profit or loss.

** These include investments made in Saudi Premier Fund (the "Fund") amounting to ﷲ 143.4 million representing 29% of the units of the Fund. The Group does not exercise significant influence over the Fund and hence not accounted for using equity method of accounting under IAS 28.

*** These represent unquoted private equities, which are designated at FVOCI, and comprise the following:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Najm for insurance services	76,965	65,096

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6. INVESTMENTS INCLUDING ACCRUED INVESTMENT INCOME (continued)

The movement of the investments carried at level 3 fair value are as follows:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Opening balance	100,096	37,630
Purchases related to investments carried at FVPL	100,000	35,000
Disposals	-	-
Changes in fair value of investments carried at OCI	11,869	27,466
Changes in fair value of investments carried at FVPL	8,400	-
Closing balance (please refer note 32)	220,365	100,096

The movement of changes in fair value of investments at FVOCI is as follows (please refer note 32):

	December 31, 2025	December 31, 2024
	ﷲ'000	
Opening balance	54,846	27,380
Movement for the year	11,869	27,466
Closing balance	66,715	54,846

7. RECEIVABLE FROM BROKERS / AGENTS

These comprise balances receivable from brokers / agents on account of sale of insurance policies by the broker / agent on behalf of the Group.

	December 31, 2025	December 31, 2024
	ﷲ'000	
Receivable from brokers / agents	3,089,644	3,548,600
Less: expected credit loss allowance	(112,423)	(274,332)
	2,977,221	3,274,268

Movement in expected credit loss allowance during the year was as follows:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Opening balance	274,332	182,641
(Reversal) / charge for the year	(130,747)	91,691
Write offs during the year	(31,162)	-
Closing balance	112,423	274,332

8. INSURANCE AND REINSURANCE CONTRACTS

The breakdown of groups of insurance contracts issued, and reinsurance contracts held, that are in an asset position and those in a liability position is set out in the table below:

	Notes	December 31, 2025		December 31, 2024	
		SAR'000			
		Assets	Liabilities	Assets	Liabilities
Insurance contracts issued					
Medical	8.1(a)	-	7,498,214	-	8,090,015
Medical - Umrah	8.1(b)	-	-	-	-
Motor	8.1(c)	-	1,414,374	-	1,808,897
Property and Casualty*	8.1(d)	-	3,983,187	-	4,305,259
General accidents - Hajj & Umrah	8.1(e)	-	-	-	2,021
Travel & COVID-19	8.1(f)	-	-	-	-
Protection and Savings	8.1(g)	-	119,416	-	57,418
Total insurance contracts issued under PAA		-	13,015,191	-	14,263,610
Inherent Defects Insurance - IDI*	8.1(h)(i)	-	361,587	-	121,757
Total insurance contracts issued under GMM		-	361,587	-	121,757
Total Insurance Contracts issued (a)		-	13,376,778	-	14,385,367
Reinsurance contracts held					
Medical	8.3(a)	-	43,761	(247,456)	-
Medical - Umrah	8.3(b)	-	-	-	-
Motor	8.3(c)	(219,902)	-	(1,750)	-
Property and Casualty*	8.3(d)	(2,400,648)	-	(2,655,703)	-
General accidents - Hajj & Umrah	8.3(e)	-	-	-	-
Travel & COVID-19	8.3(f)	-	-	-	-
Protection and Savings	8.3(g)	(58,190)	-	(15,132)	-
Total reinsurance contracts held under PAA		(2,678,740)	43,761	(2,920,041)	-
Inherent Defects Insurance - IDI *	8.3(h)(i)	(205,615)	-	(91,957)	-
Total reinsurance contracts held under GMM		(205,615)	-	(91,957)	-
Total reinsurance contracts held (b)		(2,884,355)	43,761	(3,011,998)	-

(a) represents LRC of ﷲ 7,201 million (December 31, 2024: ﷲ 7,702 million) and LIC of ﷲ 6,176 million (December 31, 2024: ﷲ 6,683 million)

(b) represents ARC of ﷲ 646 million (December 31, 2024: ﷲ 573 million) and AIC of ﷲ 2,195 million (December 31, 2024: ﷲ 2,349 million).

*Until year ended December 31, 2024 the Group presented IDI as part of Property and Casualty line of business. This has been presented separately for the year ended December 31, 2025 along with the comparative information.

Movements in insurance and reinsurance contract balances

The Group disaggregates information to provide disclosure in respect of major product lines separately: Medical, Medical - Umrah, Motor, Property and Casualty, General accidents - Hajj & Umrah, Travel & COVID-19 and Protection and Savings. The following reconciliations show how the net carrying amounts of insurance and reinsurance contracts in each segment changed during the year as a result of cash flows and amounts recognised in the consolidated statement of income. For each segment, the Group presents a table that separately analyses movements in the liabilities for remaining coverage and movements in the liabilities for incurred claims and reconciles these movements to the line items in the consolidated statement of income.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

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8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.1 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

a. Medical

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
			Estimates of the present value of future cash flows	Risk Adjustment	
			ﷲ'000		
December 31, 2025					
Opening liabilities	4,406,265	87,975	3,420,327	175,448	8,090,015
Changes in the consolidated statement of income					
Insurance revenue	15,911,325				15,911,325
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	14,286,657	150,450	14,437,107
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(782,869)	(140,390)	(923,259)
Losses on onerous contracts and reversal of those losses	-	(10,471)	-	-	(10,471)
Insurance acquisition cash flows amortisation	1,416,916	-	-	-	1,416,916
	1,416,916	(10,471)	13,503,788	10,060	14,920,293
Insurance service result	14,494,409	10,471	(13,503,788)	(10,060)	991,032
Net finance expenses from insurance contracts	-	-	(77,210)	(4,168)	(81,378)
Total changes in the consolidated statement of income	14,494,409	10,471	(13,580,998)	(14,228)	909,654
Cash flows					
Premiums received	15,192,782	-	-	-	15,192,782
Claims and other directly attributable expenses paid	-	-	(13,411,688)	-	(13,411,688)
Insurance acquisition cash flows	(1,463,241)	-	-	-	(1,463,241)
	13,729,541	-	(13,411,688)	-	317,853
Net closing liabilities	3,641,397	77,504	3,589,637	189,676	7,498,214

b. Medical Umrah

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
			Estimates of the present value of future cash flows	Risk Adjustment	
			ﷲ'000		
December 31, 2025					
Opening liabilities	-	-	-	-	-
Changes in the consolidated statement of income					
Insurance revenue	-				-
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	-	-	-
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	-	-	-
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	-	-	-	-	-
	-	-	-	-	-
Insurance service result	-	-	-	-	-
Net finance expenses from insurance contracts	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Cash flows					
Premiums received	-	-	-	-	-
Claims and other directly attributable expenses paid	-	-	-	-	-
Insurance acquisition cash flows	-	-	-	-	-
	-	-	-	-	-
Settled with assets of shared pool participants	-	-	-	-	-
Net closing liabilities	-	-	-	-	-

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

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(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

c. Motor

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	RMB'000				
December 31, 2025					
Opening liabilities	1,216,658	100,616	470,965	20,658	1,808,897
Changes in the consolidated statement of income					
Insurance revenue	2,490,538				2,490,538
Insurance service expenses					
Incurring claims and other directly attributable expenses	-	-	2,242,506	11,232	2,253,738
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(145,723)	(22,172)	(167,895)
Losses on onerous contracts and reversal of those losses	-	(65,827)	-	-	(65,827)
Insurance acquisition cash flows amortisation	418,863	-	-	-	418,863
	418,863	(65,827)	2,096,783	(10,940)	2,438,879
Insurance service result	2,071,675	65,827	(2,096,783)	10,940	51,659
Net finance expenses from insurance contracts	-	-	(8,845)	(416)	(9,261)
Total changes in the consolidated statement of income	2,071,675	65,827	(2,105,628)	10,524	42,398
Cash flows					
Premiums received	2,396,528	-	-	-	2,396,528
Claims and other directly attributable expenses paid	-	-	(2,258,122)	-	(2,258,122)
Insurance acquisition cash flows	(490,531)	-	-	-	(490,531)
	1,905,997	-	(2,258,122)	-	(352,125)
Net closing liabilities	1,050,980	34,789	318,471	10,134	1,414,374

d. Property and casualty

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	RMB'000				
December 31, 2025					
Opening liabilities	1,773,986	4,815	2,266,697	259,761	4,305,259
Changes in the consolidated statement of income					
Insurance revenue	2,785,741				2,785,741
Insurance service expenses					
Incurring claims and other directly attributable expenses	-	-	1,188,541	67,884	1,256,425
Changes that relate to past service – changes in fulfilment cash flows (“FCF”) relating to LIC	-	-	(801,393)	(204,958)	(1,006,351)
Losses on onerous contracts and reversal of those losses	-	(2,602)	-	-	(2,602)
Insurance acquisition cash flows amortisation	169,685	-	-	-	169,685
	169,685	(2,602)	387,148	(137,074)	417,157
Insurance service result	2,616,056	2,602	(387,148)	137,074	2,368,584
Net finance expenses from insurance contracts	-	-	(60,706)	(4,428)	(65,134)
Total changes in the consolidated statement of income	2,616,056	2,602	(447,854)	132,646	2,303,450
Cash flows					
Premiums received	3,112,994	-	-	-	3,112,994
Claims and other directly attributable expenses paid	-	-	(945,818)	-	(945,818)
Insurance acquisition cash flows	(185,798)	-	-	-	(185,798)
	2,927,196	-	(945,818)	-	1,981,378
Net closing liabilities	2,085,126	2,213	1,768,733	127,115	3,983,187

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

e. General accidents - Hajj & Umrah

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	RMB'000				
December 31, 2025					
Opening liabilities	-	-	2,021	-	2,021
Changes in the consolidated statement of income					
Insurance revenue	-				-
Insurance service expenses					
Incurring claims and other directly attributable expenses	-	-	-	-	-
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(1,978)	(2)	(1,980)
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	-	-	-	-	-
	-	-	(1,978)	(2)	(1,980)
Insurance service result	-	-	1,978	2	1,980
Net finance expenses from insurance contracts	-	-	(33)	(2)	(35)
Total changes in the consolidated statement of income	-	-	1,945	-	1,945
Cash flows					
Premiums received	-	-	-	-	-
Claims and other directly attributable expenses paid	-	-	(76)	-	(76)
Insurance acquisition cash flows	-	-	-	-	-
	-	-	(76)	-	(76)
Settled with assets of shared pool participants	-	-	-	-	-
Net closing liabilities	-	-	-	-	-

f. Travel & COVID-19

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	RMB'000				
December 31, 2025					
Opening liabilities	-	-	-	-	-
Changes in the consolidated statement of income					
Insurance revenue	-				-
Insurance service expenses					
Incurring claims and other directly attributable expenses	-	-	-	-	-
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	-	-	-
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	-	-	-	-	-
	-	-	-	-	-
Insurance service result	-	-	-	-	-
Net finance expenses from insurance contracts	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Cash flows					
Premiums received	-	-	-	-	-
Claims and other directly attributable expenses paid	-	-	-	-	-
Insurance acquisition cash flows	-	-	-	-	-
	-	-	-	-	-
Settled with assets of shared pool participants					
Net closing liabilities	-	-	-	-	-

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

g. Protection and savings

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
December 31, 2025					
Opening liabilities	(2,037)	2,527	53,296	3,632	57,418
Changes in the consolidated statement of income					
Insurance revenue	206,917				206,917
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	207,246	10,047	217,293
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(19,394)	(2,682)	(22,076)
Losses on onerous contracts and reversal of those losses	-	3,185	-	-	3,185
Insurance acquisition cash flows amortisation	32,376	-	-	-	32,376
	32,376	3,185	187,852	7,365	230,778
Insurance service result	174,541	(3,185)	(187,852)	(7,365)	(23,861)
Net finance expenses from insurance contracts	-	-	(1,391)	(127)	(1,518)
Total changes in the consolidated statement of income	174,541	(3,185)	(189,243)	(7,492)	(25,379)
Cash flows					
Premiums received	177,609	-	-	-	177,609
Claims and other directly attributable expenses paid	-	-	(116,525)	-	(116,525)
Insurance acquisition cash flows	(24,465)	-	-	-	(24,465)
	153,144	-	(116,525)	-	36,619
Net closing balance	(23,434)	5,712	126,014	11,124	119,416

h. Inherent defects insurance under GMM

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
December 31, 2025					
Opening liabilities	111,155	-	10,492	110	121,757
Changes in the consolidated statement of income					
Insurance revenue	8,656	-	-	-	8,656
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	11,014	220	11,234
Changes that relate to past service – changes in fulfilment cash flows (“FCF”) relating to LIC	-	-	-	-	-
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation					
	-	-	11,014	220	11,234
Insurance service result	8,656	-	(11,014)	(220)	(2,578)
Net finance expenses from insurance contracts	-	-	(15,670)	(313)	(15,983)
Total changes in the consolidated statement of income	8,656	-	(26,684)	(533)	(18,561)
Cash flows					
Premiums received	226,278	-	-	-	226,278
Claims and other directly attributable expenses paid	-	-	(3,350)	-	(3,350)
Insurance acquisition cash flows	(1,659)	-	-	-	(1,659)
	224,619	-	(3,350)	-	221,269
Net closing liabilities	327,118	-	33,826	643	361,587

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)
as at 31 December 2025
(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

i. Inherent defects insurance under GMM

	Present value of future cashflows	Risk adjustment for non- financial risks	Contractual Service Margin	Total
Reconciliation under GMM	ﷲ '000			
December 31, 2025				
Opening liabilities	(10,961)	5,954	126,764	121,757
Insurance service result before reinsurance contracts held				
Changes that relate to current service	5,575	(245)	102	5,432
Changes that relate to future service	(207,251)	11,082	196,169	-
Changes that relate to past service	(3,075)	221	-	(2,854)
Insurance Service Results	(204,751)	11,058	196,271	2,578
Finance expenses from insurance contracts issued	(8,212)	1,375	22,820	15,983
Total amounts recognised in consolidated statement of income	(212,963)	12,433	219,091	18,561
Cash flows				
Premiums received	226,278	-	-	226,278
Claims and other directly attributable expenses paid	(3,350)	-	-	(3,350)
Insurance acquisition cash flows	(1,659)	-	-	(1,659)
	221,269	-	-	221,269
Closing Liabilities	(2,655)	18,387	345,855	361,587

8.2 Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims

a. Medical

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
			ﷲ'000		
December 31, 2024					
Opening liabilities	2,874,407	133,938	2,564,205	173,714	5,746,264
Changes in the consolidated statement of income					
Insurance revenue	12,945,631	-	-	-	12,945,631
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	11,330,165	151,862	11,482,027
Changes that relate to past service – changes in fulfilment cash flows (“FCF”) relating to LIC	-	-	(323,778)	(153,120)	(476,898)
Losses on onerous contracts and reversal of those losses	-	(45,963)	-	-	(45,963)
Insurance acquisition cash flows amortisation	1,123,817	-	-	-	1,123,817
	1,123,817	(45,963)	11,006,387	(1,258)	12,082,983
Insurance service result	11,821,814	45,963	(11,006,387)	1,258	862,648
Net finance expenses from insurance contracts	-	-	(55,718)	(2,992)	(58,710)
Total changes in the consolidated statement of income	11,821,814	45,963	(11,062,105)	(1,734)	803,938
Cash flows					
Premiums received	14,591,428	-	-	-	14,591,428
Claims and other directly attributable expenses paid	-	-	(10,205,983)	-	(10,205,983)
Insurance acquisition cash flows	(1,237,756)	-	-	-	(1,237,756)
	13,353,672	-	(10,205,983)	-	3,147,689
Net closing balance	4,406,265	87,975	3,420,327	175,448	8,090,015

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

b. Medical Umrah

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
December 31, 2024					
Opening liabilities	612,556	-	(267,320)	512	345,748
Changes in the consolidated statement of income					
Insurance revenue	3,932	-	-	-	3,932
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	3,710	-	3,710
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(3,965)	(1,377)	(5,342)
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	2,116	-	-	-	2,116
	2,116	-	(255)	(1,377)	484
Insurance service result	1,816	-	255	1,377	3,448
Net finance expenses from insurance contracts	-	-	(341)	(12)	(353)
Total changes in the consolidated statement of income	1,816	-	(86)	1,365	3,095
Cash flows					
Premiums received	17,459	-	-	-	17,459
Claims and other directly attributable expenses paid	-	-	(22,476)	-	(22,476)
Insurance acquisition cash flows	(38,673)	-	-	-	(38,673)
	(21,214)	-	(22,476)	-	(43,690)
Settled with assets of shared pool participants	(589,526)	-	289,710	853	(298,963)
Net closing balance	-	-	-	-	-

c. Motor

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
₹'000					
December 31, 2024					
Opening liabilities	1,480,546	17,218	623,348	23,975	2,145,087
Changes in the consolidated statement of income					
Insurance revenue	2,782,869	-	-	-	2,782,869
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	2,359,667	15,658	2,375,325
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(172,586)	(19,566)	(192,152)
Losses on onerous contracts and reversal of those losses	-	83,398	-	-	83,398
Insurance acquisition cash flows amortisation	401,267	-	-	-	401,267
	401,267	83,398	2,187,081	(3,908)	2,667,838
Insurance service result	2,381,602	(83,398)	(2,187,081)	3,908	115,031
Net finance expenses from insurance contracts	-	-	(10,381)	(591)	(10,972)
Total changes in the consolidated statement of income	2,381,602	(83,398)	(2,197,462)	3,317	104,059
Cash flows					
Premiums received	2,514,478	-	-	-	2,514,478
Claims and other directly attributable expenses paid	-	-	(2,349,845)	-	(2,349,845)
Insurance acquisition cash flows	(396,764)	-	-	-	(396,764)
	2,117,714	-	(2,349,845)	-	(232,131)
Net closing balance	1,216,658	100,616	470,965	20,658	1,808,897

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

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(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

d. Property and casualty

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
₹'000					
December 31, 2024					
Opening liabilities	1,133,435	7,244	2,881,094	348,569	4,370,342
Changes in the consolidated statement of income					
Insurance revenue	2,411,583	-	-	-	2,411,583
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	899,470	98,820	998,290
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(380,113)	(196,664)	(576,777)
Losses on onerous contracts and reversal of those losses	-	(2,429)	-	-	(2,429)
Insurance acquisition cash flows amortisation	153,708	-	-	-	153,708
	153,708	(2,429)	519,357	(97,844)	572,792
Insurance service result	2,257,875	2,429	(519,357)	97,844	1,838,791
Net finance expenses from insurance contracts	-	-	(87,151)	(9,036)	(96,187)
Total changes in the consolidated statement of income	2,257,875	2,429	(606,508)	88,808	1,742,604
Cash flows					
Premiums received	3,057,542	-	-	-	3,057,542
Claims and other directly attributable expenses paid	-	-	(1,220,906)	-	(1,220,906)
Insurance acquisition cash flows	(159,115)	-	-	-	(159,115)
	2,898,427	-	(1,220,906)	-	1,677,521
Net closing balance	1,773,987	4,815	2,266,696	259,761	4,305,259

e. General accidents - Hajj & Umrah

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
December 31, 2024					
Opening liabilities	700,723	-	(38,888)	(5,520)	656,315
Changes in the consolidated statement of income					
Insurance revenue	1,305	-	-	-	1,305
Insurance service expenses	-	-	1,767	161	1,928
Incurred claims and other directly attributable expenses	-	-	(1,995)	(1,022)	(3,017)
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	-	-	-
Losses on onerous contracts and reversal of those losses	(160)	-	-	-	(160)
Insurance acquisition cash flows amortisation	(160)	-	(228)	(861)	(1,249)
Insurance service result	1,465	-	228	861	2,554
Net finance expenses from insurance contracts	-	-	(144)	(26)	(170)
Total changes in the consolidated statement of income	1,465	-	84	835	2,384
Cash flows					
Premiums received	6,027	-	-	-	6,027
Claims and other directly attributable expenses paid	-	-	(3,056)	-	(3,056)
Insurance acquisition cash flows	(1,601)	-	-	-	(1,601)
	4,426	-	(3,056)	-	1,370
Settled with assets of shared pool participants	(703,684)	-	44,049	6,355	(653,280)
Net closing balance	-	-	2,021	-	2,021

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

f. Travel & COVID-19

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
₹'000					
December 31, 2024					
Opening liabilities	83,121	-	1,041	676	84,838
Changes in the consolidated statement of income					
Insurance revenue					
Insurance service expenses					
Incurring claims and other directly attributable expenses	-	-	-	-	-
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	-	-	-
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	-	-	-	-	-
Insurance service result	-	-	-	-	-
Net finance expenses from insurance contracts	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Cash flows					
Premiums received	-	-	-	-	-
Claims and other directly attributable expenses paid	-	-	-	-	-
Insurance acquisition cash flows	-	-	-	-	-
Settled with assets of shared pool participants	(82,329)	-	4,464	1,530	(76,335)
Net closing balance	-	-	-	-	-

g. Protection and savings

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
RMB'000					
December 31, 2024					
Opening liabilities	(29,688)	2,502	66,442	4,182	43,438
Changes in the consolidated statement of income					
Insurance revenue	112,855	-	-	-	112,855
Insurance service expenses					
Incurring claims and other directly attributable expenses	-	-	112,774	3,118	115,892
Changes that relate to past service - changes in fulfilment cash flows ("FCF") relating to LIC	-	-	(22,247)	(3,795)	(26,042)
Losses on onerous contracts and reversal of those losses	-	25	-	-	25
Insurance acquisition cash flows amortisation	14,995	-	-	-	14,995
	14,995	25	90,527	(677)	104,870
Insurance service result	97,860	(25)	(90,527)	677	7,985
Net finance expenses from insurance contracts	-	-	(1,787)	(127)	(1,914)
Total changes in the consolidated statement of income	97,860	(25)	(92,314)	550	6,071
Cash flows					
Premiums received	139,909	-	-	-	139,909
Claims and other directly attributable expenses paid	-	-	(105,460)	-	(105,460)
Insurance acquisition cash flows	(14,398)	-	-	-	(14,398)
	125,511	-	(105,460)	-	20,051
Net closing balance	(2,037)	2,527	53,296	3,632	57,418

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

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8. INSURANCE AND REINSURANCE CONTRACTS (continued)

h. Inherent defects insurance under GMM

	Liabilities for remaining coverage		Liabilities for incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
R'000					
December 31, 2024					
Opening liabilities	49,380	-	3,217	31	52,628
Changes in the consolidated statement of income					
Insurance revenue	14,782	-	-	-	14,782
Insurance service expenses					
Incurred claims and other directly attributable expenses	-	-	6,422	63	6,485
Changes that relate to past service – changes in fulfilment cash flows (“FCF”) relating to LIC	-	-	-	-	-
Losses on onerous contracts and reversal of those losses	-	-	-	-	-
Insurance acquisition cash flows amortisation	-	-	-	-	-
	-	-	6,422	63	6,485
Insurance service result	14,782	-	(6,422)	(63)	8,297
Net finance expenses from insurance contracts	-	-	(1,621)	(16)	(1,637)
Total changes in the consolidated consolidated statement of income	14,782	-	(8,043)	(79)	6,660
Cash flows					
Premiums received	76,557	-	-	-	76,557
Claims and other directly attributable expenses paid	-	-	(768)	-	(768)
Insurance acquisition cash flows	-	-	-	-	-
	76,557	-	(768)	-	75,789
Net closing liabilities	111,155	-	10,492	110	121,757

i. Inherent defects Insurance under GMM

	Present value of future cashflows	Risk adjustment for non-financial risks	Contractual Service Margin	Total
Reconciliation under GMM				ﷲ'000
December 31, 2024				
Opening liabilities	(3,956)	2,064	54,520	52,628
Insurance service result before reinsurance contracts held				
Changes that relate to current service	(75,325)	45	872	(74,408)
Changes that relate to future service	141,210	(3,527)	(54,496)	83,187
Changes that relate to past service	(440)	(42)	-	(482)
Insurance Service Results	65,445	(3,524)	(53,624)	8,297
Finance expenses from insurance contracts issued	(20,696)	1,100	17,959	(1,637)
Total amounts recognised in consolidated statement of income	44,749	(2,424)	(35,665)	6,660
Cash flows				
Premiums received	76,557	-	-	76,557
Claims and other directly attributable expenses paid	(768)	-	-	(768)
Insurance acquisition cash flows	-	-	-	-
	75,789	-	-	75,789
Closing Liabilities	27,084	4,488	90,185	121,757

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

8.3 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims

a. Medical

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
			ﷲ'000		
December 31, 2025					
Opening assets	(94,249)	-	(146,541)	(6,666)	(247,456)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	(221,748)	-	-	-	(221,748)
Incurred claims recovery	-	-	131,647	3,055	134,702
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(24,888)	(3,852)	(28,740)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	211	-	211
	(221,748)	-	106,970	(797)	(115,575)
Finance income from reinsurance contracts held	-	-	5,028	272	5,300
Total changes in the consolidated statement of income	(221,748)	-	111,998	(525)	(110,275)
Cash flows					
Premiums paid net of ceding commissions	181,945	-	-	-	181,945
Recoveries from reinsurance	-	-	(1,003)	-	(1,003)
	181,945	-	(1,003)	-	180,942
Net closing balance	309,444	-	(259,542)	(6,141)	43,761

b. Medical Umrah

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
			ﷲ'000		
December 31, 2025	-	-	-	-	-
Net opening balance	-	-	-	-	-
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	-	-	-	-	-
Incurred claims recovery	-	-	-	-	-
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	-	-	-
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	-	-	-
Finance income from reinsurance contracts held	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Investment components	-	-	-	-	-
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	-	-	-	-	-
Recoveries from reinsurance	-	-	-	-	-
Net closing balance	-	-	-	-	-

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

c. Motor

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
December 31, 2025					
Opening assets	2,456	-	(4,063)	(143)	(1,750)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	(14,902)	-	-	-	(14,902)
Incurred claims recovery	-	-	1,490	147	1,637
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(1,061)	(539)	(1,600)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	20	-	20
	(14,902)	-	449	(392)	(14,845)
Finance income from reinsurance contracts held	-	-	181	17	198
Total changes in the consolidated statement of income	(14,902)	-	630	(375)	(14,647)
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	(233,451)	-	-	-	(233,451)
Recoveries from reinsurance	-	-	652	-	652
	(233,451)	-	652	-	(232,799)
Net closing balance	(216,093)	-	(4,041)	232	(219,902)

d. Property & Casualty

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present Value of future cash flows	Risk Adjustment	
	€'000				
December 31, 2025					
Opening assets	(424,721)	(14)	(1,994,037)	(236,931)	(2,655,703)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts Held					
Reinsurance expenses	(2,215,584)	-	-	-	(2,215,584)
Incurred claims recovery		-	949,043	59,905	1,008,948
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(754,569)	(188,273)	(942,842)
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	(14)	-	-	(14)
Effect of changes in risk of reinsurers' non-performance	-	-	3,966	-	3,966
	(2,215,584)	(14)	198,440	(128,368)	(2,145,526)
Finance income from reinsurance contracts held	-	-	54,572	4,060	58,632
Total changes in the consolidated statement of income	(2,215,584)	(14)	253,012	(124,308)	(2,086,894)
Cash flows					
Premiums paid net of ceding commissions	(2,395,379)	-	-	-	(2,395,379)
Recoveries from reinsurance	-	-	563,540	-	563,540
	(2,395,379)	-	563,540	-	(1,831,839)
Net closing balance	(604,516)	-	(1,683,509)	(112,623)	(2,400,648)

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025
(All amounts in Saudi Riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

e. General Accident - Hajj & Umrah

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	€'000				
December 31, 2025					
Opening assets	-	-	-	-	-
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	-	-	-	-	-
Incurred claims recovery	-	-	-	-	-
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	-	-	-
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	-	-	-
	-	-	-	-	-
Finance income from reinsurance contracts held	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	-	-	-	-	-
Recoveries from reinsurance	-	-	-	-	-
	-	-	-	-	-
Settled with assets of shared pool participants	-	-	-	-	-
Net closing balance	-	-	-	-	-

f. Travel & COVID 19

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	€'000				
December 31, 2025					
Opening assets	-	-	-	-	-
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	-	-	-	-	-
Incurred claims recovery	-	-	-	-	-
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	-	-	-
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	-	-	-
	-	-	-	-	-
Finance income from reinsurance contracts held	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	-	-	-	-	-
Recoveries from reinsurance	-	-	-	-	-
	-	-	-	-	-
Settled with assets of shared pool participants	-	-	-	-	-
Net closing balance	-	-	-	-	-

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

g. Protection & Savings

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
€'000					
December 31, 2025					
Opening assets	33,588	(1,616)	(43,987)	(3,117)	(15,132)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	(150,481)	-	-	-	(150,481)
Incurred claims recovery	-	-	166,944	8,492	175,436
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(15,344)	(2,313)	(17,657)
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	2,521	-	-	2,521
Effect of changes in risk of reinsurers' non-performance	-	-	112	-	112
	(150,481)	2,521	151,712	6,179	9,931
Finance income from reinsurance contracts held	-	-	1,195	109	1,304
Total changes in the consolidated statement of income	(150,481)	2,521	152,907	6,288	11,235
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	(125,740)	-	-	-	(125,740)
Recoveries from reinsurance	-	-	93,917	-	93,917
	(125,740)	-	93,917	-	(31,823)
Net closing balance	58,329	(4,137)	(102,977)	(9,405)	(58,190)

h. Inherent defects insurance under GMM

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
	€'000				
December 31, 2025					
Opening Assets	(88,127)	-	(3,793)	(37)	(91,957)
Changes in the consolidated statement of income					
Allocation of reinsurance premium					
Expected amount of claim recoverable in the year	(7,465)	-	-	-	(7,465)
Change in risk adjustment for non-financial risk	(221)	-	-	-	(221)
CSM recognised for services received	(3,907)	-	-	-	(3,907)
Reversal of loss recovery that does not adjust CSM	-	-	-	-	-
Impact of methodology change	388	-	-	-	388
	(11,205)	-	-	-	(11,205)
Amounts recoverable from reinsurance					
Incurred claims recovery	-	-	9,429	189	9,618
Changes that relate to past service – changes in fulfilment cash flows (“FCF”) relating to incurred claims recovery	-	-	(2,905)	(58)	(2,963)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers’ non-performance	-	-	-	-	-
	-	-	6,524	131	6,655
Net finance income from reinsurance contracts	-	-	5,987	120	6,107
Total changes in the consolidated consolidated statement of income	(11,205)		12,511	251	1,557
Cash flows					
Premiums paid net of ceding commissions	(142,591)	-	-	-	(142,591)
Recoveries from reinsurance	30,035	-	455	-	30,490
	(112,556)	-	455	-	(112,101)
Net closing balance	(189,023)	-	(16,304)	(288)	(205,615)

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)
as at 31 December 2025
(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

i. Inherent defects insurance under GMM

	Present value of future cashflows	Risk adjustment for non- financial risks	Contractual Service Margin	Total
Reconciliation under GMM	ﷲ'000			
December 31, 2025				
Opening assets	(3,477)	(6,350)	(82,130)	(91,957)
Net (expenses) / income from reinsurance contracts held				
Changes that relate to current service	(1,712)	222	3,939	2,449
Changes that relate to future service	102,084	(8,448)	(93,636)	-
Changes that relate to past service	2,101	-	-	2,101
Reinsurance service result	102,473	(8,226)	(89,697)	4,550
Finance income from reinsurance contracts issued	1,744	(1,060)	(6,791)	(6,107)
Total amounts recognised in consolidated statement of income	104,217	(9,286)	(96,488)	(1,557)
Cash flows				
Premiums paid net of ceding commissions	(142,591)	-	-	(142,591)
Recoveries from reinsurance	30,490	-	-	30,490
	(112,101)	-	-	(112,101)
Closing Balance	(11,361)	(15,636)	(178,618)	(205,615)

8.4 Roll-forward of net asset or liability for reinsurance contracts held showing the assets for remaining coverage and the amounts recoverable on incurred claims

a. Medical

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
			ﷲ'000		
December 31, 2024					
Opening assets	147,795		(229,573)	(5,690)	(87,468)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	(222,865)	-	-	-	(222,865)
Incurred claims recovery	-	-	140,842	4,556	145,398
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(12,272)	(3,813)	(16,085)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	269	-	269
	(222,865)	-	128,839	743	(93,283)
Finance income from reinsurance contracts held			4,337	233	4,570
Total changes in the consolidated statement of income	(222,865)	-	133,176	976	(88,713)
Cash flows					
Premiums paid net of ceding commissions	(464,909)	-	-	-	(464,909)
Recoveries from reinsurance		-	216,208	-	216,208
	(464,909)	-	216,208	-	(248,701)
Net closing balance	(94,249)	-	(146,541)	(6,666)	(247,456)

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025
(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

b. Medical Umrah

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
December 31, 2024	-	-	-	-	-
Net opening balance	-	-	-	-	-
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	-	-	-	-	-
Incurred claims recovery	-	-	-	-	-
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	-	-	-
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	-	-	-
Finance income from reinsurance contracts held	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	-	-	-	-	-
Recoveries from reinsurance	-	-	-	-	-
Net closing balance	-	-	-	-	-

c. Motor

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
December 31, 2024					
Opening assets	10,917		(22,461)	(1,623)	(13,167)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	(17,370)	-	-	-	(17,370)
Incurred claims recovery	-	-	(5)	(1)	(6)
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(3,525)	(1,534)	(5,059)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	62	-	62
	(17,370)	-	(3,468)	(1,535)	(22,373)
Finance income from reinsurance contracts held	-	-	580	55	635
Total changes in the consolidated statement of income	(17,370)	-	(2,888)	(1,480)	(21,738)
Cash flows					
Premiums paid net of ceding commissions	(25,831)	-	-	-	(25,831)
Recoveries from reinsurance	-	-	15,510	-	15,510
	(25,831)	-	15,510	-	(10,321)
Net closing balance	2,456	-	(4,063)	(143)	(1,750)

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

d. Property & Casualty

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
December 31, 2024					
Opening assets	(214,764)	(5,325)	(2,699,397)	(328,489)	(3,247,975)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	(1,881,062)	-	-	-	(1,881,062)
Incurred claims recovery	-	-	729,216	89,428	818,644
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(345,048)	(189,997)	(535,045)
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	(5,311)	-	-	(5,311)
Effect of changes in risk of reinsurers' non-performance	-	-	2,262	-	2,262
	(1,881,062)	(5,311)	386,430	(100,569)	(1,600,512)
Finance income from reinsurance contracts held	-	-	82,008	9,011	91,019
Total changes in the consolidated statement of income	(1,881,062)	(5,311)	468,438	(91,558)	(1,509,493)
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	(2,091,018)	-	-	-	(2,091,018)
Recoveries from reinsurance	-	-	1,173,797	-	1,173,797
	(2,091,018)	-	1,173,797	-	(917,221)
Net closing balance	(424,720)	(14)	(1,994,038)	(236,931)	(2,655,703)

e. General Accident - Hajj & Umrah

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
RMB'000					
December 31, 2024					
Opening assets	(104,219)		1,588	299	(102,332)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	(240)	-	-	-	(240)
Incurred claims recovery	-	-	4	27	31
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	-	(158)	(158)
Income on initial recognition of onerous underlying contracts					
Effect of changes in risk of reinsurers' non-performance			6		6
	(240)	-	10	(131)	(361)
Finance income from reinsurance contracts held	-	-	26	5	31
Total changes in the consolidated statement of income	(240)	-	36	(126)	(330)
Cash flows					
Premiums paid net of ceding commissions	(22,677)	-	-	-	(22,677)
Recoveries from reinsurance	-	-	2,309	-	2,309
	(22,677)	-	2,309	-	(20,368)
Settled with assets of shared pool participants	126,656	-	(3,861)	(425)	122,370
Net closing balance	-	-	-	-	-

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

f. Travel & COVID 19

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
RMB'000					
December 31, 2024					
Opening assets	(2,239)		438	83	(1,718)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	-	-	-	-	-
Incurred claims recovery	-	-	-	-	-
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	-	-	-
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers' non-performance	-	-	-	-	-
	-	-	-	-	-
Finance income from reinsurance contracts held	-	-	-	-	-
Total changes in the consolidated statement of income	-	-	-	-	-
Cash flows					
Premiums paid net of ceding commissions and other directly attributable expenses	(306)	-	-	-	(306)
Recoveries from reinsurance	-	-	-	-	-
	(306)	-	-	-	(306)
Settled with assets of shared pool participants	2,545	-	(438)	(83)	2,024
Net closing balance	-	-	-	-	-

g. Protection & Savings

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
€'000					
December 31, 2024					
Opening assets	27,995	(2,180)	(58,284)	(3,795)	(36,264)
Changes in the consolidated statement of income					
Income (expenses) from reinsurance contracts held					
Reinsurance expenses	(88,845)	-	-	-	(88,845)
Incurred claims recovery	-	-	99,910	2,664	102,574
Changes that relate to past service - changes in the FCF relating to incurred claims recovery	-	-	(20,262)	(3,457)	(23,719)
Reversal of a loss-recovery component other than changes in the FCF of reinsurance contracts held	-	(564)	-	-	(564)
Effect of changes in risk of reinsurers' non-performance	-	-	46	-	46
	(88,845)	(564)	79,694	(793)	(10,508)
Finance income from reinsurance contracts held	-	-	1,627	115	1,742
Total changes in the consolidated statement of income	(88,845)	(564)	81,321	(678)	(8,766)
Cash flows					
Premiums paid net of ceding commissions	(83,252)	-	-	-	(83,252)
Recoveries from reinsurance	-	-	95,618	-	95,618
	(83,252)	-	95,618	-	12,366
Net closing balance	33,588	(1,616)	(43,987)	(3,117)	(15,132)

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

8. INSURANCE AND REINSURANCE CONTRACTS (continued)

h. Inherent defects insurance under GMM

	Assets for remaining coverage		Assets recoverable on incurred claims		Total
	Excluding loss component	Loss component	Estimates of the present value of future cash flows	Risk Adjustment	
€'000					
December 31, 2024					
Opening Assets	(44,952)	-	(1,055)	(10)	(46,017)
Changes in the consolidated statement of income					
Allocation of reinsurance premium					
Expected amount of claim recoverable in the year	(644)	-	-	-	(644)
Change in risk adjustment for non-financial risk	(9)	-	-	-	(9)
CSM recognised for services received	(703)	-	-	-	(703)
Reversal of loss recovery that does not adjust CSM	-	-	-	-	-
Impact of methodology change	(163)	-	-	-	(163)
	(1,519)	-	-	-	(1,519)
Amounts recoverable from reinsurance					
Incurred claims recovery	-	-	1,610	16	1,626
Changes that relate to past service – changes in fulfilment cash flows (“FCF”) relating to incurred claims recovery	-	-	(391)	(4)	(395)
Income on initial recognition of onerous underlying contracts	-	-	-	-	-
Effect of changes in risk of reinsurers’ non-performance	-	-	-	-	-
	-	-	1,219	12	1,231
Net finance income from reinsurance contracts	-	-	1,519	15	1,534
Total changes in the consolidated statement of income	(1,519)		2,738	27	1,246
Cash flows					
Premiums paid net of ceding commissions	(53,805)	-	-	-	(53,805)
Recoveries from reinsurance	9,048	-	63	-	9,111
	(44,757)	-	63	-	(44,694)
Net closing balance	(88,190)		(3,730)	(37)	(91,957)

i. Inherent defects insurance under GMM

	Present value of future cashflows	Risk adjustment for non-financial risks	Contractual Service Margin	Total
				ﷲ'000
Reconciliation under GMM				
December 31, 2024				
Opening liabilities	10,704	2,544	(59,265)	(46,017)
Net (expenses) / income from reinsurance contracts held				
Changes that relate to current service	(85,432)	7	521	(84,904)
Changes that relate to future service	103,029	(4,008)	(14,844)	84,177
Changes that relate to past service	439	-	-	439
Insurance Service Results	18,036	(4,001)	(14,323)	(288)
Finance income from reinsurance contracts issued	(33,632)	12,221	22,945	1,534
Total amounts recognised in consolidated statement of income	(15,596)	8,220	8,622	1,246
Cash flows				
Premiums paid net of ceding commissions	(53,805)	-	-	(53,805)
Recoveries from reinsurance	9,111	-	-	9,111
	(44,694)	-	-	(44,694)
Closing Balance	(18,394)	(5,676)	(67,887)	(91,957)

9. PREPAID EXPENSES AND OTHER ASSETS

	December 31, 2025	December 31, 2024
		ﷲ'000
Receivable from shared pool participants and others	335,596	206,258
Prepaid expenses	79,730	13,155
	415,326	219,413

10. INVESTMENTS IN EQUITY ACCOUNTED INVESTMENTS

	December 31, 2025	December 31, 2024
		ﷲ'000
Balance, January 01	116,497	116,653
Share of profit	31,023	21,676
Dividends received	(19,750)	(23,093)
Share of other comprehensive profit	701	1,261
Balance, December 31	128,471	116,497

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10. INVESTMENTS IN EQUITY ACCOUNTED INVESTMENTS (continued)

The Group's interest in equity-accounted investments, which are unquoted, is as follows along with summarized financial information:

a) United Insurance Company B.S.C.

	Country of Incorporation	Assets	Liabilities	Revenue	Profit after tax	% Interest Held	Carrying amount
As of				ﷲ'000			
December 31, 2025	Bahrain	389,020	191,592	154,177	52,972	50%	110,120
December 31, 2024	Bahrain	358,847	175,588	134,046	55,272	50%	98,714

b) Waseel Application Services Provider Limited

	Country of Incorporation	Assets	Liabilities	Revenue	Profit after tax	% Interest Held	Carrying amount
As of				ﷲ'000			
December 31, 2025	Saudi Arabia	66,202	25,240	55,118	6,175	45%	18,351
December 31, 2024	Saudi Arabia	65,301	25,696	48,265	1,353	45%	17,783

11. INTANGIBLE ASSETS

	Intangibles	Work in progress	Total 2025
31 December 2025	ﷲ'000		
Cost:			
January 1	215,449	109,968	325,417
Additions	233,927	138,545	372,472
Transfers	6,955	(6,955)	-
December 31	456,331	241,558	697,889
Accumulated amortisation:			
January 1	136,896	-	136,896
Charge for the year	116,953	-	116,953
December 31	253,849	-	253,849
Net book value	202,482	241,558	444,040

	Intangibles	Work in progress	Total 2024
131 December 2024	ﷲ'000		
Cost:			
January 1	76,735	-	76,735
Additions	138,714	109,968	248,682
December 31	215,449	109,968	325,417
Accumulated amortisation:			
January 1	66,708	-	66,708
Charge for the year	70,188	-	70,188
December 31	136,896	-	136,896
Net book value	78,553	109,968	188,521

11.1 Amortisation is charged to insurance service expense and other operating expenses in the consolidated statement of income based on expense attribution model as mentioned in note 2.4(c).

12. PROPERTY, EQUIPMENT AND RIGHT-OF-USE ASSETS

	Land	Buildings	Furniture and fixtures	Computer equipment	Vehicles	Capital work in progress	Right- of-use asset	Total 2025
								ﷲ'000
Cost:								
January 1	41,417	182,507	151,188	209,168	1,182	112,497	160,353	858,312
Additions	-	3,024	30,750	24,088	543	9,286	39,716	107,407
Transfers	-	21,329	85,541	5,627	-	(112,497)	-	-
December 31	41,417	206,860	267,479	238,883	1,725	9,286	200,069	965,719
January 1	-	40,298	99,868	176,583	678	-	32,922	350,349
Charge for the year	-	3,940	20,126	12,657	269	-	34,701	71,693
December 31	-	44,238	119,994	189,240	947	-	67,623	422,042
Net book value								
December 31, 2025	41,417	162,622	147,485	49,643	778	9,286	132,446	543,677

	Land	Buildings	Furniture and fixtures	Computer equipment	Vehicles	Capital work in progress	Right of use asset	Total 2024
								ﷲ'000
Cost:								
January 1	41,417	181,930	91,086	178,526	1,182	46,942	79,243	620,326
Additions	-	577	60,102	30,642	-	65,555	81,110	237,986
December 31	41,417	182,507	151,188	209,168	1,182	112,497	160,353	858,312
Accumulated Depreciation:								
January 1	-	35,682	83,974	163,328	489	-	25,995	309,468
Charge for the year	-	4,616	15,894	13,255	189	-	6,927	40,881
December 31	-	40,298	99,868	176,583	678	-	32,922	350,349
Net book value								
December 31, 2024	41,417	142,209	51,320	32,585	504	112,497	127,431	507,963

12.1 Right-of-use assets pertain to lease of premises of the Group's branches.

12.2 Depreciation is charged to insurance service expense and other operating expenses in the consolidated statement of income based on expense attribution model as mentioned in note 2.4(c).

12.3 During the year, the Group revised the useful life of buildings from 40 years to 48 years, which management has accounted for as a change in estimate and applied prospectively in the consolidated financial statements.

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13. STATUTORY DEPOSIT

In compliance with Article 58 of the Insurance Implementing Regulations of Insurance Authority, the Company has deposited 10 percent of its share capital, amounting to ﷲ 150 million (December 31, 2024: ﷲ 150 million).

The statutory deposits can only be withdrawn after Insurance Authority's consent.

	December 31, 2025	December 31, 2024
	ﷲ'000	
Statutory deposit	150,000	150,000
Less: expected credit loss allowance	(12)	(23)
	149,988	149,977

Following the circular dated March 1, 2016, from Insurance Authority, the Company has disclosed accrued income on statutory deposits amounting to ﷲ 7.8 million (December 31, 2024: ﷲ 0.9 million) as an asset and a liability in these consolidated financial statements.

14. ACCRUED EXPENSES AND OTHER LIABILITIES

	December 31, 2025	December 31, 2024
	ﷲ'000	
Payable - Zakat, Tax and Custom Authority	883,292	895,436
Accrued expenses and other liabilities	178,367	281,500
Balady fee payable*	116,530	-
Lease liability (14.1)	137,783	118,809
Payable to Najm **	52,171	104,752
Premium received in advance	277,244	64,239
Employees' savings plan (14.2)	33,547	22,862
Payable - Ministry of Hajj and Umrah	-	11,045
Unallocated cash receipts	59,017	-
Payable to IDI pool	6,351	-
	1,744,302	1,498,643

* These relates to the fees payable to Balady by the Group for IDI.
** These include surplus payable to Najm amounting to ﷲ 52 million (December 31, 2024: ﷲ 52 million).

These liabilities are due to be settled within 12 months of the date of the consolidated financial statements except for lease liability for which maturity analysis is disclosed in note 32.

14.1 Movement of lease liability are as follows:

	December 31, 2025	December 31, 2024
	ﷲ'000	
January 1	118,809	50,955
Additions	39,716	84,896
Finance cost	8,308	2,995
Repayment	(29,050)	(20,037)
December 31	137,783	118,809

14.2 The Group has a savings plan for its Saudi employees under which a percentage of the employees' salary is periodically deducted, with the Company investing this amount through one of the investment funds compatible with the rules of Islamic Shariah. The total number of subscribers at the end of 2025 reached 340 employees (December 31, 2024: 292 employees) with a subscription amounting to ﷲ 28 million (December 31, 2024: ﷲ 17 million).

15. SHORT TERM LOAN PAYABLE

During the year the Group utilized its financing arrangement with Gulf International Bank Saudi Arabia amounting to ﷲ 550 million at a rate of 0.55% per annum over SIBOR for a period of 12 months. The Group has unutilized facilities amounting to ﷲ 50 million (December 31, 2024: ﷲ 600 million).

16. DEFINED BENEFITS OBLIGATION

The Group operates an end of service benefits plan for its employees based on the prevailing Saudi Labor Laws. Accruals are made in accordance with the actuarial valuation under projected unit credit method while the benefits payments obligation is discharged as and when it falls due.

16.1 The amounts recognised in the consolidated statement of financial position based on its present value are as follows:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Present value of defined benefits obligation	187,376	160,902

16.2 Movement of defined benefits obligation:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Opening balance	160,902	127,939
Charge to the consolidated statement of income	40,510	29,916
Charge to the consolidated statement of comprehensive income	(1,965)	15,723
Payment of benefits during the year	(12,071)	(12,676)
Closing balance	187,376	160,902

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16. DEFINED BENEFITS OBLIGATION (continued)

16.3 Reconciliation of present value of defined benefits obligation

	December 31, 2025	December 31, 2024
	ﷲ'000	
Present value of defined benefits obligation as at January 1	160,902	127,939
Current service costs	32,968	23,342
Financial costs	7,542	6,574
Actuarial (gain) / loss from experience adjustments	(1,965)	15,723
Benefits paid during the year	(12,071)	(12,676)
Present value of defined benefits obligation as at December 31	187,376	160,902

16.4 Principal actuarial assumptions

In the absence of a deep market for “High Quality” local currency corporate bonds, the valuation discount rate was set based on the yields offered by USD-denominated bond yields as published by the European Insurance and Occupational Pensions Authority “EIOPA” and then adjusted for the Kingdom of Saudi Arabia’s country risk (versus the US). For discount rates refer to note 2.4(d). The following range of significant actuarial assumptions was used by the Group for the valuation of end-of-service benefits:

	December 31, 2025	December 31, 2024
Weighted average annual wage increase	5.51%	7.5%
Employee turnover rate	20.98%	17.49%

Mortality rates at selected ages are presented in the following table:

Age	December 31, 2025	December 31, 2024
	Mortality rates	
20	0.633	0.633
25	0.489	0.489
30	0.443	0.443
35	0.554	0.554
40	0.913	0.913
45	1.667	1.667
50	3.050	3.050
55	5.432	5.432
60	9.391	9.391

16.5 Sensitivity analysis of actuarial assumptions

The impact of changes in sensitivities on present value of defined benefits obligation is as follows:

	December 31, 2025	December 31, 2024
	ﷲ'000	
	Impact on defined benefits obligation	
Valuation discount rate		
Increase by 1%	(9,671)	(6,931)
Decrease by 1%	10,775	7,605
Expected rate of increase in salary level across different age bands		
Increase by 1%	10,561	7,276
Decrease by 1%	(9,671)	(6,767)

17. SHARE CAPITAL

The authorized, issued and paid-up capital of the Company is ﷲ 1.5 billion as at December 31, 2025 (December 31, 2024: ﷲ 1.5 billion) consisting of 150 million shares (December 31, 2024: 150 million shares) of ﷲ 10 each.

Shareholding structure of the Company is as below. The shareholders of the Company are subject to zakat.

	December 31, 2025		
	Authorized and issued	Paid up	
	No. of Shares	ﷲ'000	ﷲ'000
Held by the public	111,212,078	1,112,121	1,112,121
General Organization for Social Insurance	38,787,922	387,879	387,879
	150,000,000	1,500,000	1,500,000

	December 31, 2024		
	Authorized and issued	Paid up	
	No. of Shares	ﷲ'000	ﷲ'000
Held by the public	111,212,078	1,112,121	1,112,121
General Organization for Social Insurance	38,787,922	387,879	387,879
	150,000,000	1,500,000	1,500,000

Movement of shares outstanding

	December 31, 2025	December 31, 2024
Outstanding shares as at January 01	149,741,848	150,000,000
Shares bought back (refer note 20)	(199,862)	(258,152)
Outstanding shares as at December 31	149,541,986	149,741,848

The Board of Directors in their meeting dated April 06, 2025, recommended to distribute 15% cash dividends at ﷲ 1.5 per share amounting to ﷲ 225 million which was approved by the General Assembly in their meeting dated May 27, 2025. In addition, the issued and paid-up capital have reduced by the amount of treasury shares repurchased (refer to note 20).

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17. Share Capital (continued)

During the year 2024, the Company has paid cash dividend of ﷲ 150 million which constitute ﷲ 1 per share as per the recommendation and approval of Board of Directors and shareholders of the Company.

18. STATUTORY RESERVE

In accordance with the Articles of Association of the Company and in compliance with Article 70(2)(g) of the Insurance Implementing Regulations issued by Insurance Authority, the Company is required to allocate 20% of its net income for the year to the statutory reserve until it equals the value of share capital. This transfer is only made at the year end. The statutory reserve is not available for distribution to the shareholders until the liquidation of the Company.

19. FAIR VALUE RESERVE FOR INVESTMENTS

The fair value reserve for investments comprises the cumulative net change in the fair value of equity securities measured at FVOCI and share of other comprehensive income / loss of investment in equity accounted investments.

20. TREASURY SHARES

During the year, the Company bought back 199,862 shares (December 31, 2024: 258,152 shares) for the purpose of granting long term stock option to senior management. The amount paid to buy-back the shares was ﷲ 29 million (December 31, 2024: ﷲ 40 million). The difference between the face value of shares repurchased and the amount paid is recorded in consolidated statement of changes in equity as a loss under treasury shares of ﷲ 27 million (December 31, 2024: ﷲ 37 million).

21. EMPLOYEE STOCK OPTION SCHEME RESERVE

The Group has approved granting its own shares to certain eligible employees as follows:

- Shares will be granted based on fair value of its shares as at 1 January 2023 to certain group of executives with vesting period of 3 years.
- The second eligible group of employees have been granted shares based on fair value of its shares as at January 1, 2024 with vesting period of 3 years.
- The second eligible group of employees have been granted shares based on fair value of its shares as at January 1, 2025 with vesting period of 3 years.

Grant date	Fair value at grant date ﷲ	Number of shares bought back and granted	Number of shares forfeited	Number of shares outstanding	Number of shares vested
January 1, 2023	66.25	120,256	-	120,256	120,256*
January 1, 2024	134	137,896	9,577	128,319	-
January 1, 2025	148	199,862	5,190	194,672	-
		458,014	14,767	443,247	120.256

*As of December 31, 2025, no shares had vested to eligible employees under the scheme. Although the service and other vesting conditions under the 2023 plan had been satisfied, vesting of the shares remained subject to approval by the Executive Committee, which had not been obtained as of that date.

22. BUSINESS COMBINATIONS

During the year, the Group entered into a Share Subscription Agreement dated 18 September 2025 to acquire a 60% equity interest in Vehicle Maintenance Solution Company for a consideration of ﷲ 25 million. The Agreement is subject to certain pre-conditions being met.

As at 31 December 2025, these conditions had not been satisfied and, accordingly, control had not been obtained as defined under IFRS 3 and IFRS 10 Consolidated Financial Statements. Consequently, the transaction has not been accounted for as a business combination, and the Group has not consolidated the financial position or financial performance of Vehicle Maintenance Solution Company as at and for the year ended 31 December 2025.

23. INSURANCE REVENUE

	December 31, 2025	December 31, 2024
	ﷲ'000	
Insurance revenue – under PAA	21,394,521	18,258,085
Insurance revenue – under GMM		
Expected incurred claims and other service expenses	8,263	1,909
Expected directly attributable expenses incurred in the year	247	9,292
Change in risk adjustment for non-financial risk	244	52
Premium and related receipts relating to past and current service	-	2,514
Amount of CSM recognized in profit or loss	7,706	1,105
Impact of methodology change	(7,804)	-
	8,656	14,872
	21,403,177	18,272,957

24. INSURANCE SERVICE EXPENSES

	For the year ended December 31, 2025								
	Medical**	Medical – Umrah	Motor	Property & Casualty	General accidents – Hajj & Umrah	Travel & COVID-19	Protection & Savings	Inherent Defects Insurance	Total
	ﷲ'000								
Incurred claims and other directly attributable expenses – Estimates of the present value of future cash flows *	14,286,657	-	2,242,506	1,188,541	-	-	207,246	11,014	17,935,964
Incurred claims and other directly attributable expenses – Risk adjustment (RA)	10,060	-	(10,940)	(137,074)	(2)	-	7,365	220	(130,371)
Changes that relate to past service – changes in fulfilment cash flows ("FCF") relating to LIC	(782,869)	-	(145,723)	(801,393)	(1,978)	-	(19,394)	-	(1,751,357)
Losses on onerous contracts and (reversal) of those losses	(10,471)	-	(65,827)	(2,602)	-	-	3,185	-	(75,715)
Amortisation of insurance acquisition cash flows	1,416,916	-	418,863	169,685	-	-	32,376	-	2,037,840
	14,920,293	-	2,438,879	417,157	(1,980)	-	230,778	11,234	18,016,361

*These include other attributable expenses amounting to ﷲ 710 million.
**The above amounts of claims incurred and policy acquisition cost is after elimination of the costs charged by Meena to Tawuniya amounting ﷲ 203 million and ﷲ 53 million respectively. Please refer note 24.

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24. INSURANCE SERVICE EXPENSES (continued)

	For the year ended December 31, 2024								
	Medical**	Medical – Umrah	Motor	Property & Casualty	General accidents – Hajj & Umrah	Travel & COVID-19	Protection & Savings	Inherent Defects Insurance	Total
	ﷲ'000								
Incurring claims and other directly attributable expenses – Estimates of the present value of future cash flows *	11,330,165	3,710	2,359,667	899,470	1,767	-	112,774	6,422	14,713,975
Incurring claims and other directly attributable expenses – Risk adjustment (RA)	151,862	-	15,658	98,820	161	-	3,118	63	269,682
Changes that relate to past service – changes in fulfilment cash flows ("FCF") relating to LIC	(476,898)	(5,342)	(192,152)	(576,777)	(3,017)	-	(26,042)	-	(1,280,228)
Losses on onerous contracts and (reversal) of those losses	(45,963)	-	83,398	(2,429)	-	-	25	-	35,031
Amortisation of insurance acquisition cash flows	1,123,817	2,116	401,267	153,708	(160)	-	14,995	-	1,695,743
	12,082,983	484	2,667,838	572,792	(1,249)	-	104,870	6,485	15,434,203

* These include other attributable expenses amounting to ﷲ 658 million.

**The above amounts of claims incurred and policy acquisition cost is after elimination of the costs charged by Meena to Tawuniya amounting ﷲ 25 million and ﷲ 36 million respectively. Please refer note 24.

25. NET EXPENSES FROM REINSURANCE CONTRACTS HELD

	For the year ended December 31, 2025								
	Medical	Medical – Umrah	Motor	Property & Casualty	General accidents – Hajj & Umrah	Travel & COVID-19	Protection & Savings	Inherent Defects Insurance	Total
	ﷲ'000								
Allocation of reinsurance premiums	(221,748)	-	(14,902)	(2,215,584)	-	-	(150,481)	(11,205)	(2,613,920)
Amounts recoverable from reinsurers for incurred claims	106,173	-	57	70,058	-	-	160,412	6,655	343,355
	(115,575)	-	(14,845)	(2,145,526)	-	-	9,931	(4,550)	(2,270,565)

	For the year ended December 31, 2024								
	Medical	Medical – Umrah	Motor	Property & Casualty	General accidents – Hajj & Umrah	Travel & COVID-19	Protection & Savings	Inherent Defects Insurance	Total
	ﷲ'000								
Allocation of reinsurance premiums	(222,865)	-	(17,370)	(1,881,062)	(240)	-	(88,845)	(1,519)	(2,211,901)
Amounts recoverable from reinsurers for incurred claims	129,582	-	(5,003)	280,550	(121)	-	78,337	1,231	484,576
	(93,283)	-	(22,373)	(1,600,512)	(361)	-	(10,508)	(288)	(1,727,325)

26. REVENUE FROM NON-INSURANCE SERVICE

	December 31, 2025	December 31, 2024
	ﷲ'000	
Revenue earned by Meena	265,742	63,920
Elimination of the group revenue	(256,138)	(60,706)
Revenue from non- insurance service	9,604	3,214

26.1 The company has entered into an agreement with its wholly owned subsidiary "Meena Health Care Service Provider" to provide the healthcare service to policyholder of the "Tawuniya (parent)". In these consolidated financial statements, the intra group revenue earned by Meena though invoicing to Tawuniya, and balances has been eliminated.

The corresponding impact is recorded in the insurance service expense of medical line of business by eliminating the related incurred claims and policy acquisition cost invoiced to Tawuniya by its wholly owned subsidiary "Meena Health Care Service Provide" for the above transaction. Please refer note 24.

The revenue earned by Meena from transactions made outside the group is presented as the revenue from non-Insurance service.

27. OTHER OPERATING EXPENSE

	December 31, 2025	December 31, 2024
	ﷲ'000	
Salaries and benefits	345,329	221,307
Advertising	96,204	55,453
Professional fees	47,347	45,637
Utilities	39,202	39,121
Cost of medical supplies and related services	23,938	33,848
Training and education	17,770	25,338
Unrecoverable VAT and other provisions	29,276	18,266
Strategy expenses	20,633	16,228
License and other charges	21,772	15,038
Travel and transport	11,454	13,092
Repair and maintenance	16,254	8,987
Office supplies and printing	4,339	4,641
Others	18,147	41,664
	691,665	538,620

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27. OTHER OPERATING EXPENSE (continued)

27.1 The breakdown of remuneration for the statutory audit, quarterly reviews, zakat, tax, and other services of the Group’s consolidated financial statements is presented below:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Annual audit and quarterly reviews for first, second, and third quarters of 2025 of the Company (2024: Annual audit and quarterly reviews for first, second, and third quarters) – KPMG Professional Services Company	3,425	3,200
Annual audit and quarterly reviews for first, second, and third quarters of 2025 of the Company (2024: Annual audit and quarterly reviews for first, second, and third quarters) – PKF Al Bassam Chartered Accountants	1,035	850
Annual audit of 2025 of Meena Health Medical Company (2024: annual audit) – BDO Dr. Mohamed Al Amri & Co	75	65
Special purpose audit of 2025 of Meena Health Medical Company (2024: Special purpose audit) – PKF Al Bassam Chartered Accountants	140	75
Annual audit of Teejan – KPMG Professional Services Company	70	92
Annual audit and quarterly reviews for first, second, and third quarters of 2025 of Tree Digital Insurance Agency Company (2024: Annual audit and quarterly reviews for first, second, and third quarters – PKF Al Bassam Chartered Accountants	160	95
Quarterly review of the first quarter of Company - BDO Dr. Mohamed Al Amri & Co	-	88
Zakat, tax, VAT, and consultancy services – Deloitte and Touche & Co.	3,167	1,857
	8,072	6,322

Other services:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Fees for agreed-upon procedures related to related parties	45	40
Fees for limited assurance engagement related to the solvency requirements about share buy-back – First tranche	-	45
Fees for agreed-upon procedures related to write-off customer account receivable	45	-
Fees for agreed-upon procedures related to compulsory Umrah Prodcut (the “Umrah Product”)	50	-
Fees for limited assurance engagement related to the solvency requirements about share buy-back – Second tranche	-	40
Fees for agreed-upon procedures related to surplus distribution	45	40

28. ZAKAT

a) The current year’s provision is based on the following:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Share capital	1,500,000	1,500,000
Reserves, opening provisions and other adjustments	7,349,809	4,187,738
Book value of long-term assets	(3,558,220)	(929,473)
	5,291,589	4,758,265
Adjusted net income	1,072,040	986,973
Zakat @ 2.578% (2024: 2.585%) on Zakat base	136,400	122,989
Zakat @ 2.5% on adjusted net income	-	-
	136,400	122,989

As the zakat base for the year is higher than the zakatable income, the zakat for the year is calculated at 2.578% on zakat base (2024: 2.585 % on the zakat base) for the year.

b) The movement in the zakat provision for the year was as follows:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Balance, January 1	461,307	359,844
Provided during the year	136,400	122,989
Prior period adjustment	(12,893)	-
Payments during the year	(102,099)	(21,526)
Balance, December 31	482,715	461,307

c) Status of Assessments:

The Company has filed Zakat returns with the Zakat, Tax and Customs Authority (ZATCA) for the years 2019 to 2024. Furthermore, ZATCA has started its review procedures for years 2019 through 2022 but has not raised any final assessment related to these years.

Management believes that appropriate and adequate provisions have been created and that the finalization of the above-mentioned assessments is not expected to have a material impact on the consolidated financial statements for the year ended December 31, 2025.

In their recent guidelines, ZATCA suggested that all reserves within insurance contract liabilities should be treated as equity thus liable to Zakat. These reserves are related to the policyholders and not classified as equity when calculating the zakat liability for the year, on the basis that shareholders should not be responsible for zakat on the reserves related to the policyholder. The management expects the impact of the above amounting to ﷲ 175 million (December 31, 2024 ﷲ 155 million) which has not been provisioned for in these consolidated financial statements.

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29. INSURANCE SHARED POOL ARRANGEMENTS

a) Hajj and Umrah shared agreement:

On January 01, 2020, the Company, together with 28 other insurance companies, signed the Umrah shared agreement relating to medical and general accidents insurance which was effective from January 01, 2020. Effective from March 30, 2022, the Company had also signed an Appendix “1” to an existing Umrah shared agreement with Ministry of Hajj and Umrah to include Hajj insurance product relating to general accidents insurance including Covid-19 coverage. The agreement relates to insurance of pilgrims who enter the Kingdom of Saudi Arabia.

The main terms of the amended agreement are as follows:

- The Company obtains 2% management fee of the net result of the Hajj and Umrah portfolio;
- The Company obtains fixed amount of ﷲ 7 for each insurance certificate written to cover the related indirect expenses;
- The Company obtains 0.3% of investing portfolio funds;
- The Company pays 7.5% brokerage commission of Hajj and Umrah’s gross premiums written through broker;
- The Company pays 10% of Hajj and Umrah’s portfolio surplus to Ministry of Hajj and Umrah; and
- The net result of the Hajj and Umrah portfolio after deducting all the above-mentioned items is shared equally by the Company and other insurers.

The agreement ended on December 31, 2023, and thereafter above agreement has not been renewed between the Company and other insurance companies. The current agreement will be continued as run-off portfolio until all premiums are earned and all claims and related reserves are settled.

Effective January 1, 2024, the Company signed an agreement with Ministry of Hajj and Umrah, whereby the Company is responsible solely to provide insurance to foreign pilgrims including Medical & General Accidents benefits for Umrah visa holders and General Accidents benefits for Hajj visa holders. As a result, Medical – Umrah line of business is now presented under Medical line of business and General Accidents – Hajj & Umrah line of business is now presented under Property & Casualty line of business effective from 1 January 2024.

b) Travel and COVID-19 shared agreement:

On April 6, 2021 the Company, together with 12 other insurance companies, signed the Travel and COVID-19 shared agreement relating to compulsory travel insurance in addition to coverages related to COVID-19 which is effective from April 6, 2021. The agreement relates to insurance of citizens traveling abroad.

The main terms of the agreement are as follows:

- The Company obtains 2.5% management fee of Travel and COVID-19 gross premiums written; and
- The Company obtains 30% of net result of Travel & COVID-19 portfolio after deducting the above-mentioned item and the remaining is shared equally with other insurers.

Effective from September 1, 2022, in accordance with the announcement of General Directorate of Passports (Jawazat), the Company has ceased to write Travel and COVID-19 insurance policies for the citizens traveling abroad. Consequently, Travel and COVID-19 portfolio will be continued as run-off portfolio and the related premiums, claims and reserves are settled in the year 2024 after obtaining necessary approvals from the relevant authorities.

c) Inherent Defects Insurance agreement (IDI):

On January 1, 2023, the Company signed the Inherent Defects Insurance (IDI pool) shared agreement relating to compulsory Inherent Defects insurance, mandated by Council of Ministers requiring all contractors involved in private sector construction project to obtain an IDI policy.

From June 24, 2025, the Company was designated by the Insurance Authority to act as the manager (pool leader) of the IDI pool for a period of three years which was previously managed by Malath Cooperative Insurance Company.

The main terms of the agreement are as follows:

- The Company’s share of IDI pool was 25.63% till 31 December 2024 of the total share (excluding reinsurance).
- The Company’s share of IDI pool is 40.73% effective 1 January 2025 of the total share (excluding reinsurance).
- The Company earns a management fee of 1.25% on the premium collected.
- IDI pool is 75.45% reinsured for which the Group has signed reinsurance agreement on behalf of the pool with Saudi Reinsurance Company for a period of three years.

Assets and liabilities held under fiduciary capacity

The Group acts as the pool leader for the IDI pool. In this capacity, the Group recognises its own share of premiums and claims in accordance with IFRS 17, and earns a pool management fee in accordance with IFRS 15.

Amounts managed on behalf of other pool participants are administered in a fiduciary capacity and are therefore not recognised in the consolidated statement of financial position as at 31 December 2025. These balances remain off-balance sheet, as the Group acts solely as an agent.

Balances held in a fiduciary capacity include a designated bank account with a balance of ﷲ 762 million as at December 31, 2025. Further the Group’s cash and bank balances also include an amount of ﷲ 122.8 million pertaining to IDI pool (note 4.4). This cash is not available for use by the Group, and the corresponding liability (“Due to IDI Pool”) is presented within accrued expenses and other liabilities.

The Group has no right to pledge, invest, or otherwise use these fiduciary balances for its own benefit.

30. EARNINGS PER SHARE

Basic and diluted earnings per share for the year ended December 31, 2025, and 2024 have been calculated by dividing the net income for the year by the weighted average number of ordinary shares issued and outstanding at the end of the period.

(a) Basic earnings per share

The calculation of basis EPS has been based on the weighted average number of shares outstanding as at December 31 is below:

	December 31, 2025	December 31, 2024
	In ‘000	
Issued ordinary shares as at January 1	149,741,848	150,000,000
Effect of treasury shares buy-back	(113,343)	(123,118)
Weighted-average number of ordinary shares as at December 31	149,628,505	149,876,882

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30. EARNINGS PER SHARE (continued)

(b) Diluted earnings per share

The calculation of diluted EPS has been based on the weighted average number of shares outstanding as at December 31 after adjustment for the effects of all dillutive potentail shares is below:

	December 31, 2025	December 31, 2024
	In '000	
Weighted average number of shares (basic)	149,628,505	149,876,882
Effect of treasury shares buy-back for the year	113,343	123,118
Effect of treasury shares buy-back for prior years	258,152	-
Shares forfeited during the year	(14,767)	-
Weighted-average number of ordinary shares (diluted) as at December 31	149,985,233	150,000,000

31. RELATED PARTY TRANSACTION AND BALANCES

Related parties represent major shareholder, government related entities, directors, key management personnel of the Group, associates and any other entities controlled, jointly controlled or significantly influenced by them. Pricing policies and terms of these transactions are approved by the Group's management and Board of Directors.

A government-related entity is an entity that is controlled, jointly controlled or significantly influenced by a government. The Group's majority shareholder, GOSI, is fully owned by the government of the Kingdom of Saudi Arabia. GOSI exercises significant influence over the Group. The shareholding of GOSI is disclosed in note 17 to the consolidated financial statements.

Transactions and balances with related parties and government-related entities are listed below:

	Amount of transactions for the year ended		Balance receivable / (payable) as at	
	December 31, 2025	December 31, 2024	December 31, 2025	December 31, 2024
	ﷲ'000			
Shareholders with significant influence				
Insurance premium written	142,959	22,972	727	8,204
Claims paid tGo medical services provider	21,372	41,713	-	-
GOSI – other services	85,740	-	7,225	-
Government related entities				
Insurance premium written	4,826,498	2,924,840	1,963,460	820,652
Claims paid to medical services provider	2,192,331	2,148,449	(868,506)	(517,668)
Reinsurance premium ceded	257,837	-	71,950	-
Claims and commission recovery	68,804	-	26,325	-
Cash and cash equivalents	-	-	640,976	780,976
Contingencies and Commitments (Financial Guarantees obtained)	-	-	203,820	83,194
Short term loan payable	554,706	-	554,706	-
Associates				
Insurance premium written	-	-	15,680	15,689
Claims paid	16	66,123	-	-
Waseel fees paid	8,997	5,279	-	(8)
UIC fees paid	2,717	21,846	-	-
Share of profit from equity accounted investments	31,023	21,676	128,471	116,497
Entities controlled, jointly controlled by related parties *				
Insurance premium written	156,652	259,892	47,119	79,941
Claims settled to medical services provider and other entities	5,301	2,079	-	-
Najm fees paid	106,407	123,726	496	-
Surplus payable to Najm	-	-	(52,171)	(52,171)
Other services	87,780	24,989	22,926	-

Directors and key management personnel bought insurance policies during the year amounting to ﷲ 74,993 from the Group.

In accordance with the Company's Articles of Association, the Board of Directors is entitled each year to remuneration up to 10% of the remaining profit from Shareholders’ operations, as defined, based on a decision by the General Assembly.

* There are certain entities which are classified as related parties due to an application of CMA Regulations. These represent entities where the Company has common directors with the other entities.

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31. RELATED PARTY TRANSACTION AND BALANCES (continued)

Remuneration and compensation of Board of Directors (BOD) and Key Executives

The following table shows the annual salaries, remuneration, and allowances obtained by the Board members and key executives for the year ended December 31, 2025, and 2024:

	December 31, 2025	December 31, 2024
	ﷲ'000	
Board member remuneration	8,740	8,765
Board committee members remuneration	4,760	4,717
Salaries and compensation	9,603	8,763
Other allowances	4,255	4,845
Annual remuneration/bonus	16,011	16,987
End-of-service indemnities	823	2,325
Total	44,192	46,402

Employee share scheme amounting to ﷲ 15.3 million (December 31, 2024 ﷲ 11 million) includes reserves for the key management personnel.

32. FAIR VALUES OF FINANCIAL INSTRUMENTS

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal (or the most advantageous) market between market participants at the measurement date under current market conditions regardless of whether that price is directly observable or estimated using another valuation technique.

Determination of fair value and fair value hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments:

- a. Level 1: quoted market price: financial instruments with quoted unadjusted prices for identical instruments in active markets.
- b. Level 2: quoted prices in active markets for similar assets and liabilities or other valuation techniques for which all significant inputs are based on observable market data.
- c. Level 3: valuation techniques for which any significant input is not based on observable market data.

The following table shows the carrying amount of financial assets, including their levels in the fair value hierarchy for financial instruments measured at fair value. It does not include fair value information for financial assets and liabilities not measured at fair value if the carrying amount is a reasonable approximation to fair value.

The Group measures fair value including fair value gains and losses, realized gains and losses on disposal of investments and impairment on equities at the underlying asset level. However, the Shariah Notes are the basis of the unit of account for recognition as at the statement of financial position date.

	ﷲ'000			
December 31, 2025	Level 1	Level 2	Level 3	Total
Investments at FVPL	-	4,357,659	143,400	4,501,059
Unquoted equities at FVOCI	-	-	76,965	76,965
	-	4,357,659	220,365	4,578,024

	ﷲ'000			
December 31, 2024	Level 1	Level 2	Level 3	Total
Investments at FVPL	-	2,049,298	35,000	2,084,298
Unquoted equities at FVOCI	-	-	65,096	65,096
	-	2,049,298	100,096	2,149,394

The fair value used for valuation of Level 2 investments are based on prices quoted on reliable and third-party sources including Reuters, Bloomberg, etc. Fair value of unquoted equities at FVOCI classified in Level 3 are determined based on the blended valuation technique (i.e., DCF and P/E multiple with equal weightage). There were no transfers in between levels during the year ended December 31, 2025, and 2024.

The fair values of statutory deposits, accrued investment income on statutory deposit, term deposits, bank balances and other financial assets in the consolidated statement of financial position which are carried at amortised cost, are not significantly different from the carrying values included in the consolidated financial statements due to the short-term nature of balances or they are repayable on demand.

Reconciliation of recurring fair value measurements categorized within Level 3 of the fair value hierarchy:

	ﷲ'000					
	Total gain or loss recognised in					
December 31, 2025	Balance January 1	Purchases	Disposals	Statement of income	Other comprehensive income	Balance December 31
Private equity investment	100,096	100,000	-	8,400	11,869	220,365

	ﷲ'000					
	Total gain or loss recognised in					
December 31, 2024	Balance January 1	Purchases	Disposals	Statement of income	Other comprehensive income	Balance December 31
Private equity investment	37,630	35,000	-	-	27,466	100,096

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32. FAIR VALUES OF FINANCIAL INSTRUMENTS (continued)

The below table shows significant unobservable inputs used in the valuation of level 3 investments.

Description	Fair value		Unobservable inputs		Range of inputs		Relationship of unobservable inputs to FV
	December 31, 2025	December 31, 2024	December 31, 2025	December 31, 2024	December 31, 2025	December 31, 2024	
Private equity investment	220,365	100,096	Annual growth rate 18.5% (Years from 2025 to 2029) (2024: 9.3%) Terminal Growth rate 3.5% (2024: 2.5%) WACC 10.29 % (2024:10.02%)		+/- 40% (illiquidity discount) (2024: +/- 30%)		Annual growth rate is directly proportional Discount rate is inversely proportional

Sensitivity analysis of Level 3 investments

December 31, 2025	Sensitivity factor	Impact on fair value due to increase in sensitivity factor	Impact on fair value due to increase in sensitivity factor
Private equity investment	+/- 10% change in price	22,037	(22,037)

December 31, 2024	Sensitivity factor	Impact on fair value due to increase in sensitivity factor	Impact on fair value due to increase in sensitivity factor
Private equity investment	+/- 10% change in price	10,009	(10,009)

33. RISK MANAGEMENT

Insurance risk

Insurance risk is the risk transferred from the policyholder to the company, other than financial risk. The risk under an insurance contract is the risk that an insured event will occur including the uncertainty of the amount and timing of any resulting claim. The principal risk the Company faces under such contracts is that the actual claims and benefits payments exceed the carrying amount of insurance liabilities. This is influenced by the frequency of claims, severity of claims, actual benefits paid being greater than originally estimated and subsequent development of long-term claims. The objective of the Company is to ensure that sufficient reserves are available to cover the liabilities associated with these insurance and reinsurance contracts that it issues.

The variability of risks is improved by diversification of risk of loss to a large portfolio of insurance contracts as a more diversified portfolio is less likely to be affected across the board by change in any subset of the portfolio, as well as unexpected outcomes. The variability of risks is also improved by careful selection and implementation of underwriting strategy and guidelines as well as the use of reinsurance arrangements. The underwriting strategy includes underwriting limits on the Company's total exposure to specific risks, together with limits on geographic and industry exposures. The aim is to ensure that a diversified book is maintained, with no over-exposure in any one geographic region.

Furthermore, strict claim review policies to assess all new and ongoing claims, regular detailed review of claims handling procedures and frequent investigation of possible fraudulent claims are established to reduce the risk exposure of the Company. The Company further enforces a policy of actively managing and promptly settling claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the business. Inflation risk is mitigated by taking expected inflation into account when estimating insurance contract liabilities and pricing appropriately.

Significant portion of reinsurance business ceded is placed on treaty and facultative basis with retention limits varying by product lines. Amounts recoverable from reinsurers are estimated in a manner consistent with the assumptions used for ascertaining the underlying policy benefits and are presented in the consolidated statement of financial position as reinsurance assets.

Although the Company has reinsurance arrangements, it is not relieved of its direct obligation to its policyholders and thus a credit exposure exists with respect to reinsurance ceded, to the extent that any reinsurer is unable to meet its obligation assumed under such reinsurance arrangements.

Frequency and severity of claims

The frequency and severity of claims can be affected by several factors like natural disasters, flood, environmental and economical, atmospheric disturbances, concentration of risks, civil riots etc. The Company manages these risks through the measures described above. The Company has limited its risk by imposing maximum claim amounts on certain contracts as well as the use of reinsurance arrangements in order to limit exposure to catastrophic events (e.g., hurricanes, earthquakes and flood damage). The purpose of these underwriting and reinsurance strategies is to limit exposure to catastrophes based on the Company's risk appetite as decided by management.

Concentration of insurance risk

The Company monitors concentration of insurance risks primarily by class of business. The major concentration lies in medical segment.

The Company also monitors concentration of risk by evaluating multiple risks covered in the same geographical location. For flood or earthquake risk, a complete city is classified as a single location. For fire and property risk a particular building and neighbouring buildings, which could be affected by a single claim incident, are considered as a single location. Similarly, for marine risk, multiple risks covered in a single vessel voyage are considered as a single risk while assessing concentration of risk. The Company evaluates the concentration of exposures to individual and cumulative insurance risks and establishes its reinsurance policy to reduce such exposures to levels acceptable to the Company.

Since the Company operates majorly in Saudi Arabia, hence, all the insurance risks relate to policies written in Saudi Arabia.

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33. RISK MANAGEMENT (continued)

The following tables show the concentration of net insurance contract liabilities by type of contract:

	31 December 2025			31 December 2024		
	R'000					
	Insurance	Reinsurance held	Net	Insurance	Reinsurance held	Net
Medical	7,498,214	43,761	7,541,975	8,090,015	(247,456)	7,842,559
Medical Umrah	-	-	-	-	-	-
Motor	1,414,374	(219,902)	1,194,472	1,808,897	(1,750)	1,807,147
Property and casualty	3,983,187	(2,400,648)	1,582,539	4,305,259	(2,655,703)	1,649,556
General Accident - Hajj & Umrah	-	-	-	2,021	-	2,021
Protection and Savings	119,416	(58,190)	61,226	57,418	(15,132)	42,286
Inherent Defects Insurance- GMM	361,587	(205,615)	155,972	121,757	(91,957)	29,800
	13,376,778	(2,840,594)	10,536,184	14,385,367	(3,011,998)	11,373,369

Sources of uncertainty in the estimation of future claim payments

The key source of estimation uncertainty at the consolidated statement of financial position date relates to the valuation of liability for incurred claims and includes expected claims settlement costs. Considerable judgment by management is required in the estimation of amounts due to policyholders arising from claims made under insurance contracts. Such estimates are necessarily based on assumptions about several factors involving varying and possibly significant degrees of judgment and uncertainty and actual results may differ from management's estimates resulting in future changes in estimated liabilities. Qualitative judgments are used to assess the extent to which past trends may not apply in the future, for example one-off occurrence, changes in market factors such as public attitude to claiming and economic conditions. Judgment is further used to assess the extent to which external factors such as judicial decisions and government legislation affect the estimates.

Claims development table

The following tables show the estimates of cumulative incurred claims, including both claims notified and IBNR for each successive accident year at each reporting date, together with cumulative payments to date.

The Company considers the probability and magnitude of future experience being more adverse than assumed which is reflected in the risk adjustment. In general, the uncertainty associated with the ultimate cost of settling claims is greatest when the claim is at an early stage of development. As claims develop, the ultimate cost of claims becomes more certain.

Gross undiscounted liabilities for incurred claims

Accident Year	31 December 2025						
	ﷲ'000						
	2020 & earlier	2021	2022	2023	2024	2025	Total
At the end of the Accident Year	61,605,875	6,020,436	7,558,455	9,825,188	10,679,062	14,086,095	-
One Year Later	62,242,206	7,502,578	9,778,798	11,731,673	12,487,679	-	-
Two Year Later	61,996,742	7,579,134	9,695,585	11,695,322	-	-	-
Three Year Later	61,900,592	7,473,819	9,585,570	-	-	-	-
Four Year Later	61,746,527	7,485,019	-	-	-	-	-
Five Year Later	61,618,644	-	-	-	-	-	-
Gross estimates of the undiscounted amount of the claims reported	61,618,644	7,485,019	9,585,570	11,695,322	12,487,679	14,086,095	116,958,329
Cumulative payments to date	(61,431,147)	(7,421,938)	(9,473,952)	(11,417,489)	(12,279,825)	(13,112,026)	(115,136,377)
Gross undiscounted liabilities for incurred claims	187,497	63,081	111,618	277,833	207,854	974,069	1,821,952
IBNR	(142)	(886)	19,396	103,737	568,742	3,478,346	4,169,193
Risk adjustment	16,803	3,777	8,659	24,952	44,452	242,498	341,141
Payables							(198,644)
Effect of discounting							(163,014)
							5,970,628

Accident Year	31 December 2024						
	ﷲ'000						
	2019 & earlier	2020	2021	2022	2023	2024	Total
At the end of the Accident Year	55,841,261	4,554,241	6,020,436	7,558,455	9,825,188	10,679,062	-
One Year Later	57,051,634	5,521,225	7,502,578	9,778,798	11,731,673	-	-
Two Year Later	56,720,981	5,601,323	7,579,134	9,695,585	-	-	-
Three Year Later	56,395,419	5,613,320	7,473,819	-	-	-	-
Four Year Later	56,287,272	5,613,557	-	-	-	-	-
Five Year Later	56,132,970	-	-	-	-	-	-
Gross estimates of the undiscounted amount of the claims reported	56,132,970	5,613,557	7,473,819	9,695,585	11,731,673	10,679,062	101,326,666
Cumulative payments to date	(55,794,094)	(5,557,815)	(7,316,796)	(9,442,320)	(11,119,153)	(10,043,683)	(99,273,861)
Gross undiscounted liabilities for incurred claims	338,876	55,742	157,023	253,265	612,520	635,379	2,052,805
IBNR	9,891	344	706	18,372	432,685	3,676,215	4,138,213
Risk adjustment	45,083	6,689	13,489	27,050	98,283	271,993	462,587
Payables							77,123
Effect of discounting							(161,424)
							6,569,304

The claim development table reconciles to the liability for incurred claims as disclosed in note 8 to the consolidated financial statements when adjusted for surplus payable, accrued attributable expenses, and impacts of shared pools including IDI.

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33. RISK MANAGEMENT (continued)

Net undiscounted liabilities for incurred claims

Accident Year	31 December 2025						
	ﷲ'000						
	2020 & earlier	2021	2022	2023	2024	2025	Total
At the end of the Accident Year	50,415,042	5,764,220	6,897,968	8,986,407	10,251,034	13,205,081	-
One Year Later	51,160,438	6,727,233	8,319,484	10,472,393	12,026,554	-	-
Two Year Later	51,237,681	6,836,701	8,430,410	10,486,590	-	-	-
Three Year Later	51,233,608	6,841,225	8,409,809	-	-	-	-
Four Year Later	51,143,648	6,834,406	-	-	-	-	-
Five Year Later	51,113,756	-	-	-	-	-	-
Gross estimates of the undiscounted amount of the claims reported	51,113,756	6,834,406	8,409,809	10,486,590	12,026,554	13,205,081	102,076,196
Cumulative payments to date	(51,091,572)	(6,821,244)	(8,382,982)	(10,445,839)	(11,957,571)	(12,814,556)	(101,513,764)
Gross undiscounted liabilities for incurred claims	22,184	13,162	26,827	40,751	68,983	390,524	562,431
IBNR	(128)	(890)	11,900	84,896	534,775	3,067,170	3,697,723
Risk adjustment	1,215	386	2,352	6,853	31,309	171,154	213,269
Payables							(679,603)
Effect of discounting							(84,552)
							3,709,268

Accident Year	31 December 2024						
	ﷲ'000						
	2019 & earlier	2020	2021	2022	2023	2024	Total
At the end of the Accident Year	44,639,932	4,370,006	5,764,220	6,897,968	8,986,407	10,251,034	-
One Year Later	46,045,036	5,143,894	6,727,233	8,319,484	10,472,393	-	-
Two Year Later	46,016,544	5,261,332	6,836,701	8,430,410	-	-	-
Three Year Later	45,976,348	5,271,753	6,841,225	-	-	-	-
Four Year Later	45,961,854	5,267,627	-	-	-	-	-
Five Year Later	45,876,021	-	-	-	-	-	-
Gross estimates of the undiscounted amount of the claims reported	45,876,021	5,267,627	6,841,225	8,430,410	10,472,393	10,251,034	87,138,710
Cumulative payments to date	(45,842,345)	(5,249,997)	(6,817,169)	(8,380,809)	(10,375,147)	(9,874,015)	(86,539,482)
Gross undiscounted liabilities for incurred claims	33,676	17,630	24,056	49,601	97,246	377,019	599,228
IBNR	6,962	345	717	13,757	371,324	3,081,334	3,474,439
Risk adjustment	3,048	1,399	1,394	6,450	27,853	175,650	215,794
Payables							(65,746)
Effect of discounting							(95,136)
							4,128,579

Reinsurance risk

In order to minimize financial exposure arising from large claims, the Company, in the normal course of business, enters into agreements with other parties for reinsurance purposes.

To minimize its exposure to significant losses from reinsurer insolvencies, the Company evaluates the financial condition of its reinsurers and monitors concentrations of credit risk arising from similar geographic regions, activities or economic characteristics of the reinsurers.

Reinsurers are selected using the following parameters and guidelines set by the Company's Board of Directors and Reinsurance Committee. The criteria may be summarized as follows:

- a. Minimum acceptable credit rating by recognised rating agencies (e.g. S&P) that is not lower than BBB or equivalent
- b. Reputation of particular reinsurance companies
- c. Existing or past business relationship with the reinsurer.

Furthermore, the financial strength and managerial and technical expertise as well as historical performance of the reinsurers, wherever applicable, are thoroughly reviewed by the Company and agreed to pre-set requirements of the Company's Board of Directors and Reinsurance Committee before approving them for exchange of reinsurance business. As at December 31, 2025 and December 31, 2024 there is no significant concentration of reinsurance balances.

Reinsurance ceded contracts do not relieve the Company from its obligation to policyholders and as a result the Company remains liable for the portion of outstanding claims reinsured to the extent that the reinsurer fails to meet the obligation under the reinsurance agreements.

Financial risk

Market risk

Market risk is the risk that the value of the financial instrument may fluctuate as a result of changes in market commission rates or the market price of securities or the instrument, change in market sentiments, speculative activities, supply and demand for securities and liquidity in the market. Market risk will affect the fulfilment cash flows of insurance and reinsurance contracts as well as the fair value or future cash flows of financial instruments. The objective of market risk management is to control market risk exposures within acceptable parameters while optimizing the return on risk.

Market risk comprises of three types of risk: currency risk, commission rate risk and equity price risk.

The Board of Directors of the Company ensure that the overall market risk exposure is maintained at prudent levels and is consistent with the available capital. While the Board gives a strategic direction and goals, risk management function related to market risk is mainly the responsibility of investment management team supported by risk management team. The team prepares forecasts showing the effects of various possible changes in market conditions related to risk exposures. This risk is being mitigated through the proper selection of securities. The Company maintains diversified portfolio and performs regular monitoring of developments in related markets. The nature of the Company's exposure to market risks and its objectives, policies and processes used to manage and measure the risks have not changed from the previous period.

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33. RISK MANAGEMENT (continued)

Currency Risk

Currency risk is the risk that the fair value of future cash flows of a financial instrument, insurance contract assets and/or liabilities will fluctuate because of changes in foreign exchange rates. The Group is exposed to foreign currency transaction risk to the extent that the currencies in which insurance and reinsurance contracts and financial instruments are denominated differ from the functional currencies of the Group.

Foreign currency transaction risk arising from insurance and reinsurance contracts is managed by holding cash and investing in assets denominated in currencies that match the related liabilities to the extent that it is deemed by local management to be both practical and appropriate. The company policy is to ensure that its net exposure is kept to an acceptable level. The Company also mitigates some of the foreign currency risk associated with insurance contracts by holding reinsurance contracts denominated in the same currencies as its insurance contract liabilities.

The Company’s principal transactions are predominantly conducted in USD and ﷲ. The Company is not exposed to its dealing in USD since ﷲ is pegged with USD. The transactions in currencies other than ﷲ and USD are not significant and accordingly the Company is not exposed to currency risk.

Commission Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument or insurance contract or reinsurance contract will fluctuate because of changes in market interest rates.

The Company invests in securities and has deposits that are subject to commission rate risk. Commission rate risk to the Company is the risk of changes in commission rates reducing the overall return on its fixed commission rate-bearing securities. The Commission rate risk is limited by monitoring changes in commission rates and by investing in floating rate instruments. The company manages interest rate risk by closely matching, where possible, the durations of insurance contracts with fixed and guaranteed terms and the supporting financial assets. The company monitors its interest rate risk exposure through periodic reviews of asset and liability positions. Additionally, estimates of cash flows and the impact of interest rate fluctuations are reviewed every six months.. The commission and non-commission bearing investments of the Company and their maturities as at December 31, 2025 and 2024 are as follows:

	Less than 1 year	More than 1 year	Non-commission bearing	Total
	ﷲ'000			
December 31, 2025				
Term deposits	7,933,741	-	-	7,933,741
Investments at FVPL	-	1,916,833	2,584,226	4,501,059
Investments at FVOCI	-	-	79,686	79,686
Cash and cash equivalents	27,825	-	1,673,333	1,701,158
Total	7,961,566	1,916,833	4,337,245	14,215,644
December 31, 2024				
Term deposits	9,251,676	-	-	9,251,676
Investments at amortised cost	47,630	-	-	47,630
Investments at FVPL	-	321,980	1,762,318	2,084,298
Investments at FVOCI	-	-	65,096	65,096
Cash and cash equivalents	1,207,500	-	869,968	2,077,468
Total	10,506,806	321,980	2,697,382	13,526,168

Equity Price Risk

Price risk is the risk that the fair value or future cash flows of financial instruments or insurance contract assets and/or liabilities will fluctuate because of changes in market prices (other than those arising from interest rate or foreign exchange rate risk), whether those changes are caused by factors specific to the individual financial instrument or contract, or by factors affecting all similar contracts or financial instruments traded in the market. The Company's price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The Company does not issue any participating contracts. Therefore, there are no insurance or reinsurance contracts which are exposed to price risk.

The Company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on individual and total equity instruments. The Company's risk committee regularly monitors equity price risk and manages material investments on an individual basis. Investment limits require business units to hold diversified portfolios of assets and restrict concentrations to geographies and industries. The Group does not have a significant concentration of equity price risk.

The Group's investments in underlying mutual funds amounting to ﷲ 944 million (2024: ﷲ 760 million) and underlying equities amounting to ﷲ 1,076 million (2024: ﷲ 908 million) are susceptible to market price risk arising from uncertainty about the future value of invested securities. The Group fund manager limits this nature of market risk by diversifying its invested portfolio and by actively monitoring the developments in markets.

This analysis was performed for reasonably possible movements in the market index with all other variables held constant. The correlation of variables will have a significant effect in determining the ultimate impact on price risk, but to demonstrate the impact due to changes in variables, variables had to be changed on an individual basis. It should be noted that movements in these variables are non-linear. The method used for deriving sensitivity information and significant variables has not changed from the previous period.

The impact of hypothetical change of a 10% increase and 10% decrease in the market prices of investments on the Group's income and other comprehensive would be as follows:

	Fair value change	Effect on consolidated statement of income	Effect on Group's total equity
December 31, 2025			
Underlying mutual funds	94,463	94,463	94,463
Underlying equities	107,663	107,663	107,663

	Fair value change	Effect on consolidated statement of income	Effect on Group's total equity
December 31, 2024			
Underlying mutual funds	76,043	76,043	76,043
Underlying equities	90,780	90,780	90,780

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33. RISK MANAGEMENT (continued)

Operational risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial loss. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks. Controls include effective segregation of duties, access controls, authorisation and reconciliation procedures, staff education and assessment processes, including the use of internal audit. Business risks such as changes in environment, technology and the industry are monitored through the Company's strategic planning and budgeting process.

The Company's objective in managing operational risk is to balance the avoidance of financial losses and damage to its reputation with overall cost-effectiveness and innovation. In all cases, the Company policy requires compliance with all applicable legal and regulatory requirements.

The Company's objective is to manage operational risk so as to balance limiting of financial losses and damage to its reputation with achieving its investment objective of generating returns for investors. The primary responsibility for the development and implementation of controls over operational risk rests with the Board of Directors. The Company's risk committee is responsible for the development and implementation of controls to address operational risk. This responsibility is supported by the development of overall company standards for the management of operational risk in the following areas:

- Requirements for appropriate segregation of duties between various functions, roles and responsibilities;
- Requirements for the reconciliation and monitoring of transactions;
- Compliance with regulatory and other legal requirements;
 - Documentation of controls and procedures;
 - Requirements for the periodic assessment of operational risks faced, and the adequacy of controls and procedures to address the risks identified;
 - Ethical and business standards; and
 - Risk mitigation policies and procedures.

Senior Management ensures that the Company's staff has adequate training and experience and fosters effective communication related to operational risk management.

Credit risk

Credit risk is the risk that one party to a financial instrument, insurance contract issued in an asset position or reinsurance contract held will cause a financial loss for the other party by failing to discharge an obligation.

The following policies and procedures are in place to mitigate the Company's exposure to credit risk.

The Company have approved credit policies in consultation with business units, covering, credit assessment, risk grading and reporting, documentary and legal procedures and compliance with regulatory and statutory requirements. The Company's credit risk policy sets out the assessment and determination of what constitutes credit risk for the Company. Compliance with the policy is monitored and exposures and breaches are reported to the Company's risk committee. The policy is regularly reviewed for pertinence and for changes in the risk environment.

The Company seeks to manage its credit risk with respect to customers by following the Company's credit control policy and monitoring outstanding receivables on an on-going basis in order to reduce the Company's exposure to doubtful debts. The Company seeks to limit its credit risk with respect to other counterparties by placing deposits and investments with reputable financial institutions. The Company enters into reinsurance contracts with recognised, creditworthy third parties (rated BBB- or above).

Credit risk relating to financial instruments is monitored by the Company's finance team. It is their responsibility to review and manage credit risk, including environmental risk for all counterparties. Reinsurance is placed with counterparties that have a good credit rating and concentration of risk is avoided by following policy guidelines in respect of counterparties' limits that are set each year by the board of directors and are subject to regular reviews. At each reporting date, management performs an assessment of creditworthiness of reinsurers and updates the reinsurance purchase strategy.

The nature of the Company's exposure to credit risk and its objectives, policies and processes used to manage and measure the risks have not changed from the previous period.

The table below shows the maximum exposure to credit risk for the relevant components of the consolidated statement of financial position:

	31-Dec-25	31-Dec-24
	ﷲ'000	
Statutory deposits	149,988	149,977
Reinsurance contract assets	2,884,355	3,011,998
Term deposits	7,933,741	9,251,676
Investments including accrued investment income	4,578,024	2,197,024
Receivable from brokers/agents	2,977,221	3,274,268
Receivable from shared pool participants and other assets	131,741	206,258
Cash and cash equivalents	1,701,158	2,077,468
	20,356,228	20,168,669

Concentration of credit risk

The concentration of credit risk exists when changes in economic or industry factors similarly affect groups of counterparties whose aggregate credit exposure is significant in relation to the Company's total credit exposure. Approximately 99% (2024: approximately 99%) of the Company's underwriting activities are carried out in Saudi Arabia. The Company's portfolio of financial instruments is broadly diversified, and transactions are entered into with diverse credit-worthy counterparties thereby mitigating any significant concentrations of credit risk. The Company has significant exposure amounting to ﷲ 1,917 million (2024: ﷲ 322 million) classified as debt instruments in Shariah Notes. The Company actively manages its product mix to ensure that there is no significant concentration of credit risk.

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33. RISK MANAGEMENT (continued)

Credit exposure by credit rating

The table below provides information regarding the credit risk exposure of the Company by classifying assets according to the Company's credit rating of counterparties. Investment grade ratings refer to companies with sound credit standing of AA to BBB- (as per S&P) and/or Aaa to Baa3 (as per Moody's). Ratings below the mentioned threshold are considered sub-investment grade with a higher default risk.

	Investment grade	Non-investment Grade	Not rated	Total
December 31, 2025				
Statutory deposits	149,988	-	-	149,988
Reinsurance contract assets	2,884,355	-	-	2,884,355
Term deposits	7,933,741	-	-	7,933,741
Receivable from brokers/agents	-	-	2,977,221	2,977,221
Investments (including accrued investment income)	-	-	4,578,024	4,578,024
Receivable from shared pool participants	-	-	131,741	131,741
Cash and cash equivalents	1,701,158	-	-	1,701,158
	12,669,242	-	7,686,986	20,356,228

	Investment grade	Non-investment Grade	Not rated	Total
December 31, 2024				
Statutory deposits	149,977	-	-	149,977
Reinsurance contract assets	3,011,998	-	-	3,011,998
Term deposits	9,251,676	-	-	9,251,676
Receivable from brokers/agents	-	-	3,274,268	3,274,268
Investments (including accrued investment income)	-	-	2,197,024	2,197,024
Receivable from shared pool participants	-	-	206,258	206,258
Cash and cash equivalents	2,077,468	-	-	2,077,468
	14,491,119	-	5,677,550	20,168,669

Impairment assessment

The Company's ECL assessment and measurement method is set out below:

Significant increase in credit risk, default and cure

The Company continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Company assesses whether there has been a significant increase in credit risk since initial recognition.

There has been no significant increase in credit risk or default for financial assets during the year.

Expected credit loss

The Company assesses the possible default events within 12 months for the calculation of the 12mECL. Given the investment policy, the probability of default for new instruments acquired is generally determined to be minimal and the expected loss given default ratio assumed to be 100%. In rare cases where a lifetime ECL is required to be calculated, the probability of default is estimated based on economic scenarios.

Impairment losses on financial investments subject to impairment assessment

The table below shows the credit quality and the maximum exposure to credit risk based on the Company's internal credit rating system and year-end stage classification. The amounts presented are gross impairment allowances.

	31-Dec-25			31-Dec-24		
	R'000					
	12mECL	LTECL	Total	12mECL	LTECL	Total
High grade	9,785,132	-	9,785,132	11,479,374	-	11,479,374
Not rated	-	3,089,644	3,089,644	-	3,548,600	3,548,600
ECL	(245)	(112,423)	(112,668)	(253)	(274,332)	(274,585)
	9,784,887	2,977,221	12,762,108	11,479,121	3,274,268	14,753,389

* The above exposure doesn't include investment including accrued investment income which is measured at fair value and reinsurance contract assets under IFRS 17.

The Group uses the provision matrix to measure the ECL of receivables from brokers / agents. The following table provides information about the exposure to credit risk and ECL for receivables from brokers / agents.

	31-Dec-25			31-Dec-24		
	R'000					
	Gross carrying amount	Weighted average loss rate	Loss allowance	Gross carrying amount	Weighted average loss rate	Loss allowance
Current	2,768,131	0%	1,275	2,353,743	0%	1,334
1 to 30 days	67,106	1%	571	621,185	0%	2,060
31 to 60 days	62,590	1%	499	144,371	1%	1,069
61 to 90 days	38,564	1%	389	76,057	1%	444
91 to 365 days	35,388	18%	6,239	155,357	39%	60,229
More than 365 days	117,865	64%	75,862	197,887	65%	128,328
	3,089,644		84,835	3,548,600		193,464
Specific provision			27,588			80,868
Total ECL			112,423			274,332

The Group has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses. The key drivers of credit risk include GDP growth and interest rates.

Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with insurance liabilities that are settled by delivering cash or another financial asset. In respect of catastrophic events, there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries. The following policies and procedures are in place to mitigate the Company's exposure to liquidity risk.

The Company's liquidity risk policy sets out the assessment and determination of what constitutes liquidity risk for the Company. Compliance with the policy is monitored and exposures and breaches are reported to the Company's risk committee. The policy is regularly reviewed for pertinence and for changes in the risk environment.

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33. RISK MANAGEMENT (continued)

Further, the Company has a proper cash management system, where daily cash collections and payments are strictly monitored and reconciled on a regular basis. The Company manages liquidity risk by maintaining maturities of financial assets and financial liabilities and investing in liquid financial assets. The Company maintains a portfolio of highly marketable and diverse assets that can be easily liquidated in the event of an unforeseeable interruption of cash flow. The Company also has committed lines of credit that it can access to meet liquidity needs.

Maturity analysis for insurance & reinsurance contract liabilities and reinsurance contracts assets (present value of future cash flows basis) (discounted cashflows)
The following table summarises the maturity profile of insurance & reinsurance contracts liabilities and reinsurance contract assets of the Company based on remaining discounted cash flows. Portfolios of insurance contracts issued that are liabilities and portfolios of reinsurance contracts held that are liabilities of the Company are based on the estimates of the present value of the future cash flows expected to be paid out in the periods presented.

	31-Dec-25							
	ﷲ'000							Total
	Up to 1 Year	1-2 year	2-3 year	3-4 year	4-5 year	> 5 years	No maturity	
Insurance contract liabilities								
Medical	6,954,385	427,235	107,678	8,916	-	-	-	7,498,214
Motor	1,394,416	12,327	5,992	859	780	-	-	1,414,374
Property and casualty	2,570,012	897,712	381,550	72,314	49,861	11,738	-	3,983,187
General & Accident – Umrah	-	-	-	-	-	-	-	-
Protection & savings	119,000	416	-	-	-	-	-	119,416
Inherent Defect Insurance - GMM	-	-	-	-	-	361,587	-	361,587
	11,037,813	1,337,690	495,220	82,089	50,641	373,325	-	13,376,778
Reinsurance contract assets								
Medical	(85,780)	27,859	12,333	1,827	-	-	-	(43,761)
Motor	219,817	73	12	-	-	-	-	219,902
Property and casualty	1,531,662	444,566	316,588	59,129	42,757	5,946	-	2,400,648
General & Accident – Umrah	-	-	-	-	-	-	-	-
Protection & savings	57,864	326	-	-	-	-	-	58,190
Inherent Defect Insurance - GMM	-	-	-	-	-	205,615	-	205,615
	1,723,563	472,824	328,933	60,956	42,757	211,561	-	2,840,594

	31-Dec-24							
	ﷲ'000							Total
	Up to 1 Year	1-2 year	2-3 year	3-4 year	4-5 year	> 5 years	No maturity	
Insurance contract liabilities								
Medical	7,824,606	238,635	26,454	320	-	-	-	8,090,015
Motor	1,802,613	(3,018)	7,816	1,486	-	-	-	1,808,897
Property and casualty	3,397,852	600,605	188,839	32,089	33,746	52,128	-	4,305,259
General & Accident – Umrah	2,021	-	-	-	-	-	-	2,021
Protection & savings	48,219	7,152	2,047	-	-	-	-	57,418
Inherent Defect Insurance - GMM	-	-	-	-	-	121,757	-	121,757
	13,075,311	843,374	225,156	33,895	33,746	173,885	-	14,385,367
Reinsurance contract assets								
Medical	208,958	30,623	7,875	-	-	-	-	247,456
Motor	1,559	140	51	-	-	-	-	1,750
Property and casualty	1,896,133	523,998	153,988	24,043	13,913	43,628	-	2,655,703
General & Accident – Umrah	-	-	-	-	-	-	-	-
Protection & savings	7,232	6,182	1,718	-	-	-	-	15,132
Inherent Defect Insurance - GMM	-	-	-	-	-	91,957	-	91,957
	2,113,882	560,943	163,632	24,043	13,913	135,585	-	3,011,998

Maturity analysis for lease liability

	31-Dec-2025			
	ﷲ'000			Total
	Up to 1 year	2 – 5 years	>5 Years	
Discounted Lease liability	32,614	102,718	2,451	137,783
Interest Payment to be made over lease term	7,662	10,022	81	17,765
Undiscounted lease liability	40,276	112,740	2,532	155,548

	31-Dec-2024			
	ﷲ'000			Total
	Up to 1 year	2 – 5 years	>5 Years	
Lease liability	17,500	93,482	7,827	118,809
Interest Payment to be made over lease term	6,982	11,644	81	18,707
Undiscounted lease liability	24,482	105,126	7,908	137,516

34. OPERATING SEGMENTS

Consistent with the Company's internal reporting process, operating segments have been approved by the management in respect of the Company's activities, assets and liabilities. Information disclosed in the note is based on current reporting to the chief operating decision maker.

Segment assets do not include insurance operations' Property, equipment and right-of-use assets, net, intangible assets, investment properties, investments, term deposits, prepaid expenses and other assets, accrued investment income and cash and cash equivalents. Accordingly, they are included in unallocated assets. Segment liabilities do not include insurance operations' defined benefits obligation, accrued expenses and other liabilities. Accordingly, they are included in unallocated liabilities These unallocated assets and liabilities (including depreciation on the Property, equipment and right-of-use assets, net) are not reported to chief operating decision maker under related segments and are monitored on a centralized basis.

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34. OPERATING SEGMENTS (continued)

a) Statement of income

	For the year ended December 31, 2025							
	Medical*	Medical - Umrah	Motor	Property & casualty	General accidents - Hajj & Umrah	Protection & Savings	Inherent Defects Insurance	Total - Insurance operations
Operating Segments	ﷲ'000							
Gross written premiums	17,175,872	-	2,827,546	3,188,402	-	227,518	422,274	23,841,612
Change in unearned premium reserve	(1,286,000)	-	(334,586)	(397,810)	-	(16,639)	-	(2,035,035)
Change in expected credit loss	21,453	-	(2,422)	(4,851)	-	(3,962)	-	10,218
IFRS 17 GMM adjustment	-	-	-	-	-	-	(413,618)	(413,618)
Insurance revenue	15,911,325	-	2,490,538	2,785,741	-	206,917	8,656	21,403,177
Insurance service expenses	(14,920,293)	-	(2,438,879)	(417,157)	1,980	(230,778)	(11,234)	(18,016,361)
Insurance service result before reinsurance contracts held	991,032	-	51,659	2,368,584	1,980	(23,861)	(2,578)	3,386,816
Allocation of reinsurance premiums	(221,748)	-	(14,902)	(2,215,584)	-	(150,481)	(11,205)	(2,613,920)
Amounts recoverable from reinsurers for incurred claims	106,173	-	57	70,058	-	160,412	6,655	343,355
Net (expenses) / income from reinsurance contracts held	(115,575)	-	(14,845)	(2,145,526)	-	9,931	(4,550)	(2,270,565)
Insurance service result	875,457	-	36,814	223,058	1,980	(13,930)	(7,128)	1,116,251
Net finance expenses from insurance contracts issued	(81,378)	-	(9,261)	(65,134)	(35)	(1,518)	(15,983)	(173,309)
Net finance income from reinsurance contracts held	5,300	-	198	58,632	-	1,304	6,107	71,541
Net insurance finance (expenses) / income	(76,078)	-	(9,063)	(6,502)	(35)	(214)	(9,876)	(101,768)
Other non-insurance items	-	-	-	-	-	-	-	-
Revenue from non-insurance service	-	-	-	-	-	-	-	265,742
Less: Intra group	-	-	-	-	-	-	-	256,138
	-	-	-	-	-	-	-	9,604
Commission income	-	-	-	-	-	-	-	524,998
Dividend income	-	-	-	-	-	-	-	3,080
Net fair value losses on financial assets at FVPL	-	-	-	-	-	-	-	204,690
Share of profit from equity accounted investments, net	-	-	-	-	-	-	-	31,023
Expected credit loss allowance on financial assets	-	-	-	-	-	-	-	130,747
Finance charge	-	-	-	-	-	-	-	(20,551)
Other operating expenses	-	-	-	-	-	-	-	(691,665)
Other income, net	-	-	-	-	-	-	-	20,212
Net profit for the year before zakat	-	-	-	-	-	-	-	1,226,621

	For the year ended December 31, 2025							
	Medical*	Medical - Umrah	Motor	Property & casualty	General accidents - Hajj & Umrah	Protection & Savings	Inherent Defects Insurance	Total - Insurance operations
The details of gross written premiums are as follows:	ﷲ'000							
Retail	654,953	-	1,995,262	211,966	-	8,729	-	2,870,910
Micro Enterprises	291,270	-	76,119	-	-	-	-	367,389
Small Enterprises	945,624	-	105,093	891,225	-	-	-	1,941,942
Medium Enterprises	1,508,698	-	193,025	1,028,727	-	-	-	2,730,450
Corporates	13,775,327	-	458,047	1,056,484	-	218,789	422,274	15,930,921
	17,175,872	-	2,827,546	3,188,402	-	227,518	422,274	23,841,612

* Gross written premiums relating to the medical segment include medical compulsory business amounting to ﷲ 15,651 million.

Gross written premiums comprise the total premiums receivable for the whole period of cover provided by the contracts entered during the accounting period, regardless of whether these are wholly due for payment in the accounting period, together with any adjustments arising in the accounting period to such premiums receivable in respect of business written in prior accounting periods. Gross written premium is not defined in the International Financial Reporting Standard as endorsed in the Kingdom of Saudi Arabia. It is however a KPI and reconcile to insurance revenue.

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

34. OPERATING SEGMENTS (continued)

Operating Segments	For the year ended December 31, 2024							
	Medical*	Medical - Umrah	Motor	Property & casualty	General accidents - Hajj & Umrah	Protection & Savings	Inherent Defects Insurance	Total - Insurance & Shareholders' operations
	ﷲ'000							
Gross written premiums	13,962,720	17,459	2,631,350	3,065,560	6,027	109,857	28,573	19,821,546
Change in unearned premium reserve	(1,042,430)	84,757	250,155	(658,619)	29,252	3,998	-	(1,332,887)
Change in expected credit loss	25,341	-	2,837	4,642	-	(1,000)	-	31,820
Elimination of shared pool participants share and others IFRS 17 GMM adjustment	-	(98,284)	(101,473)	-	(33,974)	-	-	(233,731)
Insurance revenue	12,945,631	3,932	2,782,869	2,411,583	1,305	112,855	14,782	18,272,957
Insurance service expenses	(12,082,983)	(484)	(2,667,838)	(572,792)	1,249	(104,870)	(6,485)	(15,434,203)
Insurance service result before reinsurance contracts held	862,648	3,448	115,031	1,838,791	2,554	7,985	8,297	2,838,754
Allocation of reinsurance premiums	(222,865)	-	(17,370)	(1,881,062)	(240)	(88,845)	(1,519)	(2,211,901)
Amounts recoverable from reinsurers for incurred claims	129,582	-	(5,003)	280,550	(121)	78,337	1,231	484,576
Net (expenses) / income from reinsurance contracts held	(93,283)	-	(22,373)	(1,600,512)	(361)	(10,508)	(288)	(1,727,325)
Insurance service result	769,365	3,448	92,658	238,279	2,193	(2,523)	8,009	1,111,429
Net finance expenses from insurance contracts issued	(58,710)	(353)	(10,972)	(96,187)	(170)	(1,914)	(1,637)	(169,943)
Net finance income from reinsurance contracts held	4,570		635	91,019	31	1,742	1,534	99,531
Net insurance finance (expenses) / income	(54,140)	(353)	(10,337)	(5,168)	(139)	(172)	(103)	(70,412)
Other non-insurance items								
Revenue from non-insurance services								63,920
Less: intra group transactions								(60,706)
								3,214
Commission income								601,476
Dividend income								1,953
Net fair value losses on financial assets at fair value through profit or loss								55,340
Share of profit from equity accounted investments, net								21,676
Expected credit loss allowance on financial assets								(91,737)
Finance charge								(9,569)
Other operating expenses								(538,620)
Other income, net								60,264
Net profit for the year before zakat								1,145,014
The details of gross written premiums are as follows:								
Retail	531,359	17,459	2,054,507	203,800	6,027	708	-	2,813,860
Micro Enterprises	210,451	-	63,480	-	-	-	-	273,931
Small Enterprises	790,421	-	91,055	856,888	-	-	-	1,738,364
Medium Enterprises	1,150,735	-	122,570	989,092	-	-	-	2,262,397
Corporates	11,279,754	-	299,738	1,015,780	-	109,149	28,573	12,732,994
	13,962,720	17,459	2,631,350	3,065,560	6,027	109,857	28,573	19,821,546

* Gross written premiums relating to the medical segment include medical compulsory business amounting to ﷲ 14,138 million.

b) Statement of financial position

Operating Segments	As at December 31, 2025							
	Medical*	Medical - Umrah	Motor	Property & casualty	General accidents - Hajj & Umrah	Protection & Savings	Inherent Defects Insurance	Total - Insurance & Shareholders' operations
	ﷲ'000							
Assets								
Reinsurance contract assets	-	-	219,902	2,400,648	-	58,190	205,615	2,884,355
Total unallocated assets								18,879,478
Total assets								21,763,833
Liabilities								
Insurance contract liabilities	7,498,214	-	1,414,374	3,983,187	-	119,416	361,587	13,376,778
Reinsurance contract liabilities	43,761	-	-	-	-	-	-	43,761
Unallocated liabilities								2,985,794
Total liabilities								16,406,333

Operating Segments	As at December 31, 2024							
	Medical*	Medical - Umrah	Motor	Property & casualty	General accidents - Hajj & Umrah	Protection & Savings	Inherent Defects Insurance	Total Insurance & Shareholders' operations
	ﷲ'000							
Assets								
Reinsurance contract assets	247,456	-	1,750	2,655,703	-	15,132	91,957	3,011,998
Total unallocated assets								17,983,703
Total assets								20,995,701
Liabilities								
Insurance contract liabilities	8,090,015	-	1,808,897	4,305,259	2,021	57,418	121,757	14,385,367
Unallocated liabilities								2,132,091
Total liabilities								16,517,458

THE COMPANY FOR COOPERATIVE INSURANCE (A SAUDI JOINT STOCK COMPANY)

Notes to the Consolidated Financial Statements (continued)

as at 31 December 2025

(All amounts in saudi riyals thousands unless otherwise stated)

35. CAPITAL MANAGEMENT OBJECTIVES, POLICIES AND APPROACH

The Group has established the following capital management objectives, policies and approach to managing the risks that affect its capital position:

1. To maintain the required level of stability of the Group thereby providing a degree of security to policyholders;
2. To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meet the requirements of its capital providers and shareholders;
3. To retain financial flexibility by maintaining strong liquidity and access to a range of capital markets;
4. To align the profile of assets and liabilities, taking account of risks inherent in the business;
5. To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and stakeholders.
6. To maintain strong credit ratings and healthy capital ratios in order to support its business objectives and maximise shareholders value.

The Group manages its capital to ensure that it is able to continue as a going concern and comply with the regulators' capital requirements of the markets in which the Company operates while maximizing the return to stakeholders through the optimization of the debt and equity balance. The capital structure of the Company consists of equity attributable to shareholders comprising paid share capital, reserves and retained earnings. As per guidelines laid out by Insurance Authority in Article 66 of the Implementing Regulations of the Cooperative Insurance Companies Control Law detailing the solvency margin required to be maintained, the Company shall maintain solvency margin equivalent to the highest of the following three methods as per Insurance Authority Implementing Regulations:

- a. Minimum Capital Requirement of 300 million.
- b. Premium Solvency Margin.
- c. Claims Solvency Margin

The Group has complied with above requirement at each reporting date presented.

Approach to capital management

The Group seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders.

The Group's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Company in the light of changes in economic conditions and risk characteristics. An important aspect of the Company's overall capital management process is the setting of target risk adjusted rates of return, which are aligned to performance objectives and ensure that the Company is focused on the creation of value for shareholders. The capital requirements are routinely forecast on a periodic basis and assessed against both the forecast available capital and the expected internal rate of return, including risk and sensitivity analyses. The process is ultimately subject to approval by the Board.

The Insurance Authority is transitioning the insurance sector to a Risk-Based Capital (RBC) regime, with full adoption targeted for 2027. This initiative, following the establishment of the Insurance Authority in 2023, aims to enhance solvency regulation, ensuring companies hold capital proportional to their risks. This initiative builds upon previous regulatory advancements, including the implementation of IFRS 17, as highlighted in earlier communications with industry leaders regarding financial reporting and capital management.

36.1 CONTINGENCIES AND COMMITMENTS

As at December 31, 2025, the Group was contingently liable for letters of guarantees, issued on its behalf by the banks, amounting to 587 million (December 31, 2024: 422 million) occurring in the normal course of business.

The Company, in common with other insurers, is subject to litigation in the normal course of its business. Appropriate provisions have been made in relation to pending cases and management believes that finalization of these court cases is not expected to have a material impact on the consolidated financial statements.

36.2 EVENTS AFTER REPORTING PERIOD

In March 2026, geopolitical instability in the Middle East increased due to regional military actions. The Group has determined that these developments are non-adjusting events. While the Group's financial position remains unaffected at present, management continues to assess the potnetial for fututre impacts on its business.

37. APPROVAL OF THE CONSOLIDATED FINANCIAL STATEMENTS

The consolidated financial statements have been approved by the Board of Directors, on Ramadhan 08, 1447H, corresponding to February 25, 2026G.

A. SUPPLEMENTARY INFORMATION (Unaudited)

a. CONSOLIDATED STATEMENT OF FINANCIAL PERFORMANCE

	31 December 2025			31 December 2024		
	Insurance operations	Shareholders' operation	Total	Insurance operations	Shareholders' operation	Total
	ﷲ'000					
Total Assets *	15,320,859	6,442,974	21,763,833	16,091,144	4,904,557	20,995,701
Total Liabilities *	15,644,129	762,204	16,406,333	15,876,563	640,895	16,517,458
Total Equities	34,336	5,323,164	5,357,500	18,635	4,459,608	4,478,243

* The total assets and liabilities do not match to the face of the statement of financial position because of due to / due from insurance operations and shareholders operations respectively amounting to ﷲ 358 million (2024: ﷲ 195 million).

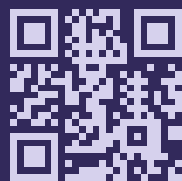
b. CONSOLIDATED STATEMENT OF INCOME

	31-Dec-25			31-Dec-24		
	Insurance operations	Shareholders' operation	Total	Insurance operations	Shareholders' operation	Total
Insurance revenue	21,403,177	-	21,403,177	18,272,957	-	18,272,957
Insurance service expenses	(18,016,361)	-	(18,016,361)	(15,434,203)	-	(15,434,203)
Insurance service result before reinsurance contracts held	3,386,816	-	3,386,816	2,838,754	-	2,838,754
Allocation of reinsurance premiums	(2,613,920)	-	(2,613,920)	(2,211,901)	-	(2,211,901)
Amounts recoverable from reinsurers for incurred claims	343,355	-	343,355	484,576	-	484,576
Net income from reinsurance contracts held	(2,270,565)	-	(2,270,565)	(1,727,325)	-	(1,727,325)
Insurance service result - net	1,116,251	-	1,116,251	1,111,429	-	1,111,429
Revenue from non-insurance services	-	9,604	9,604	-	3,214	3,214
Commission income	273,524	251,474	524,998	385,807	215,669	601,476
Dividend income	-	3,080	3,080	-	1,953	1,953
Net fair value gains / (losses) on investments at FVPL	161,436	43,254	204,690	14,388	40,952	55,340
Share of profit from equity accounted investments, net	-	31,023	31,023	-	21,676	21,676
Net profits on investments	434,960	338,435	773,395	400,195	283,464	683,659
Expected credit loss allowance on financial assets	130,747	-	130,747	(91,737)	-	(91,737)
Finance (expense) / income from insurance contracts issued	(173,309)	-	(173,309)	(169,943)	-	(169,943)
Finance income / (expense) from reinsurance contracts held	71,541	-	71,541	99,531	-	99,531
Net insurance finance (expense) / income	(101,768)	-	(101,768)	(70,412)	-	(70,412)

	31-Dec-25			31-Dec-24		
	Insurance operations	Shareholders' operation	Total	Insurance operations	Shareholders' operation	Total
Net insurance financial result	1,580,190	338,435	1,918,625	1,349,475	283,464	1,632,939
Finance Charge	(16,006)	(4,545)	(20,551)	(6,824)	(2,745)	(9,569)
Other operating expenses	(437,566)	(254,099)	(691,665)	(341,428)	(197,192)	(538,620)
Other income, net	20,212	-	20,212	60,264	-	60,264
Net profit for the year before Zakat	1,146,830	79,791	1,226,621	1,061,487	83,527	1,145,014
Zakat charge for the year	-	(123,507)	(123,507)	-	(122,989)	(122,989)
Net profit for the year after Zakat	1,146,830	(43,716)	1,103,114	1,061,487	(39,462)	1,022,025

c. CONSOLIDATED STATEMENT OF CASH FLOWS

	31 December 2025			31 December 2024		
	Insurance operations	Shareholders' operation	Total	Insurance operations	Shareholders' operation	Total
	ﷲ'000					
Net cash generated from operating activities	272,371	(135,824)	136,547	3,155,435	(283,513)	2,871,922
Net cash used in investing activities	(405,731)	(372,829)	(778,560)	(1,711,924)	(955,692)	(2,667,616)
Net cash used in financing activities	539,768	(274,065)	265,703	(9,404)	(199,141)	(208,545)
Net change in cash and cash equivalents	406,408	(782,718)	(376,310)	1,434,107	(1,438,346)	(4,239)
Cash and cash equivalents at the beginning of the year	3,063,509	(986,041)	2,077,468	1,629,402	452,305	2,081,707
Cash and cash equivalents at the end of the year	3,469,917	(1,768,759)	1,701,158	3,063,509	(986,041)	2,077,468



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